

Bikaji Foods (BIKAJI)

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Call: May 2023

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Ref: BFIL/SEC/202 3-24/34 Date: May 31, 2023

To
Dept of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001 (Maharashtra)
Scrip Code: 543653 The Listing Department
National Stock Exchange of India L td.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai 400 051 (Maharashtra)
Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and financial year ended on March 31, 2023

Dear Sir / Madam,

We hereby inform you that in continuation to our letter bearing Ref. No. BFIL/SEC/2023 -24/13 dated May 17, 2023 and pursuant to the Regulation 30 read with Point 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("the Listing Regulations"), as amended from time to time, an Earnings Conference Call with the Investors and Analysts for the quarter and financial year ended on March 31, 2023 was conducted on Wednesday, May 24, 2023. Please find attached the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call will also be available on the website of the Company and the same can be accessed at www.bikaji.com

You are kindly requested to take the same on record.

Thanking you
Yours faithfully,
For Bikaji Foods International Limited

Rahul Joshi
Head - Legal and Company Secretary
Membership No.: ACS 33135

Encl: a/a
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"Bikaji Foods International Limited Q4 FY23 and FY23
Earnings Conference Call Transcript "

May 24, 2023

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ VERMA – CHIEF OPERATING OFFICER

MR. BHUPENDER SINGH SOHAL – SALES HEAD, VICE
PRESIDENT SALES

MODERATOR : MR. VIJAY GYANCHANDANI - LEAD ANALYST
S-ANCIAL TECHNOLOGIES PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Bikaji Foods International Limited Q4 FY '23 Earnings Conference Call hosted by S -Ancial Technologies Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vijay Gyanchandani from S -Ancial Technologies Private Limited. Thank you and over to you sir.

Vijay Gyanchandani: Thank you. Welcome to Bikaji Foods International Limited Q4 FY '23 Earning Conference Call. From the management , we have Mr. Deepak Agarwal , Managing Director ; Mr. Rishabh Jain, CFO , and Mr. Manoj Verma, COO.

Now I request the management to take us through the key opening remarks and after that , we can open the floor for the Q&A session. Now I hand over the call to Mr. Deepak Agarwal for his opening remarks. Thank you and over to you, sir.

Rishabh Jain: Thank you, Vijay. So, Mr. Deepak is not there, I am Rishabh. Thank you to all the analysts and all the shareholders who joined the call. We are presenting the Q4 and full-year review of Bikaji Foods International Ltd. I have with me Mr. Manoj Verma, who is the Chief Operating Officer and along with Bhupender Singh Sohal, who is the Sales Head, VP of Sales.

Last FY '23 has been a historical year for Bikaji Foods. We have done multiple single input metrics , be it the right procurement, be it right quality, multiple plants at different locations, and investment in people and output has been very satisfactory to us. So, last year, in FY '23 we have grown at close to 22% over FY '22. Our revenue from operations is close to INR 1,966 crores . Our EBITDA is close to INR 214 crores . That is 53% growth over last year. Our PAT is close to 66.5% growth over last year. We have closed at INR 126 crores PAT over the last year. Our gross margin, when we started the year FY '23, in the first quarter, we saw a huge inflationary pressure across all key raw materials , be it edible oil or multiple pulses, crude, diesel, all the including inward factor. But the first quarter was tough for us. In the first quarter, we have done an EBITDA of close to 7.3%, and the gross margin was close to 24%.

However, when we completed the year, our full -year gross margin is 29%. So, we did multiple things at the gross margin level and we will explain in detail what we have done. Our EBITDA margin is 10.86%, which is close to 220 basis points higher than last year. So, in quarter 4, our revenue from operations grew by around 16%. Our EBITDA is close to INR 62 crores and has grown by 52%. Our gross margin is at its highest, it is around 34%. And our EBITDA is around 13.4%.

FY '23 has been a milestone year for us. There are multiple events which have happened in the last year. We got listed in BSE and NSE in November 2022. We added three plants, one in Kanpur, one in Muzaffarpur , and one in Bikaner in the name of Hanuman plant . We also got approval from government for PLI subsidy scheme of INR 261 crores, which we will get over the next 6 years. And we got the first tranche of close to INR 20 crores in March 2022- 23. We

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expanded our regional sales office in South India. That's the first time we have taken our offices outside Bikaner.

We also strengthened the management across all key functions, be it supply chain, be it quality, or production. Across key positions, we have filled the positions to strengthen our bench. Shiv Ratan Agarwal, who is the founder of the company, started the brand in 1993. He is a pioneer with an experience of more than three decades working in the snacks industry. He is the Chairman of the company. We have

have a very strong board with Shiv Ratan Agarwal, Deepak Agarwal, and Shweta Agarwal. All three are the promoters and founders of the company, giving a lot of experience to the company. In strengthening the quality, procurement, and product quality across every field.

Mr. Sachin Kumar Bhartiya, who is a Non -Executive Director and Nominee Director. He is a partner in Lighthouse Fund. Mr. Siraj Chaudhry is an Independent Director. He has a great experience in the FMC G industry, and Agri-industry. Earlier, he was the Chairman of Cargill

India. Mr. Pulkit Bachhawat, is an Independent Director and is a CA, CFA. He has a great experience in finance background.

Mr. Vipul Prakash is currently the CEO of MakeMyTrip India. He has 20-plus years of experience in PepsiCo India. Mr. Nikhil Vora runs the Sixth Sense Ventures Fund. We are supported by very strong professional management. Starting with Mr. Manoj Verma, who is the COO of the company. Recently, Mr. Mahavir Jain joined the company, he is the CBO of the company.

Mr. Mukesh Sharma, he is the Head of the Supply Chain. He has a great experience in Britannia and Tata. Mr. Ram Sinha is the President of Sales, looking after the Modern Trade. He has a great experience in Reliance Retail for more than 16 years.

Ms. Neha Rao, she joined us as VP of Marketing last year. Mr. Bhupender Singh Sohal, he is with us for more than 9 years, heading our sales. Mr. Rahul Joshi, he is the Company Secretary and Compliance Officer. Mr. Shambhu Dayal Gupta, he is the President of Finance and Corporate Affairs. He has joined the company for more than 30 years.

Now, I will hand it over to Mr. Manoj Verma, who will take you through a presentation.

Manoj Verma: Thanks, Rishabh. So, gentlemen, just taking you through a few snapshots, the highlights of the company I was going to speak about. So, Bikaji, in terms of market leadership, we enjoy the third largest position in ethnic snacks space in the country. We are the largest manufacturer of Bikaneri Bhujia, producing about 36,000 tons annually.

We are the second largest manufacturer of handmade papad in the country. In terms of our distribution and capacity, we as a company, we have a reach of 9.5 lakh outlets across the country. We have exports covering around 25 countries around the globe.

We have now the manufacturing capacity, installed capacity of almost 270,000 metric tons, and this is across country in various locations. In terms of our organization and its performance, so our five year revenue CAGR, value CAGR is 21.6% and volume is 13%.

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Talking about company strength, we have a diversified portfolio of over 300 products. We enjoy market leadership position in the family pack. So, 59% of our business comes from our family pack, which speaks about the strength of the brand.

Talking about product category we are into broadly six categories. First and foremost is about Bhujia, followed by Namkeen, third is Package Sweets, fourth is Papad, fifth is Western Snacks, and the sixth is others, wherein it is about frozen, it's about maida items, and the gift products and all.

So, these are the three. We have launched a few products very recently to cater to or to address the need and opportunity in the premium category and also the health space. So, this is about multi-grain Bhujia, which is about Jowar mix, so the roasted product. We also launched a few products in the mass category, which are Churmur, Sev Murmura, Classic chips, and so on and so forth. Also, to cater to the international opportunities of our exports, we have very recently launched Packaged Thali and Frozen Thali.

There are certain products and packs which we have launched and relaunched. So, the one I'm talking about is in a can kind of stuff, so this is about premiumization and increasing the gross margin on certain products, which already exist, but this is about some change in packaging as

well, besides new products launching.

Talking about product categories that we look at, so revenue sales, so CAGR for last five years is 22%. If I talk about ethnic snacks, five years CAGR growth is 21%, Packaged Sweets has grown at 21% for the last five years' CAGR, Papad has grown at 15%, Western Snacks has delivered a growth of 42% and the others category has delivered a 14% growth over the last five years.

Product mix, we were to look at, as of '22, 35% of our business used to come from mix Bhujia and 35.6% was from Namkeen. Package Sweets was 12.7%, Papad was 6.7%, Western Snacks was 5.7% and all others was 4.3%. Whereas if we look at in year '23, there is a shift and what has happened is that, Namkeen has gained a share of the business, by virtue of its high growth that it has delivered.

In last year's share of the business is, Namkeen contributes 36.1%, which is the highest, followed by Bhujia which is 33.4%, then is Sweet 12.1%, then is Papad, which is at 6.2%. Western Snacks has gained substantial share of business of 8.2% and the others is 3.9% in share of the business. As we have been talking in the past about that, we look our business in three parts, which is core, focus and others. So if I was to talk on the growth, so core states over the last five years has delivered a CAGR growth of 21%, focus states has delivered a CAGR growth of 22%, other states has 33% and exports has a CAGR growth of 15%. If we look Bikaji business by zone, so East zone has grown at 24%, over last five years, North has delivered a CAGR growth of 20%, over last five years, South you know, is our very recent entry, has delivered a growth of 68% and West has delivered a CAGR growth of 16%.

Talking about our SKU mix , so as of '22, our family packs were contributing to 60.6%, whereas as of last year, so FY '23, the contribution of the family pack has come down to 58.9% and in

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fact this is what, we have projected and this is by virtue of gaining a high share of business in the western snack, which is primarily about INR5 and INR10 pack.

Talking about our manufacturing facilities and capacity, I would request Rishabh to speak.

Rishabh jain: So in the current fiscal in '23, we have added three new plants in Kanpur, Muzaffarpur , and Bikaner, that is in the name of Hanuman. All three plants have a capacity for Western snacks and Namkeen. So we have a total capacity of close to 2.7 lakh metric tons . In FY '24, we will also be adding three more capacities. One in Bikaner, that's in the category of frozen, will start in the next three months to four months. The other one is our Patna CMU, which will start by the end of this month, maybe June 1st or 2nd week. And the last one is Raipur.

So Raipur we started a CMU and we have a tie-up with the CMU contractor and that will start by the end of this financial year. So these three will further add capacity to our total capacity. We also got first tranche of PLI and we committed close to INR 440 crores we will complete all the capex by the end of this financial year, to complete all the obligations.

Manoj Verma : Yes, so talking about our Pan India distribution. So the point to note here is that, in the last year, Bikaji has gained or increased its reach by 100,000 outlets. So as of the end of '21, our reach was 8.53 lakh outlets, which has now come to 9.52 lakh outlets. That's the major leap, which we as a company have taken. We have also expanded our distributor or channel partner base over the years. Talking about marketing initiatives, so we spent close to 2% last year, which is, what was committed.

Our presence across communication vehicles for ATL, be it television, be it radio, be it other TV channels, and social media. So a few of the brand collaborations, what we did was, tie-up with PVR for certain campaigns, we tied up with ATMs. For international marketing, we were present on television

across the US, Canada, the UK, other European countries, Australia, and New Zealand. So that's what has been our presence.

We actively participated in international exhibitions to support our export such as sales in Paris, which happened in a way recently. Then, for example, very recently there was a Sonu Nigam Night, which happened in the UK, that was sponsored by Bikaji , and a lot of sampling activities, which was done. Then some certain ground activations at Sharjah, this is to support, Middle East sales.

Coming on to a new brand campaign, so Amitabh Bachchan continues to be our brand ambassador, who is there till Diwali, this year. By end of this quarter, we would be closing down the extension office or whatever next is to be done. We also plan to shoot a few new brand campaigns this year. That's what we will do. And what we have on cast is the festival campaign because that is the next two quarters for us as an organization and opportunity both are very large. That's what the marketing team is working on.

Coming to the strategic initiatives to further consolidate our leadership position, in our core states . What we have done is that new manufacturing facilities, which now have all been commissioned, firing well and have been immense support last year to deliver the numbers and in fact, over deliver our budgeted numbers for all three states. Then was about premiumization

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and upgrading, what we identified for ourselves was that, the set of issues, which were higher on the gross market. So our sales team is continuously and consciously working to improve the mix, so as to help increase the bottom line as well.

There's been a certain rollout of special programs, which our sales team has done. So this is about top-end stores engagement programs . Certain wholesale and distributor channel partner programs . That's what we rolled out in these core states. Specific shopper marketing activities were to increase off-take and drive a few range and portfolios in the store. And last but not least is about sales automation tools , which is what is being delivered in these core states.

Now talking about to address focus states and other markets. So what we're doing in focus states is, expanding our distributor base distribution. Second is about focusing on categories beyond top selling products. So earlier, it used to be a couple of categories, where the focus used to be and Bikaji was known for. Now we are trying to make this and that's been our effort, for all this time to increase that stuff. Develop products to cater local tastes. So this is, you see certain products, which are most specific to the market.

Similarly for southern markets, the South Indian products. That's what we've done. We continue to leverage modern trade channels by virtue of our strong relations with all national chains. So in all these focus states, we enjoy a disproportionate market share in the modern trade channels by virtue of our JVPs, what we have with these accounts for Pan India. The last is about the sales

teams or the feet on the ground. So we strengthen our teams there. Talking about other markets, what we're doing is that one, we are expanding our super stockist network there. That's what helps us reach, increase reach and coverage to the down -top data. We continue to spend behind ATL activities.

Manoj Verma: So continued investment behind the ATL activation. So, that's what generates brand awareness. Leveraging e-com B2B channel, to these channels helps us and the cost -to-serve model becomes much more economical. Then if talking about leveraging technology. So technologies there across platform s, starting from our depot s, which is , ASRS then is DMS, then is SFA and , at our production, on the factory as well. Now coming on to our financials, Rishabh will clear.

Rishabh Jain: Thank you. So revenue from operation has grown by 22% over the last four years or five years.

At our, all the states, be it core or focus, all have grown at least 20%. But gross margin is around 29% FY '23, which was close to 27.4% FY '22. So we have done multiple things in keeping a gross margin to a higher level. Be it right sourcing, we do premiumization of new products, like I'll give you example. So over the focus product, which is with a high on gross margin. So last year, it was close to 11% - 11.2%. We've taken this to 12%. So that's it. That helps us improve gross marg in by around 0.5%.

We also improve d our purchase, be it long-term contract or be it right sourcing through right partner and that has helped us in improving the gross margin. Our EBITDA has grown to close to 11%. From ROE, ROC E perspective, so our ROC E is around 15%, which was close to 13.9%

last year. And our ROE has improved to 10.5%. Our working capital, which includes debtors , creditors, and inventory is close to 19 days. Our asset turnover ratio is close to 3.3. So we completed our capex cycle.

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So how we'll improve our ROE and ROC E and ultimately net asset turnover ratio ? So by FY '24, we'll complete our capex cycle that, will give a capacity of close to INR 4,500 crores plus. Post FY '23 and '24, we will not have to do a major capex. And further FY '24, capex will be sufficient to fund the next two years -three years of growth. So that's ho we'll improve our asset turnover ratio to 3.32 plus 4. And that will also improve our ROE, ROC E in the coming years. If you look at FY '23, so our revenue from opera tions has grown by 22%. We have closed turnover of around INR 1,966 crores. Our ethnic snacks business has grown plus 20%. Our packaged food business has grown at plus 17%. And our western snacks, where we have set up most of the capacity across many states, have grown at plus around 80%.

Papad category, which is highly unorganized, we've grown by close to 16%. So in FY '23, our value growth is close to 22%, whereas our volume growth is plus 15%. When you look at Q4 FY '23, our revenue from operations has grown at close to 15.5%. Our ethnic snacks business has grown by close to 15%. So, in Q4, we started with January, which was a very dull month for, all the food brands. Jan and Feb was a little dull for us, but from March, we've seen good uptakes in demand in rural and urban states. So, our ethnic snacks business has grown at close to 15%, Packaged food is close to 14% , Western snacks are in good demand of close to 41%, and Papad has grown at close to 8.3%. So that's the overall category -wise growth, we've done in the last quarter. In revenue from an operations perspective, we've grown at close to INR 462 crores of turnover versus INR 400 crores in FY '22 last quarter.

Our gross margin has improved substantially. Whereas last year last quarter, we've done cl ose to 29% gross margin versus this year. There was a 5% margin improvement, and we closed at close to 34%. And compared to December first quarter, our gross margin has improved by close to 4%. That has resulted in our PAT margin of close to 8.28% in the last quarter versus 6% in the corresponding year last quarter.

Over the year, we've closed at close to a 6.5% PAT margin, and we closed at INR 127 crores of PAT. Our revenue from operations has grown at close to 16% over the last quarter and 22% year-on-year. EBITDA has grown at close to 52% over the last quarter and end year also. And our PAT margin has grow n at 57% over the last quarter. And we closed a PAT of INR 38.3 crores in FY '23 last quarter.

We've seen a softening of raw material prices and packing material prices in FY '23, resulting in an improvement of gross margin by 168 business points, when we see a full year. EBITDA margin is also supported by many efficiencies and many measures have been taken at all the cost rate, including purchase, efficiency, including a focus on high EBITDA items. And we are there, trying to improve

at all levels, all cost rate levels. Our edible oil, when we started in FY '21, when we see raw material prices, edible oil, which was around 1. So currently also it's u p close to 1.4 compared to last three years.

But yes, when we see it's, we've seen very up -streak in the first quarter of this year, currently, it's around, it's reduced to close to 30% from its peak. Also, pulses and floors, laminate,

corrugated box, all has been, all is supported in last quarter. We got a PLI scheme from the government, where we are committed to close to INR 440 crores of investment. We got the time in FY '24 to complete all the capex and investment plan. We have got close to INR 261 crores

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in category one and close to INR23 crores in category two. Category three, which is mainly any ad expense, which we do outside India and the international market.

We'll get reimbursement of the same. So we realized close to INR19.84 crores, which was the first tranche of '21 -'22 in March 2023. We are not recognized yet in our books of accounts in our P&L. There are some capex conditions, which are yet to fulfilled and we'll complete the capex condition by end of this calendar year mostly. And in FY '24, we will most likely take our PLI benefits in our books of accounts, in other operating income. From outlook perspective in FY '24, we are targeted to improve gross margin of 0.5% on account of improved purchase planning.

We are also setting up a plant in Bihar. So the plant in Bihar will start next month and that will shift some Namkeen and Namkeen categories to that plant. That will also improve logistic cost because currently, we are sending goods from Bikaner to Bihar, which is close to 600 kms far. So that will help in improving logistic cost.

We are also planning to transform our power consumption to green and sustainable energy. And we are targeting 30% of our total power consumption to shift to green and sustainable energy.

We are also focusing on improving our high gross margin product. Currently, it's close to 13%.

We are targeting to take this to 18% in next three years. From future readiness perspective, we are targeting to increase our reach to another 1.5 lakh outlets by end of this financial year.

Last year, we added close to 1 lakh outlets. This year, we also targeted to add feet on the ground.

So who are our eyes and ears, we will be in direct touch to, touch with all the retailers and retailers of Bikaji Foods. So we are also adding 500 feet on the ground. Amitabh Bachchan is our brand ambassador, so we are investing heavily in this campaign. We also gained a share in last four years. We got a good experience with having collaborated with him. And we are planning to further taking this contract to next two years.

We are continuously investing in leadership and functional team, including all the senior management. And this year also, we are targeting the same. Data science is very important for us. We are working on data. And all the decisions should be backed by data. That's what our approach is. So that's part of the presentation. We are open to any questions if you have.

Manoj Verma: Gentlemen, the presentation is uploaded. What we spoke about is all now on the site.

Moderator: Thank you very much. We have the first question from the line of Harsh Shah from InCred Capital Financial Services. Please go ahead.

Harsh Shah: Hi, Sir. Thanks for taking my question. When you spoke about the improvement of gross margins of 0.5%, is that on the basis of FY23 or on the basis of Q4 FY23?

Management: FY23.

Harsh Shah: But Sir, why are we so conservative in that outlook? Because we are planning to increase our share of high gross margin SKUs plus we will also have other benefits coming in. If we assume

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that the edible oil environment remains stable, then why not plan the kind of margins which we have achieved in the fourth quarter?

Risha

bh Jain: So basically 0.5% of what we are told is the basis of improved purchase planning. Other than this, of course, we have planned to increase the gross margin above 0.5%. But I am speaking only about proper purchase planning and improving on high EBITDA products. That's 0.5%.

But our target, like last year, we have closed a close 29% gross margin. And we always look at it on year-on-year basis, not quarter-on-quarter.

Because last quarter the potato price was very low because December to March is a fresh crop.

So, we always see 12 months' overall average gross margin. So last year gross margin was close to 9%. We want to take this to around close to 150 basis points higher than last year. That's our target. When we look at the year.

Harsh Shah: Okay, correct. Thanks for that. And then how should we look at the basic cost below the gross level? Let's see the other expenses part. I mean, you talked about benefits there as well from logistics as well. So, let's say if we are targeting a 150 basis points improvement in gross margin, should we target higher improvement at the EBITDA level?

Rishabh Jain: See, basically we need to be we are working on all, at all the costs be it manufacturing cost like we are going at solar. Be it logistic cost when we shift a plant, we are building plants across all key locations. Suppose we are working at all fronts and we want to improve our EBITDA. And from each front basically, be it logistic cost, so we have to include 0.2, 0.3 basis points compared to last year. Be it manufacturing cost where we want to improve to around 0.3 basis points.

So of course, we want to take, we want to have another 0.5% basis point improvement in our EBITDA from other cost side. Of course, but yes, what is happening? So, we have opened a plant last one year and this year we will open a plant. So initially the cost of opening a plant and cost of running is very high because we will not be running at full capacity. We will be running in the starting period. So, at 35%-40% utilization, we will be at breakeven or we will start giving margins. So new plant will start giving benefit in next 2-3 years.

Harsh Shah: Okay, so those benefits will come from FY25 onwards?

Rishabh Jain: FY25, yes.

Harsh Shah: Okay. And sir, on this PLI front, let's say these INR 260 crores which is the benefit that we will be getting. How, I mean, will it be equally dispersed over the 6 years or I mean how will the dispersion take place?

Rishabh Jain: So basically, it's a ballooning payment. So normally, the Government has taken 2019-20 as the base year and so this is, and they have given us a 7.5% subsidy percentage on incremental sales which we do every year. So basically in 2022, we have done sales of close to INR 1,600 crores and the base was INR 1,100 crore. So, they have given INR 20 crores. So, for the year 2023, we will get close to INR 32 crores rupees. So, it's ballooning, so this year we will get INR 32 crores, then INR 45 crores, and then INR 60 crores. So that's the way ballooning payment is there. So, we will get in the next 6 years, we will get INR 261 crores.

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Harsh Shah: Okay, got it. And sir, just one thing, for FY23, what would be our split basically as the salience of sales coming from core states? It used to be in the range of 70%-72%, right, in FY22. So what is that percentage now in FY23?

Rishabh Jain: So FY23, our core state is around 73%.

Harsh Shah: So, it's similar as last year. So basically, the core state and focus state have grown at the same pace in FY23. Is that right?

Management: Right.

Harsh Shah: Okay, thank you so much, Sir.

Moderator: Thank you. The next question is from the line of Ravi Srivastava from Bay Capital India Fund. Please go ahead.

Ravi Srivastava: Hi, Manoj and Rishabh. First of all, congratulations. Hope you guys are doing well. Couple of questions

from my side. One is on the revenue, right? So, you guys grew at 22% for the full year.

And as I understand, I think 15% volume growth. So just the remaining, if you can talk to us about how much was price increase and how much was mix change that drove the additional over and above volume growth? That would be the first question.

And second question is that, I think Manoj just spoke about 11% was, high margin products and that has gone increased to 13% for this year. And you're planning to take that up to 18%. How does that impact overall margins if you have done some analysis on that?

Rishabh Jain: Yes, thank you, Ravi. So basically, you see, we have grown at close to 22% overall revenue. But Ethnic Snacks & Package Sweet s have grown by 21% each. Papad at 15%, Western Snacks at 42%. So, volume growth was close to 15.3% compared to last year. But when you see last quarter, so we're going to close to 16%. But our volume growth is up 13%. That's the kind of volume growth we've seen in last quarter. Going forward next financial year, we are looking at more volume -driven growth rather than value -driven growth.

Because in the last quarter, we have taken MRP cut where we also increased the grammage by looking at consumers. Like in INR 5 MRP, previously we were getting 16 grams in a few items. We have taken this to 20 grams and 25 grams also. So that's a call we have taken. Also, we need to look at competitors at a very tight level. So that's the way volume growth we have done. And we have taken price growth of close to 5-6% in FY23 compared to last year. But this year, we are looking at more volume -driven growth. That's point number one. And what was the other question?

Manoj Verma: Yes, the other question was about the product -mix. So, Ravi, I think we spoke in the earlier call as well. So, we have identified a set of six brands that are high on gross margin. And what we are doing is that there is a conscious effort to drive their contribution, drive these categories. And this is not just a sales effort.

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It is our marketing campaigns, our shopper marketing staff, the tracking of the fill rate of these SKUs. So, everyone end-to-end, our team is aligned on that. And that's what we are working on. Currently, we have moved this middle to about 12% of the contribution. 13% it has come to. We intend to take it to 18% over the three years from now.

Ravi Srivastava: Understood. So, just Manoj ji on that. If it moves to 18%, what is the delta on the gross margins? So, for example, it is 13% today.

Rishabh Jain: So, basically, gross margins will improve close to 1.2% if we take this to the next level.

Ravi Srivastava: Okay. So, if it goes to 18, then it has a 1.2% expansion in gross margin. Is that?

Rishabh Jain: Because we will invest also, we will do some pricing correction and all things because we will push their products. So, on net -net, we will do close to 1.2% to 1.3% gross margin expansion from that product.

Ravi Srivastava: Got it. Rishabh, just one more thing. For the full year, I think the EBITDA margins are close to 10.9%- 11%. While for the last year, it was 13%. How should we think about operating margins or EBITDA margins, two to three years down the line? Is 13%, or 14% a good number to track or how would you sort of?

Rishabh Jain: Ravi, so if you look at the next two to three years' agenda, of course, that's our target because we need to move to 14% types of EBITDA. That's the target we are taking. But yes, you see FY24, so last year's EBITDA was close to 11%. So, we want to do this to at least 100 basis points. That's the target we are taking, across all functions, all key levels. That's the brand we want to grow. Because you see, since the last 5-6 years, it was 20% plus. When volume increased, there are multiple costs which become more efficient and cost doesn't increase as

sales increase. So, that's what we want to improve.

Ravi Srivastava: Understood. But the focus was on volume growth, right? Is that, is that is the thing?

Rishabh Jain: Yes.

Moderator: The next question is from the line of Binoy from Sunidhi Securities and Finance. Please go ahead.

Binoy: Hi, thank you for the opportunity. Just want to understand your raw material basket. How much of it would be edible oils? How much packaging material, potatoes, and likewise other raw materials?

Rishabh Jain: Yes, so basically edible oil, if you take it compared to sales, then edible oil is close to 23%. Pulses, including pulses and flour. So, it's around 20% -29%. And packaging material is around 9% - 9.5%. That's overall. Then there are dry fruits, there are mills, there are multiple. We are not dependent on any single raw material, that's the beauty of it. So, we can improve raw material. Any significant increase in single raw material doesn't depend much on our gross margin. So, in pulses also we are using more than 5-6 types of dals. 2-3 types of arhar. So,

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overall, yes, so dry fruit we are using close to 5.5%-6%. Sugar is close to 3%. Milk is close to 3.5%. So, that's overall, take us to 70%.

Binoy: And all these percentages that you mentioned are as a percent of sales, right?

Rishabh Jain: Yes.

Binoy: Okay. Just a clarification, small one. You said pulses is how much?

Rishabh Jain: So, I'll come back to you with the exact number, but it's around 20%-29%.

Binoy: Okay. And how about potato, you said?

Rishabh Jain: Potato is close to 3.5% yeah.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi, Manoj, Rishabh, good evening. Thanks for the opportunity. Yes. Just a couple of questions.

On slide 19 where you have given the regional mix, and I did a quick calculation where we have seen our strongest growth of 75% in South. I'm doing the Y-o-Y comparison for full year. Now, obviously, your distribution expansion is helping you to grow the market. But I was amazed to see the north and east, which is again a strong snacking market. So you have reported a growth of 20% and 31% in Eastern region.

I fail to understand, and maybe you can give some qualitative comments that in the western part, our revenue has moved to INR 123 crores against the INR 115 crores, which you reported in FY22, which is about 6.7% growth. So is there any competition angle or is there anything snacking per se activities or something like? So I was looking for some qualitative answer from you.

Manoj Verma: Sure, Suresh, I think that's a very valid observation. And thanks for bringing it up. So let me tell you, when we speak about a core and focus state. So unfortunately, none of these states from the west fallen into any of these brackets. So when we say core, and that's where we invest and we to hold our guns. So east, if you look at both Assam and Bihar, the east geography is doing well for us. North, when we speak, primarily Rajasthan, which is the largest state. And if Rajasthan does well, the entire north matrix would do well. South, we have already, what we've called out two states, which is Karnataka and Telangana, are part of our focus state. And hence, so the focus on south and also the number looks substantially high because of low base. Western states, to talk about, not that, we choose to ignore, but honestly speaking, we do not have as much focus. I think, you know, you will have to hold for a couple of years more.

You know, we are all set to come up with a plant in Chhattisgarh by the end of this financial year. And maybe next year you will see that the Western markets will start witnessing the higher

growth. And in line with the investment, what we intend to make in later this year.

Moderator: Thank you. The current participant has left the question queue. Mr. Parde

shi, are you there?

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Shirish Pardeshi: Yes. So, sorry, Manoj, I lost. I was cut in between. So, I could not hear what you said, but maybe I'll take it.

Manoj Verma: You want me to repeat, Sridhar? I'll quickly, you know, give you...

Shirish Pardeshi: No, I'll take it offline. No issues. I have a second question. On the gross margin front, the observation here is that we have started gaining some benefits here. And Rishabh did say that we are targeting at least 100 basis points improvement in the margin. But just one historical data point, if you can share. When the input raw material price is correct, does that mean that the local competition is already started hitting us? Or maybe if you can give some color more on the local competition, especially in the high-consumption states?

Manoj Verma: So, Sridhar, I'll take this question. So, one is that if we look at last year, as we got into this year, so quarter one was the period wherein, there were headwinds in terms of the pricing of the commodities. And, that gave a big hit to our bottom-line numbers. Over the quarters, what we did was that we went back, we tried to improve our efficiencies, productivity some grammage reduction, price increase, whatever.

And, what happened was that by quarter four, the prices, commodity prices also started softening. So that's what, we benefited, in the double sense. One was that we improved our efficiencies and corrected things. And second, is the softening of prices. And numbers speak louder than for what I say, that if you compare, the EBITDA margin of quarter four versus quarter one, you can see the difference, what was there.

Now, to your question, with the softening of prices, yes, not only the regional players, even the national players or the large players have started passing, the pricing benefit to the consumers. And so have we done. Another data point to validate for what I'm saying is that if you look at our quarter four numbers, our volume growth is 13%, and value growth is about 16%. Whereas if you look at our annual number, it is 15 and 22. So this now speaks about the question that you've asked.

Shirish Pardeshi: Understood, Manoj, that's helpful. Just one follow-up here. You mentioned that you've started giving back the benefit. Would you quantify, is that the practice which you are going to follow for the next four quarters? Or you're still not completely passed on and you're trying to get to the competition and the market, how consumers behave?

Manoj Verma: So it's both. I think it is practical and strategic, both. That's how we look at it. And also, we very closely watch what competition is doing in the marketplace. And what would help us to take this decision is also the commodity pricing. So today, prices are such that which can help us or which allow us to do this. Therefore, we are doing it. Tomorrow, let's say if there's something or some catastrophe or some stuff happens wherein prices go beyond our expectations, maybe we'll have to stop or cut the spins of what we're doing.

Shirish Pardeshi: Okay. Manoj, that's helpful. My last question, in terms of competition, do you see heightened competition or more regional competition in the Western or in the Ethnic? Because I see that most of the MNCs are also now trying to get aggressive into the ethnic.

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Manoj Verma: So I think, perhaps what you're talking about is right. But more in the sense that, you know, Ethnic, there were very few players earlier. And Western had many. So this was a cluttered market. Today, we also see that a lot of companies have started trying to get into the Ethnic space, which is true. But I think there's no less competition on the Western side as well. And we see enough and more, new variants coming in. The companies who are well established are trying to not to do the brand extension and all that stuff. So, competition is on both ends. It is not just

one.

Shirish Pardeshi: Thank you, Manoj. Thank you, Deepak and Rishabh. Thanks for the opportunity and all the best.

Moderator: Thank you. The next question is from the line of Saurabh Jain from HDFC Life Insurance. Please go ahead.

Saurabh Jain: Yes, sir. Thanks for the opportunity. So, sir, two questions from my side. Firstly, I'm referring to slide 21, where you mentioned the installed capacity of about 2,70,000 metric tons. Can you comment that, what is the volume that you produced in FY '23?

Rishabh Jain: So, FY '23, if you look at the overall average, so we have been close to 42% to 43%. But you see, it depends on your capacity categories, like sweets and sweets are largely festival driven. So that's the peak capacity, we use normally from Rakhi, Diwali. But Bhujia, Namkeen, we eat on the weekend which we used, they are using a good capacity. But yes, from last year FY '22,

we have started building capacity. So yes, our current usage capacity is close to between around 42% to 43%. But yes, our target is to take this to 65%-70% in next three -four years.

Saurabh Jain: Okay, so you're saying that, the optimum capacity utilization is about 65% to 70%?

Rishabh Jain: Optimum means in salty snacks is close to 85%, sir. Optimum. So we can take this to 85% comfortably.

Saurabh Jain: Okay, sir.

Rishabh Jain: Yes, But in sweets, it's largely seasonal driven. So in sweets, taking this to 80% -85% is actually tough. So in sweets, we can take this to 45%- 50%, if you see a blended average over the years, 40%-45%. But in salty snacks, we can comfortably take this to 85%.

Saurabh Jain: Got it. And what is the capacity that, will come under operation in the year FY '24, that is CWIP?

Rishabh Jain: So we have three plants coming up. One is frozen, and the other is Patna, which is CMU basically. And the other one is in Raipur. That's also CMU. So basically, two are CMU and one is a frozen plant, which will come in the next three months -four months. So the overall capacity in Patna will be close to around 10,000 tons. But overall, if you merge all, the capacity will be between 10,000 tons and 25,000 tons addition.

Saurabh Jain: Okay. Sir, my next question is, on the other expenses. So, if we see for Q4, they have gone up by about 34%. And if we look at the percentage of sales also, they have gone up both on Y -o-Y basis and a Q-on-Q basis. So what is the reason for this?

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Rishabh Jain: So basically, there are two -three things basically. One is basically, there are huge costs and people's costs increased last year. And our logistic costs increased to around 0.3%- 0.4%. And also, there was a fair value adjustment in investment, that's close to 0.6% -0.7%. So that's the cost, which we have overall. It was a 2.5% increase in other expenses compared to last year.

Saurabh Jain: So attributing these two first, you are saying manpower cost.

Rishabh Jain: Exactly. So there was ad spend, which has been increased. So ad spend was increased. There was freight -forward charge, which has been increased. So there are multiple costs, which we invested largely. We invested in ad basically to build a market, to build a campaign. Also, logistic costs have been increased because we are building snacks market. So there were chips, western snacks. So western snacks involve reasonably good logistic costs. That's why we are building plant across all key states, nearby states. So logistic costs have increased a little bit. And then there was fair value adjustment on investment.

Saurabh Jain: Okay. So these three items. Got it. And in terms of the overall, in terms of quantum, what is the ad spend for Q4 and for the entire FY '23?

Rishabh Jain: So ad spend in Q4 is close to 2% actually. And over the year also, we have done close to 1.9%. So it's largely in line. In first quarter, it was very minimal. But in the second and third quarter, because of Diwali

campaign, we have done reasonably good ad costs. And in last quarter also, we have done close to 2.14% type of ad costs.

Saurabh Jain: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Anurag Lodha from Axis Capital. Please go ahead.

Anurag Lodha: Thank you for the opportunity. I just had one question. So your exit gross margins came in at about 34%. So I just wanted to understand if, we can sustain these margins in the coming quarter since you have been taking so many initiatives towards gross margins. So, I just wanted to get a sense of that, thanks.

Rishabh Jain: Yes. See, we always look at the gross margin at the over -the-year level. So of course, our last year's gross margin was close to 29%. Last quarter of course was reasonably good because there was a fresh crop. So that has helped us in improving gross margin to this level. But the regular gross margin, which we looked at was close to 150 basis points higher than this. Close to 31% type of gross margin, which we looked at over the year.

Anurag Lodha: Sorry, you said 31 percent?

Rishabh Jain: 31% that's the gross margin, which we look at, when we see over the years.

Anurag Lodha: Okay. Understood. Thank you.

Moderator: Thank you. The next question is from the line of Binoy from Sunidhi Securities and Finance. Please go ahead.

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Binoy: Yes. Hi. Thank you for the opportunity. Just a question on your distribution reach, which is about 9.5 lakh outlets. How much of this would be, would the split between core and focus states?

Manoj Verma: Yes. So core would be the highest. So it's about 7.35 lakh outlets in the core state. Focus has 1,12,000 outlets and the rest is others.

Binoy: Understood. And sir, let's say in these...

Manoj Verma: Let me give some more insight on the question, what perhaps you asked. So in the core state, we enjoy, we have gained numeric distribution. We have a numeric distribution of 55% plus in the

core state. While in the focus states, we just the entrance, we have about 4.2% numeric distribution. So that's the room, what we have in focus states. And we are fairly good on the core states.

Binoy: Understood. So just as we have a reach of 9.5 lakh outlets, what would be, let's say, Haldiram's reach?

Manoj Verma: I'll not be able to comment on Haldiram, but I'm sure, they...

Rishabh Jain: I think, what we have in the core market, they must be...

Manoj Verma: They must be at a pan -India level if you take Haldiram as a brand.

Binoy: Sorry, I didn't understand. Sorry. Can you just come again?

Manoj Verma: So I'm saying like, we enjoy about 55% numeric distribution, right? In our core state. That's the kind of market share, Haldiram has for the pan -India, for the country kind of thing. So their numeric distribution would be 55% for pan-India, this is what, we think. You can look at it easily, 3x kind of a number for what we have. That's our guess.

Binoy: Understood. And, sir, the other question is on the portfolio. That we have ethnic packaged sweets, western, Papad, and others. If we have to understand this in terms of the GM profile, how would the GM profile be stacked up?

Manoj Verma: So, GM, if you look at the sweets and Papad will be, ahead of curve. Right? And the Bhujia, Namkeen would broadly be on the same stack. And then the western snacks would be a notch below.

Binoy: Understood. And what would be the differential between, let us say, western snacks and...

Manoj Verma: Couple of percentage points.

Binoy: Couple of percentage. Not too much.

Manoj Verma: No. Not much.

Binoy: Understood. That's all from my side. Thank you so much.

Manoj Verma: Thank you.

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Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Manoj Verma: So, thank you, ladies and gentlemen, for joining us for this

call. I mean, it was a pleasure interacting with you all. If you have any questions left out, feel free to reach out to us. We'll be happy to answer them all. Thanks. Thanks once again.

Bhupender Sohal: Thank you very much.

Rishabh Jain: Thank you to all the investors and shareholders.

Moderator: Thank you. Ladies and gentlemen, on behalf of S -Ancial Technologies Pvt. Ltd., that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Aug 2023

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Ref: BFIL/SEC/2023-24/74 Date: August 08, 2023

To

Dept of Corporate Services The Listing Department

BSE Limited

Phiroze Jeejeebhoy Towers

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Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 National Stock Exchange of India Ltd.

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter ended on June 30, 2023

Dear Sir / Madam,

We hereby inform you that in continuation to our letter bearing Ref. No. BFIL/SEC/2023-24/66 dated July 29, 2023 and pursuant to the requirements of the Regulation 30 read with the Point 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("the Listing Regulations"), as amended from time to time, an Earnings Conference Call with the Investors and Analysts for the quarter ended on June 30, 2023 was conducted on Wednesday, August 02, 2023. Please find enclosed herewith the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call will also be available on the website of the Company and the same can be accessed at www.bikaji.com. You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head - Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As above

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"Bikaji Foods International Limited Q1 FY24 Earnings
Conference Call Transcript"

August 02, 2023

MANAGEMENT : MR. RISHABH JAIN – CFO, BIKAJI FOODS
INTERNATIONAL LIMITED
MR. MANOJ VERMA – COO, BIKAJI FOODS
INTERNATIONAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Bikaji Foods International Limited Post-Earnings Conference Call hosted by S-Ancial Technologies Private Limited.

At this moment all participants are in the listen-only mode. Later we will conduct a question-and-answer session. Please note that this conference is being recorded. From the management we have with us today Mr. Rishabh Jain – CFO and Mr. Manoj Verma – COO.

Now I request the management to take us through the key opening remarks and after that we can open the floor for the Q&A session. Thank you and over to you sir.

Rishabh Jain: Thank you very much for joining this Bikaji Foods Earning Call. I'm Rishabh Jain – CFO of Bikaji Foods. Manoj ji and I will take you through the presentation of Bikaji Foods and then we can take the questionnaire.

Manoj Verma: Good morning, everyone.

Rishabh Jain: Bikaji Foods delivered a strong quarter performance with close to 32.8% gross margin and 13.6% EBITDA margin. So, your Company has delivered us close to 15% value growth and 15.2% volume growth. So, volume growth has been very strong and we have seen a strong volume growth in this quarter. This quarter is largely volume driven growth, price driven growth was negligible rather than negative compared to volume growth. We have delivered a strong EBITDA of close 13.6%, the gross margin was close 32.8%. Over to you Manoj ji.

Manoj Verma: Yeah, Am I audible ? So, taking through the quick Quarter 1 salient points:

On market leadership as we talk about, so we have delivered a 14.7% growth from our core states and core states are very high contributing states for us. That's the kind of delivery and the growth what we have delivered there. Relaunch of our snacks category with toys consumer offer inside so that's another new thing what we did. Now talking about our family pack contribution and momentum, so if we look at our current share of business from family pack has moved up to 55.6% which is up 200-basis point increase YOY over last year.

On distribution and capacity building. We are now present over 9.5 Lakh outlets across the country. In the last quarter, we have added 13,000 outlets under our direct reach. Our export continues to go strong and high delivery growth in quarter 1, presence across 25 countries around the globe.

Manufacturing capacity in this quarter we have added by 9,000 metric tons per annum. That's the capacity increase and this quarter we have brought in our fold. Feet on ground, we have added 150 people on ground. This is on the Company's payroll and also third-party put together. So, that's the way we are going strong on our coverage. Continue to have a strong product portfolio which is over 300 products and focus on distribution and what essentially it means is that the task on projects underway to open a lot of CFA's across the country to bring this distribution close and also try to reduce dependence on our super stockist model.

So, talking about our product categories I mean I think all of us are aware of but still so Bhujia, namkeen, packaged sweets, Papad western snacks and other snacks. Talking about Pan India distribution as I said that we are now available at over +950,000 outlets. March '22 exit we were covering direct coverage on our SFA. So, with long availability and KYC of each outlet was about 72,000 outlets which by March '23 we brought this number to close to 150,000 outlets and in quarter 1 as I said have added 13,000 outlets in our direct coverage. This has come on the back of adding 150 sales team, frontline sales guys on ground.

On our marketing initiatives as we say, so we continue to invest behind marketing and different vehicles of communication. So, in this quarter what we did was that we had association co-branding with a movie released called 'Satyaprem Ki Katha'. Besides this we did digital campaigns. This was bringing the emotional and sentiment value of mot

hers on 'Mother's Day',

other events what we kept on doing like World Food Safety Day that's where our presence was there. Besides this we also participated international exhibition which happened so one very recently which happened in the USA.

On digital media, if we look at, looking at it as two parts. One is social media which is about branding. Second is the digital campaign which is more focusing and helping our e-com and q-comm channel to grow and do better. If we look at the number of followers on Instagram and Facebook, they have grown leaps and bounds. So, in FY'22-23 we witnessed a growth of 90%, engagement rate was 3.2%. That's what we witnessed in these social media platforms.

On the business performance:

We have delivered a 15.2% volume growth and a revenue growth of 15%. This is after many quarters wherein volume and value growth are more or less in line with each other. Ethnic snacks which has the highest share of business to entire business has delivered a 16.1% growth, packet sweets at 10.5% YOY growth, western snacks is ahead of all at 19.3% growth and Papad though a small category has delivered a 1.1% growth. If we look at the shift in product mix, Quarter 1

this year versus Quarter 1 last year so broadly it's the same. There's a slight movement wherein the ethnic snacks from 74.3% contribution has moved up to 74.7%. I think the point which I would want to highlight here is that Western snacks where our investment has gone the growths are high, there if you look at the contribution has moved up from 8.7% to 8.9%. So, this is on a continuous moving upwards over last six quarters if we look at. Rest is broadly in same line, exports. The way we look at our market, we have fragmented it into four parts. So, one is Core where the key business, three states are Rajasthan, Assam, Bihar, focused states and other states. So, here if you look at performance by each subset, core has delivered a growth of 14.7%, focused states delivered a growth of 16.3% and other states has delivered a growth of 16.5%, exports at 29.4% growth YOY over last year. So, the contribution from the Core states is about 74.3%, followed by Focused states which is 15.2%, followed by other states which is 6.9% and the exports is at 3.6%.

If we look at the business and business growth by North, East, West South basis, so East has grown by 13.1%, North by 15.8% South has grown at 60.9% and the West is at 6.2% growth.

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So, East which is relatively a high contribution market for us, in this quarter was badly impacted with the floods which all of you would have read and heard about. So, the Bihar part and the Northeast states which got severely impacted, so that perhaps has resulted in that stuff and rest North has done well, South has done extremely well. Although it's a small business but yes, we are making inroads into these markets.

Here is about mix of SKUs, so if we look at the center block which is family packs, family packs has grown at 19.6%, impulse pack at 10.5% and the rest of the SKUs at 21%. That's the kind of mix. And the family pack contribution from 53.7% has moved up to 55.6% in this quarter. That's the movement quarter-on-quarter and has also helped us delivered better EBITDA, so this is also one of the factors. Rishabh over to you.

Rishabh Jain: We have built a strong capacity in last 1.5-2 years and in first quarter also our Patna unit, Patna CMU has started. Of course, trial production is going on in multiple lines but yes, so over 9000 tons of capacity addition has been done in first quarter. Also, two plants, one in Raipur, Chhattisgarh we will add by end of this year and other frozen plant will come in next 4 months. That's the two plants which will come up by end of FY24. We'll build a sufficient capacity which can deliver the next 3.5-4 years performance which takes care of all the capacity addition. So, currently, we are using the capacity of close to 40%-41% at a

blended level because we added

more of the capacity in the last 1 year and the plant which has been newly added, so we are utilizing it at a lower level because it takes time to utilize at 40%-50%. So, largely we have built the capacity ahead of time and it will take care of the next 3-4 years capacity.

From revenue perspective:

So, we have done a revenue of close to Rs. 482 crores which is 15% growth over last year quarter 1 and close to 4.3% swing over Quarter 4 of last year. From EBITDA perspective we've done EBITDA of close to Rs. 65.8 crores which close to one 113% growth over last year and close 6.4% growth over Quarter 4. So, this EBITDA basically is led by multiple factors be it superior mix or led by operational efficiency. We have efficiently managed many things at manufacturing cost and other QSR cost that is saved close to 0.6% to 0.8% from EBITDA perspective despite our gross margin having reduced if you look compared to Quarter 4. But overall, at EBITDA level EBITDA has increased compared to Quarter 4. So, we did multiple things at EBITDA level below gross margin also that has improved our gross EBITDA.

These are key raw material edible oil. So, edible oil is supported in the first quarter but persistent flows as the prices increased in the first quarter. So, a 6% to 8% price increase has been done in price of raw material has increased in first quarter. Laminates is largely in line same compared to last quarter. But yes, it's in declining trend. These are the consolidated financials which we discussed earlier. So, that's the part from presentation perspective. So, we can discuss on Q&A and take a question of all the investors.

Moderator: Thank you very much. We will now begin the question-and-answer session. To ask a question, please click on the Raise hand icon available on the toolbar or you may click on a Q&A icon to

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raise hand. The operator will announce your name when it is your turn to ask a question. Ladies and gentleman, we will wait for a moment while the question queue assembles. We have a first question from the line of Percy Panthaki from IIFL.

Percy Panthaki: Hi everyone, congrats on a good set of numbers.

Moderator: Sir, we are not able to hear you well.

Percy panthaki: Hello, can you hear me?

Moderator: Can you speak louder please.

Percy Panthaki: Am I audible now? My first question is, you have done very well on margins. In fact, the margin expansion has happened much sooner than expected. We were basically taking a gradual margin expansion across the quarters. You already reached 13.5%. What I wanted to ask you is that for the next year FY25, how much basis points expansion are you targeting over FY24 full year? Assuming that FY24 you have done 13.5% but even if we conservatively take that let's say it will stabilize at around 13%, do you think that there is further margin expansion possibility in FY25, or you would like to maintain this 13% and reinvest for growth?

Rishabh Jain: Percy thanks for the question and it's a very valid question. So, largely see this year you will see our major ad spend comes in second-third quarter. So, largely what we look at over the year basis, our overall over the year our EBITDA what we're targeting is between 12.5% to 13%. That's the target we are taking in this year. And of course, PLI income will add in this, other than this or this operational EBITDA will come. That's point number one and point number two of course we are utilizing very low capacity as of now. So, once we realize this capacity of course operational efficiency which will build in. So, we are targeting at least 0.5 basis margin expansion at least in the next 2 years year-on-year.

Moderator: Mr. Percy's line is disconnected. We'll move on to the next question from the line of Ashwani Agarwalla from Edelweiss Mutual Fund.

Ashwani Agarwalla

: Good morning sir, Congrats for the good set of results. The margins have been like much better than expected. I just wanted to know what was your ad spend for this quarter if you can disclose.

Rishabh Jain: Our ad spend for this quarter is close to 1%.

Ashwani Agarwalla: And in the third quarter we will have the World Cup and in the second quarter onwards do we see a substantial increase in the ad spend.

Rishabh Jain: Normally Ashwani, our ad spends what we targeted and budgeted in our P&L is close to 2% at a year all blended level. And we normally ad most of the ad during Diwali and festive season, from Rakhi-Diwali there are major ad spend which is going on. So, at a yearly level we are targeting 2% of ad spend.

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Ashwani Agarwalla: And we had taken over a small chain of restaurants in Jaipur. So, can you throw some light on that?

Rishabh Jain: So, it's too early because our frozen plant will come up in next 3 to 6 months and from QSR perspective, we will do some trials initially and then so it's largely 1.5-2-year journey before finalizing anything on expansion plan. So, in next 6 to 8 months, we are building strong frozen plants and that can serve as a base kitchen for QSR as well as of course frozen for our export business. But yes, it's too early to comment on frozen QSR business because first we'll finalize on all quality, technology and all key parameters and then we'll focus on building QSR business.

Ashwani Agarwalla: In the last quarter we had received a PLI of roughly Rs. 25 crores which we had not accounted for. So, have you accounted for that in this quarter?

Rishabh Jain: No Ashwani. So, largely we received close to Rs. 20 crores in March 2023. So, there are two conditions basically, one is sales condition, in which we need to grow at a minimum 10% growth over FY21 base and the other one is PLI investment commitment. So, we had done a commitment of close to Rs. 430 crores and the balance layover has been close to Rs. 90 crores which we need to complete in FY23-24 including all the CMU investments. So, we are on target, and we'll complete this investment in this Financial Year, FY23-24.

Ashwani Agarwalla: South has ultra luxury seven-star, five star done in cycle.

Rishabh Jain: So, we'll complete this CAPEX cycle in this financial year, and we'll take Rs. 20 crores plus also this Rs. 20 crore is we received for FY22, for FY23 also we will file all the papers in this August month and that's close Rs. 30 crores subsidy which we will receive in this calendar year. That's what we are planning. We are gunning for the government and the government is very aggressive in giving PLI scheme to all the contenders. So, this year largely close to FY22 and '23 this two income will be recorded in the last quarter.

Ashwani Agarwalla: Do we plan to launch new products? If we look at your nearest competitor or the market leader, they've got a whole range of new products. So, are you people planning to launch any new products during the next 2 months or maybe in the next two quarters I mean to say?

Rishabh Jain: This new product addition is a normal phase. So, largely you will see in our last addition also we launched 4-5 new products and they're doing well, like Bhujia, in Chiwda category, in Muri category. So, that's a normal business. We normally add close to one or two products every quarter and that's normal business because sometimes we add and our competitors look and they add in their portfolio or sometimes we copy them. So, that's a normal thing we do.

Ashwani Agarwalla: Okay sir, Thanks a lot.

Rishabh Jain: Thank you.

Moderator: Thank you. We have our next question from Gaurav Jogani from Axis Capital. Please go ahead.

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Gaurav Jogani: Thank you. Am I audible? My question is with regards to the growth in the core markets that has been quite robust, around 15%. However, if we look at the focused markets, t

he growth is

again in that 16%-17% mark. So, given the low base for the focused markets and also the capacity is now ramping up with these locations, are we targeting a higher growth rates in these segments going ahead?

Manoj Verma: Going forward you will see focus markets will be growing much faster than the core markets for sure.

Gaurav Jogani: And this will be led by again this capacity ramping up the ones that you have opened very recently.

Manoj Verma: So, both see capacity basically is the availability of product. More important is that how do we increase sales in that, do we grow ourselves or enable ourselves to suck for whatever we produce.

So, that work is on and they will both will complement each other. So, the production capacity which we have increased and the sales growth, distribution growth will get us this in the disproportionate growth.

Gaurav Jogani: Okay, sure sir. My next question is with regards to again the distribution expansion that you talked about especially on the direct front. So, one thing that you mentioned of the CFA now putting up more CFAs and converting the super stockist. So, if you could dwell more on this, what are we exactly doing on this front and how are we going about this?

Manoj Verma: Currently if you look at our business, in our food market, CFA's were not existing as such which is if you see in most of the FMCG or I think all companies that's one thing which is prevalent.

So, our dependence on super stockist is more. So, from the factory, stock goes to super stockist which is a quasi-CFA kind of stuff and in turn the distributors or sub-distributors below them they used to service. What we are creating is that we are creating CFA agents where our stock will reach and from there it will not reach to super stockist but directly it will go. So, both, one is efficiency will increase and second is cost which we are spending on super stockist we will be able to save some percentage from there itself. So, it is not a replacement of super stockist it is a reducing dependence on the super stockist.

Gaurav Jogani: Sure. If you can quantify anything how much savings this possibility could lead to and what would be the timelines for this?

Manoj Verma: I think see this is not from the savings perspective. That would be a byproduct of if we do this stuff. What we want to do is that how's that we increase efficiencies, increase fill rate to the end distributor and then in the retail market. In turn if you look at what we presume is that this should get us about say 0.5% to 1% savings net savings on this.

Gaurav Jogani: Sure. My last question would be in terms of the margins and this would be more to Rishabh because you mentioned that your margins that you are targeting ex-PLIs 12.5% to 13%. Now if we look at the margins for the first quarter itself, it's 13.7% odd that we have done. So, are we

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expecting some corrections in the month going ahead in the margins and if yes why would this margin correction would happen?

Rishabh Jain: Ya, Gaurav. So, basically, there are two things. One basically you will see the ad cost in first quarter was close to 1.2% which will be on a yearly basis we have planned it close to 2%. So, this will be on margin part, point number one. Point number two, in July and August month we have planned a promo offer for consumer basically. That's to pass on to consumer like 10% extra on promo pack and that's the thing we have planned on, and we have implemented in August month. So, largely we are planning close to 12.5%-13% despite passing on to the consumer or ad cost. That's the budget we are thinking.

Gaurav Jogani: So, the extra promo of 10% from August month how much of a pricing impact net basis it will have on the overall?

Rishabh Jain: We have planned in 4-5 products, not on all. But this will have impact of close to 1% on margin.

Gaurav Jogani: 1% margin and how much kind of a price realization impact t

his will have?

Rishabh Jain: So, largely if you see at an overall level, it's close to 1%-1.5% but because it's in 5-6 but not in all categories. So, at the overall level it's 1%-1.5%.

Gaurav Jogani: Okay, Thank you.

Moderator: Thank you. We have our next question from Abneesh Roy from Nuvama. Please go ahead. Mr. Abneesh Roy, Please turn on your microphone and go ahead.

Since there is no response, I'll move on to the next question from Tejash Shah from Avendus Spark. Please go ahead.

Tejash Shah: Hello, am I audible? Thanks for the opportunity and thanks for the detailed presentation. A couple of questions from my side. First on core market growth, it's very robust number there on a good base, so just wanted to understand what the nature is of this growth. Is it that the underlying markets are doing that well, or we are gaining a lot of market share from regional competitors or national competitors in those markets.

Manoj Verma: So, Tejas in four states if we talk about, we have gained shares across these three states in this quarter and even in last year if we look at. The major gains when we look at are coming from the regional and local players. So, that's where the primary share shift which we have witnessed in these markets.

Tejash Shah: This largely happens on premise of what, is it that customer prefers us over others because it's better pricing?

Manoj Verma: So, it's two-prompt things. So, one of course our brand is pretty established brand. The second is that the way we are trying to intensify or increase our coverage, penetration, quality of service,

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CFA's and the stuff. So, basically, efficiencies, looking at throughput per storehouse that we increase in that stuff. I think that's the second factor which is helping us deliver better in these states.

Tejash Shah: And second question is that when we enter a new market let's say the focus market, is it right to understand that your entry SKUs or entry products will be largely through your strength which is ethnic snack and then gradually you will introduce the other ones or it is actually based on market study? You can actually prepone western snacks launch there versus ethnic snacks. How does the cycle work?

Manoj Verma: So, Tejas, I think you are given both the points; it's mix of both. That's what it works. Our brand is not a new brand, we are not a new Company. We've been there for decades. So, the gap what we figure out was that our presence, the regular service in the market that was missing. So, if we look at our Rasgulla, Gulab jamun, Sonpapri or Papad, these are pretty reasonably okay brands or categories in these markets as well. So, the way we go is one of course we ride on the categories what is doing well or what we have been doing well and second is the latter part of your question that western snacks because when we open or start our manufacturing unit and that stuff. So, western snacks which earlier we never tried to focus, or we couldn't do before is what we leverage on the new categories as well. That's what is the strategy what we do and last but not the least is basically the insights and study of that local geography that what is doing well, which subcategory is most salient in that particular geography. We try to upgrade our efforts on those categories.

Tejash Shah: What would be the number of SKUs that we are running today and what was that number last year?

Manoj Verma: The number of SKUs, there's not much of a change because what happens is that as we add SKU, we keep cutting the tail. That's the way it moves on because it is about consumer preference, it's about market demand keep coming and we keep weeding off kind of a stuff. So, the growth is not on the basis of that there's no phenomenal SKU increase over the period. If you want specific number Rishabh if you can just give the number or specifically a

answer this.

Tejash Shah: I'll take it offline. Thanks a lot.

Moderator: Thank you. A reminder to participants to ask a question, please click on the raise hand icon available on the tool bar or you may click on Q&A icon to raise hand. We'll take the next question from Ravi Srivastava from Bay Capital. Please go ahead.

Ravi Srivastava: So, first of all, congratulations...I have a couple of questions. One is on taking forward from Tejash's question on just throughputs and market expansion. Just wanted to understand from you Manoj Ji as know you guys had implemented a DMS system plus now you're going into new markets. If you can just talk to us about throughput levels in core markets, how has that improved as you have sort of come in and implemented DMS? And second on the new markets which are the markets where you're adding these 150 people that have been added in the sales?

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Manoj Verma: So, to your first question if you look at now, so there's not much of direct coverage increase in these core markets. Yes, the efficiencies have gone up and if you look at the growth of close to 15% so that's a very back of envelope if you look at is the kind of throughput increase which has happened from these stores in the core market. To your second question where we have added, we have added in UP, our one of the focus states, we have added it in Rajasthan and in southern

states. So, that's where the key addition has gone. If we look at in this quarter, we have added about 150 people. In next two quarters you will see the investment behind adding these feet on the ground and we would be adding about 150 to 200 more feet on the ground in next two quarters. That's the plan.

Ravi Srivastava: The second question is on the recent acquisition that you guys have done. It's a very small one but just wanted to understand the thought process behind that. Why that acquisition? What are you guys looking into it and how big can that opportunity be?

Manoj Verma: So, that's too small acquisition. But yes, if you look at the strategic thought behind this acquisition is to have a second brand. So, if we have to play in any of the geography and a mass brand so that's where we can leverage this brand instead of Bikaji bringing it down or doing that kind of a stuff. If you look at most of the FMCG companies across categories that's the strategy which we have tried to adopt and try for us.

Ravi Srivastava: So, it is like a flanker brand for you. Is that how one should think?

Manoj Verma: Yes, you have said it.

Ravi Srivastava: Last point Manoj Ji. Just on the core market you mentioned that largely the growth has been throughputs. Can you just make that real for us? Say a city like Jodhpur, say a city like Jaisalmer if you can just talk to us about what was the throughput in some stores and what is the opportunity that you see there because I don't know how big the opportunity of throughput expansion itself is.

Manoj Verma: It's a progression so there were stores who were earlier Rs. 1,000 throughput stores. So, let's say C and D class outlets has moved up to 1200-1300 kind of stuff kind of thing. The top end stores where the growth has come from selling more categories. So, let's say namkeen has a lot of subcategories below it. We've identified focused categories or brands for ourselves. That's where we are trying to do that stuff. Some average, on an average if you look at is about for a state like Rajasthan or you're talking Jodhpur so average throughput per store would be around 3,500 per store which has moved up earlier. It used to be about 3,100 kind of a stuff. That's what but this would vary from city to city.

Ravi Srivastava: Understood, Last point I'm sorry I'm taking a bit more time. The last question was largely on the mix change so, there is an increase this quarter in terms of the family pack has sort of gone up. How much of the gross margin expansion is one because it's clear that

it is because of one family

pack growth and second one is the RM decline. But if you can just quantify what has driven more and what is more sustainable in terms of just gross margins for us?

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Rishabh Jain: From gross margin perspective, so largely of course family pack is higher than gross margin compared to impulse pack. But there is not significant gap in between both of them like close to 2.5%-3% gap is there between impulse and family pack because we charge higher price of packaging material on impulse pack also. But 2.5% to 3% margin at EBITDA level this gap is there but it's a mix of both actually because the raw material prices, if you compare with last year Quarter 1, of course raw material prices favored much. But if you compared to last quarter or Quarter 4 of last year, so we are seeing same price because edible oil has supported and agri as largely the prices increased. So, largely it was mix or same, there was no major variation at an overall cost level of course we have passed on the price to consumer that has come into increase in our cost of goods sold of close to 1%-1.25% in this quarter compared to last quarter.

Ravi Srivastava: But Rishabh should we think that this 33% level is more sustainable now because historically you guys were at 27%-29% level?

Rishabh Jain: 26%-27% was of course but yes, if you see our past trend of 5-6 years, we always were at 20% or 30%. Of course, we want to be at 31%-32%. That's the level we want to be at and that's what we are gunning for. Even after passing on the consumer price which we done consumer offer which we had done in August month, July month itself. So, we are targeting that we should be at the same level then we'll be at the yearly blended level.

Ravi Srivastava: Got it. Thank you so much for answering so many questions.

Moderator: Thank you. We have a next question from Saurabh Jain from HDFC Life Insurance. Please go ahead.

Saurabh Jain: Yeah, am I audible? I had a couple of questions. The first question is on the product mix. If I look at the FY23 numbers, about 70% is coming from the ethnic snacks. So, given that you're putting up more capacity in western snacks and some of them in sweets also and then frozen snacks, what is the mix that we can see in the next let's say 2-3 years the mix changing? Will there be a significant shift in the product mix?

Manoj Verma: So, there will certainly be a mixed change Saurabh. So, in the next couple of years, you can see this western snacks moving up to say about 11% kind of a contribution. 10% to 11%.

Rishabh Jain: So, Saurabh,

Moderator: Hello sir, you are not audible now. Mr. Saurabh Jain, you are there, right?

Saurabh Jain Ya, I am there .

Moderator: Okay, please stay connected. We have lost the management connection, I request you to stay connected while they rejoin. Thank you.

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Rishabh Jain: Hello, am I audible? Ya, sorry, my line got disconnected. When you see the yearly level of course we will be targeting close to 11.5%-12% in sweet. So, ethnic snack will be close to 71%-72%.

Saurabh Jain: This 11% you're saying is for like 2-3 years down the line, FY25 is it?

Rishabh Jain: Sweet it will be 11%-12%. This will be carrying the same level.

Saurabh Jain: No sorry just to clarify, you're saying that 70%-72% will be ethnic snacks, 11% will be sweet and then on a slightly long-term basis western snacks should be about 11%-10%. That's understanding. Hello?

Moderator: Please stay connected sir, they have lost the connection again. Ladies and gentleman. Please stay connected while the management rejoin. Hello, Mr. Verma, I can hear you now, please go ahead.

Manoj Verma : Sorry, I missed the question.

Saurabh Jain : Just to reiterate so my question was that th

e product mix change in the next let's say 2-3 years

so what will be the change in the product mix? And then my follow up question is that because of this product mix change what is the benefit we'll get on the gross margin side? Hello?

Moderator: Yeah, Mr. Jain, I am sorry, but we lost the connection again, give me a moment please.

Manoj Verma: Hello, it seems to be some connectivity issue, not able to hear you.

Now you are audible.

Saurabh Jain: So, just to summarize my question I was saying that what is the product mix chain we can expect in the next 2-3 years and what will the expansion in the gross margin because of this product mix change in the next 2-3 years? That was my question.

Moderator: Ladies and gentleman, please stay connected while the management rejoin.

Manoj Verma: Sorry for this inconvenience. So, the answer to your question is that yes our western snacks category will see a major shift in the next couple of years and that's the outcome of the kind of investment what we have done behind increasing our manufacturing capacity. So, currently, which is between 8% and 9% you will see in next couple of years would move up to between 11% and 12%. The rest of the categories if we see that sweets will see some upward movement Papad would more or less stay on the same. And as rest of the category grows, you will see that ethnic snacks will...

Moderator: Mr. Manoj Verma, we are unable to hear you again sir. Ladies and gentleman, we apologize for this. We request you to stay connected please.

Manoj Verma: Do I need to repeat the entire stuff?

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Saurabh Jain: You can start from where you are saying, you explained about the product mix that the western snack will go about to 11%, then the implication on the gross margin.

Manoj Verma: So, gross margin what we will do is we'll try and retain the current what gross margins we are delivering. This would come on the back of the logistics efficiencies which we will bring in. Also, the product mix what we are working on we'll keep improving upon this product mix. So, we will not let our gross margins go down on the cost of increased Western snacks. That's the plan that we have for us.

Saurabh Jain: So, for my understanding, Western Snacks is a lower gross margin business than ethnic snacks.

Manoj Verma: A couple of percentage points yes.

Saurabh Jain: Okay, thanks for that. My second question was on the PLI benefits. I was not able to understand it completely. You said that you received about Rs. 20 crores of PLI benefits in March last year FY23. But I'm not clearly on the same so if you can clarify that please.

Manoj Verma: So, it is like the payouts were starting last year. So, financial year 2023 onwards and it's a six-year payout plan. So, first payout of close to Rs. 20 crores we received in March 2023. What we did was we have not built in our P&L; we have kept it aside because there are two conditions for getting this PLI. So, the first is to deliver a 10% growth which we are much ahead of that.

Moderator: I am sorry Mr. Jain, we lost the connection again, please stay connected.

Manoj Verma: So, one is a 10% sales growth and the second is the investment. So, sales growth we are much ahead of what we have to deliver to qualify for this. On the investment part there's a commitment of Rs. 430 crores to be invested by FY24 of which the last leg is left. So, we are still doing that stuff. And all this should get over by end of this year. Once we complete the investment we will then be qualifying for that stuff.

Moderator: Mr. Jain, I am sorry but we have lost his connection again, I will request him to join by us

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his mobile, please stay connected. Mr. Verma, can you join from your mobile phone, because your connection is getting disconnected.

Manoj Verma: Okay, give me a second.

Moderator: Sure sir, gentleman, please stay connected while Mr. Verma rejoins.

Manoj Verma: Hello, am I audible now?

Moderator: Yes sir.

Manoj Verma: Okay, this should work better. My apologies for this poor network. So, there were two criteria. One is 10% growth basis 2021 numbers which we are much ahead of that growth. Second is the investment to be made which is Rs. 430 crores that's what we have committed to be done by

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FY24. So, there is a part left. So, that investment is on should get over by end of this year. And once we do this what in principle we'll take these allied as a part of our other profit. In this year you will see that we should be booking for what we got in March 2023 for last year.

Saurabh Jain: Just to summarize I wanted to know that in FY24 including the Rs. 20 crores of March 2023 what is the benefit you'll get of PLI?

Manoj Verma: So, in 2024 we'll get about Rs. +30 crores. So, it's a ballooning payout Rs. 261 crores over six years. That's how it is. The first installment was 20 then 30 then 35. So, this would be on an increasing scale.

Saurabh Jain: Then FY24 you will Rs. 20 + 30 crore that is Rs. 50 crores in terms of routing entry.

Manoj Verma: Exactly.

Saurabh Jain: That's very helpful. That's all from my side. Thank you.

Moderator: Thank you. We have a next question from Abneesh Roy from Nuvama. Please go ahead

Abneesh Roy: Am I audible? First, is on Bihar we are seeing a lot of companies which are having exposure there because of two back-to-back deficits in rainfall. There is a challenge in terms of demand. So, would you be worried because that's a key market for you.

Manoj Verma: So, see this is a natural calamity and Bihar that's a phenomenon every year if you look at this happens this time the magnitude is slightly higher. But in terms of worry I don't think this should be the cause of major worry because this is what the state has already worked about. Our growth also if you look at was damper to a certain extent against our plan but it is again getting back on track should not be a long-term challenge in that sense.

Abneesh Roy: Second is in FMCG categories where there is strong gross margin expansion leading to EBITDA margin expansion say soaps detergent coconut hair oil etc. we have seen companies pass on to customer plus that has led to inventory destocking also. So, could you tell us for other players regional players because your margins have expanded 600 bps 800 bps gross and EBITDA margins. So, could there be this risk going ahead? Because I don't think till now the risk has been there because your sales growth and volume growth are similar but do you think that risk can come in the coming quarters?

Manoj Verma: So, risk in the sense? Abneesh if you can be a little more specific.

Abneesh Roy: The price cuts. Price cuts because regional players operate in a band of margins and could this lead to some inventory destocking also if the price cut starts.

Manoj Verma: So, Abneesh, if you look historically, it has been there and will continue to be there in the categories where we play, they always be the local and regional place, the USP will.....

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Moderator: Mr. Abnessh Roy, please stay connected, we have lost the connection of Mr. Manoj Verma.

Abneesh Roy: Yes, I am connected.

Moderator: Yes, please stay connected. Thank you.

Rishabh Jain: So, Abneesh largely in this August month also we added some consumer offer. So, largely what we are looking at same price and volume growth. Largely volume growth will

I be higher

compared to price. That's what it looks like in this year.

Abneesh Roy: Okay, That's all from my side. Thank you.

Moderator: Thank you. We have a next question from Soham Samanta from Centrum Stock Broking. Please go ahead.

Shirish Pardeshi: Hi Manoj good afternoon Shirish., Thanks for the opportunity. Just two questions. At this point of time directionally most of the raw material has corrected but we see the pulses and cereals are elevated. So, I just wanted to know Rishabh what is the weighted inflation we are facing at this time? And I think somebody asked the question whether we have plans to drop. So, I just wanted to read your mind that this gross margin expansion I know you have said that A&P spends will go up but what is the gross margin or EBITDA margin if you can give us some indication on the band which you will try and manage for full year?

Rishabh Jain: So, largely in first quarter we had done gross margin of close 32% 32.8%. So, that's what we are targeting at a yearly level. We are targeting close to at the same level at a gross margin level at the yearly level. And from EBITDA perspective largely what we are running for is close to 12.5%-13% EBITDA at a yearly level.

Shirish Pardeshi: So, that is helpful Rishabh but if you can say what is the inflation which commodity inflation you're facing at this time?

Rishabh Jain: So, basically from commodity perspective we are looking at all agri commodity be it peanut be it moong dal or urad dal so largely few commodities which we are using we are seeing good inflation in this. But also, our packaging material is supporting. We are not into much larger inflation issue in this year.

Shirish Pardeshi: But the question is counterintuitive. Do you have pressure from the competition to drop the prices?

Manoj Verma: Not really. See we'll be watching the competition very closely and we will certainly be competitive because our aspiration is also to grow top line ahead of the category growth. But for now we haven't seen as much. And at least when I talk about the branded players regional and local players they keep mushrooming they keep coming and going which is what is a year-on-year or ongoing phenomenon? So, we haven't observed anything specific thus far.

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Shirish Pardeshi: Sure, that's helpful. Manoj. My second and last question on the acquisition of Bhujialalji. I need to understand I mean I'm sure you have to pardon me because I've joined little late and there are a lot of disturbance I could not hear. If I quickly read your mind is it because of the brand strength? Is it because of the channel? Or is it because of the customer? So, what is the rationale behind acquisition of this? And part two for that question do you have such aspirations to buy such brands going forward?

Manoj Verma: So, Shirish let me take your first question on this that why Bhujialalji or what is our plan? So, basically the strategy behind this acquisition is to have a second brand which in turn we can make it fight with regional local or be the national stuff as well. So, a second brand which could be a mass brand as well. So, if we have to do some discounting if we have to do some disruptive stuff so instead of tweaking Bikaji we can leverage on this brand. This is what the strategy which if you look at any Company or even the MNCs they also have a brand B. This is what is behind Bhujialalji. Otherwise it's a very small brand and would continue to be as small vis-à-vis Bikaji where it is.

To your second question that in our mind it is like it's not a strategy or a growth driving strategy. It is basically a defense tool which we will use it wherever we want to do that stuff.

Shirish Pardeshi: Okay, all the best and Thank you.

Moderator: Thank you. I would now like to hand the conference over to management for closing comments. Over to you sir.

Manoj Verma: So, thank you everyone for coming up and g

iving us the time. Hope we could answer most of

the questions. Just in case you feel we have missed out happy to take offline. Thanks once again.

Moderator: Ladies and gentlemen on behalf of Bikaji Foods International Limited that concludes today's session. Thank you for your participation. You may now exit the meeting.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Nov 2023

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Ref: BFIL/SEC/2023 -24/131 Date: November 12, 2023

To

Dept of Corporate Services The Listing Department

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and half year ended on September 30, 2023

Dear Sir / Madam,

We hereby inform you that in continuation to our letter bearing Ref. No. BFIL/SEC/2023 -24/121 dated October 31, 2023 and pursuant to the requirements of the Regulation 30 read with the Point 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("the Listing Regulations"), as amended from time to time, an Earnings Conference Call with the Investors and Analysts for the quarter and half year ended on September 30, 2023 was conducted on Tuesday, November 07, 2023. Please find enclosed herewith the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call will also be available on the website of the Company and the same can be accessed at www.bikaji.com. You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head - Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As above

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"Bikaji Foods International Limited Q 2 FY24 Earnings Conference Call Transcript"

November 07, 2023

MANAGEMENT : MR. RISHABH JAIN - CHIEF FINANCIAL OFFICER , BIKAJI
FOODS INTERNATIONAL LIMITED
MR. MANOJ VERMA - CHIEF OPERATING OFFICER , BIKAJI
FOODS INTERNATIONAL LIMITED

Moderator: Ladies and gentlemen, good day , and welcome to Q2 FY24 Earnings Conference Call of Bikaji Foods International Limited, hosted by S -Ancial Technologies Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vijay Gyanchandani from S-Ancial Technologies Private Limited. Thank you and over to you.

Vijay Gyanchandani: Thank you. Welcome to Bikaji Foods International Q2 FY24 Earnings Conference Call . From the management, we have Mr. Rishabh Jain, CFO, and Mr. Manoj Verma, COO. Now I request Mr. Rishabh Jain to take us through the key opening remarks. After that, we can open -up the floor for the Q&A session. Thank you and over to you, Sir.

Rishabh Jain: Thank you, Vijay. Thank you very much to all the investors , who have joined the call. Our presentation has been uploaded on our website and on BSE exchange. We are excited to share our Q2 FY24 results. So, we are seeing some tough challenges and slowdown in some first quarters. But overall, from our Bikaji standpoint, we have seen a good number from sales and volume perspective.

So, in Q2 FY24 , we delivered a 5.5% growth over last year's September quarter. But overall, if you see a category, Snackery points. So overall, from volume perspective, our volume and Snackery segment is above 17% which is highest in last many years.

Our EBITDA growth was close to 36% compared to the same quarter last year. And overall , our EBITDA margins stood at 14.4% , which is highest in last many quarters. This is the first year , where we crossed INR 1,000 crores top line in the first 6 months. This is the first year , where we crossed INR 100 Crores PAT in the first 6 months. This is the first year where we crossed INR 1,000 Crores net worth. So, this is a very special year for us.

Overall, from a PAT perspective, we crossed INR 100 Crores PAT in first 6 months. And this quarter, our PAT was close to 9.8%. Our gross margin was stable at close to 33% , which was the same largely in the first quarter. From H1 FY24 standpoint, our overall volume and revenue growth was close to 9.5%. Our EBITDA growth was 61.5%, close to INR 154 Crores . And overall, our gross margin was stable at 33%. From Snapshot perspective, overall, we have delivered the highest volume growth of 17% in salty snacks category. In the Sweets segment , of course , there has been a little bit shift from the Diwali perspective because last year, Diwali was in October, versus this year it is in November . So, there is a shift in sweets and gifting stock. But our salty snacks business is doing reasonably good job .

We have invested a lot in consumers. So basically, from our key products like Bhujia , Namkeen, we started Consumer offers , by giving 10% extra in our key consumer packs of 400 gms and 200 g ms. In H1 FY24, our family packs contribution was close to 57.6%. Overall, from distribution standpoint, we have added 46,000 outlets in Q2 FY24 . And Manoj Ji, will discuss it in detail in the coming slides. We also worked on a strong RTM plan in Rajasthan and UP. We

have added few depots in our core market and focus market like in Varanasi , Ghaziabad, Ahmedabad and Pune.

From ROCE and ROE perspective, so our ROE has increased to 20% in this quarter as analyzed based on ROCE 27%. Overall, we have recorded the highest ever EBITDA 14.4%. And we have started business expansion. We have started 1 subsidiary in the USA in last quarter. And we acquired a small company named 'Bhujia Lalji'. From a product category perspective, we are lar

gely into five key categories. One is Bhujia which is close to 33% of contribution . Namkeen which is close to 37% of contribution. Packaged sweets which is close to 12 %-15% of contribution depending on season to season. Papad is close to 4% of contribution. Restaurant snacks close to 6 %-7% of contribution.

Gifting is the key in Diwali season. So, basically, last year Diwali was in October , so major gifting was done in September month. In the second quarter, this year Diwali is in November. So major Diwali gift shop uptake will be done in the third quarter. Overall, from capacity standpoint, so our overall capacity stands close to 2.8 Lakh metric ton. Our two plants, one is Frozen and other one is Raipur CMU . So Frozen will start in this, mostly this month.

So, in next 40 -45 days, we will start the Frozen plant , which will be key for the export market. And our Raipur CMU is on target, and we will be starting it before March '24. Overall, from PLI

perspective also, we have committed close to INR 438 Crores of investment. And we are on track to deliver, to commit this number, and to invest in same capex within the same given timeline. From here on Manoj Ji, I request you to take the call.

Manoj Verma: Thanks Rishabh. Talking about distribution, if we look at, you know, last year we added about 100,000 outlets. And what we called out for ourselves was that direct reach, we will take it to 250,000 outlets. So, as we exit this Q2 FY24, we have added about 46,000 outlets in this quarter. And the number has moved up to 208,000 outlets as our direct reach. Now in an endeavor to set this distribution model strong, what we also did was that in this last quarter, we added four depots. These are at Ahmedabad, Pune and two in UP, which is Banaras, Varanasi and Ghaziabad. What we also did was that there is a shift that, these UP CFAs, what we added, are the professional, hard-core professionals one. I mean, who are CFAs for Britannia, in that line. This is the expansion that we have done.

This quarter has been, a little high on our media spend s/ ad spend s. We were there on air, we were there on radio, we were there on print media, while gifting was at the front. But we also shot few ads with Amitabh Bachchan in this quarter, and which are now up on air. So that's the investment that we made behind media.

Now for the first time, we went very aggressive in terms of consumer offers. This was both with respect to reward our loyal customers and also to recruit new customers, keeping in view the competitive pressures as well. So even on our core products or the flagship products, like Bikaneri Bhujia is what we gave now as consumer offers to the tune of 10% on certain SKUs. Talking on the financials, if we look at, so in Q2 FY24 overall volume growth was 5.1%. If we look at the revenue growth, it was at 5.5%. For ethnic snacks, revenue growth was at 10.0%.

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However, if we look at, you know, the volume growth of Ethnic and Western snacks together about 17.5%, which is the ever highest growth what we as organization has delivered and by far ahead of the category growth.

Papad witnessed a negative growth. This is on account of, you know extended monsoons and what we claim and what we take pride of is our handmade Papad. And this has challenges during monsoon time because you know, the drying doesn't get through and this becomes a supply issue from our side. The packaged sweets if we talk about, I think Rishabh has just touched upon. It's nothing but a, you know, shift from one month or one quarter to another quarter. So that's at a 12.6% de-growth. Now it appears to be on that stuff.

So overall, if we look at it from an H1 level, our volume growth was 10.5%. Revenue growth was 9.5%. Ethnic snacks were 12.7%. Again, you know if we look at overall basis, our volume growth on ethnic and western snacks was about 17.5%. P

packaged sweets were at negative 7.8%.

Western snacks I have already now clubbed with snackery. Papad was at minus 2.2% growth. Product mix, if you look at, what happens is that in Q2 FY24, there is a strong play of sweets. And, hence, the contribution of sweets becomes higher. However, if we compare over Q2 FY23, so in Q2 FY23 if we look at the sweets contribution to overall business was 20.7%, which this quarter was 17.1%. And again, this is a repeated statement of shift of Diwali from October to November, hence, this play. Rest overall, if we look at our by and large in line with where we were there last year.

Now coming on in terms of how we look at our business is core, focus and other markets. So, Q2 FY24, if we look at our core markets have delivered a growth of 6.3%. Focus markets, as we have been saying that will be a high index on growth, it is at 11.2%. Others is at 5.3% de-growth. Exports at 0.5%. I would wish to clarify, when we say others is at minus 5.3% growth, it is primarily on account of sweets and gifting. The sweets in itself contribute about 40% of business in other states. Because that's where we ride on the modern trade channel. And this quarter, if we look at, you know, when you look at channel-wise growth, so modern trade is one which has brought it down. And that is not actually a de-growth. This only is a shift from Q2 FY24 to Q3 FY24.

In H1 FY24, if we look at core states are at 10% growth, focus states at 13.5% growth, others at 1.1% and exports are close to 11% growth. Focus market contribution, so, if we look at now is 71% comes from, core markets, 14.1% from focus markets, 10.9% from others, and exports contribute to 4.0% to our overall business.

Region wise, if we look at, so, East is at 1.3% growth, North is at 9.6% growth, South market, where we have two focus markets, which is Telangana and Karnataka, has delivered a 13.4% growth and West is at 8.4% de-growth. And, you know, in fact, most of our states falls in others, you know, which are from West.

So in H1 FY24, if we look at East stands at 6.8% growth, North at 12.2% growth, South at 24.3% growth and West negative 3.7% growth. In this quarter, we look at impulse pack, which is INR 5 and INR 10 pack, has delivered close to 12% growth. However, family pack are at 1.3%

growth. Here, the growth looks low on family pack, again, it is on account of, because most of

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the entire sweets falls in family pack stuff. And that's at a negative 12.6% growth. So that's the factor. Rest are at 8.2% growth.

At our H1 level, if we look at our impulse packs are at 11.3% growth. And this is a testimony of that, how our expansion initiatives are working. Because small pack helps takes our distribution up. Family pack at 8.4% and Others at 13.2% growth.

Rishabh Jain: Yes. So, from overall revenue perspective, so our overall revenue has reached to close to INR 609 Crores in this quarter. And overall, it's close to INR 1,090 Crores. If you compare this to Q1 FY24, we've grown at 26%, And from EBITDA perspective, our EBITDA has grown by close to 33% compared to Q1 FY24. So, our EBITDA is close to INR 88 Crores and PAT is close to INR 60 Crores.

So, we are working on multiple efficiency programs across all, be it at logistic, be it at manufacturing costs. And we have saved a few percentage point across each level. And that has improved our overall EBITDA level. Overall, from RM perspective, so basically, our few edible oil, be it at few purchase, so all has been supported and cooled off in last two quarters. That has supported our margin. So, we had started our IPO journey in June last year where our gross margin was close to 24% and has been increased 33% in last 6 quarters.

Our EBITDA has been close to 7% -7.5% and has been increased to close to 14.4% in last 6 quarters. So, we are working in a way that o

verall cost efficiency and EBITDA improvement.

That's a core KPI of all our key functions.

From financial standpoint, for the first time we crossed INR 1,000 Crores net worth. Number two, so in Q2 FY24, our inventory are little bit on high side, it's regular. If you see our last year's September quarter also, that's on the same line s because we need to have inventory level at a big level because Diwali season is very nearby.

So, when we'll see a December quarter, again, it will reach to optimum level and same with the data, because we need to supply to few modern trade stores, and they normally do 25 to 30 days credit period. So normally, we'll see in this December quarter, it will become at optimum level.

That's from the presentation standpoint. We are happy to answer all the questions.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question, may press "*" and "1" on the touch-tone telephone, if you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets, while asking a question. Ladies and gentlemen, we will wait for a moment, while the questions queue assembled. We have our first question from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: Yes, thanks. Congrats on margins. My first question is on Western Snacks. So, you have given the 2025 vision. My question here is, this is a tough business given there is a large multinational player and there are a few Indian players also who are very strong. Here the issue is logistics cost is very high given the thing which is transported is air. That's the big thing inside the packs. So, that makes it very, very tough and very, very important to have very regional kind of manufacturing in every state, every key demand center. So here, once you scale this up, how do

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you see profitability in this part of the business and what's the current profitability and what is the right to win here because you are seen as an Indian snack. Why you want to scale it up to a bigger business because already intense players are there in this business?

Manoj Verma: Yes, Abneesh, I think what you said is absolutely right. That you cannot transport Western Snacks beyond certain kilometers because it starts giving diminishing returns and this perhaps was the reason that till about two years back, we were only doing Western snacks in Rajasthan or close by area that also to a limited volumes.

What we felt was that Western snacks category is larger is much bigger than what Indian ethnic snacks are. So, the choice what we had is either leave that space vacant or we do not go aggressive on that stuff yet have our presence.

By virtue of our expansion across country in all our factories which has come up in last two years across geographies and zones of the country we have built our capacity to produce Western snacks and along with our ethnic snacks.

So, that's the strategic investment what we made, and we will ensure, and we are trying, we are doing that these Western snacks would be supplied in the nearby areas only that's one. Second thing is that the perception what is there, and it is true to certain extent that Western snacks are not as much profitable is by virtue of one point you said that this eats into a lot of space and

hence it's not cost effective on logistics. Second, Western snacks is primarily an INR 5 and INR 10 category and these small pack have relatively lower gross margins. So, therefore, it gets hit from both sides. So, therefore, companies high on Western snacks or majorly on Western snacks would be struggling to deliver the EBITDA level what other companies or the companies who have high contribution of family pack or ethnic snacks. So, that's the reason and this is what we are doing about it. So, this is not eroding our overall

I margins which we are conscious of.

Abneesh Roy: So, two quick follow-up. One is you had a 32% gross margin this quarter. Will it be fair to say that Western snacks will be more in the 20 's in terms of gross margin? And second is which are the key states you are targeting for this or is it most of your key states currently?

Rishabh Jain: So, basically if you compare to overall ethnic snacks, ethnic snacks category, of course, the gross margin is around 26% to 28% and that's what the gross margin is for this snacks category. And from state perspective, so basically, so we came up with a plant in Assam and Bihar in last two years, all the core market. As well as in focus market s, we have a plant that came up in UP and in Southern market s. So, we are trying to cater to the state where we came up with a plant that's what our strategy.

Abneesh Roy: My second and last question is why ad spends went up given festival demand is essentially going to come in Q3 FY24 , your sales also was slow. So, is there any linkage with the slower growth? Because all FMCG companies are saying slowdown is definitely impacting in Q2 FY24 . So, if you could elaborate on the ad spends and where do you see in the second half in terms of the number?

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Second is, could you quantify what is your view on the festival impact? So, versus a 5% - 6% growth in Q2 FY24 , where do you see Q3 FY24 not a guidance, but generally understanding how the festival impact in your businesses?

Manoj Verma: So, I echo with what you said. And that's what is the sense we get to see and hear that the momentum what it was there in Q1 FY24 was not as much in Q2 FY24 and I think whatever results have been published or in public domain speaks loud about it.

For us, if you talk about now while we say that it's a 5.5% growth, I think it will not be – it's not an apple-to-apple comparison because in our categories or the set of categories, sweets play a very critical role. And this is what we happen to speak and touch upon in our last call s as well that there is a deferred Diwali this time. So, last year, it was in October. This year, it's in November. Diwali sales, if you look at now, starts in n-45 days, is the time when sweet s start loading. So, therefore, if you look at in Q2 FY24 , our Snackery growth.

So, volume growth is about 17.5%, which is ever-highest volume growth. So, I think it will not be fair to say that it has not been a good quarter for that stuff. It is only on account of , you know, sweets, which is at negative 12.6%. And you will see a complete turnaround in Q3 FY24 . To your question, how do we look at Q3 FY24 ? No, sorry, we will not be able to give you any guidance on that stuff.

However, we can certainly speak about that one month or one and a half months, which is just passed by or about to be. It's well on track. There's quite a momentum, positivity in the market space. Our categories, you know, which are dependent on Diwali, say which is sweet and gifting, has done very well for us thus far.

Abneesh Roy : So, one small follow-up. If Diwali impact or festival impact would not have been there, fair to say that the sweets growth would also have been in positive territory and broadly in the growth of say ethnic stacks. Could that have been a possibility?

Manoj Verma : 100% yes.

Abneesh Roy : Sir, thanks. That's all from me. Thank you.

Moderator: Thank you. We have our next question from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Thank you for the opportunity, Sir, and congrats on the good margins. My first question is with regards to the clarification, the audio was not clear. You said the ethnic snacks margin are 26% to 28% and what are the margins for the western snacks?

Rishabh Jain : Gaurav, ethnic snacks margin. So, I told you in western snacks margin is between the range of 26% to 28% , that's what I told compared to e

thnic snacks. Ethnic snacks have higher margin compared to western snacks.

Gaurav Jogani: So, you said festival packs are 26% to 28% margin?

Rishabh Jain : Western snacks.

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Gaurav Jogani: Western snacks 26% to 28%. Okay. Yes. And Sir, my next question is with regards to the distribution expansion you have taken, and you have also mentioned that, now you are moving from a model of sub-stockist to a direct reach. So, if you can explain some bit on how this is going to, you know, positively have an impact on our margins, what is the time to transition to this and the four depots that you have opened. So, something on that front if you can explain in a bit detail?

Manoj Verma: Yes, sure. So, I think the FMCG is about distribution only and it's a never-ending story. So, year-on-year, you will happen to hear from, FMCG players that the target is to increase, direct reach. Right? How it helps is that, you know, when you cover any outlet directly, your ability to sell what you want exists. Whereas, if it's through a wholesale model or it's through just, indirect distribution, then your products would move which all are pull SKUs. And for any company, they're not 100% products which are pull products. There's always a tail, which you have to push it. So, that's the reason, you know that direct coverage is important for FMCG business to have fundamentals and forward building right. Talking on this CFA model, it's not about to not to have sub-distributor. It's about reducing our dependence from direct dispatches which we were doing it, or we still are doing it from our Bikaner's factory. So, this becomes mother depots. And this would help us improve our fill rates, fast service to the distributors in that respective area. Eventually, what we'll do is, that this will bring in some savings wherein we can rid off certain super stockists. However, this does not mean that super stockist model will not exist. But super stockists thereafter will be for smaller towns, rural penetration and all.

Gaurav Jogani: Sure. So, if I understand it right, under this new CFA model, earlier you were doing direct dispatches from your factory. Now, under this, you will now be giving it to the CFA agent and then the CFA agent will then be giving it out further to the distribution chain. Is that understanding right?

Manoj Verma: Absolutely right. So, I'll just give illustrate this with some examples. So, let's say, I have and I'm just putting some hypothetical stuff. So, let's say, there's a distributor in, say, Ghaziabad, Agra, I'm talking, say, Western UP for now. Right. So, from factory, full truckload goes, which is say, costing about INR 15 Lakhs.

Now, if he does not need INR 15 Lakh of stocks and he's running out of, say, a few products, then, you know, either he's getting overstocked for products, he doesn't need. So, that again is not good for us and for him. Or he's running out of those stocks. So, now, this mother depot will help us even do part shipments, small shipments to go. It can easily be transported quickly.

Gaurav Jogani: Got it. And when we are shifting from this CFA model from the sub-stockist models, is there any part of a change in the margins for the sub-stockist or for you? And how does it create more efficiencies in terms of margins?

Manoj Verma: So, nothing changes for front-end set of people, be it retailer, be it distributor or sub-distributor or super stockist. Right? What helps us do better is that you know eventually, we'll rid off, you say, let's say, for any urban town or a large town, currently, it is getting routed through super stockist wherein we are parting 3% to 5%. These towns will then be direct distributor. And that's

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the saving which will come back to us and fund for whatever we are spending on the CFA stuff. Also, I would want to, table it, that CFA what we are doing is nothing new or out of the box

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mean, that's the industry practice and companies have been doing it for many decades now.

Gaurav Jogani: Sure. Got it. My second question is with regards to you know, the margins that you're seeing, the gross-margin expansion. You know, there is definitely an element of the correction in the RM prices, especially the edible oil thing. But, you know, now with the edible oil prices bottoming out, how do you see the model going ahead? And then how do we see the margins in the future quarters given, you're also passing on some prices to the consumers?

Rishabh Jain : Yes Gaurav, so basically, from gross-margin perspective in the last two quarters, the gross-margin is stable at 33%. So, we want to be about 32%. That's what is our internal target. And we'll be passing on the prices once it increases. But looking at next two quarters, at least, we are not seeing any increase in price in edible oil. It's largely looking stable. From key commodity perspective, of course, we are looking some upward in few commodity, but it will be largely on track, and we will be not seeing any major variation in key commodity in gross margin.

Gaurav Jogani: Okay. And Sir, just last one book-keeping question. The tax rate for the quarter is a bit lower at around 20% or so. What is this because of and how are we looking to, what would be the tax rate guidance for the entire FY '24?

Rishabh Jain : So, tax guidance will always be 25%. So, tax for us will be 25%. But, yes, this year, there is some ESOP vesting right? So, there is deferred tax accounting which has just been done. And so, that's why it's looking at 23%, but yes, our tax rate will be 25% from next year.

Gaurav Jogani: So, what would be the tax rate guidance for FY '24 in that case?

Rishabh Jain : For FY '24, it will be close to 23% -23.5%.

Gaurav Jogani: 23% to 23.5%. Okay. Thank you and that's all from my side.

Rishabh Jain : Thank you.

Moderator: Thank you. A reminder to participants to press "*" and "1" to ask a question. We have a next question from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki: Hi, Sir. On your ethnic snacks, your volume growth is 17%, your value growth is 10%. So, just wanted to understand such a huge gap between volume, value, what is the reason, and will this continue for the next few quarters as well?

Rishabh Jain: So, Percy, basically, we started consumer pack in last quarter, right? So, in key commodities like Bhujia, Bhujia number one, which is contributing close to 33% overall top line. And so, in two SKUs, which is 400 gm s and 200 gm s, we have started consumer packing. If you see Namkeens, like, which is a big share in our overall Namkeen segment , so, we started consumer pack. So, that's why your volume is fixed and value is looking at downward of 5%- 6% gap is there. But yes, overall, that's the opportunity for us that at any point of time, if prices of raw

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material increases, it's easy for us to withdraw consumer pack and again, regain our margin.

That's what we want to do.

Percy Panthaki: So, if I just understand correctly, what you're saying is that you have launched smaller pack sizes and the rupees per kilo of the smaller pack sizes is lower than the larger pack and that is what is causing this? Am I right in understanding that?

Rishabh Jain: No, no. So, basically, I'll give you an example. Like, we have launched, previously, we have launched, we have 400 gram. Now, we have launched 440 gram, 10% extra in consumer pack, same with the 200 gram case.

Percy Panthaki: Okay, so extra volume. Okay.

Rishabh Jain: Yes.

Percy Panthaki: So, is this mainly to pass on the input cost benefit or is there some other reason?

Rishabh Jain: So, there are two perspectives, firstly to increase the loyal customers because ultimately, we want to gain new customers and ensure that our existing customers gain from us. And secondly ,

of course, to looking at competition. We want to, because , we, in Bhujia, we are leader in this segment , so we want to increase the consumption and that's what our target is.

Percy Panthaki: Okay, but given that your margins have not been affected, I am assuming that whatever you have passed on, you have gained a similar amount in input cost deflation, right?

Rishabh Jain: Yes. So, in last two quarters, we have seen reasonable cool -off in edible oil prices, which is supported and there's a few efficiency programs which we ran, and it's given a good result for us.

Percy Panthaki: Understood. And this volume, value gap of 6%, 7% will continue for next three quarters till it anniversaries ?

Rishabh Jain: Percy, we cannot say much, but yes. So, largely, if any key commodity, if we see rise in any key commodity, so of course, we will withdraw that offer, but yes, in next, at least for next two quarters, there will not be much difference.

Percy Panthaki: So, assuming that input cost stays where it is, then the pricing will also stay and this gap will continue for three more quarters till it anniversaries , is that correct?

Rishabh Jain: Yes.

Percy Panthaki: Okay, understood. Second question is, on sweets, we understand the seasonality impact of Q2 FY24 , Q3 FY24 , the festive season changing, etc. But , apart from sweets, in the snacks business itself, is there any such seasonality impact?

Rishabh Jain: So, there is little bit seasonality impact because during Diwali season, bigger pack s sales come, it's little speed up compared to impulse pack s. So, like , in this quarter, family pack sales will be much higher in this quarter. So, but yes, there won't be much variation in salty snacks segment .

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Largely in sweets and papad, these two categories, will have a little bit of seasonality impact, but salty snacks largely in line with the grocery , there is not much difference.

Percy Panthaki: Okay. So, Sir, the reason I am asking this is, see, if I basically remove the sweets impact, so let's say instead of de -growing 12%, let us say, hypothetically, if the sweets had also grown by around 10%, this quarter, then your overall sales growth would still have been around 9% only for this quarter. So, that is still much below what we are targeting, which is a mid -teens kind of number, right?

Manoj Verma: No, so see, if you look at the nature of two categories, you know, which is bringing it down this overall number, one of course is sweets, which as we explained, is on account of Diwali. Second

is, which is also a large player is, you know, we call it as our Other stuff. This is our gifting business, which is huge. We do about INR 25 Crores of gifting, as well, you know, between these quarters. So, these two are purely on account of Diwali.

What has not done as well is the papad category as well. I am sure you would have seen, you know, in our presentation what we have uploaded. The reason for papad's poor performance has been, you know, early monsoons and then extended monsoons. Ours handmade papads and you do not get the papad dried up -and therefore, you know, each supply becomes a huge, huge issue. We cannot meet demand. So, that is what has been the reason that for these low performance on these categories.

Other than that, if you look at the rest of the categories, the volume guidance what we gave would be in tune of about 15% -17%. This is well on track for what we said.

Percy Panthaki: Understood. And last question, if I may be permitted, in a situation where input costs are stable, what kind of EBITDA margin would you target, let's say, three years down the line? You have already reached around 14.5%. You are getting some PLI benefit, which has aided, also may be some point of time, some part of this PLI benefit gets passed on because of competition, etc. So, do you think there is still sort of drivers to take the ma

rgin up from this level over a three -year

horizon or do you think that you would be satisfied with this level of margin?

Rishabh Jain: No. So, basically, we want to work on two things. Basically, of course, top -line growth is paramount for us. It is important because currently we have 70% sales come from three states.

It is a big opportunity for us. When we look at all the other states, we are in a very limited way.

So, it is a big opportunity. We want to target the growth also. But, yes, overall, from a bottom -

line perspective, basically, you will see, currently, we are using close to 40% to 50%

capitalization . And two more plants are coming up in the next 3-4 months. So, of course, there

is a fixed cost which is sitting in our books. So, once we start utilizing this capacity at 70%,

80%, there will be operational efficiency which will start building. And we want to be 80% plus.

So, from this, we want to save at least 0.5 to 0.75 basis point from using capitalization

operational efficiency. That's our target.

And from next three year, basically, our revenue will also increase, our purchasing efficiency

will increase. So, of course, we want to build close to 0.5% EBITDA improvement year -on-year.

That's what our internal target is.

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Percy Panthaki: Okay. Understood. So, 50 basis points is the final flow -through in the P&L after reinvesting whatever you want into the growth, etc.?

Rishabh Jain: That's what our internal target is. It depends. It's just managing competition. But, yes, that's it our target here.

Percy Panthaki: Sure, sure. Very helpful. That's all from me. Thanks, and all the best.

Rishabh Jain: Thank you.

Moderator: Thank you. Before we'll take the next question, we would like to remind the participants to press "*" and "1" to ask a question. We'll take our next question from the line of Shirish Pardeshi from

Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi, Manoj, Rishabh Sir. Good afternoon.

Manoj Verma : Good afternoon, Shirish .

Rishabh Jain: Good afternoon.

Shirish Pardeshi: Yes. A couple of questions. The history tells that whenever there is a benign raw material, especially, the commodity like of wheat flour, pulses, and edible oil, which is falling, we see a lot of mushrooming of local competition. So, could you spend a minute or two, because when I look at the regional performance, I was expecting that Western should recover, but Western has declined almost 8.4%, while South, which is not a high snacking market, has shown a growth of 13.4%.

Obviously, there will be some distribution benefits you would have gained. But could you talk something about is the competition angle is also holding the snacking? Because some of the snacking companies are highlighting the local competition is beating them or regional competition is also mushroomed very quickly?

Manoj Verma: I think, you're absolutely right and the feedback what we get to see and hear is very, very true. You know, during COVID times, what happened was that these regional and local players got very badly impacted and there's a lot of shut shops kind of a thing which happened. Then, you know, Up till beginning of Q1 FY23, wherein the inflation was at the peak, these companies could not survive.

However, if you look at the last four quarters, things are picking up and that's where is the kind of pressure from local and regional players is there. But not to the tune of how it looks like or how it would impact us as adversely because it's a huge, huge category. And we even today are a very, very small player in terms of the opportunity what we see for ourselves. And this I'm

talking more with respect to the south market, you said, wherein growth is high, but we hardly ever show are in those markets.

Shirish Pardeshi: Okay. Similarly, could you spend some time explaining what is it that export, because export has stagnated around INR 24 - 25 Crores in this quarter. So, is there any growth lever which we

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can expect in second half or is there any specific on ground changes you guys are doing or how should we look at the growth for international?

Manoj Verma: I think, see Shirish, we have been talking in the past as well that exports we see is a huge growth opportunity, right? We have been investing, so, we are on to it. What has been holding thus far is our capacity to supply what exports market need. And this is the frozen part. If we look at, you know, about 40% of our business, export business depends on our frozen products and which we were not, we even today we don't manufacture ourselves, we get it outsourced. And we were always, constrained on supplies when the demand and all that stuff comes in.

Coming December, which is next month, is when our frozen factory is getting commissioned and that will unleash our you know export opportunities. It will not be fair to say next six months, but I think the right timeframe would be next four quarters or next one year. And you'll see a substantial difference, you know or a growth driver and this exports market will be for us. Now, in this journey, what we did in this last quarter, and Rishabh spoke about in this field as well, is that we have opened our office in US, which is where the highest Indian diaspora or these consumers stay.

So as to get best out of it, we thought of having our office and this will help us do much better in these markets. But I think it will take some time, Shirish, as we said, that we have to be ready with back-end supplies to support demand and be competitive in these markets.

Shirish Pardeshi: That's helpful, Manoj. My second and last question is on the gifting packs. Though you have given some numbers, I'm specifically asking, during the festive seasons, starting from Durga Puja in Calcutta or maybe Diwali across the nation. What that 45 days period brings the contribution for the gifting part of the business? Will it be substantially 50% or will be lower than 50%? Because you've spoken a lot about it?

Manoj Verma: Shirish, can you be a little, what percentage? I mean, say again.

Shirish Pardeshi: I'm saying that gifting part of the business, which picks up, especially for the sweets?

Manoj Verma: Now, Ok. Ok.

Shirish Pardeshi: In the 45 days period, what kind of quantum, in terms of quantitatively, if you can say that what contribution comes from gifting part of the business?

Manoj Verma: So, you know, these Diwali gifting or what we say seasonality. So, this has two elements. One is sweets. So, sweets in itself, which is say soan papdi, rasgulla, gulab jamun, then kaju, some premium stuff. So that's one – sweets. And the second is gifting. This is nothing but, you know, gift boxes, which contains, a set of different products inside it. And what we call gifting. And we have various designs, different price points, in the tune of about 10 to 11 numbers. Now, if you look at if your question is that what is the contribution of just gifting boxes to overall gifting sweets and this put together, it's 25%.

Shirish Pardeshi: So, you're indexing sweets as 100 and of that 25% is gifting.

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Manoj Verma: Yes, so this is I'm talking incremental, otherwise, sweets is round the year business gifting is only in this period of Diwali and Dussehra.

Shirish Pardeshi: Okay. And for full year, with the year which has gone by, what would be the gifting part of the business for FY '23?

Manoj Verma: 1%

Shirish Pardeshi: 1%!

Manoj Verma: Yes. As I said, it's about INR 25 Crores. So almost about 1%.

Shirish Pardeshi: Alright, so, that means this year you're expecting a very strong growth and that's what Rishabh was alluding saying that now you have inventory in your control. So, that can expect a higher momentum in Q3 FY24.

Manoj Verma:

No, inventory. Sorry, Shirish I couldn't connect this with inventory.

Shirish Pardeshi: No, Rishabh in the beginning said that because of the Diwali festival, our inventory levels have gone up. So, I would assume that we have enough inventory to cater this festive season?

Manoj Verma: Yes, of course. That's the mindful and thoughtful inventory buildup. So, as to cater these, because what happens is that all demand comes up just, you know, n-15. That's when a retailer wants to get stocks on his shelf, you know even there's a stock constraint in a distributor place

also, irrespective of during Diwali, they hire additional space and additional depots for them. But the offtake of velocity of sales is Shirish so high that they cannot hold these stock and that's why we have to build it at our factory, at our depots and all.

Shirish Pardeshi: Wonderful. I hope you will break the records historically.

Manoj Verma: Thanks Shirish.

Shirish Pardeshi: All the best.

Moderator: Thank you. We have our next question from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki: Hi, Sir. If you can just give some more granularity on your focus markets in terms of which are the within the 6 what is the Pareto like I'm sure two or three of them will probably account for a very large part of your sales. What is the market share in those geographies? And overall, out of your 2.5 Lakh direct distribution, what is the split between focus states and core states and how do you plan to grow it ahead?

And finally, culmination of all this, focus states growth rate would be what percentage, what basis points higher than the core states in your view? So, sorry, many parts to this question, but just this one question?

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Manoj Verma: No, no, thanks for this question and I think it's a very, very important question and a part of our core strategy as well because beyond the point growing in our core states where we enjoy in the mid 40s kind of a market share will be difficult to hold and take it beyond. So, hence is the major role of focus market. What we've identified focus markets for ourselves are four from North India, two from South India and these six markets in itself is about 41% of category business. So, that's where is the area where to play, we have identified for ourselves. To your question, that which are you know, the Pareto states among these focus states that we look at. So, UP in itself is big enough. So, UP versus we put all together is almost the same number. So, that's the right kind of opportunity.

And with this opportunity comes a lot of complexities as well because there are you know, monster brands sitting which we have to take head on. Our inroads thus far has been very, very, you know, encouraging, promising. We were able to get into these markets in terms of our expansion, what we have done. To your question, you are asking that no the coverage, how is that we are looking at it. See, in core markets, our brand is very strong. So, hence, there is a huge wholesale pull as well.

So, our direct reach does not matter as much, though it is icing on the cake. But it is not dependent only on the direct reach. However, when we speak about focus states, there the brand recall is not as much. So, therefore, it is only when our salesman visit the store, he talk about the Bikaji story, talk about something with Amitabh Bachchan ads and all. So, that is a reminder that is what recalls, create the brand recall and able to make a successful or a productive call to place our products. So, therefore, our efforts on increasing direct reach in focus state is by far high.

Putting, quantifying on numbers, if we look at, so we have reached by end of this last quarter, 208,000 outlets, of which 107,000 outlets are in focus states that we are covering. Hope I answered this question on the coverage reach you know, you were talking about.

Percy

Panthaki: Yes, very helpful and in terms of your targets?

Manoj Verma: So, in terms of growth target, these focus states will be at 1.4 to 1.5 index growth to a core states.

Percy Panthaki: Understood . That is very helpful. Yes, that is all from my side.

Manoj Verma: Thank you.

Moderator: Thank you. Ladies and gentleman, to ask a question, please press "*" and "1" on your phone now. As there are no further questions, I would now like to hand the conference over to management for closing comments. Over to you, Sir.

Manoj Verma: With this, thank you so much, the investors. Now, you took out time for this call. Hope we were able to answer the questions and our presentation was good enough to give clarity. Our endeavor has been to keep it very transparent, give it , as many as much details what we can we have tried to do.

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Howsoever, if you feel any question has been left unanswered or you could not ask in this call, please feel free to reach out to our team and we'll be happy to revert back. With this, wishing you all and your families a very, very Happy Diwali. Thank you very much.

Moderator: Thank you, Sir. On behalf of S-Ancial Technologies Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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Ref: BFIL/SEC/202 3-24/155 Date: February 0 9, 2024

To,
Dept of Corporate Services
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Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001 (Maharashtra)
Scrip Code: 543653 The Listing Department
National Stock Exchange of India L td.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai 400 051 (Maharashtra)
Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and nine months ended on December 31, 2023

Dear Sir / Madam,

We hereby inform you that in continuation to our letter bearing Ref. No. BFIL/SEC/2023 -24/145 dated January 27, 2024 and pursuant to the requirements of the Regulation 30 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("the Listing Regulations"), as amended from time to time, an Earnings Conference Call with the Investors and Analysts to discuss Un -Audited Standalone and Consolidated Financial Results for the quarter and nine months ended on December 31, 2023 was conducted on Monday, February 05, 2024. Please find enclosed herewith the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call will also be available on the website of the Company and the same can be accessed at www.bikaji.com .

You are kindly requested to take the same on record.

Thanking you

Yours faithfully,
For Bikaji Foods International Limited

Rahul Joshi
Head - Legal and Company Secretary
Membership No.: ACS 33135

Enclosure: As above

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"Bikaji Foods International Limited
Q3 FY24 Earnings Conference Call "
February 05, 202 4

MANAGEMENT : MR. RISHABH JAIN - CHIEF FINANCIAL OFFICER ,
BIKAJI FOODS INTERNATIONAL LIMITED
MR. MANOJ VERMA – CHIEF OPERATING OFFICER ,
BIKAJI FOODS INTERNATIONAL LIMITED

MODERATOR : MR. VIJAY GYANCHANDANI , S-ANCIAL TECHNOLOGIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to B ikaji Foods International Limited Q3 FY24 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Vijay G yanchandani from S-Ancial Technologies. Thank you and over to you, sir.

Vijay Gyanchandani: Thank you. Welcome to Bikaji Foods International Q3 FY24 earnings conference call. From the management, we have Mr. Rishabh Jain , CFO, and Mr. Manoj Verma, CEO.

Now I request Mr. Rishabh Jain to take us through the key opening remarks. After that, we can open up the floor for Q&A session. Thank you and over to you, sir.

Rishabh Jain: Thank you very much . On behalf of Bikaji Foods , I'd like to thank all the investors. From the deck perspective, we are seeing a very strong quarter in our third quarter. From a revenue perspective, w e grew at 23% overall and v alue growth of close to 30% volume growth.

The main key point is that in the Ethnic Snacks, which is a core category, we grew at a 22.18% volume growth. That's the first time in the last many years we've been growing at volume growth at such level s and seen such strong growth across all core markets and focus markets .

In the Sweets category , of course, it was a shift of quarters . Last year Diwali sales were higher in the second quarter and this year in the third quarter. So , sweets overall grew at much upward of close to 80% Y -o-Y over last year.

But overall, the volume growth was close to 30%. From EBITDA perspective, we grew at close to 36% and EBITDA was INR 75 crore s. Compared to last quarter, in this quarter we've seen some dip in gross margin . The gross margin in this quarter was close to 31.5% versus last quarter where it was close to 32. 9%. So, there were two to three reasons basically, which I want to highlight. One of course was as the third quarter normally is the end of key seasons and the starting of a new season of key crops , a few commodit ies like m oth pulses, chana dal, and peanuts. So normally in November and December, new crop comes in from mid November to December and old crop is ending. So basically, we've seen some price rises in few raw materials like chana dal, which is a core commodity and during Diwali, some major usage in all key son papdi and namkeen.

So we've seen a rise in that commodity, which has impacted gross margin and overall. So in the third quarter, normally we see this type of price rise and in the fourth quarter , as the new crops come in, the price becomes stable. The overall year ly target of gross margin was close to 32% and we'll be on track with the yearly gross margin target.

From PA T perspective, it's close to INR 46 crores . PAT and overall at a YTD level, P AT was close to INR 147 crores till December quarter. So from 9 months number, we are close to 14% growth compared to last quarter and close to 17% volume growth, where ethnic snacks is growing at close to 19%.

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Our EBIT DA is growing at close to 52% and we have touched EBIT DA of close to INR 229 crores, cross ed last year 's EBIT DA number in this quarter. Our P AT is close to INR 147 crores . From key snapshot point of view, we delivered highest volume growth, as spoken about, close to 29.5% volume growth. From brand perspective, so we have renewed our Amitabh Bachchan contract for next two years in mid -October, also shot close to 12 new ad films, wh ich has started in TV and radio.

From family pack perspective, of course, this quarter 3 is big on sweets and gifting , it comes in family pack s. The overall family pack contributio

n is close to 59.1%. From distribution

perspective, so distribution is a core and that's where we are focusing on as of now. So as of now, we have touched close to 2.3 lakh outlets directly and added close to 23,000 outlets. And in next two years, our target is to be at least close to 3.5 lakh outlet. That's the target we are taking on.

From export perspective, as we have started our subsidiary in USA in last quarter. We also expanded direct distributor footprint in UAE. This quarter, our frozen capacity is started, frozen plant commercial production is started in November and in next two quarters, there will be a lot of new R&Ds, new product development in this quarter. In next two quarters, we will be close with all the capabilities and we have hired good talent in R&D in our frozen capacity. In the next two quarters, we are majorly focusing on fixing a few products in the frozen segment. From ROE, ROC E perspective, so our ROE is 20% and ROC E 27%.

Currently, we are at overall utilization level, we are close to 47%-48% in different category. But we have a target to use take this capacity to 75%-80% in the coming years. And once we use this, our ROE and ROC E will increase at a reasonably good level.

In this quarter, our Hanuman Foods, which is a 100% subsidiary, has got merged. We got approvals from NCLT and got merged. This will bring in a lot of efficiency in duplication of work and this will improve our overall efficiency.

From reward recognition perspective, Bikaji has been awarded 'Supply Chain Leader Award' in F&B category from ISC M. We are into six key product category, one is Bhujia. We are core in Bhujia. Namkeen, Packet Sweet s, Papad, Western Snacks and other snacks. Other snacks include lot of other different category be it gifting, maida items, cookies, frozen segment, so that's a key category we are in.

From key capacity perspective, so basically we have close to 2.88 lakh metric ton capacity. Our overall utilization is between 46% to 48%. That's where it started last year with 40%, 42%, taken it to 47%, 48%. So in last 2.5-3 years, our major investments in capex have been done. Of course, this was mainly due to PLI. We got good PLI benefit from Government of India close to INR 261 crores rupees subsidy we have got. And we will get it over the next six years. And that's how we will increase the capacity in a core market, be it Assam, Rajasthan and Bihar and in focus market, all key focus market, be it UP or in southern part of India.

Frozen plant came into commercial production. Raipur plant will come in March 2024, so this will cover central part of India. So largely, this capacity will suffice for the next 2-3 years of

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growth. We have increased capacity majorly in Namkeen and Western Snacks category.

Namkeen is showing good amount of growth in our overall ethnic snacks category. Over to Manoj ji.

Manoj Verma: Yes, thanks, Rishabh. Talking in terms of distribution and when I say distribution it is about direct reach. So in December end we touched or reached a direct coverage of 2.31 lakh outlets directly. And the target for us, what we have, which was 2.5 lakh by end of this financial year, the team is well on track to deliver those numbers.

Also to strengthen our distribution, what we did was we opened few new CFA's in last quarter, quarter two, that is the two CFA's which came up in UP. This was in Ghaziabad and also in Varanasi. Now what we are doing is we are also coming up now with CF A's at Raipur and Delhi. So these two new more CFA's will be coming up to help and support our direct service.

Talking on the marketing front, so quarter three was very busy quarter for us in terms of marketing activities and initiatives. We were heavily on air and they were likely so because that's a very high quarter for gifting and for sweets business. So there were a lot of campaigns which were there.

As Rishabh spoke about, we have already extended Amitabh Bachchan's contract as our brand ambassador for next two more years. We also have shot few more new films which are more category focused rather than being generic. We also sponsored the 'Pro Kabaddi League'. We are the co-sponsor there. We were there on KBC which is one of the most viewed channel if we look at. On NDTV we talk about those who were the marketing ATL spends what we did. Not only ATL, we heavily invested behind our BTL marketing activities across both core and focus states. And these activities involved say bus printing, dealer boards, arcs in the store, in-store activation. We were also heavy on social media. So Instagram if we look at, so there's an upswing of 33.8% in our Instagram users. On the gift packs and sweets, there was a huge range of what we did in this quarter 3.

Not only did we stay at domestic marketing, we did spend on our overseas marketing expenses as well. So to name a few, we sponsored 'Badshah's' Live program which was in London and Bikaji was the sponsor there. We got a very good huge response there. The kind of response is what we got.

Other than that, in the other part of the globe, we did on-ground activation by even sponsoring

and sampling opportunities during the festival season. I would want to harp on once again that this is also part of one of our PLI incentive what we have bagged . This is about getting INR 23 crores back as incentive from government on a committed investment of INR 46 crores on media in the overseas market.

Talking on the business performance, so while this will be repetitive, I'll quickly run you through again. So quarter 3, we talk about overall volume growth, 29.5% YoY . Revenue growth, if we look at, is 22.9% YoY quarter 3. Ethnic snacks is 15.4% revenue growth. Packet sweets has witnessed a whooping growth of 82.8%. Western Snacks is 9.9% and papad has grown at 8.8%.

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Quickly giving you an overview on YTD achievement. So YTD volume growth is 16.7%.

Revenue growth is 14% , Ethnic snacks has grown at 13.6% , Packet sweets at 18.7% , Western Snacks has delivered a 12.4% growth and papad at a 2.1% value growth. Product mix, if you look at now, Q3FY24 versus Q3FY23 , the only change, major change what comes up is sweets contribution in this Q3FY 24 is 18%, wherein it was 12% in Q3FY23 . This is again, the reflection of a delayed Diwali this year, so therefore quarter three was heavy on sweets.

Risk, more or less, the share of business across categories stays the same. If we look at now on a YTD basis, the share of business by category, it's mirroring and well on track. So snacks is at 68.3%, whereas last year it was 68.6%. Sweets this year is 14.8% on a YTD basis, last year it was 14.2%. Western snacks is 8.1% this year, and it was 8.2% last year. Talking on papad, last year it was 5.9%, wherein this year it is at 5.3%. And the rest others is 3.5% this year, last year it was 3%. So more or less the same. Briefly taking you through the performance of our markets, which is core, focus and others. So core markets in quarter three has delivered a revenue growth of 11.5%. Focus market delivered a growth of 42.1%. And the other market has delivered a growth of 68% . Exports grew at 82.2%. So I would want to bring to the notice of audience that the focus in other markets looks very high on a quarter basis growth, this again is because of heavy sweets and gifting, wherein the contribution of gifting and sweets is very high in the focus in other markets. So it will be more relevant to look at on a Y TD basis.

So on a Y TD basis, core markets is at 10.5% value growth, focus market at 22.7% growth, and others markets are at 24.1% growth. On a Y TD basis, exports has delivered a growth of 28.6%. Our contribution from core and other markets that we look at, so Q3FY2 4, core markets contribute to 67.5%, wherein in Q3FY23 it was 74

.4%. Our focus market contributes to 15% in

Q3FY24, whereas it was 12.9% in Q3FY23 . Other markets contribute 13.9%, wherein Q3FY23 it was 10.2%. Exports at 3.6%, wherein last year it was at 2 .4% Y oY. On a Y TD basis, if we look at focus markets , they are at 70.6% contribution, against 73% of last year. Focus market is at 14.7% against 13.7% last year. Other markets is at 10.9% versus 10% last year. And exports is at 3.7% against 3.3% last year.

Quickly giving you a glimpse on East, West, North, South zone wise deliveries. So in Q3FY24 , East market has grown at 12.4%, North at 21.1%, South at 73.7%, and West at 52.8%. Again, this is a reflection of heavy gifting and sweet s contribution in Southern and Western markets, most of them falls in our other focus markets.

Looking at our Y TD performance by zone, so East is at 8.8%, North at 15.1%, South at 39.3%, and West is at 16.3% growth. Looking at the mix of family pack s and impulse pack s, so in Q3FY24 family pack has contributed to 61.7%, vis -a-vis 58.6% last year. This is more of quarter three phenomena.

It's more relevant to look at on a YTD basis, family pack contributes to 59.1%, which last year YTD was 58.4%.

Rishabh Jain: So from overall financial perspective, revenue is around close to INR 624 crore s, growing at 22.9%, and 9MFY24 is close to INR 1,715 crore s. So from EBITDA perspective, so overall EBITDA was 12%, this was basically because of two reasons. So one, of course, gross margin,

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so compared to overall, then we see last year it has improved, but last quarter it has decreased close to 1.4% due to non -favourable prices of key pulses, like chana dal and other key spices. And also our ad cost, basically when you see EBITDA, our ad cost has increased. So normally our overall year budget of ad cost is close to 2%, but in quarter three , we have spent close to 3% ad spend. So normally our 70 %-72% ad spend is in second and third quarter, which is more of festive season, compared to first and fourth quarter.

So that's how our overall ad spend near Diwali season is on a very higher side. All the campaign, with KBC and everything is invested during Diwali season. So basically, that's how we are planning in ad spend. So overall, from year perspective, our target is to be above 13% EBITDA,

and overall above 32% gross margin. And we are on track on this.

So these are few key raw material impact, their key raw material, be it edible oil, be it mo th pulses. These are few raw material which has impacted us. From PLI perspective, we are largely on track. Our overall, we are committed close to INR 451 crores of investment. And we are on track until December. We have largely completed our investment target. And filing work is going on.

So this year, hopefully we will take all three year PLI income of FY22, '23 and '24. Once we complete overall PLI target of investment. Number two, that target was the key thing was sales. Because we have to grow a minimum 10% of sales growth. We are on track for this. And we are way ahead of sales target what we are committed to the Government of India.

So that's how, from PLI perspective, we are on track from investment perspective. Raipur capacity is to be built in, which we are on track. And by March 1st week, we'll do commercial production. We are targeting the same before 15th of March. From financial performance perspective, that's overall.

And we are happy to answer all your queries and take questions, Yes.

Moderator: Thank you very much. We'll now begin the question -and-answer session. The first question is from the line of Abneesh Roy , from Nuvama Institutional Equities . Please go ahead.

Abneesh Roy : Yes, congrats on a good set of numbers. My first question is on 9-months, given quarterly numbers will be volatile based on the festivals. So if I see your 9-month region -wise performance, Eastern India is much slower than the re

st of the three regions, growing at 9%

versus the rest of the region growing at 15% to 39%. Even in Q3, Eastern region is the slowest. So my question is, is this because of El Nino impacting Eastern region more, or is it because of some market share loss in Eastern India? Could you elaborate if category -wise, Eastern India is facing any issue in t erms of Western snacks , sweets, or ethnic snacks, from a 9-month perspective?

Q3, please leave, because in festival, everything will do well. So that will mask any issue. So on nine months, if you could elaborate on category -wise in Eastern India, what is the issue? What is the situation?

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Manoj Verma: Yes, Abneesh , thanks. Thanks for the question. So first of all, I would once again want to clarify on South and West markets. So they're heavily, the role of gifting and sweets is very high on that stuff. And it has worked extremely well. Talking about East, not too specific to your question. So two impacts. One is if you look at, there was some, Bihar, we felt a little bit of a slowdown there. And that's what is resulting. And I think you will see in the coming up quarter, those corrections coming up in place. So that's the reason why t hat has come down. Whereas if we look at the North -East part s of the country, we are well on track in terms of, across categories, growth are in line. But yes, Bihar is a very, very large market for us. So any change, any shift, brings these numbers down.

Abneesh Roy: So one follow up on Bihar, your large size is the issue or because of the monsoon in Bihar being more this time, that is the issue? Or there is a competitive scenario change in Bihar?

Manoj Verma: No, I think you've already picked the answer to that question. Yes. If you look at this, there was early and delayed monsoons. If you look at, all the vectors or parameters, what it speaks about, the GDP slowdown, and also the monsoon. And in fact, which has brought down the rural consumption. So there was, what we see, based on our market visits, feedback, and the data, what we get. There is also some dullness in the categor ies, which seems to be now picking up. As we know, in the last two, t hree weeks is what we've started seeing the recovery, and things are falling back.

Abneesh Roy: My second question is on family packs. You seem to have done well, in 9 months YoY , there is an increase. So I wanted to understand what is driving this, because this should be a better gross margin business versus your impulse packs ? Second related question is in terms of e -commerce plus modern trade. A lot of other FMCG companies, obviously they are in different other FMCG segments. Their modern trade p lus e-commerce, including quick commerce, is now 20 % to 30% of their revenue. For you, what is the number and what was it say two years back?

Manoj Verma: So one is that, if you talk about our kind of a business, 20 % to 30% is most unlikely kind of a number, because this is more of a distributive product. No, it's actually business per se, if you talk about is about 60 % to 70% is INR 5 and INR 10 pack, and which is not on e -com. So e -com normally s ees the large or multiple pack. So that's one. And I'm talking about our contribution. So it's about 8% business, which comes from modern trade and e -com put together. And if we look at on a YTD basis, just the e -com business is about 2%.

Abneesh Roy: And what's driving family packs being higher YoY ? Is that conscious strategy or because it will be better gross margin, right?

Manoj Verma: No. So when we speak about family pack, so what happens is, wh ile we know these numbers

are there. But if you look at, two of our categories are only in family pack, and which contributes to about 20% of our overall business. So this is papad, wherein, it's all family pack. And also the second category is sweets. And knowing others, if we talk about, which is about, frozen o

r gifting
and all that stuff.

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So they only have family pack. As I said, gifting sweets did very well. Papa d is at 8.8% growth. So this has helped these numbers grow. But going forward, eventually you will see this number will be around 55 %, 56% only, because our distribution would be riding on the small pack only. Abneesh Roy: And that could dilute margins?

Manoj Verma: See, we covered it. So it's a mix match of that stuff. So now if something dilutes, so something gives back to us as well.

Abneesh Roy: Okay. Understood. Thanks a lot. That's all from my side.

Moderator: Thank you. Next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Thank you for the opportunity, sir. So my first question is with regards to the margin guidance that you have given 13%. I'm assuming that is X of PLI, the 13% margin guidance ?

Rishabh Jain: Of course, yes, because till now also we are at 13.3% YTD EBITDA. So it cannot be including PLI. So PLI , income has not been recorded yet. It will be recorded in fourth quarter.

Gaurav Jogani: Yes. So I mean, the full year guidance is 13 %. So that is 13 % and the PLI would be over and above that ?

Rishabh Jain: Yes.

Gaurav Jogani: And how about the guidance for the next F Y25 per se, given that now most of the benefits from the RM is in base, and we have also taken some (inaudible) that were given to the clients. So what possible margins can we expect in F Y25? At least...

Rishabh Jain: From next year's perspective, F Y25, our major focus will be on volume push. Our target is to be at least a volume of close to 16 % to 18% volume. So that's what we are targeting from volume growth perspective.

From EBITDA perspective, of course, we want to grow EBITDA because as and when we utilize our capacity, it will bring a lot of efficiency across each line cost level. So, of course, we want to grow gross margin EBITDA every year, year -on-year.

Gaurav Jogani: So any guidance that you would like to share in terms of the gross EBITDA margins for next year?

Rishabh Jain: So basically, from EBITDA level, of course, we want to be at least 0.5% above compared to last year, F Y25. That's what we are targeting.

Gaurav Jogani: EBITDA margins?

Rishabh Jain: Yes.

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Gaurav Jogani: Okay. And so the next question is with regards to the growth, both in the Papad and Western snacks. So Western snacks, while we're increasing the capacity, I think the growth there is only 10% odd number. So any specific reason for that one?

And also in the core market, the growth, has been only 12% odd. So, anything on that front, how are you looking at longer term? Though there will be short term, you know, effect because of the Diwali festival coming in, but on a longer term growth numbers on this ?

Manoj Verma: Yes. So I'll take this question one. I think there are two set of questions. So I'll start with the latter one first. So core markets, if you look at notes, so what we spoke about, that Bihar is one of our core market, and hugely rural dominance. And now if we see, how the country or how the geography is performed.

So within now the across country, if you look at, so there has been a slowdown in rural, and which has been witnessed, which has resulted our Bihar market the category slow down. And that's the one of the reason that no, why is that our performance is little subdued in core markets. That's one.

Second is also, let me tell you, papad is very strong, in this Bihar market. And papad got also slightly impacted, because we, one of our USP is the handmade papad. And because of, prolonged monsoons, production of papad was a major, major issue, because you don't get time to dry it up and all that stuff.

And so therefore, we could not meet the demand, what it was in the market. And that has resulted, even more badly, the Bihar market. Going forward, what we see is we see comple

te recovery of

Bihar market, because a lot of work, which has gone behind, and is a very important market for

us.

We shall bounce back there. Now to your first question on the Western snacks. So Western snacks, if you look at, so quarter three, no more of festivity, more of focus on, on rest of the stuff. Western snacks, you know, get slightly defocused, but within Western snacks, if we slice it into 2 parts, one is the chips. Second is the other extruded part. So we've done pretty well on the chips part. It is on the extruded part, wherein the performance has not been as good. And the reason for this has been that we are in the process of some rebranding, some rejuvenating the product.

So that's what has taken this hit. This quarter four, again you will see these numbers turning around on this.

Gaurav Jogani: And so my last question is with regards to the frozen plant that has very recently come up. So what kind of benefits can we see with this plant coming up, both in terms of revenue growth and margins?

Manoj Verma: See, it's just got commissioned in the last quarter and last month of last quarter. What is now undergoing is the lots of trials which are going, we have hired some best of the chefs, these culinary guys are there. So we are doing some lot of innovative stuff, which is more focused for the export market and eventually would come to a domestic market.

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But this process to settle down would take at least a couple of quarters. For now, what we'll do is that we have been into frozen business exports and which we will start producing it. In terms of revenue, what we see is that in another two -three years time, this would be generating about INR 200 crores kind of a top line.

And in terms of margin, so margin would be in line with what we are getting. So this will not be a value of margin eroding kind of a category. In terms of high margins, certain products, going forward, I mean, too early to comment now, but yes, we'll also look at, focus on some premium product, which would help us add value in terms of our EBITDA margins.

Gaurav Jogani: So just one last bit on the margin bit we understand that there has been some inflationary impact on the gross margin bit over this quarter. So how do you see the margins ahead? Have you taken rollbacks, the gramage hike that we are giving, or have we taken any price cuts to adjust for this? How are we tackling the RM inflation in the chana and the other RMs?

Rishabh Jain: So basically you see, so basically across all key raw materials, so largely new crop had come in, in December and Jan. So largely new crop has come in, normally price is normally done in key crop time. So we are not taking any price increase, or any consumer pack reduce. So that's what we need to continue at least for next two, three months. That's what we are targeting on. And gross margin percentage, of course, our target for the full year of support, 32%. And we are on track on this. So we normally take, we normally focus on that. If it's, we don't have 32%, of course, we'll, we'll again take back our consumer pack, consumer promo offer, which we've given close to four, five months back. That's what, but we are on track on this, and we are taking tight control on a gross margin in EBITDA.

Gaurav Jogani: Okay, so thank you for answering my question. And that's all for me.

Rishabh Jain: Thank you.

Moderator: Thank you. Next question is from the line of Percy Panthaki, from India Infoline. Please go ahead.

Percy Panthaki: Hi, sir. Just one more question on your gross margin. Sequentially, it has gone down close to about 150 basis points. If I look at the information you have given on each commodity, and what is the impact to the revenue on a sequential basis, like some of them are 0.37 negative and 0.19 positive and so on. So if I add that up, that is coming only to approximately 40 bps negative, which is much lesser than

the drop in your gross margin. So what explains the remaining drop in the gross margin?

Rishabh Jain: So basically, these are two, four, five commodities, but there are, then sharp increase in spices, which is impacted as overall. So RM and PM, overall impact was close to 0.9%. And that is 0.3, 0.4% was due to product mix due to some schemes, which were given in third quarter. So overall, the overall impact was close to 1.4 %, but 0.9% was key due to RM and PM cost.

Percy Panthaki: Understood. Understood. And regarding your PLI benefit, once it starts, once you start recognizing it, approximately on a quarterly run rate or a yearly run rate basis, what is it going to be as a percentage of your revenue on an ongoing basis?

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Rishabh Jain: So basically, it's not on percentage of revenue, it's fixed revenue, which we'll get from government. So it's a INR 261 crores of subsidy, which we'll get till FY27. And till FY24, this

year, we'll book close to INR 95 crores of PLI income.

Percy Panthaki: FY25 next year?

Rishabh Jain: So FY25 next year, it will be close to INR 47 crores -INR48 crores rupees.

Percy Panthaki: Okay. So that will translate to about 2% of sales, right?

Rishabh Jain: That's right.

Percy Panthaki: So basically, if you are saying that 13% is what you are clocking without any PLI benefit, and you don't see any drop in this 13% number next year, then with the PLI, your margin should be around that 15% mark. Is that understanding correct?

Rishabh Jain: So see, that's the target. That's the target we are taking on. But Yes, of course, all the key players, be it Haldiram, be it all key players, will get PLI income.

So of course, something we need to pass on, but our target is to be at least at this level. Because from next year onward, once all the companies will be sure that they will get PLI, of course, this will be part of overall income. And this will be part of strategy to how they can improve more on business, more on volume growth. That's where all companies will focus on.

Percy Panthaki: Right. Coming to your focus states, can you give some data here in terms of in the focus states, what is the number of distributors and the number of outlets you reach today? And how does it compare versus a year or something some point of time ago?

Rishabh Jain: So basically, the focus market has done extremely well. So we have put a lot of our sales team into focus state. We have started C FAs at the focus market, new distributor appointments. A lot of work is going on. It's in the development phase. So of course, currently we are at a very low market share level. We are at number 4, number 5 there, maybe in the snacks category. We want to be at number 2 there, at least in all focus markets in the next three -four years, that's a target we are taking on. But it's too early to tell on, because we are very small in all the key focus markets.

Percy Panthaki: Right. No. I was just asking about if you can give some idea. How do we as analysts track your input metrics into these states? So the input metrics that I can think of is the number of distributors and the number of outlets. So if you can help us understand how they have improved over the next one year, that gives us more confidence in understanding that if the inputs are in place, then the outputs will also start coming through.

Manoj Verma: Yes. So let me take this question. So one is, more than distributor, what is critical is to see the touch point on that, that where are we reaching directly on that stuff? Now, CFA s what we have done , distributors, super stockists, sub distributors are the means to reach to these outlets , right?

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Now, talking about our distribution in these states, if we look at, so we are covering over 80,000 outlets now in these focus states, which if we look back when we started our journey, we were even less than 35,000 kind of stuff

. So we have over doubled our reach of outlets in these focus markets. And you will see that going forward, most of the growth outlet increase would come from the focus markets.

So that's the input metric , and which is what is resulting in the delivery , the numbers what we spoke about is the because through put in focus market would be the last mile . Because once we are established brand, that's when the game will be around throughput. Today, it's about reaching more stores and getting that output.

Percy Panthaki: So sir, this 80,000 is the direct coverage, right?

Manoj Verma: Yes, correct.

Percy Panthaki: It's the direct, right? Not the total would be higher than that.

Manoj Verma: Of course.

Percy Panthaki: Right. And any kind of targets you can share, let's say a couple of years down the line, this 80,000 will become what number?

Manoj Verma: So, see, this year we'll close our direct reach to 2.5 lakh outlets, right? At the overall level, if I speak about in two years from now, which is FY25 and by end of FY26. So March FY26, our direct reach would be around 4 lakh outlets. That's the number what we are looking at, right? And there if you look at this number, the 80,000 what I'm talking , is in this 4 lakh outlets, it will be about 1.6 lakh outlets . 1.5 lakh plus would be from focus states only.

Percy Panthaki: Okay. Very helpful. Thanks and all the best. That's all from me.

Moderator: Thank you. Next question is from Vikrant Kashyap from BOB Capital Markets. Please go ahead.

Vikrant Kashyap: Hi, good afternoon. Just a follow up question on Western Snacks. So you have guided for 11% revenue contribution from FY25, but if you see last two quarters, the growth has been sub 8%, 9%. And if you look at the run rate historically also, how would we consider that you will reach 11% by FY25? 9 months is again 8%.

Manoj Verma: See, one of course, if you look at the Western Snacks, the very small contribution to our business and now the focus or the key contributors has been the ethnic snacks. And then in last two

quarters, if we particularly speak about is gifting and sweets. So yes, now Western Snacks took a slight backseat, but within Western, if we look at chips has done well, so which is at about 17%-18% volume growth, that's the number we are at.

It is snacks, which has done well, primarily in on account of that we are into rebranding phase. So that's where, some stock issues, some liquidation of old pack and all. So I think that's purely internal. What we have said, we will stay with it and you'll see in the coming quarter, this, the Western Snacks story will get corrected.

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Vikrant Kashyap: Okay. So you stand by your guidance numbers?

Manoj Verma: Yes, very right.

Vikrant Kashyap: Okay. So you have, so previously mentioned that you are focusing on improving contribution from high margin products that will again drive your gross margins, also EBITDA margins. So which are these products? And can you also share category wise or margin profile?

Rishabh Jain: So basically there are 5-6 products that are having gross margins from our, from Bikaji and where we are focusing on. We started our journey when it was close to 10% -11% of overall business shares. Currently it's reached, it is close to 13.2% , 13.3% overall, 13.5%. So overall, that's a big reach and our target is to take this to 18%.

Overall, compared to overall gross margin in India, gross margin level, they are at least close to 3% to 5% higher than average, average EBITDA, average gross margin of Namkeen's and Bhujia overall.

Vikrant Kashyap: Okay. And one question on your product launches. Also in last 9 months, could you please share what are your new product launches and how much they are contributing to revenue? And also you can, if you can share competitive numbers, say two, three, what was that number?

Manoj Verma: So I think there have been many launches

, tweaking with the products and all. I think one which we can talk about, and we are glad to talk, is about Paneer Bhujia. So this is a variant of this, and this has done extremely well across market.

In fact, we ran out of the production capacity. I think in last couple of months is what we have tried to build this capacity, and we are now producing it beyond Bikaner market as well. So Guwahati is one other place where we have started its production . In Patna, it will come up. That's one of the successful NPD which has come up now in recent times.

Vikrant Kashyap: Okay. One question on market share data. So during your filings, you had shares of market share numbers category wise, can you share what have been the improvements over there since listing, in each of the category and or in key categories?

Manoj Verma: So, see we are yet to get this data from Nielsen, right? And now we have shared our internal numbers, the growth, what we have, delivered. I think what we read and what we are, which is that the public domain is that this ethnic snacks category is growing at about 10% kind of a growth.

And we are ahead of that stuff. So which clearly speaks about that there is certainly a share gain. However, you know, very soon or maybe in some time we'll be able as we get this data from Nielsen, we'll be able to share these exact numbers, to you in the at case.

Vikrant Kashyap: Okay. So just last question on exports. So, small base, we have seen growth this quarter and the 9 months also. And we have also increased our ad expense on exports market. So what are the, what kind of growth you are seeing in exports and what are the products that is driving that growth? And also if you can talk about geographies as well?

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Manoj Verma: So, I think I'll answer one by one. So, one is the products if you speak about, so frozen is the largest contribution, amongst the exports product portfolio, right? And, till now, preparing it from outside, since we were not producing this stuff, now that with our capability and in couple of quarters, now this will be up and running in full -fledged stuff. So I think frozen category would witness the highest growth, right? That's one.

Second is, in terms of, geographies you're talking about, so U.S. now within highest Indian diaspora now would be our focus market. Besides U.S., it will be the other markets, such as the Middle East, which does well for us. But no, it is not just few markets, we export to over 25 countries around the globe and we are seeing no positive response across. Internally to build our capabilities, we have strengthened our export team. In terms of growth expectation, we expect about 25% growth, in next few years in these exports market.

Vikram Kashyap: Okay, so just continuing on the exports, what is our distribution model there? And what are the retail stores, if you can highlight key names where we have that partnership with them? And second question on export, what is the margin profile? Is it similar to consolidated one or it is

higher?

Manoj Verma: Okay, so Vikrant, now how it works is, I'll tell you, it's a mix of both. So it is, a trading model also, wherein, we have one distributor for the country and that's how exports market work and behave. And this is true for most of the companies, barring few. So we have this one that, for entire country, we have one, which is a quasi CFA kind of a stuff for the country. He will, in turn, have his distribution network and do that stuff.

I'm sure you're aware of that know in the national market, there's no MRP regime like India, wherein there is a fixed price. So each store would be selling at a different price. Distributor could be selling at a different price. So it's a cost plus, plus model abroad, right? So this is how it works.

But yes, now we talk about, say Dubai UAE, that's where, we are trying to get into distribution model, wherein, we will be

catering, servicing these outlets kind of a stuff. So this would be a different structure. While in rest of the places, the salesmen are on the distributor's payroll. We add, to the distributor and then all cost is theirs. That's how it works.

In terms of margin. So as I said, it's a cost plus, plus model. So we give them X factory and we built in a margin, which is in line with our overall company's EBITDA margin kind of thing.

That's how it works.

Vikram Kashyap: Thank you. Thank you, sir, for answering my question. Wish you best of luck.

Manoj Verma: Thank you.

Moderator: Thank you. Next question is from the line of Rupali, an individual investor. Please go ahead.

Rupali: Yes. First of all, congratulations for your good set of numbers. I would like to understand which kind of products are gaining momentum in the US and UAE market? What you have stepped in?

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Manoj Verma: Yes. So as I said, Frozen is the one. If you look at TG, the customer is the Indian diaspora, right?

That's one. For us, if we talk about, it is more of, it's more of the frozen part, right? Wherein, these are, let's say, samosas, kulchas, the variety of that stuff. Also, I would want to bring to your notice that it is not that the market is not big. There are lots of exporters from India which are doing it, but maybe not as organized. I think the opportunity, what we see for ourselves to emerge as a large and a major player there.

But we can get back on, maybe on a one-on-one call, more detailed discussion around what is that we do in this stuff. But this is frozen for us. Opportunity-wise, yes, there's Indian ethnic snacks, which is also doing well. And for now, we are very, very small. So I don't think that now our role is to grow the category. Our role is just to eat into, the share where the unorganized or the small players are there in these markets.

Rupali: So you'll be competing with Indian players only in the different region, is it?

Manoj Verma: Yes, yes, exactly.

Rupali: Okay, understood. Thank you.

Moderator: Thank you very much. Next question is from the line of Priyank Chheda from Vallum Capital Advisors. Please go ahead.

Priyank Chheda: Yes. Hi, sir. I just wanted to cross-check. Have you booked any PLI income in this quarter? And the numbers that you alluded to the receivers that you will be witnessing in FY'24, '25, '26, if you can repeat that number again in terms of PLI?

Rishabh Jain: No, no. So we have not booked PLI income as of now. So we'll book PLI income in last quarter of this year once we complete all the capex commitments.

Priyank Chheda: And the expected amount is around INR30 crores, correct, if I'm wrong?

Rishabh Jain: For FY, so we'll book three years of PLI income, FY22, '23, and '24. So the amount will be close to INR95 - INR96 crores close to this.

Priyank Chheda: Okay. This will be a cumulative income for the three years?

Rishabh Jain: Yes, it will be part of other operating income. For three.

Priyank Chheda: Other operating income. And then for the subsequent year, it will be around INR45 crores per annum, right?

Rishabh Jain: Yes.

Priyank Chheda: Okay. Okay. So my next question is on the ethnic snacks as a category. Now, despite the increase in the distribution reach in the core market and the focused market, and given the Q3 was a festive season, what explains the ethnic snacks as a revenue in terms of absolute sales has remained flat?

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Manoj Verma: Can you please elaborate or clarify the question again?

Priyank Chheda: So my question is on the ethnic snacks, quarter on quarter, we have seen sequentially the revenue sales has remained flat, right? So given the festive quarter, this sales should have grown at a much faster pace, right?

Manoj Verma: No, so if you look at it in terms of growth, so YoY growth, if we look at, you know, on ethnic snacks is 15.36%. So I don't know where this flat number, I m

ean, perhaps

Priyank Chheda: I'm referring to a sequential quarter because Y oY, the comparison becomes distorted because of the festive season moving in the previous quarter? So I'm just keeping a benchmark on the sequential basis?

Manoj Verma: Understood. Apologies, you know, for this thing. So let me tell you, you know, there's always, you know, if you see quarter two is high in terms of consumption, so there's a seasonality impact, right? And which is what it is. So therefore it's always good to have a like to like, you know, look on this stuff.

Priyank Chheda: Got it. And, one more data keeping question, advertisements expenses was 3% in this quarter, correct?

Manoj Verma: Yes.

Rishabh Jain: 2% to 3%.

Manoj Verma: See, this is the heaviest of all, so quarter two, quarter three is where most of us spend, goes in. So yes, this quarter, it was, it was high.

Priyank Chheda: And what would be the same number for the YTD?

Rishabh Jain: So overall YTD, our target is to be at around close to 2%.

Priyank Chheda: 2% and this would be the similar, similar cost for full year, right?

Rishabh Jain: Right.

Priyank Chheda: Got it. All right. Thank you.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

Manoj Verma: Thank you once again to all the investors and the organizers for this call. Hope we were able to answer any of the queries which came up, but we'll be glad to connect, you know, one -on-one and just in case if there are any of the leftovers. Thanks once again for all your support and cooperation.

Moderator: Thank you very much. On behalf of S -Ancial Technologies Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: May 2024

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Ref: BFIL/SEC/202 4-25/20 Date: May 30, 2024

To,

Dept of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and financial year ended on March 31, 2024

Dear Sir/ Madam,

We hereby inform you that in continuation to our letter bearing Ref. No. BFIL/SEC/2024-25/09 dated May 09, 2024 and pursuant to the requirements of the Regulation 30(6) read with the Point 15 of Para A of Part A of the Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), as amended from time to time, an Earnings Conference Call with the Investors and Analysts for the quarter and financial year ended on March 31, 2024 was conducted on Friday, May 24, 2024 at 12:00 P.M. IST . Please find enclosed herewith the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call will also be hosted on the website of the Company and the same can be accessed at www.bikaji.com . You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head - Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As above

"Bikaji Foods International Limited
Q4 & FY'24 Earnings Conference Call"

May 24, 2024

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER, BIKAJI
FOODS INTERNATIONAL LIMITED
MR. MANOJ VERMA – CHIEF OPERATING OFFICER, BIKAJI

FOODS INTERNATIONAL LIMITED

MODERATOR : MS. HAZEL RATHOD – S-ANCIAL TECHNOLOGIES PRIVATE LIMITED

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Moderator: Ladies and Gentlemen, Good Day and welcome to Bikaji Foods International Limited Q4 & FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Ms. Hazel Rathod from S-Ancial Technologies. Thank you and over to you ma'am.

Hazel Rathod: Thank you. Good afternoon, everyone, thank you for joining us for Bikaji Foods International Q4 FY24 Earnings Conference Call.

From the Management, we have with us Mr. Rishabh Jain – CFO, and Mr. Manoj Verma – COO.

I now request Mr. Rishabh Jain to take us through the key opening remarks, after which we can open the floor for the question-and-answer session. Thank you and over to you, sir.

Rishabh Jain: Thank you very much, Hazel, and thank you all the investors and friends. We welcome you to the year-end numbers review. So largely, this year has been very good for our company.

So, overall, we have done multiple works which have resulted in these numbers. Largely during this year, we set up a complete CAPEX plan. We got a commitment from the government to invest close to INR 430 crores of investment and got a subsidy of INR 261 crores. We have completed all the CAPEX commitments and eventually, we booked close to INR 93 crores of PLI income in this quarter which is for three years i.e. FY22, FY23 and FY24. This year also all the investments at all plant levels have been done from PLI perspective. We completed all plants be it the Patna plant which is coming this year, the frozen plant and the Raipur plant. So, largely we have become future-ready for growth at least for the next 2-3 years. Be it in terms of talent investment, so largely this year has been a year where a lot of investment, be it in talent, be it at the back end of content, so be it back end we've done a good investment in our team building and as well as content for all Core and Focus states. We have brought in good new leaders to run the Company and set the distribution and right RPM.

Also, largely this year from an automation perspective, we've done a lot of investments. Be it setting up the right DMF, or SSA, or tracking every sales team, we have built a good sales team this year. So, largely on every front, we have made a good investment this year which will give good results in the coming 2-3 years.

From numbers perspective, so largely this quarter has gone by, so overall our revenue growth was close to 12.8%. When we see this quarter, of course, in these numbers, PLI income has been added in the other operating income which looks fluctuating, but overall our organic growth is close to 12.8%, our gross margin is close to 33.1%, when we see our last quarter of December'23, our gross margin was at 31.5%. Our gross margin has increased this quarter to 33.1% and our EBITDA margin overall was at 13.1%. So, overall key metrics this quarter have

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improved for us. Largely from the PAT perspective, this quarter we have done INR 116 crores of PAT which is close to 200%, of course, this includes PLI income.

Overall, at a yearly level, our revenue growth was close to 13.7% versus volume growth which was upwards of 15.5%. So, if we look at the Ethnic snack volume growth it was close to +17%, Ethnic snacks have grown at a good level above the Company average.

At EBITDA level, so largely post-PLI income our EBITDA is close to INR 319 crores, this excludes PLI income. Then also our EBITDA is close to INR 300 crores which is a significant jump from last year.

Our ROE and ROCE were close to 21% and 31%. So, largely we have built the complete CAPEX. Largely in the years to come, there will be minimal CAPEX in plant

s at least and this

will again help in improving ROE & ROCE for us.

From a manufacturing facilities perspective, we are close to 3,00,000 metric tons of capacity which can comfortably generate double turnover. We have built a good capacity for the coming years to come and across all Core and Focused markets, be it Assam and Bihar, which we set up a facility in the last two years. In Focus markets also like Kanpur, Raipur, UP as well as in the South, in all Focus and Core markets, we have set good plants to have further growth in our business and we will go beyond Rajasthan, Assam and Bihar which are our Core markets. In the

next three years, we target to include at least one or two states in our Core markets. So, Manoj ji, over to you.

Manoj Verma: In terms of distribution, over the years our territories have been increasing and if we look at the past 1 year, we've added almost about 100,000 outlets in our direct reach. Also, this year we opened CFAs which we found more relevant to enhance and further strengthen our distribution network. So, we opened depots or CFAs at Ghaziabad and Varanasi, UP, in the West of India, Ahmedabad and Pune, and also one in Raipur. That's where our plant has come up.

Talking about our marketing initiatives, so first and foremost we have extended the contract of Mr. Amitabh Bachchan to continue as our brand ambassador for the next two years. More so, we also shot a lot of films with him and about 16 different films targeting various products and sub-categories to build them, which we aired on digital media and also on air.

Besides this, we invested heavily on BTL marketing initiative. This was a kind of say, bus branding, road shows, dealer boards so on and so forth. For the first time, we invested as much behind consumer offer, which was 10% extra or even on our products like Bikaneri Bhujia.

Not only did we restrict ourselves to domestic media investment, we also invested heavily in our international markets and that's where we did this work, this companionship of shows which was for Badshah, then participated in most of the events which happened, and these food festivals outside.

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Now coming to the business, if we look at it, so in Q4 our volume growth has been 14.5%. If we look at revenue growth without PLI is 12.8%, however, if we add the PLI which is what is reported and you would see on the slide it is 32.9%.

Ethnic snacks in this quarter have grown at 10.5%, Package Sweets at 13.8%, Western Snack at 14.2% and Papad at 23%.

If we look at our full-year performance, the overall volume growth is 15.3%, revenue growth was 18.5%, and Ethnic Snacks at 13.4%, whereas if we look at Ethnic snacks volume growth is at 17%. Package Sweets' value growth was at 14.4%, Western snacks at a full-year level of 13.2% and Papad growth was at 10% this year.

The contribution of the Ethnic snacks continues to be highest and if we look at the shift between last year's Q4 and this year's Q4 it is almost the same, so there's hardly a movement there. All these categories have moved up.

Now coming on to how our markets have performed. We look at our India market in three segments i.e. Core, Focus and Others. So, here we look at our Core markets, which contributed to over 72%, it has grown at 9.1% in this quarter. Our Focus market has grown at 15.3% and the other markets, which is a small part have grown at 45.4%. Exports in this quarter were flat.

However, if we look at our full-year numbers, Exports have grown at 22.2%. Core markets grew at 11.2%, Focus markets at 22.6% and Other markets at 14.8% here.

So, if we look at say by segment, the Core market contributes 74.4%, the Focus market is 12.9%, Others is 9.8% and Exports in this quarter have contributed 2.9%. However, at a full-year level, if we look at it, our Core market is 71.5% followed by the Focus market at 13.8%, other markets at 11.2% and exports at 3.5% contributing to our overall revenue

e.

The mix of packs if we look at, so the Family pack which is above INR 10 pack in this quarter has grown at 11.5% and the growth of the Impulse pack was 13.6%, whereas if we look at the full-year level, the Family pack and Impulse pack have almost grown the same, the Family pack at 13.5% and Impulse pack at 13.6%. The contribution of the large pack continues to be high and is at 59%, whereas the Impulse category is 39.5%.

Rishabh Jain: So, overall revenue we have grown close to 18% post-PLI, EBITDA was close to INR 391 crores an 83% growth over last year and PAT is largely 93% we have done, PAT is close to INR 62 crores over the last year. So, largely when you look at the gross margin level, in Q3FY24 our gross margin stood at 31.5% and in Q4FY24 it stood at 33.1%. Largely, we are seeing improvements in gross margin as well as there are multiple works in improving gross margin be it raw materials supported plus we are passing some prices also. From the PLI level, we have booked close to INR 19.8 crores for FY22, INR 28.6 crores for FY23 and INR 45.2 crores for FY24. So, the last two years' PLI income has been realized from the government. This year of course we have booked as accrual income because we have fulfilled all the conditions of the government of these investment or sales support. We are hopeful that we will receive a grant

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from the government before December '24. That's the part from the presentation. We are happy to answer all the questions.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: So, for the full year, you saw 15% kind of volume growth and 18% sales growth. So, my question here is, do you expect again early teens kind of volume growth and now most FMCG companies are talking about a 2% to 3% price hike in some part of the year, so would you expect that also to continue because in Q4 your pricing growth was not there, but will you expect that to come back in FY25?

Rishabh Jain: So, we have built up capacity across each Ethnic snacks and Western snacks largely in last 2-3 years and we are currently 40%-45% type of utilization. So, next year's target is also for the volume to grow at least a minimum of 13%-15%. Of course, this year it looks like, chana, and potato, both products prices are a little inflationary it seems like. We see that this year 2% to 4% price rise will be taken by us and so that's how the overall numbers will build up.

Abneesh Roy: And would you have seen market share gain because I don't think the industry volumes are growing at 15%? So, which states would you have gained more market share on a full-year basis?

Manoj Verma: So, if you look at, our Focus states it has grown at about 22% and the Core states at 10%. So, what we assume is while we are yet to have this data, we assume that we would have gained shares in the Focus states broadly.

Abneesh Roy: One follow-up I had was, if I see your full-year performance in Core and Focus and compare that to Q4, in the Focus states there is a drop of around 7% in Q4 versus only a 2% drop in the Core states. If you could tell us why in Focus there is a bigger drop, was there a base effect? Was there a one-off and how do you see Focus states in terms of out-performance in FY25?

Manoj Verma: So, I think the right way to look at it is that if we look at a full year number which is what is 22.6%; however, we look at that this particular Q4 is not as good as because in Delhi earlier we did not focus or we could not get our eyes into the Delhi market, which is why we have done, some changes, some stuff which is happening. You will see by the end of Q1FY25, we'll be in a different pitch on the Delhi market as well. Besides this, if you look at the rest all other markets, has done extremely well. Also to tell the audience on the team while we were talking about fixed Focus states

, what we have also done is here onwards, Chhattisgarh is where our new plant was commissioned in the last quarter and now we will have our focus on this Chhattisgarh state as well. So, here on when we'll talk, we'll include Chhattisgarh also as our focused market.

Abneesh Roy: Your export growth was flat in Q4 vs 22% for a full year. Again, here is there any one-off? Are you worried about all these surprise checks which are happening in Hong Kong, Singapore etc.? Because Indian regulator has said that in spices there is no problem but global regulators are saying there is a problem and it could have a trickle-down impact on other exports also. So, what's your comment on this?

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Manoj Verma: We don't see primarily on the spices and that's also a factor which these spices companies are also trying to work upon. However, our peer group or ourselves are not impacted by it. This is nothing but some quarter shift from this quarter to another quarter and for export what we normally have is we have orders about 60 days in advance. So, this problem is not the reason you will see this coming back in the subsequent quarter. And at a full year level as we look at, that's how we measure and that's how our team carries or our distributor carries target, which is really in line with what we plan is ahead of 22%.

Abneesh Roy: And just one follow-up there. You also use a lot of spices obviously in your Namkeen, Bhujia, etc., So, there is no risk right from a global standard quality aspect?

Manoj Verma: Abneesh, we comply with the law of the land. So, whatever is permitted in that country is what only we export. So, this passes through very, very close and tough audit processes and that's how we export it. Even when our product goes to that country, we get those state compliances checked and that's how we are able to sell in these markets. So, we don't see as such any other challenges with us.

Moderator: The next question is from the line of Percy from IIFL Securities. Please go ahead.

Percy: Sir, my first question is on the Focus states. There your market shares are very low, right? So, I mean the percentage growths I mean can be very, very disconnected from the industry growths because of the low single-digit kind of market shares in many cases. So, shouldn't you be running at some 25% or 30% kind of volume growth in these states and what is required to get there do you think that is a realistic number to target first of all?

Manoj Verma: See, I think very well said that one can look at these numbers as well, but now in all these states, if you look at, so there is a situation wherein we have the market leaders and also below us the regional and the local players as well, right? So, that's the status in these states now. In the earlier concalls also we have spoken about that we don't want to be a discounter brand, a disruptive brand wherein we gain, do these kinds of volume gains and thereafter it becomes difficult to live

with it or to continue with the stuff. So, that's the reason our investment is more on to get our distribution right. If you look at the distribution number, if you look at the coverage, both we are getting in these states. So, it will be a slow and steady and a slow work. This is what we always have been talking about. Even today, as we speak, we have grown at about 22%, that's a value growth, and if we talk about volume growth, it's about 25% in our Focused states. That's the volume growth we have delivered. And in certain states, we now speak about say UP which is a large market, of course, our shares are also very, very small, but there you know the growth is to the tune of about 44%. So, we are more or less in line with perhaps what you said, 25% growth. But more importantly, this is about getting ourselves right and future-ready for the time to come.

Percy: Secondly, just wanted to understand your judgment on what happens to volume in different pricing scenarios.

So, right now we are seeing a slightly negative pricing and the volume this quarter is around 14%-15%. Supposing if like next year you are saying 2% to 4% YoY pricing

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growth, in that scenario does the sort of volume take a hit or do we still continue with our 14%-15% kind of volume numbers?

Rishabh Jain: So, largely as a company having a big capacity, so the target is to at least grow at 13% -15% volume at least for the next two years.

Percy: Lastly, coming on to your margin. So, this quarter if I strip out the PLI benefit completely, your EBITDA margins are 13%. I think you will be booking PLI benefit of somewhere around 150 basis points of sales, correct me if I'm wrong. So, would we be right in assuming that for FY25 we should be targeting a 14.5% kind of EBITDA margin?

Rishabh Jain: Of course, post-PLI target is around the same.

Percy: Sorry I didn't get you. Can you repeat that?

Rishabh Jain: Without PLI, our target is to at least improve EBITDA by 0.4% to 0.5%. This year gross margin improvement, we see a little bit challenge given the inflationary pressure. But overall, we have built all the costs, like set up all the capacity, fixed or so, in our books all the costs have been fixed. So, once we improve our utilization, the operational efficiency will come in and overall, we are targeting at least 0.5% EBITDA improvement this year along with PLI.

Moderator: The next question is from the line of Dinamera H from JM Financial. Please go ahead.

Dinamera H: My question is regarding PLI. What is the consistency in the PLI scheme we can expect for the next five years, are we going to continuously keep bidding for PLI in the next five years, how do we see that?

Rishabh Jain: Largely from PLI perspective, so we have received close to INR 261 crores of commitments from the government and we invested INR 438 crores. So, it's a six-year subsidy. So, three years have gone by and we booked close to INR 93.6 crores in a single year last year, it was for FY22, FY23 and FY24. For the next three years it will be on a quarter-on-quarter basis because we have completed all the CAPEX commitments, so it will be on a quarterly basis we'll book the PLI income for the next three years.

Dinamera H: How long approximately do we see the continuity of the PLI within our business?

Rishabh Jain: For the next three years.

Moderator: The next question is from the line of Mehul Desai from JM Financial. Please go ahead.

Mehul Desai: If you could give us some context on your plans for the frozen business, what is the status there, how are we looking at it from FY25 and FY26 perspective, and how are the margins in this frozen portfolio?

Rishabh Jain: So, largely frozen is in a very niche shape up now. So, largely we committed, we completed the CAPEX last December. We started trials. So, by the next two months, we will complete all the

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trials and everything. So, the Frozen is largely for exports, of the overall exports close to 40% comes from Frozen. That's the overall shift that will be there when currently we are buying from a third party which will shift here. But overall, this year a good improvement in frozen and this will also help us in building our QSR business because we also want to be in this business. Of course, there will be a slow and steady pace in this. We don't want to go up. So, largely this year there will be 2-3 QSR outlets that we'll open, do a lot of trials and everything. From next year onwards this frozen will become a back-end plant for all the QSR verticals as well as of course we grow the frozen business in export.

Mehul Desai: Secondly, I think Percy did ask this question, but on the gross margin side, we have closed the full year 32.5% ex of PLI and 4Q was around 33%-odd and you are saying 2% to 4% kind of price hike, you think with that kind of price hike and current RM environment, you should be

able to sustain this gross margin

level?

Rishabh Jain: Yes, we will be able to sustain this because it looks as of now, we don't know post-election what will change. But yes, from the looks of the current scenario chana and the potato prices are very inflationary this year. So, chana in the last few weeks has gone haywire, increase close to 10% to 20% in a month's time. So, we are largely not dependent on a single raw material, like we are into 5-6 categories, purchasing a lot of pulses, not any single crop like we are dependent. So, largely any single increase in raw material doesn't take much on us. But yes overall we see that this year there will be little inflationary pressure, 2% to 4% price hike can work out well for us. In last year, when the price correction was there we did not pass completely, we cannot reduce the MRP we started to promo offers, we reduce full once we see that price inflationary pressure will come, so we have the budget in hand currently.

Mehul Desai: What happened to the staff cost? It was flat on a YoY basis. And secondly, the other income was quite high. So, if you can just explain that?

Rishabh Jain: So, largely in other income, basically interest income has been booked, we have FDs close to INR 51 crores. That's the interest income being booked in other income. And staff cost is largely flat last year if you see the overall breakup when we publish the annual report. So, ESOP expenses was big this year because last year has been booked. So, this year our overall investment in people was big. So, when we see overall it's a percentage wise flat but investment in people is big.

Mehul Desai: What is the CAPEX plan for FY25-26?

Rishabh Jain: So, for the next 2-3 years we don't think major CAPEX coming in, just NPD, regular maintenance CAPEX, just we need to build some small mother warehouse type of thing but it will not be a big CAPEX type of thing, it will be just a small from interest accrual.

Moderator: The next question is from the line of Shirish Pardesi from Centrum Broking Limited. Please go ahead.

Shirish Pardesi: So, two questions in the beginning. Could you talk something about competition, how the reaction on the new markets when you are entering, is there any discounting which is going up

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or you're primarily seeing a very sharp reaction for the organized players, any color if you can add?

Manoj Verma: Competition certainly is there and it's going fierce only and from the top end place they're completely aggressive. And so after the small-time players which are local and regional players because now there was some price commodity benefit which these guys got and they started mushrooming up. So, in terms of competition, certainly, it is there, and you have to be competitive to hold your space and move on. That's what it is. But the good thing is that category has its momentum and there is also inorganic growth wherein it's a shift from unorganized to organized. So, that's helping all of us to move forward.

Shirish Pardesi: So, let me ask you Manoj, a candid question. When you enter into the new market, do you take a pricing strategy and discounting as a placement or do you do the advertising route and do the local advertising? So, I think I'm just trying to understand how do you plan to or how do you penetrate these markets because obviously existing competition will be there and you are being a new player, obviously you will get with the right distributors and partners in the channel, but I'm just more curious about why this growth is happening?

Manoj Verma: So, when we get into new markets, so certainly discounting is not a part of our strategy and that's completely outside of whatever we'll do. We are more into expanding our distribution reach, and quality, that's what we talk about and also is the investment behind marketing to create some demand and brand awareness. Keeping that in mind, we extended our contract with Amitabh Bachchan because of his

stuff, we did certain research, and our marketing teams came back with the brand equity what we are getting and what we are leveraging. Whether we were there in the store or in those markets before or not but when our guys go there, so ours is not an alien brand. We are at par or plus/minus to the national or the key brands whatever is selling there. That's what we do. Also, Shirish, these markets are not virgin markets for us. We have been there for ages but we never focused on these markets. It was more of a trading model whoever had asked, we would go and then if supplies were not there, we would not service. Though there has been a challenge we are now getting into whole out in these markets, it will be a slow burn, but you will see over some time we will be amongst the top three players in these markets.

Shirish Pardesi: Rishabh, on slide 24, you did allude saying that chana prices are going up. Just wanted to understand in the high inflationary situation, have we done any tweaking in terms of sourcing strategy or hedging strategy?

Rishabh Jain: So, sourcing and hedging is a part of our strategy and largely we always book close to 40% to

60% of our overall requirement of the season we normally book and this year also we did the same, we have booked close to 35%-40% of overall demand. We have hedged, but of course we cannot completely foresee the price rise. But overall, we have secured our next 40%-50% of the requirement and the balance of course we need to purchase and that's how we'll be passing on a few prices in largely products which are in Chana or potato based.

Shirish Pardesi: My last question is on the Chhattisgarh plant. When do you expect to start commercial production?

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Rishabh Jain: So, we have done a commercial production in March.

Shirish Pardesi: Obviously, since Manoj has said that there will be some trading and the product will be available, but if you can share in FY24 or maybe FY23, what kind of revenue would you have got in Chhattisgarh and what kind of expectation you are seeing because you're putting the infrastructure now?

Rishabh Jain: So, largely Chhattisgarh, currently a small number, so we see in this year FY25 we'll do at least close to INR 17-18 crores topline this year in Chhattisgarh versus last year maybe even more of course.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: So, the question is with regards to the target of the 13%-15% volume growth. If you can help us dissect, how are you looking to target the volume growth within these various categories? So, for example, what will be your target for volume growth in the Ethnic part of the business and what would be in the Western Snack and the Package Sweets part of?

Manoj Verma: So, the growth in Western Snack would be slightly couple of percentage points higher than the Ethnic Snacks going forward, because the way we have commissioned our factories across, the way this brand is picking up, it will be ahead of the Ethnic snacks. However, all these plants do have the capability to produce our Ethnic snacks as well. It's only in Bikaneri Bhujia, and Namkeen, which primarily will continue to be produced and supplied from our Bikaner factory.

Gaurav Jogani: What about the Packaged sweets? I think package sweets which was also one area for you and there were talks about the democratization of these sweets into smaller packs, so that the reach increases. So, any update on that front?

Manoj Verma: So, we spoke about two things, that sweet has a huge seasonality impact, right? So, during the season time, the demand is by far higher than the capacity that we have. And in case of the time we see the reverse of this stuff. So, what we've done is that we've started from INR 5 Patisa packs and all that stuff. And in the last quarter is what we've done twice it is getting well accepted. I think it will take a wh

ile whereby when we'll be able to settle these small packs, because the market for sweets in small packs is also not very big. This would be about creating an opportunity, creating a market for that and that's what we are working on.

Gaurav Jogani: My second and last question is with regards to the margins again, I mean, if you look at the margins on a full-year basis for FY24 ex of the PLI it is around 2.5%, the gross margin that is, and on an exit basis we have already done I think 33% kind of gross margins. With the inflationary impact that we're seeing right now, how much of an impact can we see on the margins going ahead and how much can we negate this with operational efficiencies, now simply the capacities are around that.

Rishabh Jain: So, largely what we are targeting in this year the overall gross margin will be around 32.5%-33% this will be a range this year, this is what currently we are looking at. And the operational efficiency, of course, we are targeting at least 0.5% improvement in below the line level

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(EBITDA) because last year we did a lot of investment in people, setting up teams, setting up plant cost, everything. So, this year we'll have some result of that.

Moderator: The next question is from the line of Nitin Gupta from Emkay Global. Please go ahead.

Nitin Gupta: I just wanted to check on this margin question again. Like this chana price increase like even we have the 50% to 60% of seasonal requirements. So, like do we have any effect on our gross margin in Q1 or since we are high that we don't see any impact?

Rishabh Jain: So, in Q1, we don't see any major impact. In Q2 of course, we'll look into it but in Q1 we don't see any major impact.

Nitin Gupta: And secondly, on your A&P spending, so like in FY20 when we sort of signed Amitabh Bachchan, there was a bunching of A&P spending. So, similarly this time around when we have signed in, we have short multiple videos and all. So, do you think A&P spending as a percentage of sales will come down in the following years?

Rishabh Jain: Signing up with Amitabh is one thing and it also depends on the marketing strategy. So, largely

we are keeping close to 1.7%-2%, there's a marketing budget because this marketing budget, we always keep ahead from all the competitors be it in the consumer mind as well as the distributors in mind. So, this is a branding intention what we planned.

Nitin Gupta: My next question would be on your Core market. We have grown at 9%. Can you provide some flavour in terms of how has been the growth in Rajasthan, Bihar, and Assam?

Manoj Verma: So, between these three, four states if we look at, Assam has been the highest followed by Rajasthan and then Bihar. Bihar, if you look back, Q2 has not been a great quarter for the industry also in Bihar because of heavy floods what happened early monsoons and all that stuff. So, that's where the growth of Bihar is about 7.8% and the rest both these Rajasthan and Assam are double-digit growth.

Nitin Gupta: So, in Bihar, it was 7.8% growth?

Manoj Verma: Yes

Nitin Gupta: But this quarter, what was the impact? Can you see -?

Manoj Verma: So, Q2 was the impact which has brought down the growth, rest of the quarters if you look at or even the exit stuff it's back on track.

Nitin Gupta: So, this 7.8% is the full year growth you are saying?

Manoj Verma: Yes, correct.

Nitin Gupta: How would be Q4?

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Manoj Verma: Q4 is back at double-digit growth.

Nitin Gupta: The next question would be on how is the profitability? Can you provide some flavour on your Core and Focus market?

Rishabh Jain: So, largely from profitability perspective, so it's close to 1.5% lower than in the Core market versus in Focus market.

Nitin Gupta: 1.5% gap between Core and Focus?

Rishabh Jain: Yes, close to couple of percentage.

Nitin Gupta: We are looking to grow Western Snack. Can you provide like how we are looki

ng to sort of

manage the margin where we have appointed C&F agent and have a local production facility, but the spot is something that Western pricing generally are margin-dilutive proposition. Can you provide some on that how we are to manage our margin?

Manoj Verma: See, there has been a paradigm and to a certain extent there also that Western Snack are margin dilutive. Now the reason has been one, but there are more on INR 5 and INR 10 packs, so which is more of air or say low density stuff and hence the cost of logistics becomes by far high. For us, if we look at now, Western Snack is one of the categories where we place or contribution of Western Snack is just 8%. So, therefore it does not impact as much on our bottom line or the EBITDA numbers because we sell a lot of stuff which are identity products like say sweets which is very, very high Papad and all and this tags along over and above this. Therefore, this is one reason that it is not a margin dilutive for us. Second is that earlier it was sold because you could not transport it from say Bikaner to the other corners of the country. But now that factory is coming up in the local area, in the regional area, this further reduces this. And our focus has been not just INR 5 and INR 10, we are into INR 20, INR 30 and INR 50 chips or large packs. So, that's how we look at it and we're pretty conscious in terms of that there is a threshold that our margins would not go beyond this stuff. If it comes to e-shop maybe we'll have to pass the price to the consumer, but not take a hit in this.

Nitin Gupta: One last question I wanted to check on is the dividend policy we have. Given like our CAPEX is going to be limited, so how do we see the dividend policy ahead?

Rishabh Jain: This year we have given 12%. Besides we did a lot of investment we have also taken care of all the investors. So, overall, in coming our target is to take this current 12% to 20%-25% in the next three to five years.

Nitin Gupta: Any thought like we have will be needing CAPEX after maybe 3-4 years or maybe 2-3 years, so how do we want to use the cash generation?

Rishabh Jain: So, largely, see currently our major focus is to utilize this capacity. Of course, we are looking at opportunity. If we see any good acquisition opportunity, currently, looks very expensive because this category is very hot as of now. But yes, overall we are looking into some acquisitions also

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in the coming years to come. But yes overall currently we are majorly focusing on utilizing this capacity.

Nitin Gupta: Since you are talking about acquisitions, what kind of acquisition it's going to be, is it something like if we want to get hold of any market, we will acquire some regional competition like I just

wanted to understand like what kind of acquisition we do and will be likely to be?

Manoj Verma: So, I think you rightly said that we would look at, say, some local or regional stuff and not that with the lens of the capacity what they have. This would be more from the lens that if we get a leverage their distribution strength.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: I'm just repeating the question on the Western Snack part. You said that yes, we have a bit of more higher price point packs versus the others. But sir still given the fact that even this year we have seen the pricing actually correcting for the Western Snack. So, how should one think about margins in this particular segment because this segment is expected to grow the fastest?

Rishabh Jain: So, largely, Gaurav, overall growth what we are planning in Ethnic Snack versus Western Snack, corrected close to 8% of topline and we are engaged in next three to four years, it will be less than 10.5% And the margin gap between the two categories is close to 3% largely. So, it will not impact my overall EBITDA because if 8% goes to 10%,

so it will be 0.05% on my EBITDA and

there are a lot of other works which we are doing. So, we don't see any major impact of Western Snack hitting my bottom line.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Manoj Verma: Thank you very much the organizers and the participants who took their time out to join this call. Hopefully, we could answer the questions what you brought up and would be glad to take offline as well if anything you feel was unanswered or you miss asking in this forum. Thank you once again for showing your confidence, interest in this organization.

Moderator: On behalf of S-Ancial Technologies, that concludes this conference. Thank you for joining, and you may now disconnect your lines.

Call: Jul 2024

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Ref: BFIL/SEC/202 4-25/52 Date: July 31, 2024

To,

Dept of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter ended on June 30, 2024

Dear Sir/ Madam,

We hereby inform you that in continuation to our letter bearing Ref. No. BFIL/SEC/2024-25/39 dated July 10, 2024 and pursuant to the requirements of the Regulation 30(6), read with the Part A of the Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), as amended from time to time, an Earnings Conference Call with the Investors and Analysts for the quarter ended on June 30, 2024 was conducted on Thursday, July 25, 2024 at 12:00 P.M. IST. Please find enclosed herewith the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of Earnings Conference Call will also be hosted on the website of the Company and the same can be accessed at www.bikaji.com.

You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head - Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As above

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"Bikaji Foods International Limited

Q1 FY '25 Earnings Conference Call"

July 25, 2024

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER,
BIKAJI FOODS INTERNATIONAL LIMITED

M R. MANOJ VERMA – CHIEF OPERATING OFFICER,
BIKAJI FOODS INTERNATIONAL LIMITED

MODERATOR : MS. HAZEL RATHOD – S-ANCIAL TECHNOLOGIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Bikaji Foods International Limited Q1 FY '25

Earnings Conference Call. As a reminder, all the participant's lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that, this conference is being recorded.

I now hand the conference over to Ms. Hazel Rathod. Thank you, and over to you, ma'am.

Hazel Rathod: Thank you. Good afternoon, everyone. Thank you for joining us for Bikaji Foods International Q1 FY'25 Earnings Conference Call. From the management, we have with us Mr. Rishabh Jain, CFO and Mr. Manoj Verma, COO.

I now request Mr. Rishabh Jain to take us through the key opening remarks, after which we can open the floor for the question-and-answer session. Thank you, and over to you, sir.

Rishabh Jain: Thank you very much and thank you to all the investors who joined the call. From Bikaji's perspective, I have with me, Mr. Manoj Verma ji, COO and Prateek Sharma. So this quarter has a very strong quarter performance from Bikaji's lens. We are close to 18.7% revenue from operation growth compared to Q1FY24. There is also PLI income, which has been added in other operating income. So, without PLI also, we have grown at close to 15.6%. So overall revenue growth is at 15.6% if we exclude PLI impact, but overall, it's close to 18.7% revenue growth from operation growth.

The main part is our volume growth is in ethnic snacks or salty snacks category. So it's close to 18.5%. And then when we see a traditional snacks, it's close to 16%. When you see Western snacks, it's 26%. So overall, underlying volume growth is as per our target is close to 18.5%. And EBITDA lens overall, the company delivered close to 9.2% growth over Q1FY24 and we delivered INR 91.6 crores from EBITDA lens. Overall, EBITDA is close to 16%. There's also PLI income, which has been added. So without PLI also, the EBITDA is closed to 13.7%. So if we exclude PLI income, the EBITDA is 13.7% from gross margin lens also.

So we are seeing little commodity inflation in key process, be it chana, be it few pulses, be it dry fruits like kaju or potato price. But overall, we have maintained the same gross margin level largely compared to when we see last quarter. Our overall gross margin was at 32.2% when we stood a PLI impact, but yes. So that's the target what we have taken, our target is to be at least a 32% gross margin and we are above it as of now, despite we have seen some price uptick in commodity prices.

From manufacturing facility lens, we completed our capex commitment in March quarter. In March quarter overall, we have committed close to INR 440 crores in capex. And then we made a plan 2.5-3 years back and we completed all the capex commitments. We have made a big capacity across all parts of India in all core markets as well as focused markets. So in core markets like Assam and Bihar, we have set a plant in the last two years in the focus markets also like UP, Raipur and in South also, we have set a plant set of big facilities to fuel the growth of income for coming years.

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So we have built a great capacity in each category, be it Namkeens, be it Western snacks category, be it Bhujia. So across these categories, we have a good capacity, currently, we are at around 45%- 46% utilization at an overall level. Next quarter is festivity season where we see an uptick in demand in the sweet category, gifting categories. So we'll utilize more in that sense, but overall looking at the current sense, we are at a good level.

And in the coming three to four years, the target is to take this close to 70%. That's a target which we are sticking to. On capex plan, we completed most of the capex. So in coming years, there will be minimal capex that w

ill be just NPDs or regular maintenance capex. We'll not see any major capex in the coming years.

Manoj Verma: Talking about distribution, as we committed and as one of the growth drivers the company has identified, this year's plan, what we have is to add about 50,000 outlets, of which over 20,000 outlets in our direct reach got covered in this quarter itself. So that's well on track. Overall, as we talk about in terms of category. So what we have heard and what we have witnessed is that last year, there were a couple of quarters where we felt that rural was in a slowdown, the good part was that it started picking up. And quarter one, if you look at has continued in that trend, so we see quite a recovery in the rural sector as well.

With the kind of budget which has come in and the money getting infused into rural and in job creation opportunity, we strongly believe that this momentum should continue. On top of it, the expectation is that monsoons will also be one of the enablers or the drivers of this continued rural and overall growth. So that's what we believe.

We have delivered, as Rishabh has just spoken about, the kind of volume growth, what we have delivered is ahead of our plans, what we had planned for the year. We hope that we'll continue this momentum and should be on track to deliver the full year numbers, what we talk about. Within the category, if we look at, snacks category has grown in this quarter one year-on-year

high single-digit number in terms of value, of which the higher growth has come from the Western snacks for the category. And within, if I put a split between rural, urban, so in urban, it is Traditional, which has grown faster in rural, which is Western, which has grown part. So that's the dynamics what we witnessed and what we see, which is coming through.

Our growth are replicating impact we have grown ahead of the category. That's the category growth. Numbers that we speak about. So our volume growth overall is about 16%, revenue growth 18.7%, which includes PLI. Without PLI, if we talk, it's 15.6%. The interesting thing is that ethnic snacks or traditional snacks, so to say, is a 16% growth and the Western snacks is grown 26% growth over last year's quarter one.

Packaged sweets have grown at 12.3%, papad though a small category, yet grown at 14%. So the interesting point here is that across categories if we look at, it's a double-digit or a high double-digit growth, which we as a company have witnessed in this quarter

We look our business in three parts like which is core, focus and other states. So core has grown at 14.3%, focus sales has grown at 16%, and other sales has grown though it's a small base, but

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grown at 24%. Export growth is a little subdued, which is at 6.7%. But that, again, is a little seasonality and some impact of frozen stuff in there. So that's the growth which exposes witness. Another point is that in this quarter, if we look at and I'm sure all of you would have heard and read that there was a heatwave. And so about 30-plus days was very, very bad for industry, which was from the consumption less. So that impacted us as well. But what helps us back was the family packs. Our family pack grew at 17.3% and impulse was relatively low. So the point is that the momentum on the family pack continues, and that's the growth that we have delivered. And hence, coming on to our contribution of family packs stays at 56.7%, and the impulse is 42.8% to our overall business.

Rishabh Jain: So overall numbers plan so largely we delivered volume growth of 16% of our traditional snacks, largely delivered a greater growth in restaurant snacks, overall, from margin lengths also. So we have seen little uptick in prices in like persistent flow like chana prices, for great prices and have seen a good commodity inflation. And we also seen the same inflation in first quarter.

And second quarter also, we are looking at the same inflat

ion type of inflation, hearing the same

noise and you're getting reports from our vendors that we are seeing a good increase in like dry fruit prices, which is the key in Diwali season. So this quarter also, we are seeing good impact on our overall gross margin. So overall we are working towards the same that we will not go beyond the sales and will target what we have taken from gross margin then.

So from that lens, thank you very much, and we are happy to answer all the questions you have.

Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Percy from IIFL. Please go ahead.

Percy: My question is that if you look at the geographic mix in terms of the focus states, the growth is faster than the core states. However, not by a very large amount. Given that our market shares in the focus states are very low, I think there is an expectation that maybe our growth rates should be like 25%-30%.

Related question here is that the others portion of the geographic mix, where we are not putting in much of resources and bandwidth, there we are seeing actually growth of a higher order. So, why is that happening? If you can just address these two related questions, then I will have one more question. Thanks.

Manoj Verma: Yes. Thanks for the questions. So, one is that when we say other states, so it doesn't mean that they are ignored state. That's just the normal case. So we do everything there also, but yes, at a different level. To your question, let me answer if we look at it about this 30% of the other state sales comes from general trade and the rest is modern trade institutions, which is what is doing well at a PAN-India level.

And that's where we see that this growth, so with our growth now disproportionate growth in the modern-grade channel and e-com channel, these states are doing much, much higher. If I look at just the contribution of general trade, I mean, where we put feet on ground and all that stuff.

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So the contribution of these states is very, very little, and that is why this number looks a little higher.

Percy: Right. So what I wanted to understand, sir, is that our strategy was that in the focus states, we are going to invest materially in terms of sales and distribution infrastructure. And that would be, of course, in general trade in addition to modern trade and e-commerce, and now that strategy

has been articulated more than two to three years ago. So what is the reason that we are not seeing higher growths in the focused states, given that we are coming from a very, very low base in terms of market share versus our core state market shares?

Manoj Verma: No. So year-on-year, if you look at the focus states are growing faster than that stuff. It is a little bit of a period is change shifts you would see. I think it's more relevant that we see a little longer data now in that stuff. So states like if we get into states like UP, and Karnataka they are doing very hard. There are a couple of states, which have not done as well, and that's what is resulting into this little muted growth. But in quarter two, you will see this more coming back again.

Percy: Understood. And in the focus states, if I take all the focus states, six of them together, what would be the market share that we have in these six states at aggregate level?

Manoj Verma: That's why at aggregate level we would have about 1.8% market share less than 2%.

Percy: Okay. And would you have some kind of figure in mind that, let's say, three years down the line, this 1.8 has to become what market share or something like that?

Manoj Verma: So what we see, again, this is a weighted number which I'm talking about the very large markets like UP, the very small market like Chhattisgarh or Karnataka as well. But what we believe that some will do much, much better, some may not do as much good, but we are looking at that we should be

reasonably mid-single digits kind of a market share is what we should reach. And within this, you will see certain states above that high-single and some would be little below that. So that's the number.

Percy: Right.

Manoj Verma: So, to sum it up, it is almost doubling this number in the next three years' time.

Percy: Doubling the market share or doubling the turnover, sir?

Manoj Verma: We were talking about market share. So there is 2 to some 4.5 mark kind of a number.

Percy: Correct. So if the market share is doubling, then the turnover will more than double, because the underlying industry will also grow along with it, right? So which means, that we should be looking at a 25% to 30% CAGR for that to be achieved.

Manoj Verma: Absolutely right.

Percy: Got it, sir. Secondly, just one clarification, there is this chart at the end which says sensitivity in key material categories. I'm not able to understand what that chart denotes. Can you explain, please?

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Rishabh Jain: Yes, to pursue basically that quarter-on-quarter, how our raw material prices or pulses prices are moving. Like you see that like in corrugated box in last quarter it was 0.98%, this quarter its average is 1.04%. So overall, at a price level, it's close to 7%, 8% price increase what is seen in corrugated boxes. That's how we see it.

Percy: Okay. I was a little confused, because all your charts start from Q1 FY '23, but the starting point is different, like edible oil starts from 1.23 then another one starts at 1.13. So what are these? These are index numbers or what?

Rishabh Jain: Yes. So these are index numbers. Yes. So we've taken one as a number prior to this quarter like quarter one FY '23 to prior quarter was one and the quarter one FY '23, 1.23 compared to quarter four of FY '21 and '22.

Percy: Okay. So Q4 '22 is equal to one in all cases.

Rishabh Jain: Yes.

Percy: That's all from me. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: So, I wanted to ask, in Q1, a lot of the categories have been impacted because of heat wave. In your category, does it in fact help the family packs, because if a customer is more at home, obviously, you're going to consume more of the family pack. So would you have seen benefit because of this in the family pack and that's reflected in the numbers also? So could this cool off impact in Q2, because now customer is again going out of home?

Manoj Verma: No. So I think you rightly picked it up, and which is what I was trying to make in my statement that family pack did relatively better because the heat wave would not impact as much on the larger packs it impacts more on the go or the impulse category.

Abneesh Roy: Now on the margins question, we also saw the results of the other snacks company. So they said that in terms of pricing, they are looking at some price hikes in the coming months and some have been taken also and you have also taken. So if you could tell us in terms of the dry fruits impact and on an overall basis, what is the inflation currently on a Y-o-Y basis? And what kind of a price hike has been able to overcome that hike. So if you could discuss both your prices and the total inflation till now in terms of Y-o-Y.

Rishabh Jain: Right. So Abneesh so basically in first quarter, we've done some price hikes compared to last quarter within close to 0.7%, 0.8% price hike on average level on the company. And also we have started withdrawing some promo offer we're going to withdraw some trade schemes

compared to what we've given in last year when we have put a bumper in pricing. So that's what we're doing last quarter. But overall, we see that this quarter also we will see at least 1% price impact overall coming in and that's what we are working on that we are planning to take some price increase in next month and also, we are trying to improve on a trade scheme that

's what we are doing now.

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Abneesh Roy: And one follow-up on this, so when does your sales growth go ahead of the volume growth, which quarter do you expect that to happen?

Rishabh Jain: Quarter three will be the quarter where we will see price will be ahead and value will be ahead in volume.

Abneesh Roy: Sure. Now final two quick questions. So marriage days in the coming quarters are going to be much higher, Q1 it was quite low. So if you could tell us in terms of your business of sweets, how does this have a beneficial impact? So that will be the first question.

Second will be, Bihar state has seen the highest allocation in terms of Budget, almost they are talking about INR 80,000 crores to INR 1 lakh crores kind of an outlay. Obviously, this means that Bihar GDP could see acceleration and Bihar is a key market for you. Do you think that in Bihar your penetration and market shares are very high, so you may not be able to enjoy too much benefit of this? Are you enthused by this higher Budget allocation to Bihar?

Rishabh Jain: Quite so. So one marriage season, so see we have already started a festivity season like Rakhi is in next month and Diwali is coming. So festivities started for us, because sweets is a key factor in next three months. And of course, marriage is an addition this year. So sweets is largely manual.

We are working at a full capacity in these three months. So we see an uptick in demand in sweet category what we've seen in July month. So we see a good growth in the coming quarter also in the sweet category. That's what we are working on. Gifting is also we plan in a good manner in gifting category.

Plus, of course, Bihar is a big market for us where we are having close to 24%, 25% market share which is a big market share for us. So, of course, when the Bihar market will grow, investment will grow. And we are not at a very leadership position.

Haldiram's is also doing very well in that state. And that's a big market, big opportunity for us to grow in that market. So we see a good uptake in our overall growth in Bihar itself because in last 12 years, we are also struggling in Bihar. We've done a lot of changes in Bihar in last three, four months, a lot of changes is going on in coming quarters. So we see a good growth in Bihar itself in coming quarters.

Abneesh Roy: Sir, if I can squeeze one last question. So the regulator is now running for a much higher disclosure level. So if on the front of the pack, we have a very prominent mention of fat content, salt content, and sugar content, how worried would you be because obviously customer may be knowing at the back of their mind, but if it is so upfront how does this impact consumption? And any timelines you expect? And what will be the final color of this, any insights on this currently more of a draft, but what will be your take given you are a key player impacted by this?

Rishabh Jain: So see, I don't see any major consumption issue in this because from a compliance lens, in the last two, three years, there's been a lot of update on the pack itself. You'll see at the back of the pack, there will be how much grammage, what sugar content, everything is there on the pack. It

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will be just bigger and everything. So we don't see any major changes in overall consumption lines. That's what we see.

Abneesh Roy: And when do you see it happening?

Rishabh Jain: So from happening, our compliance team is working on the same. I think in the next six months, six to 12 months, we will be on the compliance side.

Abneesh Roy: Okay. Thank you. That's all for me. Thank you.

Moderator: Thank you. The next question is from the line of Mehul Desai from JM Financial. Please go ahead.

Mehul Desai: Sir, just one book keeping question. One, can you let me know what will be the PLI benefit for the full year?

Rishabh Jain: So PLI benefit for full year will be around INR 60 crores.

Mehul Desai: INR 60 crores, right?

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ishabh Jain: So for the next 12 quarters, it will be on a quarter-on-quarter basis. So last quarter it was one of the times where we had the last two years, but from this year onwards we will be accruing it on quarterly basis.

Mehul Desai: Okay. So for FY'25, INR 60 crores and for FY'26 also, the number remain the same or does it reduce?

Rishabh Jain: INR 47 crores- INR48 crores.

Mehul Desai: Okay. And can you help me with what has led to this increase in staff cost on a Y-o-Y basis for the quarter?

Rishabh Jain: So staff cost this quarter, of course, we have some increments for the company. And there are a lot of investments in people, plus there are some ESOP, which has been done in this quarter, plus there are some expenses which has been booked in the last quarter in other expenses, which has been classified in this quarter. So overall, if you see, it's close to 11%-11.5% increase compared to last quarter.

Mehul Desai: Okay, understood. And we expect this this current run rate to sustain, right, in terms of quarterly run rate in staff costs? Or does this expense get reduced? I mean you see the INR 34 crores- INR35 crores run rate continuing?

Rishabh Jain: Right. Of course, but you will see that the next two quarters, there will be a lot of sweet festivities. But overall, when we see a percentage level, so our target should take around 5.5%, close to 5.7%.

Mehul Desai: Okay. And on the A&P spend, how do you see A&P spend for the full year? I mean I assume this quarter, the A&P spends were lower...

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Rishabh Jain: From Bikaji lens, first and fourth quarter, we normally see A&P spend is lower. But again, second and third quarter, we see a reasonably good spend. That's overall, what we are doing because this is a festivity season. So at an average, we'll be targeting 1.75% of overall ads spend. That's what we are thinking.

Mehul Desai: Okay. Got it. Thanks, Rishabh.

Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.

Yash: Hi sir. Thank you for the opportunity. Just wanted to understand what would be your distribution target outlets for FY'25 and FY'26?

Manoj Verma: Just from direct reach, we would want to add 50,000 in each year. So we think that by end of next year, it should be at about 350,000 outlets, directly covered. And the overall indirect reach is the outcome of that. So difficult to know exactly put a number. But yes, our aspiration is to take it to about 12.5 lakh to 13 lakh outlets.

Yash: Okay. And sir, what would your volume growth CAGR guidance for next two, three years?

Rishabh Jain: So volume growth, what we are targeting that we want to grow volume at between 13% to 15%. That's the target what we are taking on at the company. So that's between 13% to 15%.

Yash: Okay. And sir, last question. Do you think as a strategy, you'll be able to maintain 32% gross profit margin, despite some sort of volatility in the commodity costs?

Rishabh Jain: So there's a target what we've taken that we need to maintain 32% in gross margin level. Because ultimately, as a brand is growing, we are focusing more on branding, more on brand equity, working more on distribution. So ultimately, that's what we are targeting. We'll be maintaining that 32% gross margin. Of course, we have not seen the future that commodity price or oil price again go to 150, 170 that we don't know. But yes, at current level, we don't see any major changes in gross profits.

Yash: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Thank you for the opportunity and congratulations on the strong set of results. Sir, my first question is with regards to the price hike that you have mentioned of 0.7% to 0.8% in Q1. So is it because of the reduction in the trade seeds, or is it you have taken an incremental price hike?

Rishabh Jain: So we

've taken an incremental price hike.

Gaurav Jogani: And there is an additional trade-in reduction as well in addition to that, right?

Rishabh Jain: Yes.

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Gaurav Jogani: And sir, you have also mentioned that you are looking for a 2% to 3% kind of a value increase for the year apart from the 15% kind of a volume growth. So this 2%, 3%, is it on an annualized basis or is it for the remaining three quarters that you see?

Rishabh Jain: So the 2% to 3% would remain for seven, eight months largely. So yearly, we'll see 1.5%.

Gaurav Jogani: And also, in terms of the PLIs that you mentioned, so there are two PLIs, right? One PLIs is with

regards to the capex that you have done and there is also a PLI in regards to the exports, advertisement, and branding activities that you undertake. So that will be over and above this INR 260 crores of PLI that you will be receiving?

Management: Yes, Gaurav, that's the two PLI what we have got from the government. One is of course INR 261 crores and other one is close to INR 23 crores. So in that line, so what we committed that we will invest close to INR 46 crores in ad investment outside India. So government will reimburse us 50% of the same. So that's the plan we have in six years, we'll invest INR46 crores and government will facilitate INR 23 crores year-on-year basis.

Gaurav Jogani: But this INR23 crores will it be booked in other operating income or will it be booked in the netted from the other ad spends?

Rishabh Jain: It will be netted out from ad expense because there is no point doing double entry.

Gaurav Jogani: Okay. Sure sir. Thank you. That's all from me.

Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hi, sir. Sir exports we were planning to grow at 20%-25% while it has remain muted. The factory which we are planning to come up with has that been operational and if that so what would be the export target for this whole year?

Manoj Verma: So factory is partially operational. What happens is that when we do this frozen food. So it has lots of assortments. Now container goes when you put in all those products and then the container goes. This factory trial has started so few of those stuff we have started doing. The balance still has been no source from outside. I think within by end of this quarter, this will all get stabilized. And the growth numbers what we spoke about by end of the year you will see those kinds of numbers coming in so it's well on track.

Also, there is a lag between what orders come and what gets executed because there's a huge transit time. So the kind of orders what we see in the export, the kind of the excitement and the confidence what we see I think we should be well on track on our exports plan.

Priyank Chheda: In case sir there would be some targeted PLI for FY '25 also which is the INR23 crores marketing PLI for exports, does that have any impact in case if we are delay in our sales growth with respect to the export PLI?

Rishabh Jain: So this INR23 crores we will get in six years they divide it in six years like this year if we'll do INR8 crores, INR9 crores of ad investment outside country and government it will reimbursed

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INR4.5 crores, INR5 crores. That's the overall yearly numbers if I say. So overall we see because ultimately, we need to grow a market, we are basically in good teams in the export market. So we are targeting 20%-25% growth in export. That's what we are targeting.

Priyank Chheda: Got it. So basically it's not sales linked. It's related to the investment that we would be doing in terms of marketing the product internationally?

Rishabh Jain: It's both. So we are also recruiting team because ultimately only one thing we cannot push the numbers. We are working on distribution. We are working on team as well as when will help in filling the group.

Priyank Chheda: Okay. And then we

are supposed to hire a national distributor in the US and Middle East. Is that working fine or is there any other update that we would like to share?

Rishabh Jain: Sorry, I didn't understood. Can you repeat the question?

Priyank Chheda: Sir, there was one national distributor which we were planning to appoint in US and Middle East sir, that was what you had shared last quarter. So any update on that? Is that been appointed? Is that the sales getting booked from there?

Manoj Verma: I think perhaps maybe the articulation issue and all because you cannot have one person or one exporter. We export to over 25 countries. It is in the countries of, in US we do have one large person one exporter – the importer. But besides that also we have in say West Coast, East Coast, the North America and also there are other distributors as well.

Priyank Chheda: Okay. And any plans to share on the QSR verticals?

Rishabh Jain: So from QSR length so we're doing a lot of trials on that length. We are targeting this year as we'll open, for next 18 months it will be a slow start. We'll set up process and everything. In post 18 months we'll build on business planning everything. From that next 18 months it will be just setting up process, IT system, setting up object type, category, product, everything. So next 18 months will be slow on QSR.

Priyank Chheda: So what would be the number of stores that we would add in the next 18 months today we have two, three stores?

Rishabh Jain: Around close to five- six.

Priyank Chheda: Okay. We will open five stores in the next one and a half years. And then sir any breakup you would like to share on the set reach between 4% core for this quarter?

Rishabh Jain: On reach.

Priyank Chheda: Yes, on the reach of 2.72 lakh, what would be the breakup of core?

Manoj Verma: Yes. So, about 100,000 outlets plus. So to be precise 1.07 lakh outlets would be in the four states, 1.35 lakhs in the focus state and the rest in other states. That's the breakup.

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Priyank Chheda: Perfect. And so would the indirect reach also move with the increase in direct reach or it would move more than the direct reach?

Manoj Verma: See, hypothetically what happens is that over a period of time your products start moving through wholesale. But when you get into focus states you will see that initially it is directly proportional kind of stuff. But as the brand starts getting momentum this number becomes a factor starts increasing in the multiple factors.

Priyank Chheda: Okay. And just to clarify the PLI benefit that you mentioned for full year is INR60 crores, right versus the previous quarter update was INR45 crores. So any revision in this because of the higher sales which we are thinking off?

Rishabh Jain: Previous quarter INR 45 crores was for full year not for one quarter.

Priyank Chheda: Yes, full year which you are guiding this year about the INR60 crores?

Rishabh Jain: Right. So it's a formula of government that how do they release on top line basis.

Priyank Chheda: Okay. Perfectly. And then the other operating income which you are booking INR17 crores is completely PLI or is there something else also in this?

Rishabh Jain: So PLI is close to INR 15 crores there are other subsidies overall the company is getting a lot of subsidies from the government.

Priyank Chheda: Okay, but the major portion is there INR15 crores. Perfect. And just a last question I couldn't understand your initial answer on the focused market growth this quarter which is flat almost flat at INR74 crores. I couldn't understand, is there a seasonality in this particular product to be seen in this. Can you again explain it would be great?

Manoj Verma: So there's huge seasonality you will see in that stuff.

Priyank Chheda: Okay. So that, the seasonality is that.

Manoj Verma: And see it's not flat in terms of growth. If you look at year-on-year it's a 16% growth. When you talk about swing

then this is a lean quarter and now this quarter two and quarter three will be the highest quarter you will see.

Priyank Chheda: Okay. All right. Thank you.

Manoj Verma: And that's true gentlemen if you look at even not only in focus you look at the core, you look at others this swing on quarter one over quarter four is always low. You will see a huge swing between quarter one and quarter two. Since quarter two and quarter three will almost be the same then you will see a negative swing in quarter four in that. So that's the progression in this business we have.

Priyank Chheda: Actually sir what has happened is the base quarter which is June 23, there is some readjustment that you have done from focus to others is why there is a mismatch in the numbers which you

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are seeing I mean I'm not sure if we can take it offline. There is some readjustment with respect to the previous year quarter which you have done on the focus and other?

Manoj Verma: So that's very miniscule and the thing is we also have spoken earlier on that stuff. Chhattisgarh is one the state wherein we got our factory commissioned in March this year so which is three months just before. And that's where we've been getting it into, we got the state as a focus state. And replaced it with Telangana that's the only shift. We said we will only have six as focus states and that's the replacement for us, that's the adjustment if the numbers you are referring to.

Priyank Chheda: Okay. All right. Thank you, sir.

Rishabh Jain: Yes.

Moderator: Thank you. The next question is from the line of Sumanyu Saraf from JM Financial. Please go ahead.

Sumanyu Saraf: Hi. Thank you for the opportunity. So my question is regarding RM prices and gross margins. So I understand from your remarks that there has been an uptick in raw material prices which I can also see falling gross margins year-on-year. However, if I see slide 17 of your PPT on sensitivity and key RM categories prices of all categories have actually fallen year-on-year. So what am I missing here?

Rishabh Jain: So slide 17, if you see in last quarter, like overall level is also increasing compared to last quarter. Purchase largely seen in first quarter but overall, we see good increase in inflation in purchase price also in this quarter. So overall, this is just a trend of overall at average level because there's a lot of process. So we are a multi-category brand. It's not depending on a single brand that like if we are only a chips company this year potato price has been in a very inflationary pressure

like potato price correctly the 27, 28 level, which last year was 15, 16 level.

So we did not, for potato price overall, which is selling 6%, 7% overall business share in our overall business. So we are not dependent on any single brand, single category. We are using multiple process, multiple, a lot of like there are lot of raw material we are using. So any significant impact on single raw material doesn't impact much on our gross margin. But overall, yes, we are seeing some inflation in potato, dry fruits like kaju or few pulses like chana, chana and more prices. So that's what we are seeing.

Sumanyu Saraf: Okay. Now so I understand sequentially, prices have gone up. But if you see year-on-year, so basically do you mean that there are some other key raw material apart from the four discourse in the PPT because year-on-year all these four have fallen. Like if I say, laminates have gone down from 0.90, 0.84?

Rishabh Jain: Right. Like edible oil what we see it said 150 levels came down to around 100 level. So on year-over-year but we also passed on the prices. We will see last year, volume growth was 18% versus value growth was 13%, 14%. We have passed on the prices we have given promo offer, a lot of trade schemes, what we've given. So that's how you will see that the prices is also falling and our sales value is gone down compared to volumes. So that's wh

at is going parallel.

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Sumanyu Saraf: Okay. Thank you.

Manoj Verma: So just to add to it. So one is year-on-year. The other thing is idea was to just show you the swing and trends that is moving up. So when we look at what we did in quarter, last quarter or the yesterday quarter and where it is. So it's just indicative. Idea was to give that flavor and sense of how it's moving.

Sumanyu Saraf: Right. So overall, should I understand raw material prices have risen year-on-year or they have been benign

Rishabh Jain: So overall, compared to last two quarters it has started increasing in the last two quarters.

Sumanyu Saraf: Yes. But on a year-on-year basis?

Manoj Verma: On year-on-year, it is largely same.

Sumanyu Saraf: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Kuber Chauhan from Anand Rathi. Please go ahead.

Kuber Chauhan: Thank you for the opportunity. And congratulations for a good set of numbers. I just wanted to note that what kind of price hike variation is there between our core market and focused market? And what kind of price hike we have taken in terms of categories?

Rishabh Jain: So from price hike lens, what I told earlier also that we're taking on average close to 0.7% price rise in first quarter, end of first quarter largely May, I think. So that's how the price hike we have taken. And also, we have withdrawn some consumer offer and go more offer. So overall also in the coming quarters, what we see that we'll take 1.5% price rise in coming quarters.

Kuber Chauhan: So across category, we have taken? Or I mean if you can just specify the categories. Is it Western, is it Bhujia Namkeen?

Rishabh Jain: All the snacks categories

Kuber Chauhan: Okay. And is there any kind of a variation between core and focused market in terms of prices, what we sell?

Rishabh Jain: Pricing is largely same.

Kuber Chauhan: Okay. Thank you and all the best.

Rishabh Jain: Thank you.

Moderator: Thank you very much. The next question is from the line of Prashant Kothari from Pictet AMC. Please go ahead.

Prashant Kothari: Hello, sir. A couple of questions. First is on this pricing versus raw materials, it a bit confusing because year-on-year, we see that the volume growth is higher than the sales. So that we see

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some pricing, but on an overall basis versus about 3% price increase that we are kind of guiding to us and explain that, please? And second question was on the Ecom side. How important it is for us on an overall business? And also maybe if you were to kind of drill down into kind of big metros is like Delhi and stuff, how far important it would have been. Thank you.

Manoj Verma: So I think this new channel is picking up the case and is extremely important from two lens. One is in terms of it can help you reach anywhere and everywhere and anytime. That's one. And second is that this is where this also helps you to be on top of mind. So that's what it also do that besides volume. Today, if we look at the contribution of this is Ecom channel is not as much when because if we see the universe of outlets selling this stationary product is 8.5 million, even

more outlets.

So Ecom cannot make it for all. But still last minute, convenience is what other factors, which is really picking it up. So we speak about this channel for us has grown at over 200%. But then the bases are small. We see this channel getting stronger and that's where our synergies are JVPs with these channel partners has strengthened over years and we will continue to invest behind this channel.

Prashant Kothari: Thanks and the question about pricing?

Rishabh Jain: Yes. So from pricing lens. So can you repeat the question, please?

Prashant Kothari: Yes. The question is that we are seeing at 3% price growth but what you're seeing actually is volume growth being high in the sales, pricing is actually declining year-over-year. So just explain that what i

s some one-off or something else?

Rishabh Jain: Yes. So largely from pricing lens, you'll see that last 1.5 years back, we have seen a good inflation in each raw material. And then it started falling like commodity prices started falling, purchase prices started falling. So overall, we have seen a good fall in all the commodity with edible oil and other pulses. So we also reduced the prices. So last year, you will see that our volume growth was in salty snacks was much higher than a value growth. We will begin promo offer, reduce prices, both things we have done.

So last year, volume growth was close to 17%-18% in salty snacks category versus value growth was close 13.5%. There was a gap. Like this year, we will see the gap has been reduced where we have done some increase in prices and also started removing some consumer offer and everything. So this year, we'll see a capex reduced compared to last year. And in the coming quarters also, we will see that largely if we've seen until last quarter, we'll see increase in prices of increase in value growth versus volume. So that's what we see. And in end of second quarter largely into next, we will also take some price increase depending on what commodity prices have been going on.

Prashant Kothari: All right. Thank you, sir.

Moderator: Mr. Prashant is your question over?

Prashant Kothari: Yes. Thank you very much.

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Moderator: Okay. Thank you very much. The next question is from the line of Abhishek Kumar from Sanctum Wealth. Please go ahead.

Abhishek Kumar: Hi. Good afternoon and congratulations on good volume growth. So I had two questions. My first question in this quarter in your strategy. So when you guys focus on any particular new state or the focuses or how you guys go about it with respect to your products? So is it all the products at the same time? Or is it on the taste references of that particular region that you decide on maybe for sampling our first in terms with a particular product and we are gradually pushing other products? So that's my first question.

Manoj Verma: Yes. So as we get into the state, we look at it, what is the saliency of what product sales more? And again, whom are we wanting to know play. So that's the first stuff. So while we have a large bouquet of products, huge number of SKUs but we go with limited set. And then we see what works. So we start putting pressure or investment behind that.

And certain products when we see that the movement are very slow we try to cut the tail. That's what is the strategy we work. And even otherwise, if you look at we have been there in these states for quite a while. And the salience of products is not the same.

So let's say, in Rajasthan, if my Bhujia contributes to about 30%. In southern states it contributes about 10%, 12% kind of stuff. So product mix is changing. We do not deprive or just not say we will not sell. That's not the strategy. But yes, what must sell is definitely we push for.

Abhishek Kumar: And in continuation with this, so new innovations all SP was particular product saying ethnic or basis. So innovations are possibly through the core markets or again over there also we just go that all the market at the same time or what's your tried look for this and absolutely bigger?

Manoj Verma: So few are at the national level and few are at a regional and geography specific. So for example, last year, we launched Paneer Bhujia, right? And this was for Pan-India. So we started off from core, but did extremely well moved on to focus and to other states as well. There is the products like, say, Mangalore mixture, Southern mixture, so those are more south specific.

However, on quick-con, if we look at, so maybe the South Indian that product staying in the north or daily part. So it does there also. But then, yes, focus on these kinds of entities was more on south, but still sell, but in a very limited quantity. That's how it works. So it's a m

ix of both

certain say, Jhalmuri kind of stuff which works very well in the eastern states. But we do sell it in other states as well, salience is low.

Abhishek Kumar: And my last question was with respect to competition. So as you mentioned earlier to one of the

participants that you wouldn't want to increase your market share in focus markets from, say, currently less than 2% to 4% in net coming 2 years, 3 years. So how exactly is the competition in those markets currently we see and the sand labor also? And then as competition from other Pan-India players, both in ethnics versus that, and along with local regional there, so if you could throw some light on that.

Manoj Verma: Yes. So for us, Western is a very small category for us, traditional is large, and that's where we focus more on. In terms of competition, we do have intense competition. The market is like a

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battlefield. All brands want to get gain space in the store, market share, distribution and so does we want.

So it's about doing right things in the right place at the right time, that's what is the mantra we play on. And for that, the back end supports the kind of marketing investment, synergies between marketing and sales, what we try to bring in helps us thus far, and we would continue to invest behind this kind of investment. So two-pronged again, one is to create demand that marketing and to push that sales services sales and distribution SMB.

These are the stuff that we are working around to top it up is with the right innovation, right products, quality and all, so which is what giving consumers a good experience, which helps in us getting impact for our consumption. So that's the philosophy or the mantra we are trying to work on.

Abhishek Kumar: Thanks a lot and all the best.

Moderator: Thank you very much. The next question is from Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Thank you so much for the opportunity and congratulations on the numbers. I was reading a report from September '22, and I was just looking at the market share. So in Western we had 0.8%, in ethnic we had 9%, in sweets we had 6%, and in papad we had 5.7%. So could you please help us out into knowing for FY'24, how have we gained or have we lost? Can you please elaborate on this, on these four aspects?

Manoj Verma: Yes. So gentlemen, that was the time where we were going in for IPO, and we had taken this one-time data from one of the research agencies, right? So maybe we can separately get back on that stuff. We have asked for some data to come in. Looking at the kind of growth year-on-year, what we are doing. And if you read and if you would have heard that overall category hasn't grown in the pace what Bikaji has done.

So which leaves us with a number which that year-on-year, we have gained share. That's where it is. Western snacks, yes, let's say, even in quarter one, even if you look at last year, we have grown by 25%. So which, but it's a very small share. So therefore, I don't know at a national level, what movement it would have done. But maybe we can get back to you on the start on more in details.

Manan Vandur: Okay. Sure. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Nishant Joshi, who is an individual investor. Please go ahead.

Nishant Joshi: Hello, sir. Nishant here. I have a small query. As the ethnic snacks contribute the largest in the top line, around 75% and the capacity the company has production around Ethnic snacks contribute around 55%. So can I know what is the capacity utilization for this particular segment. Production capacity utilization?

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Rishabh Jain: So ethnic snacks, so we have built a big capacity in Namkeens, which summarized in ethnic snacks category. So in Namkeens, we have a big capacity. Of course, in western snack, the capacity utilization is low because we are building this category. And then ethnic sn

acks

compared to western snacks, the capacity utilization is high. So overall, I don't have exact number as of now, but yes, overall western snack capacity is low compared to the ethnic snack, that's what I can say.

Nishant Joshi: Okay. So means capacity is enough to take care of next 3 years, 4 years of sales.

Rishabh Jain: For the next 3 years, we are very much comfortable that we don't want to do any major investment in any category with ethnic snacks or western snacks.

Moderator: Mr. Nishant, is your question over?

Nishant Joshi: Yes. Thank you.

Moderator: Okay. Sure. Thank you very much. This was the last question for today. I would now like to hand the conference over to the management for closing comments.

Manoj Verma: Yes. So once again, thank you very much for joining this call. I hope we could answer your

questions. However, if any of the question you feel you couldn't ask now on the paucity of time or you feel that no was not answered well. We'll be glad to take them up separately and you can reach out to our communication manager, Prateek, he will help you connect with the right person, and we'll be happy to answer any more questions. With this, thanks, once again.
Moderator: Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

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To,

Dept of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and half year ended on September 30, 2024

Dear Sir/ Madam,

We hereby inform you that in continuation to our letter bearing Ref. No. BFIL/SEC/2024-25/74 dated October 21, 2024 and pursuant to the requirements of the Regulation 30(6), read with the Part A of the Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), as amended from time to time, an Earnings Conference Call with the Investors and Analysts to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended on September 30, 2024 was conducted on Friday, October 25, 2024 at 02:00 P.M. IST. Please find enclosed herewith the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call will also be hosted on the website of the Company and the same can be accessed at www.bikaji.com.

You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head - Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As above

"Bikaji Foods International Limited

Q2 FY '25 Earnings Conference Call "

October 25, 2024

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MR. MANOJ VERMA – CHIEF OPERATING OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MODERATOR : MS. HAZEL RATHOD – S-ANCIAL TECHNOLOGIES
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Bikaji Foods International Q2 FY '25 post-earnings call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Hazel Rathod. Thank you and over to you, ma'am.

Hazel Rathod: Thank you. Good afternoon, everyone. Thank you for joining us for Bikaji Foods International Q2 FY '25 Earnings Conference Call. From the management, we have with us Mr. Rishabh Jain, CFO and Mr. Manoj Verma, COO. I now request Mr. Rishabh Jain to take us through the key opening remarks, after which we can open the floor for the question-and-answer session. Thank you and over to you, sir.

Rishabh Jain: Good afternoon, everyone, and thank you for joining the call. First of all, we wish you all a great and happy Diwali. And so basically, from Bikaji lens, we are a company that has shown robust growth in volume. In volume sense, we grew close to 15% volume growth in the second quarter. And from value level, basically, all the categories have grown at upward 20%, be it sweets, be it papad, western snacks, they have grown at +20%. Ethnic snacks have grown at +10%, so all double-digit growth.

And despite tough, challenging environment in the street. Overall, from category lens also, we did a reasonably good job. We also started consumer offer in this season, mid of August - September. So, mid of August, basically, we started a consumer offer – Bikaji Khao London Jao, which was never before. This is the first time we've started, we've done this, and we're getting good response from this campaign. And you will see the results from family pack growth. So, our family pack has grown reasonably good speed compared to impulse pack. We're getting good traction from the same. Overall, from cost lens also, we've seen a cost pressure in edible oil, wheat, palm oil, or few pulses. But we were very proactive in passing on the prices. We are also working on cost-saving program, cost control program, where our team is working on cutting the prices and saving prices for the company. So, largely, at both levels, we are trying to maximize profit. But our main endeavour will be growing the volume, at least for the next two years.

That's the main endeavour. Overall, in quarter two, our value has grown at 16.5%, where volume growth was 15%. And if you exclude PLI, our value growth is close to 16%. Our EBITDA growth is close to 22%. Our EBITDA is close to 14.8%, but without PLI our EBITDA is close to 13%.

Overall, PAT growth compared to last quarter was close to 14.7%. Our gross margin in first quarter was close to 32.2%. And this quarter, despite increasing prices in palm oil, increasing few pulses prices, we've try to maintain a gross margin of close to 32%. From H1 lens, so basically, overall, our value growth is the value from operation growth where volume growth is

very strong at 15.5%. Our EBITDA margin is close to 15.3%. Also, like this year, Diwali is in October versus last year, Diwali was in November. So, last year, it was an extra 10 days, 7-8 days. So, the sweet sale is a major push in second quarter this year versus last year. It was also in contribution was good in third quarter. There will be a little freefall of sweet sale in this quarter.

From overall capacity lens, so we are good in capacity. So, we have built capacity in last two and a half years across all core and focus market. And we are largely okay with what capacity we have for next two, three years. We don't need major capex for growing the capacity for investment. In sweet category, of course, we'll do so

me investment in next one year to grow the capacity to meet the expectation. Because we are seeing great conversion of anomalies to augment in sweet category. There are a lot of innovation which we and across the industry is doing in the sweet category. Adding few products which are masses like Kaju Katli or Ladoo. These are big products coming on in the last one or two years, what we are seeing. So, overall, some number of outlets planned. So, basically, we always focus on adding direct coverage. This is what helps us in getting to right distributors and right retailers. Focusing on right coverage, focusing on right products and right outlets. That's what we are focusing on I would say. We added sales team in last one and a half years. And our major focus, like you will see in the last one year, where in September '23, our overall direct reach was 2,08,000. We increased it 2,78,000. So, that's 70,000 increase in direct coverage. And that's what our endeavour is to reach at least 3.5 lakh outlets till FY '26.

Manoj Verma: Yes, so, this was a Bikaji Khao London Jao , a consumer offer. This was on our large packs, family packs. And a never before kind of investment for the consumer, what we did. This has given good and very, very, you know, magnum, magnumus branding opportunity across. And the vehicles that we used on to it was getting on to prime time. We were also co -sponsor for Kaun Banega Crorepati kind of programs across channels, news channels, print media, BTL and the rest of the activations along with it.

So, there were a lot of, you know, noise which is still there in the market, because this promo would continue till 15th December , 2024 . So, a half of the last quarter is what we could utilize in this. And we'll have almost full quarter three to leverage on this promo.

The entire buzz is being created around social media. Talking on the quarter two business performance, if you look at the volume growth as Rishabh spoke about is 15% over last year. Revenue growth was 18.5%. This is inclusive of PLI. Net of PLI 16%. The thing is that Ethnic Snacks is at 10.5% growth , Western Snacks at 23.2% growth and Packaged Sweets at 22 .0% growth.

Normally, there's always a scene when Sweets does high or is on a high growth or high share of business. That's the time Ethnic Snacks takes a little hit on that stuff, because end of the day, there is a stocking capacity on the retailer's shelf. And the stock rate at the stores goes down. So, that's a general phenomenon if we look over the last many, many years. That's how it works. So, this is purely in line of it.

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Papad has grown in this quarter at 26 .2%. So, sum total Q1, Q2. So, YTD, H1 numbers, if we look at volume growth stands at 15.5%. Revenue growth at 18.6%. Ethnic Snacks, 13.1%. Packaged Sweets, 22.7%. Western Snacks at 24.5%. And Papad at 19.4% growth. A trend if we look at over Q2 last year versus Q2 th is year. So, Ethnic Snacks contribution from 68.9% last year is now at 65.5%. This is primarily because higher salience of Sweets in this quarter. At H1 level, if we look at H1 '25, it's almost 70% which is Ethnic Snacks.

And over last year, it was 71.4 %. Sweets has slightly moved up, which is what Rishabh was explaining that this time, it is a little early Diwali, so it has moved up in this quarter. Moving up to 13.5% contribution versus 12.8% which was last year. Western Snacks is at 9.1% versus 8.4% last year. Our others at 2.6% this year versus 2.5% which is almost the same. It is Papad which has slightly moved up at 5 .0% share of business versus 4.9% last year.

Talking about geography, so our core market in this quarter has grown at 11 .0%. Focus market has grown at 27 .0%. Other markets have grown at 34% that's on the back of Modern Trade and Sweets and Gifting, which plays a big role in the rest of the states. Export continues to grow at a good double -digit number at 20

% in this quarter. Overall H1 data or growth percentage if you talk about core states are at 12.7%, focus at 14.8%, other state s at 40.6% and exports at 14.7% . What we always talk about now are dominance or the strong footage on the Family Packs. So in quarter two this year, Family Packs has grown at 22.4% while Impulse Pack was a little slow at 6.9%. The contribution of Family Pack hence is now at 62.3% in this quarter versus 59.1% in the last year, quarter two. But at H1 level if we look at our Family Pack is at 19.7% growth, Impulse at 1 0.0% and the split between Family Pack and Impulse Pack is 59.6% versus 57.6% last year and the Impulse Pack this year is 39.1 % which was 41 .2% last year.

Rishabh Jain: So overall from revenue length we have done close to INR 721 crores of revenue from operations where EBITDA is close to INR 107 crores . EBITDA margin is at close to 14.8%. Overall compared to last year, last quarter overall EBITDA was close to 16% primarily due to higher gross margin compared to this quarter. But overall compared to, in this quarter, so we have done ad cost of close to ~2% versus in last quarter one , our ad cost was less than 0.5%. So, despite increasing ad cost our EBITDA mar gin is intact and largely this lot of efficiency which has been below gross margin level which has come in once we start building sales and top line . And that's what we wil l see in next two, three years.

Also from cost management level, so we have done a lot of cost management activity which has helped us in overall maintaining margins, be it managing freight at the right place, opening depots at a different place or be it cost at a raw material level wher e we have done long term contract at the right time to have hedge in overall pricing of our commodity. So basically, edible oil, so in last quarter, majorly in September we have seen increase in prices but in third quarter we are seeing edible oil price increase in a different level.

So overall edible oil has increased compared to last quarter it was close to 22%. But overall, we also started passing on the prices in October. In October first week we increased the price to 2.5% in S alted Snacks category which will help in maintaining our margin at overall level. And

this year we have seen a good crop across a good rain and we are seeing a good crop coming in. So, we are seeing price reduction in key commodity.

We started seeing order in moong dal, wheat, peanuts and everything we are seeing price reduction. So we are hopeful that in next third and fourth quarter it again came to our original level s of gross margin. From balance sheet level, so in second quarter largely we see upwards of stock is mainly due to mainly to support like modern trades normally do 30 to 40 days of outstanding. So largely it's a modern trade and few generated party. But normally in third and fourth quarter it's all realized. So this is i n second quarter phenomena where Diwali season is a uptick of stock later. That's from the presentation part.

I'll also update on PLI. So with five, so that is last year PLI, so basically we'll mostly be receiving fourth quarter from the government . And we have re -filed all the filings to the government by third quarter end. So we are hope ful that government will reimburse the same in fourth quarter. Normally it's 12-month phenomena that we'll receive the same in the duration of 12 months. That's all. Thank you very much. We're happy to answer any question s.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: Sir, can you give some idea on what is the inflation in palm , especially after the import duty was levied? And does it make sense for you now to also launch some other variants which are not made with palm oil if the cost differential isn't too huge? May

be price them at a slight premium

with a health focus, etc. Does that make sense? And thirdly, what are the pricing actions that you have put in place or which would require to be put in place in order to meet the input cost inflation?

Rishabh Jain: Thank you, Percy. So, basically, of course, you will see that our average purchase of palm oil was close to INR 100 later in the second quarter versus currently we are doing it at INR 125 plus right now. So, we are seeing an increase in palm oil and not in palm oil but in all the other oils because they all run in the same way. But overall, we have immediately taken action and we have started passing on the prices in October 1st week. We have increased the price of all – next week INR 5, INR 10 we reduced some grammage – increased MRP. So, we started working on the same and we increased it to 2.5%. So, that's what action we have taken.

Percy Panthaki: Sorry, how much I missed that?

Rishabh Jain: Between 2 % to 2.5%. ..

Percy Panthaki: And that is enough to maintain your margins or this is only the first tranche and more price increases would be required?

Rishabh Jain: It's largely enough. So, basically, we are also seeing post -November. So, from mid -November, we are looking at some downfall, downside in key raw materials. So, it will be held largely. So, we are not seeing any major price increase in third quarter.

Percy Panthaki: And a lot of companies have been talking about urban slowdown. Are you witnessing any such thing in your business?

Manoj Verma: Yes, Percy , Manoj this side . So, that's true to certain extent but it so happe ns that our G ifting and Sweets is very, very large. And that is the reason that for us, urban has not been as bad. But when we go, when we visit markets and all, which is reflecting from our small pack performance, which should have been much better but it's on a slightly lower side. So, yes, that's what is the stuff. Because, you know, when you do wholesale or these small outlets in urban where the throughput of smal l packs is very high.

So, that has slightly come down. Overall, if we look at rural has grown or done better than urban. Net of G ifting and Sweets , if we look at.

Percy Panthaki: So, going ahead, let's say in 3Q or definitely in 4Q, this Gifting and Sweets will not be there to rescue. So, if the demand environment continues at the current level, how much of an impact do we see in our business in terms of volume?

Manoj Verma: So, two things. One is that if you look at our business phasing in quarter two , quarter three , it has a huge component of Gifting and the Sweets. All I meant was that these two components have huge share of business. But in terms of growth standpoint or budget delivery, they are in line with what we have planned. In quarter three, these two components are small. So, what we have done is and which is what I was trying to explain that to keep up this urban momentum . The "Bikaji khao London Jao ", the consumer offer, we have extended till December. So, this would certainly help us both in Bhujia and in Namkeen. So, that's what we are covering. And most of our teams is on to it. I mean, there would be certain things which we would be doing.

So, as to proactively, find out that what is that we need to do and we will see these programs rolling out in the marketplace. So, we are cognizant of this challenge and trying to address that.

Percy Panthaki: And coming to your Focus states, can you give some color on out of the five -six states that we have? Where is it that we are getting very good traction? Where is it that we are lagging? Roughly what kind of market share we have achieved in the best among these six states? Some flavor of that, please.

Manoj Verma: So, we added, last year, one state in our Focus state, which is Chhattisgarh. And that was primarily because we got our plant up in Raipur. So, this is a small state, small in terms of the category size as well. But we have done, we have got very, very good results, in last one year, what we what we've seen. So, Chhattisgarh has come out very well in the upwards of 5% market share as we speak.

Even otherwise, if you look at the share gain across states, across all the focus states. Delhi is one state which has not done so well. I mean, because of competitive intensity is fairly high. And I think, when we look back, we also haven't done or could not do as much for Delhi. So, that's what would need some more attention. Otherwise, the rest of it is all on track. And that perhaps is the reason is that overall, 27% growth from focus states in this quarter.

Percy Pathaki: Okay. That's it for me. Thanks, and all the best.

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Moderator: Thank you, sir. The next question is from the line of Anand Shah from Axis Capital. Please go ahead, sir.

Anand Shah: Hi, sir. Just a question on the recent acquisitions, I mean, of THF and you're looking to sort of build a housing branch in QSR. So, just wanted to understand your thought process here and any specific capital deployment you have planned here? Are you looking for more acquisitions? Will you also be scaling up the Bikaji brand into QSR and all?

Rishabh Jain: Right. So, Anand, basically, this acquisition major objective was like we want to create a house of brand strategy, where Bikaji will mainly focus on North Indian snacks and sweets. But you will see bakery, artisanal sweets are a big category coming up and it's a big market in next, we see in 5 -10 years. And that's how The Hazelnut Factory came in. And this is majorly into artisanal sweets, bakeries or coffee. So, that's a major sale and the best part is it's highly profitable.

They are doing a bit of close to 11 %-12% the top line what they are doing and we see great potential in next 5 -7 years in this business . Currently we have valued the company at INR 100 crores pre-money and we've taken 40% stake in first charge. In next 2 years, we'll increase our stake to 53 -54%. That's the plan we have as of now. But yes, we see great potential and we normally look into it when we see acquisition basket. So, we see small brand where we can help and make them big. That's where we will focus on.

Anand Shah: Thank God. So, all these bakeries and artisanal products, you will essentially be looking to scale up in your own business. It will be more like this cafe QSR model.

Rishabh Jain: Right, right, right. So, basically, of course, because Bikaji QSR will also come up in end of this year. So, basically, we are also evaluating all other divisions, be it this bakery business is very big. So, they are very beautifully made. So, we see great potential in this acquisition. Like what we see , that this business can become 5 x in 5 years, comfortably.

Anand Shah: Okay, great. And also, another acquisition, I mean, if you can outline Ariba Foods, you had done a while ago, a few months back on the frozen food side. So, I mean, you're also expanding capacities in business . So, what is the plan here in terms of scaling up the frozen business?

Rishabh Jain: So, basically, we are strengthening our backend. So, we have a QSR frozen plant in Bikaner, which is in Bikaji Foods and in Ariba Foods. So, we have done complete backend, we have strengthened our backend. And now, so this, our QSR has done it also, when they will scale this, this capacity will help them to grow further into business without looking at any other in vestment in capex .

Anand Shah: So, Ariba will act as a backend as well as enhance your export business, both?

Rishabh Jain: Both, both. In export , frozen is a big category and we will start focusing in export post Diwali for the outside India market. There's a big opportunity for us.

Anand Shah: And currently, how big will be your frozen exports business?

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Rishabh Jain: Currently, it

's very small. It's close to, close to 25 %-30% of overall export , 25%, 26% . Got it.

And lastly, is there any specific amount of capital that you have sort of blocked in your internal plans towards this QSR expansion and all?

So, we didn't see any major expansion coming in next two, three years and we have done major Capex in last two, three years. Now, normally, so we'll generate a lot of cash in next two - three years. So, we'll look at right asset, which can give either category addition or anything. But yes , it doesn't require any major fund in any way.

Anand Shah: Okay. Got it. And on your focus states, I mean, kind the of expansion and distribution, are you seeing any resistance from any competition there or any competitive intensity, because you have expanded and doing well in some of the focus markets?

Manoj Verma: See, we are very small at this point in time. So, now our competition, to start with and getting distribution is nothing to do with the major giants there or the market leaders. It is a journey. It's getting our placement done, which is what we're working on. And we have gained number of stores in these focus markets as well. I think that perhaps the question what you're asking would be, no getting shares from the competition or from the market le aders.

That would be part two of it. But for now, distribution is falling in place. Our ATL activation and BTL activation gives the air cover to the sales team to get this placement in these markets and in these stores.

Anand Shah: And one last question is, a campaign that you are running that you'd be booking the cost in the ANP line. T his 2% of spend that you have done this quarter, you will be capturing.

Manoj Verma: Yes, that's a consumer offer , the ATL spends.

Anand Shah: And so on A&P , will you see a good amount of hike this year because of these consumer offers and all? I mean, was this your usual?

Manoj Verma: Oh, we'll manage within our budgets. What we have, I mean, this is just a location , what we don't get in this term.

Anand Shah: Perfect. Perfect. Thanks a lot and a Happy Diwali to you.

Moderator: Thank you, sir. The next question is from the line of Abneesh Roy from Nuvama. Please go ahead, sir.

Abneesh Roy : Yes, congrats. My first question is on the INR 5 price point. So, we have seen in the past few years, noodles face this issue that at INR 5, the grammage became so low that they had to vacate it and eventually even INR 10 got vacated even in the urban areas.

So, I wanted to understand at INR 5, what is the challenge? Are we very close now to saturation point given palm oil is seeing very sharp inflation? If you could talk about, is the customer happy at that INR 5 price point against the grammage which you will now offer post the grammage cut?

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Manoj Verma: Hi Abneesh , Manoj here. So, I think now the example you took of Maggi is perfectly right because that used to be a meal that was not a snacking. I think the better example would be biscuits, wherein, you know, INR 5 tax still exists and still a dominant share of business of this particular price point. And our snacking category is also in line with the same. So, for now, the price is going to be passed to the consumer which they will witness in this month onwards. So, that's where it is.

But I think there is still a headroom that now we can go ahead . Over a period of time, maybe in 3 to 5 years is what you will see the larger impact. Because if I look at INR 5 and 10 issues put together, still in the Namkeen category, they contribute to 70% of business.

Abneesh Roy : Okay. And second question is whenever the new packaging norms come in terms of all the carbs, fat and all those calories etc. being more prominently featured, would you see that as an opportunity given the local players or maybe the customer also will then become more aware? And so maybe he will go towards more branded. But

flip side is maybe he will cut down also

because on health and all this heart related issue, and the customer awareness is also increasing.

So, if you could specifically com ment on the packaging norms whenever they come, how do you see impact on the business?

Manoj Verma: We abide by all the norms in the compliance which comes as and when. So, see, if you look at or visualize just a INR 5 pack, there's hardly a place to put or when you put, I mean, for a consumer or a shopper standpoint, not as comfortable to read even. 70% of the business happens from INR 5 and INR 10 pack. So, on the go the consumer is not as much conscious. It is the family fact wherein, you know, these things goes loud and bold. And that is good for us in terms of that vis -a-vis competition. I think we would only gain mileage in that stuff. To your last point, I mean, we haven't seen these changes. If you see every year, there's something or the other has kept on changing. But that has not made a ny impact in terms of what any measurable impact on our business, which I can quantify.

Abneesh Roy : Sure. Last question is on your quick commerce, e -commerce, if you could share some more

initiatives and numbers. And second is a lot of FMCG companies are expanding in rural areas significantly in terms of van direct distribution, reach, etc. For example, Godrej consumers spending 100 bps of their sales on vans. Significant investment. If you could tell us in terms of van usage in rural areas, how much is the usage by you currently? And do you see that significant ramp up can help in this kind of business?

Manoj Verma: Yes, so I'll take the latter question first on the van coverage. So currently, what we do is we subsidize our distributors, right? And which is what they do. So, it's not a company operated van we have, right? We are not in that model. But yes, we are evaluating it in the focus states where we are not as strong, or where the distributors are not getting as much ROI to run on their own. That's on the cards, but we haven't started as yet. Howsoever, our coverage in the rural market in the core of the state is pretty high, but then done and led by our super distributors or the sub distributors there.

Abneesh Roy : Okay, quick commerce, e-commerce.

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Manoj Verma: And yes, so I'm coming on to quick comm. So q-comm is doing extremely, extremely well. And it's not only for us, I think it's for the industry. As such talking about numbers. So H1 growth for QCOM is 165%. So that's the kind of number we've not yet had. But also because of one lower base, and second that they're also opening more and more pin codes.

So, it's both organic and inorganic growth, which is what is translating into these numbers. But yes, very promising. And this heat is going back to the general trade accounts, right? So there's a lot of noise around, the general trade, that no our business is going to QCOM and all, but that's how the business is. I'm sure GT will, being a very high share of business would continue. But for now, yes, there is some resistance.

How we as an organization, look, this QCOM is an opportunity to grow our category, because many a times, a QCOM consumer, in the absence of QCOM would not have had that product. But these yields get them to consume that stuff. So it is a little bit of cannibalization from general trade to QCOM. But we see it as an opportunity that now this is how the category is also growing or will help the category grow.

Abneesh Roy : Just one small follow up and that's the last. So in terms of INR 5- INR 10 on quick commerce, is it different versus company average? As a mix?

Manoj Verma: We hardly sell INR 5 and INR 10 on that stuff.

Abneesh Roy : Ok, sure. That's all from my side. Thank you.

Moderator: The next question is from the line of Nitin from Emkay Global. Please go ahead, sir.

Nitin: Hi, thanks for the opportunity. Hi, Manoj.

Hi, Rishabh. I just wanted to gauge further on raw material side where Rishabh has highlighted that mid-November raw material prices should ease. Can you elaborate on that?

Rishabh Jain: Raw material pricing? What needs to be elaborated?

Nitin: No. So raw material prices are inflationary and you are expecting by mid-November, prices to sort of ease. So, like, can you throw some light into it? Like which all raw materials and how the easing you are expecting?

Rishabh Jain: We see all the pulses because the fresh crop normally comes in October and November. So there's a fresh crop. So, we normally see reduction in pricing across each raw material. Also, like for example, potato. Currently, potato price is on the rooftop. It's the end of potato season. But from November, mid to November, and you'll see again fresh potato come in and the price will be close to 50% of what we are paying as of now in the next one month. Right. So that's what we see in all the key crops.

So, we see major price ease down in a few commodities. Key commodities is what we are using as of now. But edible oil is a big factor which we are trying to pass on the same to consumers. But other than edible oil, all the other pulses, what we are seeing ease down of price.

Nitin: And this edible oil is how much percent of your raw material? Is it around 30% or higher?

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Rishabh Jain: Need to check, but yes, close to 24- 25%.

Nitin: Second question is on employee cost remained on a higher side. So what are the drivers? Is this because of like a high contract labour or like the ESOP cost or something? Can you help us?

Rishabh Jain: So last year it was ESOP cost. So last year in December, we gave an ESOP to our employees. That's the ESOP cost which is one of the major part in increasing employees. But yes, we are largely in last one year, we added frontline employees, frontline sales team to drive our MDs

and drive our sales. That's one addition. But overall, we also added leadership position like CHRO added in this year. So, we are investing a lot in the people and that's what will drive business in the future.

Nitin: So is the employee cost increase, going to be high going ahead also?

Rishabh Jain: We see 12 %-13% growth year-on-year for next few years.

Nitin: And lastly, if I look at your capacity, installed capacity data, so there is some shift or there is an expansion Q-o-Q in N amkeen and contraction in Sweets. So, any specific reason for this?

Rishabh Jain: So, there is an increase in N amkeen versus change in Western Snacks largely. So, there is some just classification, but classification nothing else.

Nitin: So, line wise, like in terms of your capacity remains same, it's just the classification.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Congratulations on the Hazelnut acquisition. So, I have three questions to start with Hazelnut. In the first half, what is the number? And the question here is that, when do you start reporting and consolidating numbers for Hazelnut?

Rishabh Jain: So, these Hazelnut numbers will get reported in post-December '26 when we complete, we will take 50% plus stake in the company. So, these are first tranche where we have taken 40% shares in the company. By end of next year, December '25, we will take another 7 %-8%, then 5 %-6% in December '26. Suppose that we will be having majority and, in that time, this number will get merged into our business by December '26.

Shirish Pardeshi: Would you be able to share what is the first half number in FY25?

Rishabh Jain: In FY25 first half, it's close to INR 24-25 crore. Close to, I need to check, but yes, it is around ...

Shirish Pardeshi: So it is running the similar run rate, because last year, I think ...

Rishabh Jain: Diwali and gifting are big for them, like what's for us. Because they are also running like

what

Bikaji store is, big stores majorly focusing on Sweets, Gifting. So that Diwali is also big, like what we have.

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Manoj Verma: And see, that is perishable stuff, so it's not on CPG kind of stuff. So you will see that Hazelnut, very big performance getting into this October month, so which would come up in quarter three, not in H1.

Shirish Pardeshi: Yes, I understand and that is why this question I made, Manoj. Okay, my second question on Slide 21, when you compare last year versus this year, the family pack contribution has moved from 59 to 62. So just more curious, because your promotion is on and it will also last till December. So, what kind of contribution we will expect? I mean, it will inch up, but will it be significantly rise to maybe about 75 %-80%?

Rishabh Jain: No, so basically the ratio will be around same. I also told you, so largely in this year, Diwali is little earlier, so last year Diwali was in November 10, this year Diwali is in October 31st, right. So there is little preponderance of Sweet sale also in this quarter. So that's how sweet sale is looking at ~22% growth. But overall when you see full year number, it will be close to what we are doing in ethnic snacks.

So that's how, but overall what we see that the issue will be around same, because Impulse's also grew at the same level, this will not be at 6 %-7%. So overall what we see 60 -40 ratio will be maintained in third quarter also.

Shirish Pardeshi: No, potentially if the contribution has gone up about 400 basis point, it is a perfect case that we can expect the margin expansion. Is that the case or right assumption we should go with?

Rishabh Jain: So, margin expansion, so majorly our major focus is, at least for next 4 -6 quarters is driving growth, that's what our major activity is. And of course, margin we want to do a profitable growth, that's what our principle. So yes, overall, but yes, margin expansion level, we want to do margin EBITDA sustain excluding of PLI what we did earlier. That's what we will try to maintain. Subject to any other calamity like edible oil, taxes came in, nothing comes in as of now.

Shirish Pardeshi: The last question on the edible oil sourcing, can you just explain how we source edible oil, because we see the prices is really moved out of roof and there is an escalation on duty also. So just more curious how we will manage this cost?

Rishabh Jain: So, we source from all the big vendors in India, nothing from, we are not sourcing directly outside from India, we are sourcing from Indian vendors, all the big vendors who were doing, who were selling edible oil. So, but yes, we are not only dependent on farmers, we are mainly using cottonseed oil, which is mainly farmed and produced nearby Rajasthan. So that's the key commodity which is equally equal size to what we are using palm oil, that's equal size.

So, but yes, overall price of both the edible oils are largely the same, they both go together, either up or either down. But yes, overall what we do is that we have kept a medium threshold in gross margin level. So once any threshold breaks, we immediately increase the prices, that is what we

do. In October first week, we pass on the prices to consumers at both be it in -person or family event to maintain that threshold.

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Shirish Pardeshi: So just one quick follow -up, do we hedge and have the fixed contract or we have a spot and that's the way the Indian operators will start working?

Rishabh Jain: In-person we normally hedge for longer period of time, but in edible oil we normally hedge two to four weeks of type of thing, which we don't do long -term hedge.

Moderator: The next question is from the line of Priyank Chheda from Vallum Capital .

Priyank Chheda: My question is on the distribution. If you see the direct reach addition has slowed down significantly over the last few quarters now. We are a

t 278,000 and we had a target of 350,000

by the year end, which means that for next half, we'll have to accelerate the distribution significantly. So first on how this has decelerated, how it will again accelerate ? And if you can also divide this directly into F ocus and Core, what has been the reach for September?

Manoj Verma: Yes, so let me clarify to start with. When we said that 3.5 lakh outlets, so that's the outlook or the target what we have for , by FY '26. This year we said we'll add 50,000 outlets and another year we'll again add 50,000 outlets. So, we are well on track or rather ahead of our expansion plan as of now. This quarter two, if you look at is more of Diwali preparations and all that stuff. So therefore, here the game is more of the same store growth or throughput.

Now you will see that the major expansion and we internally intend to cover or come close to our expansion numbers by end of quarter three itself. So whatever spillover or the last trench is left will get completed in quarter four. So, against 3 lakhs exit plan for this year, we are already at 2.78 lakh. So well on track on that stuff. And balance 50 would come from the next year, which is FY " 25-'26.

Priyank Chheda: Okay, perfect. I thought it 3.5 was for this year. What is the break up between Focus and Core as of September?

Manoj Verma : Just give me a second. I'll give you the exact number. In the meanwhile, any other question if you have, you can ...

Priyank Chheda: Yes, just on the clarification part when Rishabh mentioned for full year, we will target around 13.5% kind of EBITDA margins when the earlier guidance was, we were looking out for some around 500 bps of expansion for the for the full year versus last year. So, is that because we expect some volatility in the commodity prices for second half i s what we need to break in while we keep it for while we're looking for the full year around 13.5 %?

Rishabh Jain: So largely, that's what our major focus will be to drive growth. Henceforth there is volume growth is important for us. But yes overall, margin is also target is to increase margin levels.

That's what we try to maintain 13.5% EBITDA, that's what we'll try to maintain this year.

Priyank Chheda: And in the meanwhile, whenever possible, you can send ac ross the distribution list for F ocus and Core.

Moderator: The last question is from the line of Tushar Khurana from Desvelado Advisory .

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Tushar Khurana: Sir in last quarter export, your export growth was around 6.7% slower than expected. Have exports picked up regarding your segments like in quarter two compared to traditional snacks and western snacks?

Rishabh Jain: So, exports, basically, exports like this is pre -Diwali. So, Diwali is in October. So, exports normally we mainly focus on Sweets and Namkeen , Sweets and that's what -- of course, F rozen is being there . So that's wh ere major focus is.

Manoj Verma: Western is a very small component in exports business because it carries a huge logistics cost, whosoever picks it. So it's primarily if you look at it is N amkeen 's and Sweets. That's the key stuff. Namkeens, Sweets and Frozen.

Tushar Khurana: You are planning capital expenditure. So, can you tell me like what -on-what segments you will mainly do your investment like to support expected demand growth of your segments?

Rishabh Jain: Nothing major capex addition is there. So, it's regular maint enance capex plus few additions' sweets category.

Manoj Verma: So what Rishabh was talking about, perhaps now what you're taking away from is that Sweets we will build some capacity. That's what it is but that will be a very minor investment.

Moderator: The next question is from the line of Vineet Bothra from IIFL M anagement.

Vineet Bothra: My question was on the QSR part like the last con-call you have mentioned that the drive will be going on for the next 18 months. So as like I men

tioned that you'll be opening five to six

stores. So, in which states you are planning to open the stores? Can you just specify ?

Rishabh Jain: That's very early to answer. Maybe by next quarter end we will be able to tell you.

Moderator: The next question is from the line of Niril Parekh from Awriga Capital advisors .

Niril Parekh: My question is for the Hazelnut factory acquisition that we have done. So, with respect to that, I need some data inputs for the store to make sort six to eight stores they have.

Manoj Verma: Gentlemen, you're not audible. Can you be a little closer to the microphone?

Niril Parekh: Sir my question was with respect to the Hazelnut factory. So over there we have acquired like around six to eight stores with that. And I wanted some update over economics like how much is the capex per store revenue average -- the average order value we get ?

Rishabh Jain: So largely, the one store cost is close to INR 2 crores . And they normally sell close to INR 6 crores to INR 7 crore s of sales in a year. So that's the overall metrics of the Hazelnut factory.

And overall the per person or per business, the value is close to INR 350 to INR 400.

Moderator: The next question is from the line of Raj Sharma, an Individual Investor.

Raj Sharma: My question is, what is the reason for the higher tax rate in this quarter?

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Rishabh Jain: So basically, overall few additions , few deferred tax provision, basically. And that's overall ESOP cost was there, last year versus this year ESOP was not there . ESOP cost was there, and ESOP provision was there, tax provision. Mainly due to ESOP and Hanuman. Hanuman Agro merger was there. So that's how extra tax provision has been done .

Moderator: Thank you, sir. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Manoj Verma: Yes. Ladies and gentlemen, thank you so much for taking time out. It's always wonderful connecting with you all. And now, we try our best to take as many questions and answer your questions. In any case, any of the question or any of the participant has missed out asking anything . Please do reach out to us, we'll be happy to answer. Thank you very much . And wishing you all a very, very happy Diwali ahead.

Moderator: On behalf of Bikaji Foods International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

BIKAJI FOODS INTERNATIONAL LIMITED

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Ref: BFIL/SEC/202 4-25/109 Date: February 13, 2025

To,

Dept of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers ,

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and nine months ended on December 31, 2024

Dear Sir/ Madam,

We hereby inform you that in continuation to our letter bearing Ref. BFIL/SEC/2024 -25/97 dated January 31, 2025 and pursuant to the requirements of the Regulation 30, read with the Part A of the Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), as amended, from time to time, an Earnings Conference Call with the Investors and Analysts to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended on December 31, 2024 was conducted on Friday, February 07, 2025 at 02:00 P.M. IST. Please find enclosed herewith the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call is also available on the website of the Company and the same can be accessed at www.bikaji.com.

You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head - Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As above

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"Bikaji Foods International Limited
Q3 & 9M FY '25 Earnings Conference Call "

February 07, 2025

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER , BIKAJI

FOODS INTERNATIONAL LIMITED

MR. MANOJ VERMA – CHIEF OPERATING OFFICER , BIKAJI
FOODS INTERNATIONAL LIMITED

MODERATOR : MS. HAZEL RATHOD – S-ANCIAL TECHNOLOGIES PRIVATE
LIMITED

Bikaji Foods International Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Bikaji Foods International Limited Q3 FY '25 Earnings Conference Call.

As a reminder, all participant lines will remain in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*", then "0" on your touch tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Hazel Rathod. Thank you and over to you, ma'am.

Hazel Rathod: Thank you. Good afternoon, everyone. Thank you for joining us for Bikaji Foods International Quarter 3 - and nine-months FY '25 earnings conference call.

From the Management we have with us Mr. Rishabh Jain, CFO; and Mr. Manoj Verma, COO.

I now request Mr. Rishabh Jain to take us through the key opening remarks, after which we can open the floor for the question-and-answer session. Thank you and over to you, sir.

Rishabh Jain: Hello to all investors. Thank you for joining the investor call.

So, overall, it's a very challenging quarter for all FMCG. However, we are seeing consumption trends are going up in the 4th Quarter January. Also, we have seen some positive signs in the Budget for middle-class in reducing income tax and other factors, which would also have some positive signs for the economy for next years.

So, this quarter, we have grown close to 12% and sales and overall revenue from operation growth is 14.5% compared to last year. From EBITDA lens, of course the operating margin was at pressure in 3rd Quarter. And from September onwards, we have seen oil price has started moving up, and sudden increase in palm oil taxes from the government has impacted the overall pricing of palm oil, which has impacted the overall gross margin in the quarter. Gross margin pressure, we have passed on the prices to consumers, and we have taken some price hikes in 3rd Quarter, as well as, we are also evaluating price hike in 4th Quarter.

Also, there was a key pressure of potato, like you will see that our western snacks sales have grown at a subdued percent of 0.8% largely. This was a conscious call, which we as a management had taken largely, because potato prices increased substantially and in western snacks and chips, like there is potato and oil, that's a two key commodity and both the prices have increased substantially. So, we have subdued the production in 3rd Quarter, which has also impacted the revenue to the extent of 1.5-2%.

It's good to see YTD numbers because in sweets segment, this year Diwali was in end of October versus last year Diwali was in 10th of November, so there were some pre-sweet sales in 2nd Quarter this year as well. So, overall, our revenue growth in YTD numbers has grown to 17%, and overall, when we remove PLI it is close to 15% versus 11% in volume growth.

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Our EBITDA margins stand close to 11.1%, gross margins close to 32%. From manufacturing lens, it's the same way, not to increase any major capacity, and trying to utilize the capacity, as soon as possible to have close to 65%-70%, so that operational efficiency comes in an overall level.

From pan-Indian distribution level, so, largely that's the core of distribution we have always started to increase the direct reach and we have further gained distribution and have reached close to 7.5 million outlets in total. And as a direct reach perspective, we are close to 3 Lakh outlets, and close to 2.8 Lakh outlets this year, which is a fundamental for any industry, and that's what we are targeting.

From marketing lens, Manoj ji, you can proceed.

Manoj Verma: Yes. So, the marketing campaign which

we did, and which was a big one, Bikaji Khao London

Jao, which ended on 31st of December, did pretty well for us, and that was a savior. Because if you look at, when you go through the presentation, you would see that volume growth is just 3%. But actually speaking, if we look at revenue volume growth is 8%, that's the right number. It is because on the back of last year Quarter 3 within 10% extra was going, so 10% was non-revenue volume. But when that sits in the base, so, therefore, it looks a sweep. Otherwise, revenue volume growth is 8% for us. So, this promotion now indeed helped us to do better and we

got very good penetration , and we were able to increase our weighted distribution with this kind of campaign , what we did.

We used all communication vehicles , we used few celebrities , like Diljit Dosanjh and all and expanded across countries , all the states and about 3 ,600 cities. The winners , who benefited of this promo is to the tune of 6,34,000 winners , who got something or the other out of this promotion.

Festive campaigns we did , saw our gift packs did very well. However, this I am talking overall, so the right way to look at gifting and sweets is a sum total of Quarter 3 and Quarter 2, because of Diwali being , you know, a little here and there kind of stuff. But overall, it was good business on gifting for Bikaji, firstly .

Talking about volume growth around, we look at Quarter 3 , so the reported growth is 3%. But , if we look at revenue volume growth , it is 8% for this quarter. Ethnic snacks grown at 10.5% , packaged sweets at 11.2% revenue growth. Western packs , where the growth is flat, it is just 0.8%, but that was the conscious call , which we took . And as Rishabh just spoke about , because there it was bottom line erosion , as we sell more . Both potato and oil, which are the key ingredients for this product were on the peak of it, and it was not practically possible to pass as much prices . And this is one reason that if you see the results of any of the listed companies in this category would have certainly bled for that stuff.

Papad, again, more than 9.6% growth in this quarter. It's more relevant to see , look at the continuity that YTD , so last nine months volume growth is 11% . But, here again , you know, if I just look at revenue volume, so its 13.3% which is in line with what we have been talking .

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Our overall revenue from operations is 17.1 % , ethnic snacks sitting at 12.2% growth . Packaged sweets, as I said that it's the right way to look at Quarter 3 and Quarter 2 together , so at a YTD basis packaged sweets is 17.5% growth , western snacks, if you look at just Quarter 3 , inflation is at zero growth, however , at a YTD number it is a 16.5% growth. So, it speaks about , you know, the kind of demand , which exists across the call and we took and we did not do that. In fact, in H1, if I look at , it's a 28% plus growth kind of a thing, which is what now with the softening of prices in potato and also , the oil . You will also see that in the coming quarter, this will all be made -up. Papad at a 15.3% growth on a YTD basis, so as a strong momentum going forward. In terms of , if we look at our product mix , it is broadly in line with what it was last year. So, 62.9% it was last year Quarter 4 for namkeens and Bhujia put together, which is now at 62.1 % . So, the only thing if you refer to this sheet of ours , is the western snacks contribution. So, last year, if we look at Quarter 3 , it was at 7.5% , which has come down to 6.8% . And this is what I spoke about when I said that was a conscious call , rest all categories are in line.

In terms of, as we talked about that our core focus and others as a market , plus exports, if we look at , in this quarter post-tax revenue growth is 10.8% , focus states growing

at 14.7% , other

states at 8.7%, and exports had done good , is at 32.6% growth .

At a YTD basis, core states have grown at 11.9% , focus states is 17.1 % , and others is 23.7% , exports sitting at close to 21% growth. Our flagship of the continuity on the large pack continues, so, the mix of products between impulse and the large pack is 61% from large pack, and 35% coming from impulse pack . Both the family pack and impulse pack has done well in the quarter , so, family pack growing at 11.6% , impulse slightly higher at 12.9% growth.

Rishabh, over to you.

Rishabh Jain: So, overall, from revenue lens, we were close to 14.5%, but quarter -on-quarter is largely flat , if you see last quarter. From EBITDA lens, our EBITDA is close to 8%. So, from raw material lens, of course, edible oil has substantially hit us and all the FMCG brands and the price has been increased from 100 to 140 per barrel. Currently it's close to 130 , but, yes, overall, it's at the peak currently . But, yes, from this quarter , what we see , it's a good crop this year, we are seeing good crop in all the commodity and we are seeing that, that would support overall , in 4th Quarter and we have done good pricing support, taken good long-term PO for all the key commodities, what we already started doing , that will support the margins in the coming quarters , be it vegetables or potato, anything and everything. So, we are seeing a good commodity crop this year in each and every commodity .

So, that's all from the presentation, we are happy to answer all the questions and take all the questions you have . Thank you.

Moderator: Thank you . Ladies and gentlemen, we will now begin the question -and-answer session. The first question comes from the line of Abneesh Roy from Nuva ma Wealth Management Limited.

Please go ahead.

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Abneesh Roy : Yes. Thanks. My first question is on the segment -wise growth numbers . So, I see big divergence

between , say Q3 and nine months . The bigger divergence is between sweets , where there is a 17% growth in nine months, which drops to 11% in Q3, which means first half obviously you have given the number, it's almost 20%. So, 20% drops to 11% , and similarly , Western snacks from 16% become zero.

So, here the specific question is, I understand western snacks you did call out that conscious call was there because of very low margin , but what happened in Sweets? So, sweets , essentially due to marriage season , there is a big benefit because of the gifting , and Q3 , we have seen , whichever category has a high marriage demand, those have done really well. So, in your case, if you could discuss in sweets , what is the issue here ? And would you expect sweets and western snacks , even in Q4 to underperform and what about the other two categories for you?

Manoj Verma: Yes. Hi, Abneesh . See , in packaged sweets, you know, the role of wedding season, of course, is there , but the quantum of gifting in Diwali is by far high. So, it's a very small percentage vis-à-vis the Diwali gifting kind of a numbers what we do. Now , what happened is that last year Diwali was on around 23rd of November so, the later part, wherein , this year , it was on 1st of November itself . So, this got preponed in Quarter 2 itself , because modern trade , which is a very big account for us , our other states and all, where sweets is very big , so, all these stuff preloading starts happening. So, this is what is always the case that you know, Quarter 2 and Quarter 3 put together is the right number. During wedding season, also, if you look at the number of wedding dates are more in Quarter 4 vis-à-vis Quarter 3 , if we compare over last year. But again, I am reiterating on the fact that, yes, wedding season plays a role, but it is nowhere close to what a gifting and Diwali means for

us in this category for us.

Rishabh Jain: Also, Abneesh , your last question was , so, for both quarters, is that western snacks is again on track , and fresh crop is coming in low, so it's on track and we have again started full peak production in western snacks . And sweets will be also in the same range in 4th Quarter . But, yes, 4th Quarter , sweets will be in very low , because major sweets production is happening in 2nd or 3rd Quarter .

Abneesh Roy : Understood. My second question is on the demand side. So, again, here 3% volume growth versus the first half early teens growth , it's a dramatic slowdown. So , when I see , even in Q3, India's largest biscuit company is seeing 6 %-6.5% volume growth , and you are seeing 3% volume growth. So , could you tell us , is there some market share loss? And here I am not referring to the official market share data , it may or may not be relevant. My question here is what really happened, how much is the impact of the grammage cut, for example, at Rs. 5, Rs. 10 price point, if you could take us through that , because there you cannot take a pricing growth . And when you compare your 3% growth to India's largest biscuit company at 6 %-6.5% in the same quarter , we're living in the same quarter, same India , why there is so much of a divergence here, both are in the snacks category ? So, if you could tell us how you see near term volume growth coming back?

Manoj Verma : Sure, Abneesh . So, one is that 3% is not the right number to look at . If we speak about our revenue volume growth, so, it's 8% and this somehow connects with your grammage cut . So, Bikaji Foods International Limited
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last year , in this quarter , all our large packs had 10% extra , which was not the case this year , because of the prices , and any which way that was not a time-bound promo , what we had done. So, if I look at revenue volume growth, it is 8%, that is one. Second is that in western snacks , the category which contributes about 8% to our business and is at zero growth , right, that's the second reason. So, therefore , you know, other than this, if you look at the ethnic snacks, the other categories are well on track, so there's nothing , which really is concerning or worrying for that stuff. So, this is where we are. This number looks low because last year it was 10% extra , which was going, which has not this year.

Abneesh Roy : And 10% extra is there in Q4 also, in terms of base?

Rishabh Jain: Last year, yes, it was. So, this was there till Q4, so that's when we ran this promo last year , for six months.

Abneesh Roy : Okay , understood. So, last follow-up here. So, essentially at Rs. 5, Rs. 10, what has happened in terms of grammage cut there ? And in Q4, do you expect some recovery , because you have said that in western snacks there is a recovery , so in terms of volume growth?

Rishabh Jain : So, Abneesh, largely , we had taken some grammage cut in Rs. 5, Rs. 10 in last week of December , that's what we had done . And the Q4 also, we have seen good growth coming in , good pricing support from raw material side and so, we see, again good recovery in margin from that front .

Abneesh Roy : One follow-up, where have you seen softness , because , other companies are not highlighting any big softness in palm oil till now, it may have corrected .

Rishabh Jain: So, you see, we have not seen softness in palm oil, but, we are seeing softness in key commodity , all key commodities .

Abneesh Roy : Okay. Thanks . That's all for me. Thank you.

Rishabh Jain: Thank you.

Moderator: Thank you. The next question comes from the line of Percy from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, sir. So, this quarter, if I look at your ASP, it is around 9% Y-o-Y. If the volume is 3% and the sales is 12%, it means that the average selling price, either because of reduction of promotion

or

the price increase itself, whatever be the route or path, but, effectively the average selling price has increased by 9%. So, given the actions that you have already put in the market, including some changes in December, etc., how much Y-o-Y growth in the ASP you expect in Q4?

Manoj Verma: So, Y-o-Y if we look at, it would be around say, 3% kind of stuff. So, 1.5% we have already done, and now 3%-3.5% kind of a growth you will see, that is ASP growth.

Percy Panthaki: No, no, sir, 9% is already there in 3rd Quarter, so, 4th Quarter has to be more than 9%, right?

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Manoj Verma: No, no. So, again, Percy, let me explain it to you. While, it looks you know 3%, actually it is 8% growth, revenue volume growth.

Percy Panthaki: Sir, I understand that. I am saying reduction of promotion is also a pricing in a way, right? So, the average selling price per kilo has gone up by 9% Y-o-Y this quarter. I am saying that some initiatives have happened probably in December and January, which has not fully affected the 3Q. So, what would be the ASP growth for Q4, given whatever actions has already been taken?

That is my question.

Rishabh Jain: So, more 1% -1.5% in Q4 is what we will do.

Percy Panthaki: Okay. So, around 10% to 11%. And given the inflation that you are seeing, would that be enough for you to recover the hit on the margins that have happened this quarter or there would still be some sort of partial hit, which would still come in Q4 and maybe can be recovered only in Q1 or Q2?

Rishabh Jain: So, largely, that's what we will do, we will do 1%-1.5% price increase in Feb and March first week, that's what, we will do, number one. Number two, we are hopeful that we will again come in gross margin of close to 30% - 31%. In the next three to four months, we will be working to reach at a gross margin of 30%-31%, that's what we plan. But yes, in this quarter, 4th Quarter, gross margin will be at 29-30%.

Percy Panthaki: Got it. My second question is on the cost under the gross margin, which is the employee cost and the other expenses. So, the employee cost is up around 30% and other expenses is also up like 21% or so on, on a sales of 12% growth. So, what are the reasons that the growth here is higher than the sales growth in both these line items? And when do we see this normalizing and coming in line with the sales growth, by which quarter that will happen?

Rishabh Jain: So, two things, basically, in this quarter, the 3rd Quarter, the ad cost and other expenses, which is largely high, compared to 2nd Quarter, and that's was the major spend was in ad, because it's already booked. There were big sweet and festivities, so we need to do the ad for our business. So, that's one cost which has increased in this quarter, number one. Number two, from employee lens, there is ESOP cost and there are other factories, which are getting a bit realized, and people cost has peaked. Any factory which started in the last 12 months, the people cost is high in this. But yes, once, we get the utilization up, this will again come at normal level. But, to the point, from next year first quarter, we will see again normalized growth in employee cost.

Percy Panthaki: Okay. So, by Q1 next year, both other expenses, as well as employee cost should grow more or less in line with sales, right?

Rishabh Jain: Yes, right.

Percy Panthaki: Okay. Okay, sir. Thank you so much. That's all from me. All the best.

Rishabh Jain: Thank you.

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Moderator: Thank you. The next question comes from the line of Darshit Vora from Asit C. Mehta and Investments. Please go ahead.

Darshit Vora: Yes. Thank you for the opportunity. So, my first question was that we are having this road map of ramping up

our capacity to 70% utilization, right? So, could you give me some kind of a road map or some internal target, wherein how and by what timeline would you be able to achieve this kind of utilization figure?

Rishabh Jain: See, so largely, our target is to grow volume-wise by 13%-14%, that's what our target is. This quarter was an exception, but, yes, the overall target is to grow volume at 13% at least. And that's what we have built the capacity in last three, four years, and that's what our target is for next three, four years.

Darshit Vora: Okay. Next, how much time did you say?

Rishabh Jain: So, next three, four years is the target, at least we want to grow capacity of 13%-14%.

Darshit Vora : Alright , okay . And with respect to margins , so this time , we have seen quite a fall, how do you see the raw material prices move from here ? And, also, you know, by when do you think the margins will be back to our usual numbers?

Rishabh Jain: So, in 4th Quarter , we will improve from here because was an exception , oil prices increase suddenly, rarely in a month's time . So, that's how we are passing the price s substantially in the coming time . But, yes, overall , we see in the next two quarters , we will be again at our original level, that's our target.

Darshit Vora : Alright , okay . And finally, just would like to close , would it be possible to either give a range or relatively speak about gross margins across product categories?

Rishabh Jain: Yes, it's difficult . We can speak on one -on-one on this.

Darshit Vora : Alright. Yes. Thank you so much.

Moderator: Thank you. The next question comes from the line of Disha Giria from Ashika Institutional Equities. Please go ahead.

Disha Giria : Yes, hi. So, if I see your 3rd Quarter FY '25 presentation in terms of core and focus market mix, it clearly states that the focus market has gained year -on-year in terms of revenue contribution.

So, can you specify any such particular market that you have gained market share?

Manoj Verma : So, we have gained market share a cross focus states , if you look at . Right now , be it the smaller ones like Chhattisgarh, Karnataka , or you look at , you know, the large states like UP also for that stuff, this is where it is. So, there is a positive movement across these focus states.

Disha Giria : So, can you specify any quantum of market share in crease ?

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Manoj Verma : So, quantum , see, is for a large state like, say, UP it 's a 30-basis, 60-basis point increase over last year . Whereas , if I speak about smaller states like Chhattisgarh, there is a 300-basis points movement , which has happened, but it's a small size of price is not as big kind of a stuff . So, it's a varied stuff.

Disha Giria : Okay . And then , other state s contribution has slightly declined , so, what is the reason behind that?

Manoj Verma : So, two things. One is that other states if you look at , you know, in terms of nine months, you will not see this. This question would not come up, or rather the reverse question would come.

But, let me tell you, see, other states , the contribution of sweet and gifting i s very high , because there we play on the back of modern trade, t hat's our largest business there, right . And Quarter 3 and Quarter 2, as I was talking about that there is a shift from Quarter 3 to Quarter 2, which has happened on this stuff. So, other states, if we look at on a nine month s YTD basis, stuf f we have grown at 23.7%.

Disha Giria : Okay . My next question is , I just wanted the clarification , in your presentation , the volume growth is around 3% and you have mentioned it over the call that the revenue volume growth grew by 8%. So, I am assuming the difference is only , I mean , in terms of the grammage changes in all your pack aged sales, is my understanding , correct ?

Ma

noj Verma : Yes, that's correct , yes.

Disha Giria : Yes, alright. Okay, that is it from my end.

Moderator: Thank you. The next question comes from the line of Mehul Desai from JM Financial . Please go ahead.

Mehul Desai: Hi, sir. My first question is on the recently acquired Hazelnut Company . How do you see sales growth panning out for this entity in FY '26-'27? And, what is the kind of CAPEX that you would look at in FY '26-'27?

Rishabh Jain: Yes. So, the Hazelnut currently is very small, and it's just added end of last quarter. So, largely , we see that in next year , it will be close to between Rs. 90-100 Crores top line that can that brand can give , its growing very good. And number two, from CAPEX lens, from overall Bikaji lens, we see close to Rs. 40-50 Crore s of CAPEX largely to build efficiency in the system , that's w hat we will do next year .

Mehul Desai: Rs. 45 Crores to Rs. 50 Crores ?

Rishabh Jain: Yes.

Mehul Desai: And will Hazelnut require CAPEX ?

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Rishabh Jain: No. So, that will not fund from Bikaji , because we have already funded largely . So, that will be very minimal CAPEX , because they already have good packing facility there, they have open outlets, that's what they need to do and not major CAPEX in that brand.

Mehul Desai: Understood. And broadly , this activation, I mean , the margins are better than our current company level margins ?

Rishabh Jain: Margins are better than current company, yes.

Mehul Desai: Understood. And lastly , in your co re market s, the growth are also , I mean , the ethnic snacks growth would have been in double digits or is the trend different in terms of segmental growth within co re and focus?

Manoj Verma: No, no , so it's in line with this stuff. Core is relatively even better in this case, so ethnic packs has done even better there .

Mehul Desai: All right. Got it. Thank you so much. That's all from my side.

Moderator: Thank you. The next question comes from the line of Harsh Jain, an individual investor. Please go ahead.

Harsh Jain : Yes. Hello and thanks for the opportunity today. So, my question was regarding Delhi , being a Delhi resident, I can say you were quite there in Diwali season, you know, but I think you kind of trailed off after that. So, I want to hear your story , Manoj sir . And , also, I believe Bikaji's quick commerce and d epartment al store presence have been quite low , so, I want to hear your commentary. Thank you.

Manoj Verma: No, no. Certainly I think your observation and what you are talking is in line exactly where we stand. So, Delhi, if you look at all of modern trade stores, w hich is be it any, Reliance , be it D-Mart, or large this thing stuff, you will see our good presence during Diwali , gifting and all. But yes, in terms of traditional trade coverage, it is by far low, and that's where we are working on. So, very soon , you know, when I say very soon , say in a couple of quarters , from now you will see a chang e in trend in Delhi as well.

Harsh Jain : Yes. Sir, one more question, if I please , may ask.

Rishabh Jain: Yes, please.

Harsh Jain : So, can we see further acquisitions in the Delhi area?

Rishabh Jain: So, we do not see any major acquisitions in coming years, t hat's what our plan is , to grow organically and to utilize the capacity what we have already built . And Delhi is very near to Bikaner, logistic s cost is not so big in Delhi. So, we majorly focus in next year in doing organically , that's what we will do .

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Harsh Jain : One more question , please. Would it be better to open QSRs in Delhi for more customer engagement and all ?

Rishabh Jain: Yes, you are right. But our major focus is currently in Rajasthan, we will be opening in Rajasthan few QSR outlets , that's wh

at we'll do . Delhi is maybe next one and three years , post that, not immediately.

Harsh Jain : Yes, sure. Thank you.

Rishabh Jain: Thank you.

Moderator: Thank you. The next question comes from the line of Naitik from NV Alpha Fund. Please go ahead.

Naitik Mutha : Hi, sir. T hanks for taking my question. Sir my question is , can you call out any PLI incentive that we have received in this quarter and what was it in the last quarter ?

Rishabh Jain: So, basically , currently we are booking PL I income , this year we book ed PLI close to Rs. 14 Core s per quarter , and we will receive P LI from government maybe in this quarter , 3rd Quarter by March , when government is very proactive to do all the audits and to release the fund s. So, by March , we will receive PL I of last year , FY '2 4. That's normally a one-year lag, filing of claims , audits and other things. So, normally there's a one-year lag, so we will receive PLI for last year . And f or this year , we will receive next year , that's what is the process.

Naitik Mutha : So, sir, during this quarter , we have not booked any PLI income?

Rishabh Jain: We have booked PLI income.

Naitik Mutha : We have book ed Rs. 14 crores , right?

Rishabh Jain: Yes.

Naitik Mutha : And what was this last year same quarter?

Rishabh Jain: Same.

Naitik Mutha : Same , Rs. 14 crores?

Rishabh Jain: Yes.

Naitik Mutha : Okay, got it. Also, if you could talk about , you mentioned that you have seen some softness in the raw material. So, if you could give a little more color on the same, which raw material is actually seeing softness, t hat would be helpful.

Rishabh Jain: So, all key commodities , be it our k ey commodities like moth dal or potato or peanut , moong dal, and all key commodities we are seeing softening of prices, because it is the fresh crop time,

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normally December is a time when fresh crop comes in and we see a good softening of price s in this.

Naitik Mutha : Got it . That's it from my side. Thank you.

Rishabh Jain: Thank you.

Moderator: Thank you. The next question comes from the line of Nitin from Emkay Global. Please go ahead.

Nitin Gupta : Yes. Thanks for the opportunity. Just wanted to check on the QSR initiative , have you rolled out any stores for the pilot , which we were planning to do ?

Rishabh Jain: Yes. So, the first QSR is coming in by next week mostly in Rajasthan.

Nitin Gupta : Can you help me to like where exactly this would be in Rajasthan ?

Rishabh Jain: Sikar.

Nitin Gupta : Okay . And the second question is with respect to moth dal, we were hopeful of some benefit coming in here, so any sense can you provide what is the deflation we see with the new arrival of moth dal ?

Rishabh Jain: So, normally we see close to 14 %-15% reduction in prices of moth dal , compared to last year.

Nitin Gupta : And what is the contribution of moth dal ?

Rishabh Jain: Moth dal contribution is close to 10%-11%, but, I will come back with the numbers.

Nitin Gupta : Sure, sir. Thank you. And lastly , are we looking for any commodity covers in terms of volatile raw material ?

Rishabh Jain: Other than edible oil , we do cover most of the commodities , key commodities .

Nitin Gupta : Okay . Thank you. Thanks a lot.

Moderator: Thank you. The next question comes from the line of Abhishek Kumar from Sanctum Wealth . Please go ahead.

Abhishek Kumar : Hello, good afternoon. Sir, my question is partly in continuation with the previous participant's question . So, as a policy , do you guys have any mitigating policy with respect to such wild swings in the raw material prices, especially our key materials like palm oil, potatoes and dals? So, do we have a stated policy , wherein , if we do keep such raw material inventories for a few months or anything on those lines , it would be great if you could share.

Rishabh Jain: So, normally we do , like for key commodity, other than edible oil , we do long term contracts with the vendors to help the price , and that's what we started 1.5-2 years back . And this has

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helped us in protecting the margin . But, yes, edible oil, we normally do for a very shorter time, and normally industry also do the same. So, other than edible oil , we normally protect the margin and hedge all the raw materials.

Abhishek Kumar : Okay . Thank you. And could you give a rough split of our raw material basket, as in how much oil or moth dal, potatoes that would constitute as a percentage, roughly , any rough number ?

Rishabh Jain: I can come back with the numbers for each commodity.

Abhishek Kumar : Okay . Thank you.

Moderator: Thank you. The next question comes from the line of Varun Singh from Alf Accurate Advisors . Please go ahead.

Varun Singh : Yes. Thank you for the opportunity. Sorry, I missed your commentary on raw material cost , especially on the palm oil prices. So, what is the expectation and outlook over here? And palm oil is what percentage of our total raw material cost basket , if you can help us understand that?

Rishabh Jain: So, palm oil is also at peak , its peak was 140 , currently it is one close to 130-132 which is at peak. We see some reduction in import taxes from the government , of course, in Budget , it did not come, but , yes, that's what we are hoping. But , yes, overall palm oil we see next two quarters is at the same level, 120-130 and overall, its contribution is big in our overall purchase.

Varun Singh : So, of our total raw material basket palm oil would be what , almost 50 %-60% of the total cost ?

Rishabh Jain: Not 50% -60%, but , yes, overall close to between 20 %- 27%.

Varun Singh : Okay , understood. And what is the quantum of price hike that we need to maybe take from here onwards to offset the impact ? And can we expect maybe by next quarter , you know, kind of , or when can we expect the margins to be reflecting our, I mean , given that we have the ability and power to take such kind of price hikes , so if you can give some understanding on that.

Rishabh Jain: So, largely , in next two quarters , that's what we are working on , that we come under on the margin , what we were doing in last two quarters .

Varun Singh : Okay . So, in October, you already took 2 % to 2.5% price hike, and more price hikes expected? You want to call out anything on that part ?

Rishabh Jain: Yes, largely even price hike is expected , and that's what we will do, look at all the business scenarios and sales scenario . But, yes, one price hike is expected in the quarter .

Varun Singh : Okay , sure. Understood. And the last question is , on volume growth overall recovery, you highlighted 13 % to 15% is the aspiration . So, that number is very much on the track , I mean, looking at the January month how the business has gone for us ?

Manoj Verma: Yes, that's right . So, this is well on track and , I mean , should be in line with what we have said.

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Varun Singh : Okay, sir. Sure. Thank you very much.

Manoj Verma : Thank you.

Moderator: Thank you. The next question comes from the line of Aditya Tambe from Harbrook Capital. Please go ahead.

Aditya Tambe: Hi, thank you for taking my question. Could you please provide me a split of how much of our sales are coming through general trade versus modern trade?

Manoj Verma: Sorry, say again ?

Aditya Tambe: So, can you please provide us with how much of the sales is coming from general trade versus modern trade?

Manoj Verma: So, general trade is the largest contribution for us, which is about 84 %-85% comes from the general trade , modern trade is about 8%.

Aditya Tambe: Got it. And can you also tell us

how is the price hike being taken up by the customer? Like, are you seeing them going for a inferior product or a slightly cheaper product? Or are they embracing the price increase, or the gram is decreased that is being done ?

Manoj Verma: See, I think this is what we spoke about that we have taken a price increase , and in this coming quarter, this running quarter , there is a likelihood or there's a plan to take one more price hike, which would offset the price increase what we have witnessed on the commodity stuff.

Aditya Tambe: Right. I meant to ask, how is the customer reacting to it? Do you see that maybe they are switching to a slightly inferior or slightly cheaper product that is available in the market ?

Manoj Verma: No, see , inflation is I think very well spoken and you know, very well imbibed by all the quality consumers , right? And even , if you look at anyone using edible oils in their houses, they also know the kind of prices what they are doing. So, yes, quality customer does not look at it as much. But , yes, I think we do on the ATL and BTL, would help in building consumption at that standpoint would have definitely impacted . But , not as much , because , you know, when you sell a brand , the price and that couple of percentage price here and there does not matter , as much as long as it's competitive with the peer group.

Aditya Tambe: Right. Thank you. Could you also like to give us some flavor on are there any new products which are being planned on launching , like in sweets or in snacks , or maybe something in slightly healthier segment like many customers are talking about maybe going with the palm oil?

Manoj Verma: Yes. So, that's the game in this category , you know, you keep launching . And again , you know, market specific , so, for northeast , we launched a variant called Teekha Toofan , right , doing extremely well . But, I think till such time it had sustained, for say, 6-8 months , I mean, it does

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not have as much merit to talk about. But yes, these kind of MP Ts across the state keep doing and that's what energized the category and keeps the monotony out of it.

Aditya Tambe: Right. Okay . And sir, like just some picture, comment if you can give about how is the growth in quick commerce, because I think last quarter you mentioned it's around 160% growth , so how is it looking like this quarter?

Manoj Verma: So, yes, because of the small bases what we have , so yes, this quarter again it has grown about 86% growth.

Aditya Tambe: Right. Thank you. I think these are all the questions I have. Thank you.

Moderator: Thank you. The next question comes from the line of Dharmil Shah from Dalmus Capital Management. Please go ahead.

Dharmil Shah: Hi, thank you for taking my question . Just a follow -up on the previous participant 's questions. Whenever , there is a sudden price hike s in raw materials, what is usually the policy that company follows , I mean , is it immediately increasing the prices for all the products for the family packs? Or is it like taking a short -term loss but maybe gain some market share? What is the broad policy that comes in for us ?

Manoj Verma: See, the first and foremost , which is that one should not lose market share, right . So, to protect market share is the biggest one , because if you lose share, regaining share is even a more extensive proposition to do , that's one. But the approach what we follow is that, as we see commodity prices going up , so first is that if there are any kind of schemes running , you know, like trade schemes, incentives, all that stuff , we try and knock it off. That's the first one. Then , as we look at that how further we can improve our efficiency, so the consumer hit is the last one to take, but trying everything , when it comes and then the if you are no

able to make up the

threshold , we pass these prices to the consumer. This is how it happens. But this process takes about a month and a half . And also , as my colleague just spoke about, that we have some advanced booking with us, so we can foresee that these price increases are coming and that leads us with as much time to prepare . Unless and until the price increase like what we witnessed in the oil, which is much, much beyond what one would have expected.

Dharmil Shah: Understood. So , suppose when there is a price increase or a decrease in the underlying base raw

material prices, the price changes that you do in your products, be it price increase or decrease, is it based on the competitor's prices, or it is more based on the raw material prices?

Rishabh Jain: Both basically. Of course, we look at the competitor prices, but normally it takes 30 to 45 days to pass on the prices. That's what as a policy, we see the prices and then, we eventually pass on the prices. But yes, we also see the competitors, because that's important for us to review.

Dharmil Shah: So, is there a policy to offer better prices than competition or at a par, or some maybe sense there?

Rishabh Jain: So, largely at par with the competitors.

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Dharmil Shah: Understood. And lastly, I mean, some of the previous participants also asked but what would be the raw material mix, palm oil you mentioned 20%-25%, what would be the other key raw materials and the mix?

Rishabh Jain: So, like pulses, overall total pulses is close to 25%-30%, overall pulses, all the pulses combined.

Dharmil Shah: Palm oil, right?

Rishabh Jain: Yes, but I can get back to you with the exact numbers. But yes, that's overall pulses, 25%-30%.

And there are a lot of materials, because we are into multi category, that's overall, the benefit, like edible oil is exception but yes, if any one commodity increases, that does not impact much on gross margin, like, we are into sweets, or milk is a big product, sugar is a big product, papad, western snacks, so complete we have 5-6 categories.

Dharmil Shah: Understood. Thank you so much.

Rishabh Jain: Thank you.

Moderator: Thank you. The next question comes from the line of Manish Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: Hi, thanks for giving me this opportunity. So, just two questions, first is, let's say if I take this impulse packs, which are roughly, let's say, give or take 30% to 40% of sales. Would it be right they are largely at, let's say Rs. 10? And if that is so, what is the sort of, how much is the average grammage, let's say, because there will be multiple categories, what is the average grammage which is now available in a particular product at let's say of Rs. 5 or Rs. 10 pack?

Manoj Verma: Yes. So, first is the small pack or the impulse what we speak about is Rs. 5 and Rs. 10 thing, that's what it is. And the average grammage, if you look at in a Rs. 5 pack, it would be about 16%-18% average, if you look at, and for Rs. 10 it would be 2x of that, so, that's how it works.

Manish Poddar: And how does it stack versus the other categories in that same lens? Because, I am not sure how inflation is impacting because there's a basket of products. But let's say at this price point, because you are in the market and so you will have much better understanding. In terms of consumption brokage, is 15 grams -18 grams a good number versus the other categories in terms of this inflation context?

Manoj Verma: So, I think it's sort of like -to-like comparison. When you look at, say, wafers, right, so, wafers would be even lower volume for that stuff, grammage if we look at. But then again, the namkeens cannot replace the western snacks or chip or, say, Kurkure kind of stuff, and vice-versa. So, it is

more when you look at that, is it a one serving kind of a stuff or not, so what we believe is, going below say 13-14 grams in a pack will not suffice even one time serving. So, that's where we look at, and we compare within our category space, should not with different categories in this space.

Manish Poddar: So, you are at 16 to 18 grams, is that what you are trying to say?

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Manoj Verma: Yes.

Manish Poddar: Okay. And the second one is, let's say, in terms of this direct reach, so let's say in the last trailing 12 months you have added roughly 60,000 outlets. How much of this would be, let's say, in the state of, let's say, Rajasthan? And how much of it would be, ballpark, in the state of Uttar Pradesh? That will be helpful, these two data points.

Manoj Verma: So, I think Uttar Pradesh would be in line of about 15,000 -20,000. And Rajasthan would be about 6,000 kind of a number. Well, I can get back to you state wise, offhand will not be handy.

Manish Poddar: No sir, this is useful. Thank you so much.

Moderator: Thank you. The next question comes from the line of Ashish, an individual investor. Please go ahead. Ashish, if can please unmute your line and ask your question.

Ashish: Yes, hi. Thank you for the opportunity. I have one question. Your qualitative comments on the shift from unorganized to organized sector, especially, in light of the inflationary scenario, which is happening right now. So, does the shift slow down? Or how do you think this movement going forward?

Manoj Verma: So, see this would be purely anecdotal, out of what, we observe in the market place, because now you do not have any authentic data on the size of unorganized players and all, but movement. Of course, what has happened is that, yes, this shift would continue as the consumer

and brand awareness goes up. However, what we also realize sometimes is that when these oil pressures go up, so a branded company cannot compromise on quality of products, the right oil, not use oil beyond a point. However, when we see the local players and non-organized stuff, so they do not get as impacted as much as on this stuff. So, that's the only stuff, and would vary, from state to state. But yes, now, if you look at on a trajectory of shifting from unorganized to organized, yes, that is also helping this category to deliver these kinds of numbers.

Ashish: Sure, sir. Thanks.

Moderator: Thank you. The next question comes from the line of Dharmil Shah from Dalmus Capital Management. Please go ahead.

Dharmil Shah: Hi. Sorry, a follow-up question on the price increase again. When you are taking price increase or decrease, is it at pan-India level or is it based on some reasons, where maybe a region, where you have a better brand you can take more price increase, how is it decided?

Rishabh Jain: So, normally, it is based on region, we see which region is having much impact, because mix is different in every region. So, we see region wise, and then, eventually we take the price hike like MRP increase in family pack nationally, that's what we do.

Dharmil Shah: Okay, and would it be fair to assume that core state would have maybe a slightly higher price increase than the focus states?

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Manoj Verma: No, it will not be the case. See, we get governed UCP, which is universal and consumer prices. Let's say a pack is Rs. 100 MRP, it would be for consumer both 100 there and anywhere, in that stuff, right. However, what we do as I was talking about that price increase is also controlled by that if I was running 5% trade scheme, right, and which is withdrawn, so it's a kind of the realization goes up as much percentage. And which is what varying from state to state looking

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at competitive pressure, looking at our ambition, and the strategic objective of why are we giving it, is it a tactical or a strategic investment. So, those differ from state to state. Rest, price to consumer continues. There's a MRP increase, it will not be the case that it goes up in one state and it does not happen in the other state.

Dharmil Shah: Understood, thank you so much.

Moderator: Thank you. The next question comes from the line of Abhishek Kumar from Sanctum Wealth. Please go ahead.

Abhishek Kumar: Hi, I have a question. So, we basically categorize markets into core, focus and others. So, I had a question, when does the shift from others to focus happen? So, do we have a revenue threshold or a market share threshold that when we start maybe counting other states into a focus state? And once we start doing that, what all changes?

Manoj Verma: Yes. So, I think that's a very good question. And we have spoken about it earlier also, but let me explain again. See, what we see is, it is not about our internal stuff, it is purely external and from a consumer standpoint, from our shopper's standpoint, right? So, what we believe is that wherever we are in the high single-digit market share is what we can call that that can move upwards in the core state. And say somewhere around 3-5, 3-7 would be the focus states kind of a stuff.

Now, the logic of cutting these geographies into three parts is that the states, where brand equity is strong, market share is relatively better, we do different kind of marketing initiatives there. In the states, where we hardly are present or we have very poor presence, which is what is currently parked in our other states, there is less marketing, it's more of route to market, that you make your products available in the store kind of stuff. So, these changes would not happen very random or very fast. But yes, it's a journey of 3-5 years, that's where you see that states would be moving up. So, what we believe is that in the next couple of years is what few states from focus we would shift it to core. And, we will pick a few states from others, who are doing better or where we have our plans to invest, we will shift to focus.

To your question, what we will do differently is what we will start deploying people, investment or brands and all this stuff would start happening in those states.

Abhishek Kumar: Okay. Got it. Thank you. All the best for the future.

Moderator: Thank you. The next question comes from the line of Shirish Pardeshi from Motilal Oswal Financial Services. Please go ahead.

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Shirish Pardeshi: Hi, Manoj, Rishabh, thank you for the opportunity. Just two quick questions. Fundamentally, in the times, where the food inflation is high, consumer generally does the down trading. I am just looking at Slide #22, I am referring, you have been able to maintain the family pack contribution of around 59%-60%. The sense most of the consumer companies are saying that there's a down trading, there is a pack grammage which will come down. Just tell me how you have been able to manage? Because, there is a competition also, because the competition scale has been going

up and up in the snacking. And generally, my reference point is that in the snacking business, the small pack contribution would be about 45 % to 50%. But you have been able to manage between 35 %-36%. So, tell me, what's happening with particularly about your company.

Manoj Verma : So, Shirish, one is that, when we say that it's a down trading kind of a stuff happening. For our products, if you look at any consumer who's been buying 1 kg pack, or say that is a 400-gram pack will not move to a 13 gram or a 30-gram pack kind of stuff. Also, the impulse packs what we speak is more on the go kind of stuff, f a

mily pack is in home consumption . So, that's what

we have not seen those kind s of shi ft. Of course, another thing what we attribute when we were doing this analysis ourselves, so we did one campaign, Bikaji Khao London Jao, so maybe, to a certain extent, that has also helped p rotecting our family care pack, and this is where we are.

Shirish Pardeshi: Okay . My second question is that, in the context, where e-commerce, quick commerce, th ese channels are penetrating faster . In the current context, snacking is a big segment and wholesale does give a lot of fillips in terms of distribution and scale. Now, in your assessment, does wholesale channel is still relevant to you ? And how does it help ? And what are the activities you are doing to scale up the distribution?

Manoj Verma: Yes. So, certainly, wholesale would always be a very, very integral part of our route to market structure . Because, if you look at, this categor y is available in about 9.2 Million outlets, right, and t he source to these outlets, the media is wholesale r or hawkers only. No company can afford to make their direct reach to anywhere close to these numbers . So, that's where the role of wholes alers is. Now, the kind of activations, what we do, we do some wholesale, be it some extra discounting to wholesale, in certain cases, where the throughput of wholesale is very high so, there it's the alternate day replenishment to the wholesale. So, those other things we do on the separate wholesale, so, yes, wholesalers get disproportionate focus in this stuff.

Shirish Pardeshi: And what would be our wholesale contribution to net sales ?

Manoj Verma: So, our wholesale c ontribution would be upwards of about 50 %-55%.

Shirish Pardeshi: Okay . But for th e industry it is very high, about 70%.

Manoj Verma: So, our SGO, Shirish, spoke about that, our contribution of large pack is by far high. So, yes, the companies, who are purely into Rs. 5 and Rs. 10, there this would be even higher i n that stuff.

And our coverage, if you look at, our r each is also not as high. I mean, once, we reach say about 20 Lakh outlets, so, perhaps that's where the whol esale contribution will also go up and will also drive our reach in that place .

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Shirish Pardeshi: Okay . And last question, when I look back, say, sometime September, October, and then, compare November, December, the promotion intensity discounting which has gone up because the sales was not happening, in fact, Diwali has not met the expectation of most of the companies. Now, is that promotion intensity and discounting, which you have seen in the market some places, say, maybe in the wholesale dominant places, is that intensity come down because parallelly the commodity inflation is al so inching up ? Or things are status quo in the month of Jan, Feb?

Manoj Verma: No, no, it has certainly come down, so, companies are looking at increasing prices and all that stuff, so, that's there .

Shirish Pardeshi: Okay . Thank you and all the best.

Manoj Verma : Yes. Thank you.

Moderator: Thank you. The next question comes from the line of Sunil Shah from SRE PMS . Please go ahead.

Sunil Shah : Yes. Sir, just to tell the numbers, the 4th Quarter of last year has been one of the best ever for us, and we are stepping into this 4th Quarter right now. So clearly, we have burden of our own over achievement of last year's 4th Quarter . FY'25 degrow over F Y'24 in terms of the number. So, my point here is to understand from you, is there any strategic thought process, which you are revisiting or re looking ? You have targets of rolling out about 3,50,000 outlets by next year or so, so are we visiting any of the se fundamental structural things that we have thought of at the start of the year ? Because this year has been tough and challeng

ing, especially the 3rd Quarter, so is

there any revisit on the broader thought that you have in the company ? Or is it like a cyclical factor and then, in 3-6 months, we would be back on track? So, just wanted to understand, is there any change in thought process in broader terms from the company's point of view?

Rishabh Jain: No, there is no change in the thought . Largely, our focus is to d rive direct reach, that's what our focus is. This is also our target from day one we have started talking that this year we will add close to 50,000 new outlets, and we are on track, like we have a dded close to 38,000 outlets and in this quarter a lso our target is on track . So, that's what our drive is, to have close to 3 Lakh outlets this year . And that's what our target was in this year.

Sunil Shah : Sir, a nything on the product side, western snacks or something which is perhaps not doing well,

are we revisiting any of those as well ?

Rishabh Jain: No, it's not like , it's not doing well , till Quarter 2 you will see that western snacks are doing very good . Third quarter , as we've mentioned earlier also , so largely 3rd Quarter due to palm oil and potato price increase , and non-availability of potato also for few days. So, we stopped manufacturing of or reduced manufacturing of western snacks specifically. And , that's what have resulted in zero growth . But yes, overall, end of December , again, potato prices came in at the normal level and we started production at peak . So, this quarter you will again see the western snacks growing at the same level what we are doing.

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Sunil Shah : Sir, in this challenging environment, do you see any kind of elimination of competition from smaller players or anything or it would not seem substantial ?

Rishabh Jain: Can you repeat , please?

Manoj Verma: Hello , may I request you to repeat the question, please .

Sunil Shah : Sure. So, this challenging environment, do we see elimination of competition of any some small, organized players or this is too small a period in which we can see elimination of competition?

Manoj Verma: So, competition in small players, if you look at , so that's the cycle. Small, regional players , few will come , few will go, that will always be happening kind of a stuff. Because certain companies are not able to sustain , not able to though even survive in the kind of environment of inflation and all this stuff. So, that always will be the story. Now , if you look at the Neilson report, any of the state would have at least 200 reported companies , who existed, and now a few of them are weeded off. So, this is an ongoing cycle.

Sunil Shah : Okay , sir. All the best. Thank you very much.

Moderator: Thank you . Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.

Manoj Verma : Thank you everyone , thank you all the investors for taking time out. Hopefully , we met your expectations in terms of answering the questions , whatever came up. We will be happy to reach you or you guys can reach out to us for any clarification you wish to seek. Thank you, organizers, for being patient and organizing this call. Thanks again on behalf of Bikaji.

Moderator: Thank you. On behalf of Bikaji Foods International Limited, that concludes this conference.

Thank you for joining us . And you may now disconnect your lines.

Call: May 2025

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Ref: BFIL/SEC/202 5-26/24 Date: May 21, 2025

To,

Dept of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers ,

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and financial year ended on March 31, 2025

Dear Sir/ Madam,

We hereby inform you that in continuation to our letter bearing Ref. BFIL/SEC/202 5-26/15 dated May 12, 2025 and pursuant to the requirements of the Regulation 30 , read with the Part A of the Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations "), as amended , from time to time, an Earnings Conference Call with the Investors and Analysts to discuss the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended on March 31, 202 5 was conducted on Friday, May 16, 202 5 at 12:00 P.M. IST. Please find enclosed herewith the transcript of the Earnings Conference Call .

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call is also available on the website of the Company and the same can be accessed at www.bikaji.com .

You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head - Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As above

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"Bikaji Foods International Limited
Q4 & FY'25 Earnings Conference Call "
May 16, 202 5

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MR. MANOJ VERMA – CHIEF OPERATING OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MODERATOR : MS. HAZEL RATHOD – S-ANCIAL TECHNOLOGIES
PRIVATE LIMITED

Bikaji Foods International Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Bikaji Foods International Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Hazel Rathod. Thank you, and over to you, ma'am.

Hazel Rathod: Thank you. Good afternoon, everyone. Thank you for joining us for Bikaji Foods International Quarter 4 and FY'25 Earnings Conference Call. From the management, we have with us Mr.

Rishabh Jain, CFO, and Mr. Manoj Verma, COO.

I now request Mr. Rishabh Jain to take us through the key opening remarks, after which we can open the floor for the question-and-answer session. Thank you, and over to you, sir.

Rishabh Jain: Thank you, Hazel, and thank you to all the investors for joining the quarter 4 and year-end conference call.

So, largely, this year, FY'25 has been a year of a lot of challenges and a lot of corrections internally. The major focus in FY'25 was to set the internal house right, be it setting a right process on the guard, bringing the right people on our bus for a route journey, setting all the manufacturing facilities, doing a lot of correction in distribution as well as settling sales organization in a right manner like a proper FMCG company. Also, we've done a lot of investment in technologies, and we have started the implementation of SAP and Darwinbox for a future-ready organization. Also, we did a lot of experiments with two acquisitions and adding a few additional categories.

So, quarter 3, when we discussed last time, quarter 3 was the quarter where there were a lot of challenges, be it inflationary pressure across all key raw materials and especially edible oil. Western snacks like potato crop have in Indian prices been very high, so we stopped production last year, early Diwali.

So quarter 3 was a quarter of challenges. And when we take quarter 4, there are a lot of significant improvements, be it in the top line as well as in the bottom line. Looking at the gross margin, when we see gross margin, there was a significant uptick in gross margin than we see compared to quarter 3. Our quarter 3 gross margin on a standalone basis is close to 30.2%, where quarter 3 was close to 26%. And at a consolidated level, our gross margin is close to 31.8% in quarter 4. On a full-year basis, we've done at a consolidated level gross margin of 30.7%. This year, the company has delivered close to 10.3% volume growth and 14.8% value growth, driven by strong demand across our core product lines. From the market lens, overall revenue has grown 14.8% on a Y-o-Y basis and 14.6% year-on-year. Volume growth in quarter 4 was close to 8.9%, and full year was 10.3%. I will hand it over to Manoj ji to talk more about the business.

Manoj Verma: Good afternoon, everyone. So, the volume growth for the quarter has been 8.9%. Revenue growth for the quarter, if we look at is 14.8% this is net of PLI, when we add PLI to it, it was in last year Bikaji Foods International Limited

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quarter 4, we added PLI for 3 years and that's what the reason is that when we add PLI, it looks as flat, otherwise, it's a 14.8% revenue growth, for quarter 4. Ethnic Snacks category, our core category has delivered a value growth of 11.4% in quarter 4. Package sweets which are on the back for a shorter number of wedding days because this is highly dependent on the wedding season, it's a negative growth of 1.4%. However, it will be wise to look at our full-year numbers, which I'll talk about later.

Western Snacks after quarter 3, where we had previously witnessed the negative growth, and this is what we explained to you all, that was a deliberate call in terms of holding our production, holding sales, not a demand issue.

And as we had said, numbers talk about it that in quarter 4, we came back at a 21.5% growth. Papad saw a 5% growth for the quarter, but then this is at our peak capacity. So relevant data point would be even more as we look at it on a full-year basis. So full year volume growth of 10.3%, revenue growth of 12.6%. This includes PLI. Net of PLI is 14.6% growth. Ethnic snacks has grown by 12%. Package d sweets, which overall full year is a 13.2% growth. Western Snack on the back of a huge negative growth in quarter 3, but at the full year level is a 17.7% growth. Papad at close to 11.9% growth on a full-year basis.

Talking about how we look at our markets. The core markets have, on a quarter basis, grown at 10.1%. Focus states grew at 38.6%, other states at 12.5%, and the export growth has been 29.4% in this quarter. However, at an annual level, when we talk about the core sales growth is 11.6%, focus is at 26.2%, other states is at 15.1% plus and the export is at 22.5% growth. We have been reading and hearing that the growth is high on the impulse pack.

But for us, by investing behind our marketing plans and marketing campaign, which we also spoke in the last quarter, that was about Bikaji Khao London Jao focused more on the large packs, help us deliver a higher growth in the family pack, which has grown at 13.8%, whereas

the impulse pack is at 9.3% growth in the quarter.

At a full year level, family packs have grown at close to 16% and impulse packs at 10.5%. In terms of our reach, if we speak about that, so as we got into this financial year, we spoke about that we will -- the target that we took was to cross the 3-lakh mark in our direct coverage. So glad to inform you that we have surpassed our numbers.

The team has done a good job in terms of a consistent improvement in our direct reach, and we have ended the year at 3.11 lakh outlets. When we speak about indirect reach, this reflects or translates into indirect reach, which is now upwards of 12 lakh outlets. That's where Bikaji has been present this year.

Rishabh Jain: So, from a revenue perspective, we've grown at 14.8%. When revenue from operation looks flat, but yes, other than PLI, it's 14.8%. From an EBITDA perspective, basically, quarter 3 was an exception. So, quarter 4, again, we came in close to 11.2% EBITDA on a stand-alone basis. And by consolidated, it's close to 10% EBITDA. So, from a raw material lens, what we're seeing and what we explained last time this year, all the pulses settle in a good favour, wheat, all the key crops that we purchased are at a very low price, which has supported us to improve our gross

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margin. And also, we have taken a few price hikes back-to-back in quarter 3 and quarter 4, which has helped us in getting a gross margin back to close to 31%.

So that's part of the presentation. We are happy to answer all the questions. Thank you.

Moderator: Thank you very much, we will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama. We seem to have lost Mr. Abneesh's line. The next question is from the line of Nitin. Please go ahead.

Nitin: My first question is on our reported volume growth at 8.9%. And if we take around 10% organic business growth, we get to 1% realization growth in Q3, we had 3% volume and 8% sort of organic value growth. So there is a 5% realization growth in Q3. So that growth has come down to 1% in Q4. So, can you help me explain this?

Rishabh Jain: Can you repeat, please?

Nitin: No, I'm referring to your Q3 and Q4 performance. So, for the organic business, my calculation,

this quarter, we have done around 8.9% volume growth and around 10% organic business growth. So, there is a gap of 1%, which is largely a realization growth. Same, if I compare with Q3, it was around 3% volume growth and around 8% organic value growth. So there was a gap of 5%. So, this 5% is coming down to 1%. I'm unable to sort of figure out what led to this?

Rishabh Jain: Our consolidated growth is close to 14.6%, and volume growth is also on a consolidated level of 8.9%, right? So, if you look at 14.8%, it is close to 4.5% -5% growth.

Nitin: I basically wanted to take away the M&A part, Ariba and Hazelnut from the financial and wanted to analyse?

Rishabh Jain: So basically, volume growth without a stand-alone is close to 7% -7.5%. And also, one thing to last year's credit, within this quarter, was not added that quarter 4 of last year. In quarter 4 of last year, quarter 3 was full of promo pack versus this year, there's no promo pack. So, realization also changed this year, and the product mix also changed. But overall, the realization improvement was close to 3.5%.

Manoj Verma: So this is what we had explained in the last call as well, that while it's looking like a few percent growth but if you look at revenue growth was in line with 8%. Now this quarter, there is very little impact of a consumer offer of a 10% extra, which was there last year.

Nitin: Okay. So the bulk of the promotion was in Q3 in the base quarter, and Q4 had less effect on that.

The second question is concerning the gross margin ahead. So with palm oil prices and now below September sort of I have seen a correction of, say, like the gap from September '24 is around 17% on a Y-o-Y Malaysian Ringgit and the duty hike was 22% so like we seem to be getting in a favourable zone, like we have effective price hikes also. So, how do you see the margin outlook ahead in FY'26 gross margin outlook?

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Rishabh Jain: If we talk only about edible oil, palm oil basically, so the peak of palm oil was close to INR137 – INR142 per litre but largely, we have seen that there is a softening in coming quarters, it will be at 120, but we don't see it going beyond this. So 120 will be the new normal. That's what, as an industry, we expect from a palm oil perspective.

But yes, overall, this year's crop has been very supportive, and this year crop is monsoon rain, is good. So, what we see is that overall gross margin and EBITDA FY '25 - '26, we want to get

our original gross margin by quarter 2. That's what we have told last quarter, and we are on track that this year at the standalone level, we are close to 31.8% in quarter 4. Our target was 32.5%. So, we are on track to achieve that.

Nitin: Okay, thank you. And lastly, can you please help me update, like what is the cumulative price hike we have accepted in Q3 and Q4?

Rishabh Jain: So, in Q3 and Q4 price hike was because it was a mix of products, and also, there were a lot of changes in the impulse pack. So overall, at the average level, the price hike is close to 2% to 2.5%. We are taking on a price hike in April. So in quarter 3, quarter 4, it's close to 2% to 2.5%.

Nitin: 2.5%, you are saying, and this includes the price hike we have affected post duty increases, or excluding that?

Rishabh Jain: This was in quarter 3, right, so quarter 3 and quarter 4 combined, we have taken the price hike average of 2% - 2.5%.

Nitin: I didn't get you for Q1, your voice dropped.

Rishabh Jain: So, in Q1, basically, we have taken some price hike.

Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: Sir, just some confusion on this topic. So, if you can just tell us on a consolidated basis, what is the organic sales growth this quarter?

Rishabh Jain: So at the consolidated level, the organic sales

growth is close to 14.8% in this quarter at consolidated level.

Percy Panthaki: So there is no inorganic element at all? Is it because that is the growth that you have reported anyway?

Rishabh Jain: So, at the standalone level, our top line has grown 11.3% in this quarter, and at the consolidated level top line has grown 14.8%.

Percy Panthaki: And the difference between standalone and consolidated, what are the businesses which fall between the two?

Rishabh Jain: So basically, one is THF i.e., The Hazelnut Factory, which we acquired, which we had taken actually in last quarter, quarter 3, then the other one is Ariba...

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Percy Panthaki: But Hazelnut Factory is an associate, right? So, you would not be consolidating the sales, right?

Rishabh Jain: We have the right to merge that because in Ind AS, we need to merge into our overall financial.

Percy Panthaki: Okay. So, the consolidated sales do include the sales of Hazelnut Factory?

Rishabh Jain: It's very small as of now, the yearly top line of Hazelnut is close to INR55 crores - INR60 crores at the yearly level, we acquired it in quarter 3 last October, November, in quarter 3.

Percy Panthaki: Okay. So, if I look at organic sales at 11.3%, it is lower than the usual 16%-17% growth that we used to clock at a few quarters ago, so what is the reason for this lower growth? Is it just a general sort of industry slowdown? Or is there some other reason behind it?

Manoj Verma: I think it's a mix of both, Percy. So, when we cut the year in two parts, the first half and the second half. So, the first half was well on track, close to 16% growth. Quarter 3 was the quarter that actually slowed down both from the external factors and the internal consumption factors as well.

So, one was inflation, all that stuff, the overall demand. And the second was that we could not supply because of this, like what I was talking about, that we witnessed almost about 15% -20% negative growth on our western snacks, which was an 8% contribution to our overall business, kind of stuff. So those were the factors which brought it down. If we look at the upward movement in quarter 4, it is by far up, and it's on an upward movement. So, to your answer, yes, 11.5% is a little muted growth vis-a-vis the growth that we have been doing, but that also reflects the overall category growth also in that sense.

Percy Panthaki: So, is there any visibility on the category growth improving in the near term or that we will have to wait for that?

Manoj Verma: See, this is a dynamic stuff, but what we see and witness in the market, both from a demand standpoint and also when talking to these people, so objectively and subjectively. So, we are seeing that this quarter 4 onwards, there's a positive movement. The Urban regions in quarter 3 and till the first half of quarter 4 were pretty stressed.

And urban also, when I say 33% of urban is the metro towns, which actually were flat or have de-grown in terms of consumption. This is the overall food industry I'm talking about. Whereas Tier 1 and Tier 2 towns were doing better, but now there's an upward movement across. So going forward, what we see, looking at the crop, looking at a lot of corrective action, looking at the infusion of what the government has done, I think this should only look up. So, the worst is behind us. That's how we look at it.

Percy Panthaki: So, this upward movement, is it already visible on the ground to you right now? Or it's sort of something that you're expecting will come in the near future?

Manoj Verma: No. So that's what I'm saying. So , we compare over quarter 3. So , all metrics are up and far ahead of what it was in quarter 3, which is an indication of that stuff. Also, one is that you depend
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only on ext

ernal factors. Secondly, what can we do? So, circle of influence, what we call is so there's a lot of readiness above preparedness in terms of the marketing campaign , in terms of the product mix, the pricing and all.

Our end objective is to grow ahead of the category and beat these external factors as well. So , both ways from both macro factors, we see that there is a positivity that should be an upward movement. And internally also, so how to fight against this, that readiness also gives us confidence, and that's what we are talking about.

Percy Panthaki: Just a clarification on this, sir. You mentioned that in Q4, you have seen better momentum versus Q3, but on an organic basis, the sales growth is roughly the same ; it is 12% in Q3 and 11.5% in Q4.

Rishabh Jain: So, 12% in Q3. So , if you see it on a standalone basis, it was close to 6%.

Percy Panthaki: Okay. Okay. Got it. Got it. The second question is on the focus state.

Manoj Verma: So, it is 6% to 11.5% for the quarter .

Percy Panthaki: Got it. Just on the focus states, this 36% growth that we have seen, is there an inorganic component to that as well? And if you can break that out , if so?

Manoj Verma: Yes. So , like what Rishabh spoke about that the THF i.e., The Hazelnut Factory, which is primarily in the UP state. Otherwise, it would be, say, of course , of 22% kind of stuff.

Moderator: The next question is from the line of Anand Shah from Axis Capital.

Anand Shah: Can you call out how much is THF and Ariba done, let's say, in the second half and for FY'25 , at least on an annualized basis, what run rate is it clocking? And what is sort of the ambition for FY'26 ?

Rishabh Jain: About THF and Ariba . So THF basically has given close to INR11 crores - INR12 crores in quarter 4 , and Ariba close to INR7 crores - INR7.5 crores. So that's a mix overall from THF and Ariba in quarter 4. However, from an outlook lens, what we see is that THF can do close to INR90 crores of business in this FY'26, and Ariba can do close to INR50 crores. So that's the target that both brands have for FY'26 .

Anand Shah: I mean , INR18 crores came from these two brands. And on the margin side, would this be at similar margins to the business? Or how does that stack up?

Rishabh Jain: So, from the THF link, for the retail business, quarter 3 is the highest profitable business.

Anand Shah: Yes, I mean so on an annualized I am saying, not quarterly.

Rishabh Jain: Annualized is largely the same. Ariba is not making money as of now because it's running at low utilization, but it's very small.

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Anand Shah: And Ariba will largely be for the back end in the frozen part, right?

Rishabh Jain: Back -end frozen part, right. That's an addition to the category for us.

Anand Shah: Got it. Got it. So that eventually , it is not more revenue generated, but that will feed more effectively into your QSR ambition.

Rishabh Jain: QSR as well as export , because in export frozen part is very big.

Anand Shah: Yes. Okay. Okay. Okay. Got it. And on distribution expansion, I mean , you've been talking steady growth. So , what is the target there? I mean, for FY '26- '27, let's say, will you continue to add 20% plus outlets?

Manoj Verma: So, yes. So , our expansion would be a continued initiative because today, we are at about 11% - 12% numeric distribution at a pan -India level. So , there's a huge room of growth but the approach what we are saying is that we will do a quality distribution increase, which eventually should reflect in the Nielsen or say the REIT stuff as well.

So, this year, the target that we had taken last year was to cross the 3-lakh direct coverage mark, whereas we ended it at 3.11 lakh outlets, that's the final number which it is. Our plan is to add 50,000 year -on-year outlets. That's the target. for the next 3 years. So , we would

be reaching

around 4.5 lakh outlets directly in the next 3 years.

Anand Shah: Got it. The 15% compounding at least on the distribution side. And most of this would be focused markets?

Manoj Verma: So, primarily focused market, but yes, there is little room for focus in the core markets as well.

So that would be a defense strategy, so as to how to approve or how to take head on with the local and the regional trade as well. So , in the rural core market is where our focus would be, whereas in the focus market, it will be primarily urban , followed by rural.

Anand Shah: Got it. Very clear. And lastly, I mean 2% - 2.5% is the pricing you've taken in Q3 - Q4, and you took one in April, right? I mean , what was the quantum of in April?

Rishabh Jain: In quarter 1?

Anand Shah: Yes, in Q1.

Rishabh Jain: So quarter 1 is close to 0.5%.

Anand Shah: And so right now, no plans. I mean you are largely covered with .

Rishabh Jain: Right now, I think we are done with all the increase in price. And we are hopeful that by this, there will be a lot of product mix and cooperation costs in program running on. So we'll be hopeful that with this, we'll be back on track with our original margin in GM and EBITDA.

Anand Shah: And that you are saying second half FY '26 is broadly...

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Rishabh Jain: Yes, yes.

Moderator: The next question is from the line of Darshit Vora from Asit C Mehta Investment.

Darshit Vora: My question was on focus states. So, we've been seeing good growth in focus states when compared to core states. And we're also seeing increase in Family pack salience of about 100 basis points year -on-year. So, what is it that you're doing that is driving this increase in salience?

And also, that do you expect it to sustain going forward, especially in the focus markets?

Manoj Verma: Yes. So, I'll take your last question first. So yes, we would continue to grow focus states faster than the core states, for two reasons. One is that their bases are not as big as what we are in the core states. So that's one reason. The second thing is the kind of efforts we are making, the investments we are making, they have to give us a disproportionate result .

So that's the reason that these focus states would continue to grow faster. That's one. On the large pack and small pack, for us, the large pack is equally important, and that's what is one of our fortes or the brand strength that in -home consumption, modern trade equity, we enjoy more. However, what we see is that the small pack is an opportunity for us. Therefore , the focus would be on driving both these packs, the large pack and the small pack.

Darshit Vora: Yes. So , my question was towards understanding that despite the increase in focus states higher than core states, we are seeing more salience in family packs. So , what kind of thing is driving that thing?

Manoj Verma: Two, three things. One is today also, if you look at in focus states, our market share when we look at just the large pack is by far high. So , in the stores where we are selling, the distribution is an area of improvement, whereas in the store where we are selling large packs, what they are selling is doing good.

So, there is a same -store growth also happening, which is basis the large pack , that's one. Second is modern trade and new age , of new age is the quick commerce growth is on the back of large pack. That's the factor which is doing good. Lastly, the promotional campaign, what we do and mostly what you can really address is on the large pack, like last year , for 4 months, we did a mega campaign, which is Bikaji Khao London Jao, this was all on the large pack itself.

So those are the factors which is helping this large pack growth in focus states and overall, also.

Like other states, if you look at the major contribution is the large pack. It's less of a distribution.

It is more about leveraging the modern trade stores across states.

Darshit Vora: All right. All right. Okay. That's great.

Manoj Verma: But going forward , you will see that as we get distribution high, so small packs will also be growing faster. So we are not taking our eyes off the small pack. They have a role to play.

Darshit Vora: All right. So , we expect the overall breakup to remain largely the way it is right now , with both growing equally?

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Manoj Verma: Yes. So , going forward, you will see that the small pack will grow a little faster. That's what the strategies and the initiatives which are rolling out are the ones because that's how we will gain new outlets , indirect reach will not be on account of a large pack. It will be the small packs that will be playing the role.

Darshit Vora: All right. Okay. But then , because of that, would it bring some kind of volatility in terms of volume growth that we see or in margins as well?

Manoj Verma: Not really. No, no, not really.

Darshit Vora: All right. And secondly, we've been seeing a slight decline in package suites, and you alluded to the fact that there was weakness in the wedding season, the last quarter and before that. So, apart from this, any other reasons that are playing into this decline in packaged sweets growth?

Manoj Verma: No, no. I think the right way to look at it is at a full-year number; that's the right number to look at. Secondly, the sweets, if you look at is a key about, say, 75% of our business happens between Rakhi to Diwali. So that is four months contributing to about 70% - 75% of the sweets business, which is really, really big.

And that's why, if you look at our capacity utilisation is upwards of 100%, kind of on the sweet stuff, right? Quarter 4 and the rest of quarter 1 and quarter 4 are the weak quarters on the shelf. And then they are highly dependent on the wedding season because that's when we sell bulk sweets as well.

Now, if we look at the number of total wedding days this year, by far less than what it was in last year's quarter 4, so that's the reason that this quarter 4 looks small. But it's a small business to our overall pie. Hence, I don't think that's a cause of concern.

Moderator: The next question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: So, you have a plan for house-of-brand strategy over a longer time frame. Could you update us on what the thought process is there? Are you going a bit slow on that so that you can first understand these acquisitions? What is the way forward? And on your own restaurant foray, if you could update FY'26, what is the expansion plan there? Are you happy with the FY'25 performance of the restaurant business?

Manoj Verma: So, restaurant business, Abneesh, as we spoke about that we will get into that stuff. So, yes, we opened one store in Rajasthan. That's so-called QSR stuff in Sikar last quarter, we did one. This year also, we'll add about 4 to 5 outlets, and this is what we had called out. So therefore, in our growth plans, QSR is not really adding up, or we are not taking any large numbers on that account.

Certainly, for next year, hereafter is what we'll call out on our QSR strategy. So that's how the plans are. Other than this, on the house of brands, if you look at THF, yes, it's doing good, so it's a retail brand, the aggressive plans they have are falling well in place. That's where it is.

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Bhujjalalji, which was a small acquisition, and that was clearly to play on the modern trade and on the e-commerce platforms as a brand B strategy that has also now fallen into place. But going forward, what our plans are that we will not add; we'll try and build even a larger brand. That's the strategy.

Abneesh Roy: Sure. My second

question is on the demand side. Most FMCG companies in Q4 call have said a strong outlook, a better outlook in FY'26 versus FY'25. You have delivered around 10% kind of volume growth in FY'25. Of course, there is an aid of the 10% extra grammage which you are giving, especially in the first half.

So, if you marry the extra grammage which you are giving, which is there in the base and softer food inflation and some of the other macro good monsoon, lower interest rates, then how do you see your volume growth? Would you target a high single-digit kind of volume growth in FY'26?

Manoj Verma: No. So what we are looking at is 12% to 13%, kind of a volume growth in FY'26. And I think our strong plans are in place, so what we say should happen. I mean, that's how we look at it.

Abneesh Roy: But what has changed? Because I remember in Q3 most FMCG companies, including you, were saying the overall demand situation is quite challenging. And Q3 call was having a lot of questions on the real volume growth ex of the 10% grammage and all that kind of question.

And now, within one quarter, you have seen a good performance improvement. Q4, 11% like-to-like standalone growth versus 6.5% previously. So, it's a good performance. And now you're talking about 12% to 13% volume growth. So, one is, how confident are you? And second, is this more of a sector change or is this something you have really cracked as a winning market share, which is giving you the confidence level?

Manoj Verma: So, Abneesh, two things. As you started off with quarter 3, let me answer that. So, quarter 3, we witnessed about 20% negative growth on western snacks, volume growth, I'm talking about, right? Now western snacks contribute to 8% of our business with a 20% negative growth, and we called it out that that's not a demand issue. That's purely a supply issue and a conscious call which we took, right?

This quarter, again, we have bounced back with upwards of 20% growth in the Western category. That in itself, that's one. Second is that last quarter, the denominator or base impact of the 10% extra scheme was also impacting our volume growth, which we tried and clarify that net of, if we look at revenue volume growth, it's upwards of 8.5% kind of stuff.

So that's one quarter 4 over quarter 3. Going forward, what we are saying is that overnight these growths will not come up to the kind of positive momentum that we are seeing, the way the

company Nielsen is projecting kind of a growth. So, this would be an upward trajectory, quarter 1, quarter 2 and thereafter. That's what it is at a holistic level. We are optimistic on a 12% -13% volume growth.

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Abneesh Roy: Sir, last question on capacity expansion. You did say papad growth was slightly constrained because of capacity being full. So, in FY'26, any plans to add capacity in any of your verticals, either through third-party or in-house?

Rishabh Jain: So, in papad, we don't need a major capex. It's largely a fully manual process. So yes, there is a small plan to increase the capex, but it will not involve a major investment. But yes, in papad, we're also taking a growth of close to 10% -11% this year.

Abneesh Roy: And other verticals, anything you want to call out on capex?

Rishabh Jain: On the capex perspective, so that we are investing in one big warehouse in Bikaner. So that investment will be close to INR60 crores – INR65 crores, and it will be part of CWIP, which we have filed in the numbers of March '25. So, this mega big warehouse will come up in the next 3.5- 4 months.

So, this will solve the logistical issue. Currently, we don't have space to keep stock for more than 2 -2.5 days. So that's a lot of production issues coming, keeping up. So that will solve this production issue, and it will help in improving our rate of sales. So, these are

big investments

coming up this year. And there is no other major capex addition. It will be a regular maintenance capex that will be coming up this year.

Moderator: The next question is from the line of Amit from HG Hawa.

Amit: My question was with respect to, like, what is the ad spend as a percentage of revenue? And how do you evaluate the ROI across campaigns?

Manoj Verma: Yes. So, our ad spends, as we call so well within budget; what we say it's close to 2% is our ad budget. And this is what we park aside for the year to come as well. So that's the kind of number we are budgeting, or maybe a little ahead of that. So, the mood point is that, yes, we believe in marketing investment and would continue to do that.

ROI when we speak about it, it's not as easy because there are lots of overall umbrella branding umbrella activity, what we do to help our entire business grow. So, in the name of Bikaji, not brand-specific. But yes, whatever we do, say, for example, the mega campaign, what we did was on the BKLG, so it is Bikaji Khao London Jao. So, we saw a huge upward increase in our large pack.

And that's what has helped large packs grow by far ahead of what the industry, the category growth, or other players have seen; that's one. Second is that our gifting, which is seasonal, includes gift packs and also sweets. This is a huge number. Now, while selling is one part, you also have to ensure that off-takes happen or complement the sell-in part.

And to support that, there is, again, a huge media investment in what we do across communication vehicles, and this is where we spend. And the proof of pudding is and how we look at it is that if we could generate offtake, so there is at least of leftover or nil leftover at our Bikaji Foods International Limited

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retail outlets, it speaks about the success of the marketing investment, and this is how we look at it.

Amit: And the second question was, can the modern trade and e-commerce, like what share of our revenue comes from these channels? And do you plan to expand them further?

Manoj Verma: Certainly, yes. So, if you look at the last 3-4 years, modern trade has been or both these channels have been growing faster than the overall business or general trade. To compare with we would continue to invest in both these platforms and would be growing.

So modern trade is almost 2 x-2.5x of the overall company growth. This e-commerce channel is even higher. It grew at almost about 50% last year. That's the kind of growth. And we see this continued momentum.

Amit: Can you give a number, like what percentage of revenue comes from these channels?

Manoj Verma: So about 8% comes from our modern trade channel, and 2% from this Q-commerce business.

Amit: Sir, any plans to enter any adjacent FMCG categories like beverages or something like frozen snacks?

Manoj Verma: Not for now.

Moderator: The next question comes from the line of Manish Poddar from Invesco Asset Management.

Manish Poddar: So just two questions. One is, in this pricing, which you have taken, how would we stand against

competition, let's say, both unorganized and organized? Would they have followed a similar pattern? If you could give us some sense on that.

Manoj Verma: So see, if we compare against organized players, so this is one when we say 4 key stuffs, so pricing is one of it. We cannot be over-indexed or under-indexed. So, this is almost hand in hand.

But of course, when we speak about the local, regional or say, the unorganized small players, we never look at it, and they are always cheaper.

So, they are at about what 0.85 index to what we are. That's the kind of differential. And we are very mindful. So, when we take any price increase, it's not a random call or it's not in isolation.

We do quite a study in terms of brand-wise, in terms of company-wise, geography-wise,

and

that's how we take price increases.

Manish Poddar: So would it be right that let's say, you're saying about the price index, but let's say, the unorganized players would have also taken a price increase alongside.

Manoj Verma: So with the commodity price increase, like if palm oil has moved up from INR85 to, say, INR140 or INR125. So they also cannot survive. So they have also taken a price increase. I'm saying the differential would continue.

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Manish Poddar: Okay. And Verma ji, if you can call out, let's say, how the second one is, what is the growth in Rajasthan for the full year, if you can help with that?

Manoj Verma: So, Rajasthan full year is about 12%, close to 12% is the Rajasthan growth.

Manish Poddar: And in volume terms.

Manoj Verma: Volume terms, it's about 8% -8.5% kind of volume growth. 8% or 8.5% kind of. I can get back to you on this stuff.

Moderator: The next question comes from the line of Sunil Shah from SRE PMS.

Sunil Shah: My question is slightly on a long-term basis. Safely, I want to have a thought process for the next 3 to 5 years. And as a company, if we intend to grow at a 15% CAGR, kind of a certain number. Sir, the driver would be that we are increasing our distribution network, that 311,000 will scale up to about 4.5 lakh over the next 3 years or so, 50,000 every year. So that is one thing that we are increasing our presence. The second is once our presence is established, then we can keep on introducing new products over there. At the same time, we can increase the same -store sales.

How are we looking at this situation over a long-term point of view in terms of distribution, in terms of new products, in terms of sales per store, specifically in the context of competition, which is really there for us and also the ability to have price rise in a scenario of increased raw material prices. So, if you could give us some indication strategically from a 3-year point of view, or a slightly longer period, is also good.

Manoj Verma: Sure. So, see, when we say 15% growth, a kind of number, so the assumption is that, say, a high single-digit number would be the category growth. So that would be organic growth. We'll have to hold to that. And then we have to do differential growth so as to gain market share. As we speak, we are less than 9% or say, 8.5% market share. So, there's a huge headroom where we don't aspire to be, say, Haldiram, but clearly if we say that our aspiration is next 3 to 5 years' time, we should be at about 11.5% to 12% market share, that's the ambition. And this we can achieve if we differentially grow into the category growth.

Now the growth drivers would of course be the distribution, so that's reach, and the second is the throughput increase. So, in the core states where our market shares or our penetration is already high, where the task is to grow same -store growth, throughput. And so here, if you look at, let's say, if core states, say, Rajasthan, have grown by 12%. So here, the same -store growth is 8%, and 4% is the new store growth kind of a number.

Whereas when we get into focus states, this is the reverse. So, it is more led by new store growth and not as much by the throughput growth. Now to complement our distribution or the route-to-market initiatives, the role of marketing is to create brand awareness and which is what will help generate same -store growth and all. That's the strategic call. In terms of new product introduction, new categories, that's what we are keeping out of scope when we speak about these growth plans going ahead.

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Sunil Shah: Right. Okay. Sir, in FY'25, it has not been a year which has been really great that we can boast about it. Anything which was structurally important for us, which would

d kind of deviate us from
the 3 -year thought process?

Manoj Verma: So sorry, I missed one of the earlier questions wherein you spoke about the pricing part as well that also what happened. So, what happens is that, of course, last year, this was the second half wherein the inflation challenges came in. So, this quarter 3 was derailing, right? And this hit not only us, the overall FMCG industry or the overall industry per se kind of was down.

I think the resilience that we as an organization showed is that we still did our best in the worst and bounced back in quarter 4. Going forward, however, this category is highly dependent on the commodity prices. But I think the departure from what we have already made is that we are not solely dependent on the commodity prices, the ability to react and ability to make predictions of what is coming our way is what I think we are much better prepared than what we were before. So that's the structural change what we have done and built in the organization. However, these are dynamic numbers that sometimes these commodity prices are by far beyond expectation and that impacts us, but then I think that's the way this will move.

Moderator: The next question is from the line of Niril Parekh, from Arwiga Capital Advisors.

Niril Parekh: So, after the PLI income growth and manufacturing plants ramp up completely from a higher perspective, what are the steady -state parcels that we would think about the company?

Rishabh Jain: So, you are talking after 5 years, right?

Niril Parekh: 5 years. Yes.

Rishabh Jain: So basically, we've got PLI until FY'27. Currently, we have invested in all the plants where we are giving a minimum guarantee, there are high-cost running plants and lower capacity. And all the outside plants, new plants, are running at low capacity. So, of course, PLI will phase in next 2 years, but our capacity utilization will increase significantly in the next 3 - 4 years. And this will offset PLI income, and what we think our steady EBITDA after 4 - 5 years should be around 15%.

Niril Parekh: Okay. And is that driven by any product mix which would lead to improving...

Rishabh Jain: Of course, it will be driven by multiple things, be it investing in branding. So it will help in commanding a price from consumer number one. Number two, of course, product mix is an important thing because we are already focusing on a few products which are high in gross margin, currently contributing close to 15% - 16% target to take this to 18% - 19% in the next 2 - 3 years, investing in cost saving program within the organization at each level, be it production, logistics or building strong trade scheme systems.

So getting proper ROI of each investment that we do, be it in sales or elsewhere. So there are multiple things going on as an organization, which would help us in driving this 15% target.

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Moderator: The next question is from the line of Nitin from Emkay Global.

Nitin: I just wanted to check if the Rajasthan market has grown 12%. So, how has the growth been in other core markets like Bihar and Assam?

Manoj Verma: Yes. So, it's Rajasthan, followed by Assam and then Bihar. So that's how the growth stuff.

Nitin: Okay. And the second question is with respect to the start of the call, Rishabh ji has highlighted lots of corrections internally. So can you please help us like the key initiatives we have taken internally, like apart from that he has deliberated on SAP implementation and Darwinbox and all and M&As?

Manoj Verma: So, I would rephrase that correction, I mean, I think the right way to put it is that keep the improvement. So it would be a consistent improvement or improvement over what we're doing. So let's say, for example, ERP, Microsoft 365 is the ERP which we have been using. What we felt and studied was that having

SAP would help us increase our efficiencies, link all functions better, and so all. So that's an improvement on our investment, we decided to do. That's one. Right now, the distributors, so this would always be a dynamic thing that how do you upgrade the distributors. So as you grow business certain distributors, you find that now the ability to invest in business, financials or maybe in terms of their bandwidth for the increased business, not so, then you have to take certain tough calls and say that now we'll have to part ways with a few of them.

So those are the kinds of improvements in our distribution network. Talking about people's rights, so doing P/P, so performance to potential metrics, there's always a tail which you'll have to cut and see how you improve overall capability standards in that stuff.

So those are the things, I'm not talking about HR, and you also touched upon the Darwinbox got deployed. So earlier, the PMS that we were using, we felt that now this would be, as the size of our organization is growing, as the people number is growing, we need to have it even better version of it, and that's where the investment in Darwinbox. So that's how the improvement over the years is what's happening.

Nitin: And the last bookkeeping question on this employee cost increase for this quarter. Is there any

specific reason for this?

Rishabh Jain: So, if you look at a standalone level, there were some groupings which was part of last year's other expenses, which have been employee costs. So, it is corrected it was done in this year. And overall, the employee cost, if we exclude this, is close to a 16% increase in employee cost.

Nitin: Okay. Just last, sort of a suggestion or sort of help we need in terms of going ahead with the M&As in the business. So, it's getting a bit complicated. If you can sort of help us provide a disclosure separating the organic business and M&A, that would be really helpful.

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Rishabh Jain: Sure, thanks for suggestion.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Manoj Verma: Thank you once again for being on the call. Hopefully, we could answer your questions. And we would appreciate taking any questions which is left out, and one of you or any of you can reach out to Prat eek for these questions, and we'll get back to you on that. Thanks. Thanks, once again.

Moderator: Thank you. On behalf of Bikaji Food International, which conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

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Ref: BFIL/SEC/202 5-26/51 Date: July 30, 2025

To,

Dept of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers ,

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter ended on June 30, 202 5

Dear Sir/ Madam,

We hereby inform you that in continuation to our letter bearing Ref. BFIL/SEC/202 5-26/40 dated July 17, 2025 and pursuant to the requirements of the Regulation 30 , read with the Part A of the Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations "), as amended , from time to time, an Earnings Conference Call with the Investors and Analysts to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended on June 30, 202 5 was conducted on Thursday , July 24, 202 5 at 12:00 P.M. IST. Please find enclosed herewith the transcript of the Earnings Conference Call .

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call is also available on the website of the Company and the same can be accessed at www.bikaji.com .

You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head - Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As above

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"Bikaji Foods International Limited
Q1 FY'26 Earnings Conference Call "
July 24, 202 5

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MR. MANOJ VERMA – CHIEF OPERATING OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MODERATOR : MS. HAZEL RATHOD – S-ANCIAL TECHNOLOGIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Bikaji Foods International Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch-tone phone. Please note that this call is being recorded. With this, I now hand the conference over to Ms. Hazel Rathod. Thank you, and over to you, ma'am.

Hazel Rathod: Thank you. Good afternoon, everyone. Thank you for joining us for Bikaji Foods International Q1 FY '26 Earnings Conference Call. From the management, we have with us Mr. Rishabh Jain, CFO and Mr. Manoj Verma, COO.

I now request Mr. Rishabh Jain to take us through the key opening remarks. After which, we can open the floor for the question-and-answer session. Thank you, and over to you, sir.

Rishabh Jain: Thank you very much for joining the call. So, from Bikaji, me and Manoj Ji have joined the call. And we have seen a strong quarter performance with a strong 15% growth on a consolidated basis and 11% growth on a stand-alone basis. From the last 6, 7 months, we've seen good demand improvement across each month-on-month. So, if you see the third quarter of last year, we have been at 5%, 6% growth versus last quarter was good. And this quarter, month-on-month basis, we've seen good demand recovery across each rural as well as urban.

Also, we entered into festivities, and festivities are always big for us. Sweet plays an important role. As we just closing July, we've seen good demand from sweet as well as all ethnic snacks. So, we're seeing good demand and see a good sign of good second quarter going on.

From a bottom-line perspective, this quarter has been one of the best quarter in the last many quarters, where overall consolidated gross margin touched 35%. With PLI and without PLI, it has also grown to 33.7%. On a standalone basis, the gross margin was 33.6% with PLI and 32.3% without PLI. So, from the gross margin lens also, we've seen good, strong performance in the last 4, 5, 6 quarters.

So basically, if you see from the third quarter last year, we have gone far right, and we have seen good gross margin and EBITDA improvement. Also, this year, we have seen good rain, a good crop, and raw materials supported as key pulses edible have also softened. So, this is also playing an instrumental role in improving gross margin.

On timely basis, also, we've increased the prices of key ethnic snacks as well as special snacks. So, in the last 2, 2.5 quarters, we have increased prices by 2.5%. That has also helped us in regaining our margin trend.

EBITDA from a consolidated basis, we had touched an EBITDA close to 14.8% and without PLI 13%. So, close to 15% EBITDA with PLI. And from a stand-alone basis also, we are just
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close to 15.8% EBITDA with PLI and close to 13.5% EBITDA without PLI. So, from a standalone basis, we are touching close to 13.5% to 14% EBITDA.

This quarter marks the instrumental achievement, as we have also initiated and taken approval from the Board for a JV with one of the biggest groups in Nepal. That's a strong partnership, building capability and talent. So, basically, in Nepal, CG Group is one of the biggest company in Nepal. They have another best distribution. We see that Bikaji, by partnering with them, will gain significant market share in Nepal in the coming years. We expect good business to come in over the next 3 to 5 years.

Manoj Verma: So, Yes, besides this, as we said that now we would be in a distribution game. We have added about 15,000 outlets in the last 3 months,

taking our direct coverage to 3.26 lakh outlets. In terms of our marketing initiatives, as we've committed and budgeted at 2%, quarter 1 is relatively a low-spend quarter, whereas, quarter 2 becomes a very high expense quarter for our marketing strength. So, the continuous investment in digital marketing, which is social media, that's on, and we were there all across.

Also, this has been a quarter where we've initiated uncertain NPDs, which are there in the pipeline and have very recently got launched. People talk about the healthier snacks. So, the millet bhujia, a brand extension of our Bika neri bhujia, millet bhujia is what, we have launched this quarter.

Talking about our growth, so, the overall volume growth is 7.5% for the quarter. Our revenue growth is 14.2%. In ethnic snacks, which is our core category, has grown at 11.2%. Package d sweets, which look s pretty low at this point, is at 3.1%, but this is a seasonal business. This is going to be recovered in quarter 2. Western snacks are also showing a 4.2% revenue growth, and papad, a small category, is growing slowly at 5.8%.

The way we look at our business, which is core focus in other markets. So, core has grown at 8.5%; focus market at 11.5%; and other markets is at 26.5% growth. Exports have done extremely well with a 60.8% market revenue growth.

In the last quarter, our family packs have grown by far higher than the impulse packs, which is INR 5 and INR 10 per pack. So, the family pack has delivered a 15.8% growth, whereas impulse packs are at 8.2%.

Rishabh Jain: So, from the top line lens, we had touched a close of INR 653 crores, growing at 14.2% compared to last year. And overall, from quarter-on-quarter basis also, is growing at 6% close to 7%, versus EBITDA if you see from last quarter, we grow at around 30% from EBITDA lens in testing INR 96 crore's EBITDA in this quarter. So that's all from the presentation. We are happy to take all the answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Abneesh Roy from Nuvama. Please go ahead.

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Abneesh Roy: Congrats for good recovery in both volumes and margins. My first question is on the family pack versus impulse pack. So, family packs are growing 2x of the impulse packs. Generally, we see in FMCG that currently, although there is some recovery in terms of the urban demand, initial signs, generally, downsizing is happening, and smaller packs are going faster.

So, is this a conscious effort from your side that you're offering more value to customers at the family pack, because impulse packs are very important for recruitment purposes, and probably an overall market share purpose. So, if you could clarify any one-offs here? And how have you seen the market leader? Have they also seen family packs grow faster than the impulse pack?

Manoj Verma: Thanks, Avnish. To the question, if you look at the small pack or the impulse pack, it's not that they have grown slow in terms of category. It is what, we could have done better on the impulse pack side. So that's one, straight to your question.

Now, the reason for that has been that there has been, you know what we have witnessed from the market, that lots of small and local players. So, huge discounting and all that stuff have happened in this INR 5 pack primarily. And which is what has the category growth, but from our, in terms of a conscious call, we didn't get into those price wars and all that stuff, which is also on the back of, if you look at relatively low growth on our Western snacks.

But, how we look, see, is that come this quarter 2 onwards, this should get back to normal. So not that we have done differentially high on our large packs, it is by virtue of our brand strength,

length,

our distribution and our availability across channels that the momentum continues.

Abneesh Roy: One clarification here. It's mostly regional players, which are more aggressive in the Western snacks or given the Pepsi's of the world or ITC? And second is Western snacks is around 10% of your business, broadly 9.2%. So, is that Western snack is mostly in the INR 5 and INR 10 pack for you?

Manoj Verma: Yes. So, Western snack is, primarily INR 5 and INR 10, and we also do have large packs for modern trade and all that stuff. But, then that's a limited space in that stuff. So, INR 5 and INR 10 is certainly big in this.

And in terms of your question that the large players, which is in likes of Pepsi and ITC. So, if you put together these 2 companies, their market share in, say, Western snacks would not be more than 50%, even less in that stuff, right? So, there's a huge room, and that's where the regional and local players play pretty strong.

Abneesh Roy: Understood. My second question is on the 2-3 laggard categories in your core business, which is 76% of your business. Ethnic snacks, you have done quite well. In the 3 smaller categories, which is a bit counterintuitive, your growth is below 6%. You did explain the Western snacks and you said it will come back on track.

In packaged treats and Papad, in the new states, is this a focus area, for example, in focus states, are you also driving packaged sweets and Papad. Generally, what we are seeing, these 2 categories

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are a bit volatile in numbers. I understand packaged sweet is linked to the festivals and marriage season. But is there a drive to take this to new geographies or in the existing geographies only where most of the business continues to remain for these 2 segments?

Manoj Verma: No. So, Papad goes everywhere and so other sweets. We've been calling and we take pride in

saying that we are the second largest Papad manufacturer in the country, handmade after Lijjat Papad. So, this is not just in the core states. This is across the country and even, in the exports market, right?

But, it so happens that Papad, again, during wedding season, so, the demand of sweets and Papad goes obnoxiously high during these wedding seasons. In fact, in the times we have witnessed that we run short of capacity for Papad most importantly.

This time, what has happened is that the number of wedding dates or the weddings were less than, what it were in the last or previous year. So therefore, it's reflecting in Papad. Sweets is a matter of time. And as Rishabh just spoke and you'll see the pricing number coming in, in quarter 2 sales for sweets. So, an immediate recovery will be.

Abneesh Roy: Yes. Last question. So, Nepal, why do a JV, almost every Indian FMCG company is present in Nepal, we don't see too many JVs? Why not go 100% on your own? Second is this INR 5 Crore loan which you have given to Bikaji Bakes. Could you clarify on that? What exactly is this business?

And lastly, on the 2 store addition which you have done. From 13 stores quarter-on-quarter, it is becoming 15. So, if you could discuss, is this basically your acquisition, Hazelnut, isn't at where you have added? And any insights if you can share of your own store, how they are doing? And Hazelnut, are you happy now, because few quarters have gone?

Because generally, most retail companies in the QSR space are not seeing good times at all, except maybe Domino's one exception. But broadly, this space is extremely challenging currently.

And if you see the software job addition also TCS has delayed and overall job addition in the IT sector is low. In that context, would you slow down your store addition in Hazelnut and in terms of your own stores?

Manoj Verma: Yes. So, we'll take your questions one by one. So, starting from your first question, which is on

JV in Nepal. So Bikaji as a brand is pretty old and pretty strong in the Nepal market. But the challenges, what we were facing was that there's huge custom duty or the import duty, which was there and which was making our product non-competitive.

So that was the reason that we thought of having a JV and eventually, start producing there and selling there. So that will make our products much more competitive and will leverage the brand strength what we have.

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Talking about the JV Company, which is CG Chaudhary Group, who owns Wai Wai brand and which is the highest distributed Maggi or FMCG brand in the country. So that's what we are riding along with the CG Group.

And we see a huge growth potential initially just by making our products available in length and breadth of the country and second, by the cloud and their strong presence in the store. So that's the sole objective of having this JV, exclusively for Nepal market.

Now talking about the loan and the other stores, I would hand over to Rishabh.

Rishabh Jain: So, from THF, in this quarter, we have added 2 stores in THF – The Hazelnut Factory. So basically, THF is doing extremely well for us. And, we are largely satisfied with the performance of what they are doing. And this year, they will open close to 8, 9 stores, more in the next 9 months. So, they will open a store in a month pipeline. So, by end of this year, they will be having close to 19, 20 stores, and largely in UP and MP area.

So, in last 6 months, they opened stores, and we are seeing good results coming in each quarter, each retail outlet. So, we are seeing good numbers versus profitability at overall level in retail also in THF, and we are largely satisfied with the investment what we have done. And from Bikaji lens, we've opened 1 store in Rajasthan this year, and we'll open 3, 4 stores more in the same pipeline. And we are seeing, we also see good results coming in from that.

So, from retail lens, we are not your proper QSR. We are into a major focus in each retail chain is into Packaged Namkeen, Packaged Sweets, Gifting that contribute big numbers in our overall QSR. Like you see in Bikaji also, like we are offering in Bombay, where close to 55%, 60% sales come from gifting, sweets and our packaged Namkeen Bhujia, where we display complete range of Bikaji products. So, that's a major focus for us in QSR, in our retail QSR outlet.

So, that's number one and number two, from Bikaji Bakes' lens, it's a 100% subsidiary of Bikaji Foods focusing on doing, focusing on making some bakery items. We are already into biscuits and a small portion of us are into biscuits. But, yes, bakery is coming, bakery is doing good in India and we see good potential. So, that's a small investment what we will do and we will focus on doing crossover and everything, small bakery, bakery investment. That's what we are doing.

Abneesh Roy: What brand and mostly e-commerce for bakery?

Rishabh Jain: Mostly e-commerce, yes, mostly e-commerce.

Abneesh Roy: What brand? Bikaji brand?

Rishabh Jain: Yes. It's early to say.

Abneesh Roy: One last...

Rishabh Jain: But, yes, we will come. Sorry?

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Abneesh Roy: Yes. You are saying something, you'll come back...

Rishabh Jain: So largely, of course, it's in , currently it's in Bikaji brand.

Abneesh Roy: That's okay. Understood. One last follow-up and I'll end there. In terms of CG Foods, they do have a reasonable presence in some states through Wai Wai Noodles.

Rishabh Jain: Yes.

Abneesh Roy: Through a non-equity, I am not asking on equity partnership in India, through a distribution synergy, in terms of Wai Wai Noodles and Bikaji getting distributed in some of the Northeast, etcetera. Is that a possibility? Because, they do have

some reasonable presence in some states.

Rishabh Jain: So, we are having very strong presence in Northeast as of now. In Northeast, we are holding plus 55% market share in Assam, right? So, we hold a very strong position and we don't see any collaboration in India as of now. It's just a Nepal JV.

Abneesh Roy: Thanks, that's all from my side.

Moderator: Thank you, the next question comes from the line of Nitin from Emkay. Please go ahead.

Nitin: Yes, thanks for the opportunity, I basically wanted to have more insights around the month-on-month demand recovery. Can you throw some light? And additionally, like you have answered to the previous question around some of the markets that discounted players have emerged. If you can call out any specific market and you are hopeful that in Q2, things will be back. So, how that, those scenarios are emerging? Can you please help on that?

Rishabh Jain: So, we have seen good demand recovery in last six, seven months. Like you see in quarter three, October, November, this quarter was tough for us and for the industry also. But from February onwards, we have seen good recovery. Like April was a little dull because, we didn't get good. So, March was good, but May, June, July, we have seen good month-on-month recovery in demand. And being we are entering into festivity, we see good demand recovery across each state, each core, as well as focus state in our overall city.

Nitin: Okay. Thank you. And in terms of this discounting which is going on in part of your portfolio and recovery in Q2, how you are confident that the discounting will go down or are we taking some action here?

Manoj Verma: Can you please, I mean, I'm not, we're not clear on terms of discounting. What is the exact question there?

Nitin: No. So, you were highlighting that, like particularly western snacks, there have been...

Manoj Verma: Okay. Okay. Okay.

Nitin: A lot of small local players coming with huge discounting. Yes.

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Manoj Verma: No. So, okay. So, I think, so it's not about discounting, it's about their selling price. So, they offer lots of offers and all this stuff, right? So, what happens is that these are the mushrooming kind of stuff. That's not sustainable. And which is what, so we'll upgrade our INR 10 and all that stuff. But yes, we certainly will not go the discounting way or trying to match prices and all. That's what we'll never do.

Nitin: Okay. Okay. Thank you. And my second question is around your gross margin recovery. So, adjusted for PLI it is at around 34%, which is a healthy level. There is a sequential recovery of 225 bps. So, can you help me understand the factors which have aided gross margin recovery? And also, a comment around sustainability of the margin ahead would be helpful?

Rishabh Jain: So, basically, it worked both ways. Like we also increased price in last two quarters. And also, raw material has supported us. So, in both ways, it has worked us in our favor. And also, we've done some saving program in the organization, which is running for the last nine months. And so, that's where we are majorly focusing on few products which are high on gross margin. So, multiple things are going on to improve the gross margin.

Currently, we are at close to 35% gross margin at console level. But overall, at standalone level also, we are at highest gross margin. And we see that in next nine months also, we'll be at the

same , we'll be maintaining the same gross margin, what we see right now. Unless , we see any major disruption in oil, edible oil also.

But we've been , in next three , four months, we've seen good crop, good rain. In our core state like Rajasthan, we've got major raw material. And we've seen good rain this year. So, we don't see any major changes in raw material prices, what we are buying currently.

Nitin: Yes. This is helpful. And one last thing in terms of your presentation, when you highlight raw material prices. So, this is the spot price s you highlight , or is it like consumption price? The indexing you provide.

Rishabh Jain: It is the consumption price. Consumption price.

Nitin: Okay. So, that way, like palm oil prices were as per my calculation w ere around INR 131 in Q4. That has seen a moderate correction to INR 128.

Rishabh Jain: Right.

Nitin: So, whatever the duty decreases and the easing in palm oil prices has not benefited us.

Rishabh Jain: So, it will be , so we'll see in quarter two, something, because we have some stocking had been done. So, we'll see in quarter two. But yes, edible oil price will remain at the same level. We don't see any major changes because productivity and demand is good this year. So, we don't see any major correction in edible oil. It will be at the same , largely same level what we are seeing in quarter one.

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Nitin: Okay. So, you don't think that whatever the reduction has happened that will flow into the numbers.

Rishabh Jain: No.

Nitin: So, palm oil prices basically will stay here and the margin...

Rishabh Jain: Look p alm oil prices came down, but we use multiple oils , like palm, cotton, rice. And so, palm is reduced, but other oils are not reduced much.

Nitin: Okay, got it. This is very helpful. Thank you.

Rishabh Jain: Thank you.

Moderator: Thank you . The next question comes from the line of Mrunmayee Jogalekar from Asit C . Mehta Investment Intermediates . Please go ahead.

Mrunmayee Jogalekar: Hi, sir. Thank you for the opportunity.

Moderator: The line for the participant has disconnected. We'll move to the next question. The next question comes from the line of Vishal Dudhwala from Trinetra Asset Managers. Please go ahead.

Vishal Dudhwala: Hi sir, am I audible to you.

Rishabh Jain: Yes. Yes.

Vishal Dudhwala: Yes. So , I just have one question about your second half of this year, as with Diwali and the festival season, like rural post -harvest demand and anticipated easing in commodity costs. What are your key volume and margin assumption for H2?

Manoj Verma: So, if you look at Diwali and when you talk about this, so this primarily gets covered broadly in quarter two and then , the leftover would be in quarter three, right? So, gross margins, the way we look at, I mean, the guidance, what we have given, we will stay within those numbers.

Vishal Dudhwala: Right. Any new festive SKU launches are you are piling up in your plan or not?

Manoj Verma: No. Nothing as such. It's about our gift boxes. So, every year , we come up with some new designs. It's the assortment, different packs and all that stuff. But otherwise, if you talk about any new category, no. The packs, you will see some better design, some little bit change, tweaking and that stuff. I mean, that's w hat we certainly do, to keep up the excitement and engagement of the customers.

Vishal Dudhwala: Okay. And that's it from my side as of now.

Manoj Verma: Thank you.

Vishal Dudhwala: Okay.

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Moderator: Thank you. The next question comes from the line of Darshit Vora from Asit C . Mehta Investment Intermediates . Please go ahead.

Darshit Vora: Thank you for the opportunity. I have a couple of questions. So, first thing being that we, what is the timeline and what kind of internal target are we expecting for the volume to come up to double -digit levels? We've seen about three quarters of single -digit increase. So , any visibility over that?

Rishabh Jain: So, we've seen good demand recovery across month -on-month. So, for rest of the year, we see at least 9%, 10% volume growth. That's the plan. And that's the numbers, we are looking at, at least.

Darshit Vora: Alright. 9%, 10%. And that would be more towards the second half?

Rishabh Jain: More towards from quarter two onwards.

Darshit Vora: From quarter two onwards. Al right. And about this Nepal JV that we have done, can you give some kind of details with respect to, say, capital outlay or some kind of a timeline for the ramp-up of distribution or some kind of revenue potential that we have in mind?

Rishabh Jain: Yes. So basically, from Nepal perspective, so, we'll jointly open a plant in Nepal, where we'll invest close to INR 30 Crores currently. INR 15 Crores will be outlay from Bikaji and balance will be from there. It's equal 50-50 JV. And currently, our top line is under INR 20 Crores. And we see a good potential, as brand is very strong there.

But overall, due to custom duty and all, we're not able to supply in Nepal market. We see good potential coming up and using and driving distribution of CG Group Wai Wai, and we see at least INR 50 Crores top line in the next two years. That's the target what we see.

Darshit Vora: INR 50 Crores of top line in the next 2 years.

Rishabh Jain: Yes.

Darshit Vora: Alright. And finally, just from my side, in the previous quarter, you had mentioned that our gross margins or expectations of around 30%, 31%. This time around, we've come at 33%-plus, and we hope to maintain that sustainably in a way. So, how do we plan on doing this given the already taken initiatives.

Rishabh Jain: So, on full year basis, what we see that on a stand alone basis, stand alone basis you see gross margin of 32% plus. That's the target what we're taking on stand alone basis without PLI. And we are on track of it this year, of doing the same.

Darshit Vora: Alright. That's it from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Shirish Pardeshi from Motilal Oswal. Please go ahead.

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Shirish Pardeshi: Hi Manoj, Rishabh. Thank you and good afternoon. Just a quick question on the Nepal. The per capita consumption in Nepal for noodles is about 7 kg. Do we have any data what is the, because I do understand Wai Wai is practically about 100% distribution. So, and it's a very strong noodle market. In that context, you might say that you have a right to win. But, then, I was more curious, what is the namkeen or may be non-Western snack kind of consumption? If you have any data to support.

Manoj Verma: Hi Shirish. So, Nepal as such, I mean, we don't subscribe to Nielsen data, so would not be able to answer in the straight one number. But certainly, what we can tell is that looking at the markets and visiting these staff and all. So, this seems to be clearly about INR 600, INR 700 Crores market kind of stuff, right? That's what we look at it.

And, when we look at competition and primarily from these Indian manufacturers, such as Haldiram, Bikano, they're pretty much strong there, and there's a consumption base as well. So that's what we see. And when we look at internally, simply put, so currently, our distribution was lacking. We were more towards India border side. That's what was it.

And now, if we were to go up Nepal, that one is the transport cost, which makes things expensive.

And second thing is that someone is to build a route to market. So, the objective of this JV is to leverage on their route to market and brand, which is already an established brand, push that brand there. So that's what it is. And as Rishabh said, in terms of our business opportunity, we can more than double in the next 2 to 3 years' time.

Shirish Pardeshi: That I understand. I was just more curious because in the press release, you've said that you will manufacture, trade and do the marketing spend

s. So, obviously, you should give some numbers

and there is an investment of INR 30 Crores. But, then, is manufacturing going to solve the distribution problem because if the market is very large and if there is already established players, which are there and you have been selling some quantity from India.

So, I was more curious what is the number which you, I mean, the INR 50 Crores number on the profit looks very conservative. But then if you can tell me what is the export business we have done in FY '25 to Nepal?

Manoj Verma: Yes. So that's what I, to your question, again, Shirish. Let me bring to the table, the import duty is 55%, which makes you less competitive in those markets. So, this would help us ease down on those numbers and therefore, ability to invest behind building our business goes as much.

That's one.

Second is, if you look at Haldi ram has also gone the same way. They have also done a JV partnership there. And so is what Bikano. So top 3 players from India are these three. So, they already have started or about to start. That's what is the status.

Shirish Pardeshi: Okay. Coming back to India business. Just a quick question on the PLI. What kind of PLI you have factored in for FY '26?

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Rishabh Jain: So, for FY '26, we have factored close to INR 50 Crores PLI in our books. So, it will divide equal in each quarter.

Shirish Pardeshi: Okay. And just last question on Hazelnut. What kind of revenue momentum we can expect exiting quarter 4 in this year because, obviously, there is a lot of learning curve ...

Rishabh Jain: So, quarter 4 will be type of INR 100 Crores ARR. That's what we'll see.

Shirish Pardeshi: Okay. And any color because now you're settling down so margin exit, when you do INR 100 Crores, what kind of gross margin you would achieve?

Rishabh Jain: So, this year will be a lot of expansion. So, major focus will be driving growth and driving open stores this year. So, next year will be 8% to 10% EBITDA. This year will be largely 4% to 5%, 4% to 6% type of EBITDA.

Shirish Pardeshi: Alright. Thank you Rishabh Jain and all the best.

Rishabh Jain: Thank you.

Moderator: Thank you. The next question comes from the line of Hatim Broachwala from JM Mutual Fund. Please go ahead.

Hatim Broachwala: Yes. Hello sir. Thank you for the opportunity. Sir, my question is that currently, all the input commodities are now correcting. So, whether there is scope for us to cut down, cut on the product prices to drive volume growth?

Manoj Verma: Yes, of course. I mean, we look at how competition is moving, if we were to drive volume growth. So, those are the measures as a business and as the steering committee in our company, how we look at it. So, we certainly evaluate and we keep doing these things, as the commodity prices ease.

Hatim Broachwala: But, is there an opportunity without impacting margins, I mean, current margin?

Manoj Verma: Of course. See this, we'll only do, if we have that ability to invest. It is not at cost of margin. So, there is a target of improving bottom line as well. So, it is not by eroding margins and we give some extra offers that will not. So, as you started that as we see the ease in commodity prices, that's what we will pass to the consumer. And we have done it in the past as well.

Hatim Broachwala: Okay. Thank you, sir.

Moderator: Thank you. The next question comes from the line of Tuisha from Rare Enterprises. Please go ahead.

Tuisha: Thank you for taking my question. Am I audible?

Moderator: Yes ma'am.

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Tuisha: Sir, my question is regarding your new product launches, in particular, the millet bhujia. If, you can please share any ki

nd of commentary on how the market response has been? And what you think the opportunity could be for this healthy snack segment? And if you have any more healthy snack launches in the coming quarters that you've planned? Thanks.

Manoj Verma: Yes. So, I think it's too early to comment on this millet bhujia because it has just come out, and so we will be doing some pilot stuff and we'll be riding on these Q-com channels and all that stuff. Distribution would get built over a period of time. The prim a facie, what we can say is that when we launch, so there's a huge product testing what we do, and it has come out very well, and that's what was the panel, and that's how the panel gave clearance to launch it. Talking about the healthy food. So, one is there's nothing called healthy food. You may say healthy snacks. You may say less unhealthy. That's a better way to put that up. So, we also have a range of products, which are roasted, namkeens and all, healthier namkeens and all. But the market, still is very, very niche.

So, as much voice, what we hear about healthy snacks, if we go down, the consumer that in India, Indian markets, at least, it is not as much there. I think, it will take about 5, 7 more years. That's when people will be talking even more about the healthier snacks and companies would

then start focusing on that stuff. But , to be future ready, we have a range of products , which are in amongst the healthier one.

Tuisha : Okay, sir. Thanks , that helps.

Moderator: Thank you. The next question comes from the line of Aditya Tambi from Habrok Capital .

Aditya Tambi : So, I just wanted to get some updates on like the frozen food segment , that you were planning to export from India. And there 's currently the market leader , which already does it. So , any color on how it is happening , if we are able to get into stores and gain so me market share?

Manoj Verma: Yes. So , on the frozen food, we do not sell in Indian domestic market. This is primarily for our exports business. And the frozen part has a huge share of business in our exports business , to the upwards of 35%. That's where it is. And that also would have been better , if we had our capacities earlier because we were also outsourcing and stuff. So that's where it is.

But the way , we have built our capacities and this, again, we call it being future ready. So , as and when the country or the channels are matured enough to maintain and sell these frozen products, which needs end -to-end cold chain , that's when we shall be launching it in Indian market, but , not in the next couple of years is what , this would be export business product only.

Aditya Tambi: Right, sir. So , just to follow up on that, can you just square on how the market has changed?

Like, if someone is already storing a competitor's product, then , how do you convince them to go for Bikaji , instead of them or to keep both of them in their stores?

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Manoj Verma: So, today, if you look at any categories, the categories are highly fragmented, and you will see a lot of players playing around and within the store itself. So , the exclusivity no more exists.

That's one. Now , how we'll do it is, one, in terms of, of course, we have to be consumer preference. So, therefore, if your product doesn't taste well or the quality is not up to the mark, you will never get a repeat. What we also do is that we do some branding activation in these stores, which is the stimulus for a retailer to keep and place our product, give visibility of our product.

Third is that the cloud, what we have. So , in the stores where , we already are selling Bikaji products , this becomes an addendum to the list , what they have. So , this is how we go about it. And also , what we realized was that many a times, we ran out of stock. I mean, we did not have , was not having a

bility to supply the orders because we were also outsourcing .

During the season time, if you look at, that's where the demand is highest there. And in the yesteryears, we were struggling. Now , if you see , our numbers speak louder , than what I would say. If you look at our quarter 1 , export business growth is outstanding. And this is what has helped us .

Aditya Tambi: Sir, thank you for answering. Also, sir, on the Hazelnut Factory acquisition, like you already alluded that we are adding 1 outlet per month . That is what we see. But how do you see this over 2, 3 years or 5 year phenomena ? Do you see this as only a Tier 1 opportunity? Or like do you plan to scale this up faster? Or like after this year, we might to go lower on these store additions? How do you think about this?

Manoj Verma: So, store addition will continue to drive on our direct coverage. What happens is that we're not transferring into indirect coverage because it will be a diminishing return beyond a point. But when you cover directly, your cloud on the store or ability to sell range is always high. So , what we're looking at it is that now currently, we are at 3.25 Lakh outlets.

The target what we have is to exceed 3.5 Lakh outlets by end of the year. But year-on-year is what we shall be adding 50,000 outlets. That's what is the target , what we have for ourselves and should reach to 5 ,00,000 outlets in our direct coverage. That's the target what we have in the next 3 years.

Aditya Tambi: Right, sir. But sir, also on the Hazelnut Factory , the acquisition we did , so what about that store additions?

Rishabh Jain: So, from Hazelnut 's lens, what we see that this year is a major expansion what we'll do this year. But from next year onwards, they will open 5 to 7 stores every year. That's the target.

Aditya Tambi: Okay. Thank you. And also, we were focusing on our focus states. So , like do we have any update ? Like, if there were any market share gains, like if we could see some wins in these focus states like any market share in that happened over last 1, 2 quarter ?

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Manoj Verma: So, across all 6 focus states, there's a movement upwards of market share gain across states. What happens is that and so is the numeric distribution as well. So, both these metrics has moved up. There are certain states, which are now close to 6% market share as well, so 5.8%. For example, Chhattisgarh, if you look at, which is one of our focus states. Karnataka, as I speak about it, is upwards of 3% market share. So, there are certain movements. So, nowhere have we seen that it has not slowed in throughput.

Moderator: Thank you. The next question comes from the line of Priyank from Vallum Capital. Please go ahead.

Priyank: Yes. Hi sir, I'm sorry, if I missed out the organic volume, but I understand the volume was excluding acquisitions ...

Manoj Verma: Sorry, the voice is not audible.

Priyank: Hi Sir, Sorry, I would have missed out. What would have been the volume growth, excluding the acquisitions in the stand alone business? Would it be 5%, 5.5%?

Rishabh Jain: Close to 6%.

Priyank: Close to 6.5%?

Rishabh Jain: Close to 6%.

Priyank: Sure. So, Rishabh, the additional, I think the extra offerings that we had given last year would ease out in the base by September quarter, right? So, until that time, the volume growth would undershoot whatever aspirations we always had about 12%, 13%, right?

Rishabh Jain: Right. So last year also, quarter 4 of '25, we have seen full volume growth of 10% extra. That what, we are in. In quarter 1, we started slowing down. So, from quarter 2 onwards, we will see good volume growth. Because in quarter 2, there will be no extra grammage in last year number.

Priyank: Understood. No, because till September quarter, we had a 15% volume growth, and I was assuming that there

would have been...

Rishabh Jain: Yes. You're right.

Priyank: So, for the full year, for the first half, we would have a single, mid-single-digit volume growth. And for the second half, the aspiration continues to be double digits. Is that what...?

Rishabh Jain: Yes, yes, yes.

Priyank: Got it. And the question on the operating costs. When we look the total operating cost in terms of per kilo, how should we model it out for next 2 years? What should be the trajectory given the distribution rate that we are expanding, given the size that we are reaching? What should be the operating cost per kilo trending going ahead?

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Rishabh Jain: So, basically, we don't see business as an operating cost per kilo on year-on-year or month-on-month basis. We see it as a key cost. We measure key costs, like logistic cost is big for us.

Employee cost is big for us, and manufacturing costs. So, we see each cost is a big, 5, 6 points are there, which are big for us from cost perspective.

And we are mainly focusing on bringing more efficiency in each cost lens. So currently, we're into expansion phase. So, be it in employee, we had done a lot of addition in employees as well as front-liners in sales in the last 2 years. And the result started coming in the last 2 quarters, and we'll see a lot of improvement in employee cost as well.

Number two, so manufacturing cost, we are doing a lot of energy. We are moving to solar and everything. So, we'll see efficiency in each cost measure. Thus, also we are currently close to 50% utilization. So, running plant at lower shift or lower utilization is always a costly affair.

When we have fixed salary, fixed employee cost, all costs are fixed. So, once we start raising this capital and take this to 70%, 75%, we'll see at least 0.3 to 0.5, 50 basis point improvement in margin every year for the next 2, 3 years.

Priyank: Sure. So, I mean, we just have multiple cost line items, but if I have to look forward to total other expenses, excluding employee cost is somewhere around 14% to 15% of the sales. So, it will be multiple ...

Rishabh Jain: So, what we see, it will be improving 50 basis points each year. From another expense lens, you will see there are a few costs, which are sitting in consultancies or many other third-party costs, meaning third-party manufacturing costs, which we'll see improving in the coming 2, 3 years.

Priyank: And for this year, should we consider 50 bps or starting '27, only we should consider 50 bps?

Rishabh Jain: Starting '27.

Priyank: Starting '27.

Rishabh Jain: Yes.

Priyank: Yes. Sure, clear. Thank you.

Moderator: Thank you. The next question comes from the line of Dharmil Shah from Dalmus Capital Management. Please go ahead.

Dharmil Shah : Hi, thank you for taking my question. So first is on the competition , you mentioned that whenever the raw material price increases is largely from the local players. So just wanted to understand whether these are the unbranded players, which are competing in such situations , or these are regional brands that primarily compete with you?
Manoj Verma: So, these are primarily local and regional brands. So , it will not be a national player role in that stuff.
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Dharmil Shah : But not the unbranded one, right?
Manoj Verma: No. So unbranded also, but unbranded is what you cannot measure. But the data what you get is for the local and regional players. So , you see their presence, they are discounting much higher than what it used to be earlier .
Dharmil Shah : Understood. Coming to other steps, I mean, I know it's a very small part of the overall business ...
Manoj Verma: Sorry. Can you please repeat the question?
Dharmil Shah : For the other states part of the business, I know it's a very small business right now, but what states specifically are growing, picking all the other states?
Manoj Verma: So, in fact, when you see the kind of growth , what we've delivered in other states, it's a game of all states doing well. But yes, to your question, it's like West Bengal like Maharashtra, Gujarat, these states have done very, very well.
Dharmil Shah : Right. Understood. This is primarily because of increased direct outlet coverage, right or is there something else?
Manoj Verma: No, in the other states, our strategies that we are riding on modern trade, we are riding on e-commerce. That's what it is. And then we are riding on , we make super stockist as the distributors and they drive this distribution there.
Dharmil Shah : Understood. And lastly, very, I mean, very broad question, but there is a lot of buzz around obesity drugs in India as well. These are very pricy drug right now, but once these are made accessible to the mass population, you think snacking company would have any long-term risk in terms of continued trends maybe over the next 5 to 6 years ?
Manoj Verma: So, we will take it , as it comes. But , for now, if you look at as we export to several countries , and countries like U.S. , where the laws of these factory requirements are even more stringent. And we abide by all of them. So , we are ahead of time, but I mean, if it comes, it will be true for us also , and we'll live up to whatever is expected in that case.
Dharmil Shah : Thank you so much.
Moderator: Thank you. Ladies and gentlemen, we'll take this as a last question for today. I would now like to hand the conference over to the management for closing comments.
Manoj Verma: Thanks, Hazel . Thank you friends for taking the time out. Hopefully, we answered the questions to your expectations . Just in case , if you feel any of the question was not well explained or do not bring the clarification you were looking for, please reach out to us. We'll be glad to take the questions separately as well. Thank you once again. Bye.
Moderator: Thank you. On behalf of Bikaji Food s International, that concludes this conference. Thank you all for joining us , and you may now disconnect your lines.

Call: Nov 2025

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Ref: BFIL/SEC/202 5-26/89 Date: November 18, 2025

To,

Dept of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers ,

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and half year ended on September 30, 202 5

Dear Sir/ Madam,

We hereby inform you that in continuation to our letter bearing Ref. BFIL/SEC/202 5-26/79 dated November 03, 202 5 and pursuant to the requirements of the Regulation 30 , read with the Part A of the Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations "), as amended , from time to time, an Earnings Conference Call with the Investors and Analysts to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended on September 30, 202 5 was conducted on Wednesday, November 12, 2025 at 12:00 P.M. IST. Please find enclosed herewith the transcript of the Earnings Conference Call .

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call is also available on the website of the Company and the same can be accessed at www.bikaji.com .

You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head - Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As above

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"Bikaji Foods International Limited
Q2 FY'26 Earnings Conference Call "
November 12, 202 5

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MR. MANOJ VERMA – CHIEF OPERATING OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MODERATOR : MS. HAZEL RATHOD – S-ANCIAL TECHNOLOGIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Bikaji Foods International Q2 FY '26

Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing *, then 0 on your touchtone phone. I now hand the conference over to Ms. Hazel Rathod. Thank you, and over to you, Ma'am.

Hazel Rathod: Thank you. Good afternoon, everyone. Thank you for joining us for Bikaji Foods International Q2 FY '26 Earnings Conference Call. From the management, we have with us Mr. Rishabh Jain, CFO and Mr. Manoj Verma, COO. I now request Mr. Rishabh Jain to take us through the key opening remarks, after which we can open the floor for the question-and-answer session. Thank you, and over to you, sir.

Rishabh Jain: Thank you very much, and thank you all for taking this time to join our investor call today. While the detailed business performance presentation has already been shared, I'd like to take a few minutes to walk you through some key highlights before we open the floor for questions. We welcome this positive GST change in our core category, Ethnic Snacks to be precise, which will have a long-term impact in making this industry more organized.

However, this is also impacted in the shorter term, like in this GST changes announcement came on 3rd of September and then it was implemented on 22nd of September. So, in this quarter, in September month, as trade channels held back some purchases awaiting some revised new MRP because the GST changes came from 12% to 5%. So, we have lowered down our MRPs, increased the grammage impulse pack. So, there was some short-term impact in September month.

If you see this quarter in 2 halves, basically, July and August, it was doing fairly well, where our ethnic snacks growth was up for 10%-11% versus overall at a quarter-end level, our growth was close to 5%. So, September was impacted in the short term. But overall, what we see is that in longer term - longer term, we see good results.

Despite this, we delivered a robust top-line growth of 15.2%. And if we see quarter-on-quarter growth, the growth was close to 27%. Our EBITDA came at 15.4%, marking this as the highest level of EBITDA in the last 5 quarters and continuing our upward trajectory we have been driving from last many quarters.

This improvement also reflects a more balanced product mix approach, as sweets have been delivered extremely well in this quarter and distributing commodity price and our hedging policy as well as fuel pricing policy has helped us in delivering this EBITDA.

Our GM, excluding PLI is 34% at a consol level, which is also the strongest in the last 8 quarters. This has been the highest in the last 8-9 quarters, reinforcing our positive structural improvement in our portfolio, as well as pricing discipline. The export business continued its strong momentum, outperforming expectations.

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Our export business in this quarter has delivered upward of INR50 Crores of revenue. This is a clear outcome of a consistent investment in building a capable team, expanding market coverage and strengthening product capabilities. Our investment in Ariba Foods, which is our frozen factory in Indore, has also helped us in delivering this momentum and growth.

In the ethnic snacks category, performance was muted. Of course, it was due to GST, largely in September month. However, what we see is that overall, in this quarter, the next 2 quarters, this will change, and we are expecting high-teens growth in the ethnic snacks category in quarter 3, as well as quarter 4. Quarter 3 was also impacted

in the shorter term in a core market like Assam, where, therefore, there was also some GST change, but there was a Zubeen Garg issue, where the overall Northeast had been closed for 4-5 days and impacted for 4-5 days just post GST change. So, it is impacted in the short term.

Overall, the quarter reflects the resilience of our business model and the growth strength of our execution across categories and channels. From the production capability lens, overall, this quarter, quarter 2, we were at about close to 52% utilization. And what we see next, we completed a capex cycle in FY '25, where we invested close to INR 500 Crores, including our CMUs.

And for this, the government has also granted us the PLI scheme of INR 261 Crores. So, we see that next 2-2.5 years, don't require any major capex. It will be just a regular capex, NPD alignment or just a few capex, which we require for maybe in the sweets category or some warehouse, which is coming in Bikaner - a big warehouse. But yes, overall, from the production lens, this capacity is enough to have the next 2-2.5 years' supply.

Manoj Verma: Yes. Talking in terms of the distribution expansion, the momentum continues. However, we have not added many outlets in this quarter, so that at least reaches close to 3.3 Lakh outlets and is very well on track to deliver 3.5 Lakh plus outlets by the end of this financial year. In terms

of our marketing investment and the initiatives what we took, one of the major ones, where we identified that the small pack growth is not in line with what we were actually looking at. So that's what we planned a mega promo on our small packs, which is INR 5 and INR 10 ethnic snacks packs, wherein, it was with Paytm, so equal amount of money is going back to the consumer. So huge stuff, but this only started in the fag end of the quarter. So most of the benefit we would witness in this quarter 3 now.

Besides this, we also started a campaign because looking at that bhujia, how can we further fuel the growth in this bhujia category, which is big for us. So, we launched a campaign in our core market, which is Bhujia Ho Toh Bika ji. This is what was very well executed and has started in the month of, say the end of September, and now will run throughout this quarter 3 as well.

In terms of business performance, quarter 2, we talked about overall as for the company volume growth is 10.8%, revenue growth of 15.2%. Ethnic Snacks, as Rishabh just touched upon, is at 4.6% growth. But if we break this 4.6%; so, 2 months i.e. July and August, were with double-digit growth and September on account of the 20-day huge market disruption that brought this

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number to this growth. Otherwise, in an ideal situation, this would have been a high single-digit growth now if these disruptions were not there. Packaged sweets grew at a 32.3% growth. Now 2 factors, one, of course, there was early Diwali. So therefore, a little bit of business got shifted from quarter 3 to quarter 2.

And secondly, what is more important is that the sweets weren't impacted with this GST regime change. So in the erstwhile regime, it was 5%, and it continues to be at 5%. So, there was no holding of purchase from any of the intermediaries, be it retailer, our trade, in terms of distributor or super stockist. Similarly, Papad, which was not impacted, has delivered a 10% growth.

Western Snacks, again, in line with the ethnic snacks.

So Western Snacks skipped from 12% to 5%. So that's what was highly anticipated by the state, and there was quite a resistance. At our H1 first half, if we look at, volume growth stands at 9.4%, revenue 14.8%, ethnic snacks at 7.7%, sweets 25% plus, western sacks flat and papad at almost about 8% growth.

Now, if we look at the shift in the large pack and small pack, so if we look at last

year, the Ethnic

Snacks contributed 65.5%, whereas this has come down to 59.1%, right. And this is primarily on account of ethnic snacks, right? So, if ethnic snacks would have grown, so we would have been in line with what the plan for the erstwhile number will be. So, at the H1 level, if we look at the Ethnic Snacks were at 65.1%. Talking about our market's growth. So, core markets grown at 5.6%. Again, one of the key markets in core, which is Assam got impacted on a few days of market closure that was announced by the government, so complete shutdown. That's a big number. And ethnic sacks, which is huge for core states. And the third was GST that deferment in the purchases in that stuff. Focus markets have grown at 12.3%. Other markets, on the back of modern trade, new age and gifting, sweets grown at 34.8% and export, a whopping growth of 77.3%.

Looking at first half in total, core is at almost about 7% growth, focus stays at 12%, other states close to 32% and exports at 70% plus. Performance-wise, if we look at, we also look at that house small pack, which is INR5 and INR10 and vis-a-vis the large pack. So, family packs with large packs have outperformed with 18.8% growth, and the impulse of the small pack at 3.3% growth. Again, the impulse pack was more impacted in this quarter 2. So, if we look at H1 in total, the impulse pack has grown at 5.7%, family pack has grown at 17.6% growth.

Rishabh Jain: From the retail lens, this quarter, we have total retail count is around 21. That's mainly due to THF, so THF open, through outlet in this quarter and these are 21 in total number. In next 6 months also, THF has a plan to open 3 to 4 outlets. So, by end of this year, we'll be having close to 25 outlets at a retail level NPA total. And from Bikaji lens also, we opened 1 outlet. There is a plan to open 2 more outlets in the next 4 months. So overall, this number will go at around 27 - 28.

From a commodity lens, largely commodity was in line, even in edible oil, this quarter 2 was same, as largely quarter 1. We are seeing all the purchase price laminates, it's largely the same as quarter 1. Quarter 3 also, so we are entering into crop season, and we are seeing good crop

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coming in of the key pulses like moth dal or peanut. So we're seeing good crop. So we are not seeing major disruption in any of the prices of key commodities.

From the balance sheet lens normally in quarter 2, what we're seeing is that the working capital normally increases, as compared to the first quarter or year-end closing. Normally, Diwali time, inventory is at peak level. Also, debtors are at peak level because normally, we supply majorly in August to modern trade players and normally 30 days' supply period. But also when we see quarter 3 end, it will again come at regular levels.

So that's part of the presentation. We are happy to take all the questions. Thank you.

Moderator: Thank you very much. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: Thanks. My first question is on focus states versus others. Now, if I see that the absolute size of the other states is almost similar to the focus states. And the other states are growing almost 3x of the focus states. If you could elaborate on which of these states in the others is growing so fast? Is there any one -off, any specific activation, which has really driven 3x the growth of focus? Because ideally, focus should grow the fastest, right? I'm not able to understand why focus has grown slower than the company's overall number. And in others, is there some state you want to now call it focus because that seems to be doing much better. That is first question.

Manoj Verma: Yes, Abneesh. So let me explain. One is that the number of other states. And if we look at the

AM, other states is almost about 48% of the category business. That's one part. Second is when we take focus, focus is not just from a share of business standpoint. It is also that where we are doing or building our general trade business. So not an opportunistic trade.

Other states, when we say to your question, which states, Maharashtra and Gujarat have done very well for us, and these are large states, in terms of consumption as well. We have grown on the back of a strong modern trade presence in that stuff. So that's the reason. Also, if you look at that, during festive time, so the free gifting is also very, very high in that stuff. So, in the quarters to come, you will see that the other states will slightly slowdown in this.

Abneesh Roy: Understood. And what exactly do you do different in focus state? Is it that a higher percentage of advertising spend and activation spend versus the revenue salience? Is that why you call it focus states? So what is the difference?

Manoj Verma: So, the difference is that in other states, the general trade contribution will be very low versus other channels, so which is new age, which is modern trade, which is institution, right? Whereas focus states, if you look at it, it's primarily general trade itself. So, this is where you are selling at the first target.

Abneesh Roy: Sure. My second question is that the early Diwali has definitely helped Q2 overall volumes and obviously, packaged sweets, et cetera. Now Q3, how are you seeing, given the GST benefit will be there in November, December? Plus, if you could clarify in October month, if there was any
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negative impact of the GST transition, would you still expect that in Q3, we should see double-digit volume growth as a company?

Manoj Verma: So certainly, Q3 will be better. One is that the fallout of quarter 2 would get into quarter 3. That's one. Therefore, what we are confident of is that the ethnic snacks, which are now emerging with a 4.6% growth in quarter 2, should be mid-teens or high-teens numbers in quarter 3 itself. So that in itself would be one reflection of how GST would impact, and that stuff. And overall, about half the quarter is almost over, so we see quite a good traction at all levels in this stuff.

Abneesh Roy: And negative impact of Diwali shifting on the sweets business, is the sweets business strong?

Manoj Verma: So sweets certainly will be because it's a seasonal business. So, if it has been impacted, sweets would be a negative impact in quarter 3.

Abneesh Roy: In spite of that, you expect a good double-digit volume growth in Q3, right, on an overall company?

Manoj Verma: No, I spoke about ethnic snacks, which is 70% of our business. But yes, if you look at the overall as company, we certainly will be a double-digit growth in terms of volume.

Abneesh Roy: Sure. Sir, last quick question. In terms of GST biscuit company, you are saying compliance will really improve. In your case, also 12% moves to 5%. So if you could tell us from a competition from local companies, they were earlier not paying too much tax given 5% GST avoidance was there. And in this industry, it's possible. So when this becomes 5%, do you think still avoidance by the local players in terms of taxation will be there? Or do you think now it will be a bit more level playing field in terms of compliance from local players?

Manoj Verma: So, see, you cannot control or ensure compliance from the local players. But yes, the room of play, this from 12%, it comes down to 5%. Therefore, this will be an added advantage to organised and large players. Unorganised would certainly not benefit from this stuff. They will be at a losing end.

Moderator: The next question is from the line of Nitin from Emkay Global.

Nitin: Thank you for taking my question. My first question pertains to; wou

Id you like to quantify the

impact of destocking and Assam's 4 to 5 days related disruption?

Rishabh Jain: So, it's tough, but what we're seeing from the data is that it seems like it should be between 3% to 5% of the ethnic snacks business.

Nitin: And this will be fully recovered in Q3 with the restocking?

Manoj Verma: See, we would try and ensure to recover it to the core. But honestly speaking, we being a discretionary product. So, if there is an opportunity loss, right, so you cannot make it, but certainly in terms of pipeline billing, everything will go up in that stuff. So, when we talk to Nielsen or the market offtake data, there has been instances, wherein retailers were out of stock

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and they did not buy because they were aware of that 24th onwards, they will get a discounted price. So there would certainly be a consumption loss, but I think most of it, we will recover in this quarter.

Nitin: Sure. This is good to know. Second question pertains to like how is our aspiration for second half? So, like with restocking, part restocking in Q3 and I guess the low unit pack higher grammage coming into full play from Q4, do you think for the overall business, we can accelerate growth to high teens in second half?

Manoj Verma: So overall, if you look at the seasonality business, let's say, talking about sweet, so, which was neither impacted adversely or positively either way because earlier also, it was in 5% would continue in 5%. There is a seasonality play. So overall, Diwali, if you look at, yes, sweets has done very well for us. But in this quarter, because of early Diwali, so it will witness a downside on that stuff. But the rest of the business, if you look at 70% of our ethnic snacks and say, 7%, 8% western snacks, this certainly will be on the high teens growth number.

Nitin: Got it. And last question pertains to, would you like to throw some light on the performance of the THF, Ariba and Bikaji retail operations?

Rishabh Jain: Sure. So, from Ariba lens, Ariba is a CMU, working for us. So that's merged into Bikaji Foods. Ariba has worked well for us, as you will see the same from our export numbers, as they have a frozen capability, and that's why, we acquired that in last year. Regarding THF, THF is doing extremely well for us.

So, they have opened close to 14 -15 outlets, and 15 outlets to be precise and are doing extremely well for us. Like this October also being Diwali season, they've done extremely good work and getting great response from all consumers. And we see great opportunity in THF in coming years.

And from a retail perspective, Bikaji Retail, so we have an outlet in Sikar. And overall, we have 6, 7 outlets in Bombay, as well as in Sikar. So, we'll open 2 more outlets this year and by next 3, 4 months.

Nitin: And lastly, would you like to highlight like how is the profitability of Ariba where we have seen accelerated export sales?

Rishabh Jain: So, Ariba is largely CMU, and currently, it's underutilised. So, I think in the next 1.5 -2 years, it will become profitable.

Moderator: The next question is from the line of Anand Shah from Axis Capital.

Anand Shah: So firstly, on the margin side, you did highlight that commodities are pretty benign. So to that extent, H2 also, one should expect that these kind of margins, at least on the gross level should be maintained?

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Rishabh Jain: Yes, that's what we also expect, like without PLI, we have achieved 34% gross margin at consolidated level, and this is the highest in the last 8, 9 quarters. And we also expect the same as we have seen most of the quarters have passed by, like 50% of financial year has already passed by and we have not seen any uptick in any raw material as of now.

Anand Shah: Got it. Got it.

And my second question is on the western snacks. I mean, you did highlight the GST impact on ethnic. It's a similar impact even on western also this quarter.

Manoj Verma: Yes, exactly. So that's what I'm saying, which was flat this quarter, will definitely will move up in the high teens during this quarter.

Rishabh Jain: Also, western snacks as a category has not performed well in this year at overall level.

Anand Shah: Category is what, sorry, I couldn't hear you. category?

Manoj Verma: So overall, western snacks as a category, if you see, has also not done well. So, I mean, not that it is just Bikaji, it's overall also, there's a slowdown. But and this could be an impact of GST, but not alone GST, overall slowdown. But we got impacted and this would be, you will see the

upside of swing in this quarter now.

Anand Shah: Got it. And yes, I mean, just coming to that western argument, you've been highlighting that you've seen a lot more regional competition in this segment and hence, your performance in western has somewhat been volatile, even though the base is small. So is that scenario sort of behind and now you should grow much better or that category issue still persist?

Manoj Verma: No. See, we are very small. So, I think the category lens is not fair stuff to benchmark with because we are a small drop in the ocean. But so therefore, we would continue to grow and as I said, high teens, while category certainly is not in that state to be growing in this space now, to that extent.

Anand Shah: And the high teens or slightly higher would be the overall aspiration as well over the next 2, 3 years in western?

Manoj Verma: In Western, yes.

Anand Shah: Got it. Got it. On a retail lastly, I mean, 21 outlets INR 28 Crores. So what is the ambition here? I mean, H1, you've done about INR 50 Crores. So is this the run rate we should expect? And what would you be sort of gunning for in FY '27?

Rishabh Jain: So, largely FY '25 -'26, what we see that next 2, 3 years is that retail outlets from 27, 28 can go up to 35, close to 40 in the next 2 years.

Anand Shah: Okay. Okay. So, from today, 21, you're looking at 35 - 40, maybe by FY '28 end, is it?

Rishabh Jain: Yes.

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Anand Shah: Got it. Got it. And so revenues, I mean, it's been tracking at INR1.5 crores odd roughly, let's say, per store. So that is where it should continue and all, is it?

Rishabh Jain: Yes.

Moderator: The next question is from the line of Shirish Pardeshi from Motilal Oswal.

Shirish Pardeshi: Hi, Manoj, Rishabh, thank you for the opportunity, Manoj, I need some clarification. When I look back your Slide 20, you have shown in quarter 2, our family packs have grown about 19% and impulse has grown 3%. Now, I just want to understand, if I take a cue from the other player, in the small pack, people have increased the grammage on the large pack, they have cut the price.

So how this number is looking different for you?

Manoj Verma: So, one is that whatever impact has gone up, is post GST will only reflect in quarter 2, right?

Secondly, in this quarter, there's a huge contribution from sweets and sweets as the number speaks for themselves. And sweets are all about a family pack. So that's the reason also.

Therefore, this share of business is basically by far higher in the family pack.

Shirish Pardeshi: Okay. So let me put another way. You mentioned that our other markets are almost 45%, 46%.

And if you see the new markets, I would tend to believe that it will start with the small packs and not with the family packs. In that context, again, this number doesn't add up.

Manoj Verma: No. So, Shirish, let me clarify that even in our focus or other markets, wherever we are. So family pack is what we've been selling for many years, and they are still strong there. It is that, let's say, for example, if I tal

k about UP, which is the largest consumption state. So there, our

share in large pack is by far higher than the small pack. I mean if we look at it in terms of the market share, we would be the second highest in terms of market share in UP. But when you look at small pack, we are very, very weak, and that's where is the opportunity. So, the play of the family pack is there in focus, and other markets also.

Shirish Pardeshi: Okay. So let me ask and try a little more. If the overall volume is 10.8% for the quarter, can you split the packaged sweet volume and ethnic snacks, which are the core?

Rishabh Jain: So, Shirish, so largely our ethnic snacks overall category has grown close to 4.6%, and we have taken a 3%- 3.5% price. So, this ethnic snack category is growing around 1% - 1.5%.

Manoj Verma: In terms of volume.

Rishabh Jain: Volume.

Shirish Pardeshi: And packaged sweets would have been higher by 20%?

Rishabh Jain: Yes, of course, close to the upper 20%.

Shirish Pardeshi: Okay. So that means western snacks, which you have reported a decline of 5.2%, the volume decline would be much higher and sharper?

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Rishabh Jain: So, volume decline, this should be close to 2.5%, 3 % because we took price rise.

Shirish Pardeshi: The other thing which I wanted to say, I mean, obviously, you guys are doing in and out. Do you think quarter by now, which is past 45 days, the GST disruption is now settled and the trade will

have the revised price or revised grammage, which is available ?

Rishabh Jain: Yes, of course. So that's what we have seen in the last 40 -45 days, we have seen again, good demand coming in from across all markets, not just from the core , but from all markets. And for us in ethnic snacks, we are doing the same production as it was in the Diwali season or non - Diwali in the first half. So , we are seeing a good uptick in all the ethnic snacks business.

Shirish Pardeshi: Okay. And last question to Manoj. With the GST revision, which has happened, I mean, which in the beginning, the participants were asking that it's a level playing field , but do you actually see on the ground the local players are adjusting to the revised GST norms or the competition has really gone up because discounting is one of the things which is perennially visible for the unorganized player?

Manoj Verma: So yes, the local players play strongly , which earlier was as well. But I think at this point in time, wherein the resistance was more on the organized or the large players, which are reaping the benefit of whatever they lost, in the transition from the old GST to the new GST. I think, Shirish, it's too early to comment. But certainly, the room which they had earlier of, say, 12%, now has come down to 5%. So it's reduced by 7%, which should adversely impact these local players.

Moderator: The next question is from the line of Abhishek Mathur from Systematix.

Abhishek Mathur: Hie sir, thank you for the opportunity . Just wanted to check on our distribution reach, you have indicated that we would be reaching to a number close to 3.5 Lakhs by the end of the current financial year. But just looking a bit far ahead over the next maybe 2 to 3 years, what could be the reach that we are targeting? Do you have a number in mind here? And what would be the regions , where we would be looking to expand this reach?

Manoj Verma: So, the numbers what we have for next 3 years, if you look at, so we intend to reach to 5 Lakh outlets as our direct coverage. So if we break down by year, it is adding 50,000 outlets year -on-year. Now the growth, the number addition would come across , except for other states, so primarily , in the core states and in the focus states. So , in core states, focus would be to go down to population strata whereas in the focus state, it would be, say, primarily urban and rural say 10,000 -

plus kind of stuff. So that's the where to play what we have identified for instance.

Abhishek Mathur: Right. Very clear, sir. And also, I just wanted to check in terms of our more mature stores or maybe the stores which are more than 1 to 2 years old, not the new ones. In terms of the throughput per outlet, what are the trends that we are seeing? Is it fairly stable? Or is there a decline or a slight appreciation that we are seeing over the past 1 year or so in terms of throughput per mature stores or old outlets?

Manoj Verma: So, if we look at , we break the growth into, say, organic or inorganic. And when I say inorganic, it's by reaching to new stores. So about 80% of the business is coming from the mature store or

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where we already working. And the 20% is the growth which is coming from inorganic growth kind of stuff. So stores which are less than a 1-year-old are kind of ones.

Moderator: The next question is from the line of Darshit Vora from Asit C Mehta Institutional Equities.

Darshit Vora: Hello. My questions have been answered. And congrats on the performance.

Manoj Verma: Thank you so much.

Moderator: The next question is from the line of Priyank from Vallum Capital.

Priyank: Hie, I had a question on the innovation side. A call out on the numbers for the innovation that we would have done over the last 1 - 2 years? Would you want to call out certain innovations like you called out millet bhujia last quarter? What would be the contribution coming -up from such innovations that you would have developed over 1, 2 years in the total revenue?

Manoj Verma: So, the contribution from NPDs, what we call , is about 2% to 2.5% in our overall revenue. That's what it is. Millet, what you just spoke about. I mean , it's very, very small and in a very nascent stage. But I think this will start adding value or numbers to our overall number , maybe in 12 months' time from now.

So, besides millet, what we also added was some variance of Falahari mixtures and all that stuff, which we felt and the research team figured out that there's a huge demand because snackery during fasting time is also picking up. And that's where , we have launched a couple of SKUs there, variants there. Similarly, like paneer bhujia , what we added.

So while we were leaders in the Bikaneri Bhujia, we added a variant of paneer bhujia, which is doing extremely well for us and is our NPD for us. So that it's an ongoing cycle. So there are lots of products in the funnel. And as they get clearance from, say, finance , in terms of there should not be EBITDA or gross margin erosion, they have to add value.

So as they get clearance, as it get tested in certain markets, and that's how we launch. So it's an ongoing cycle. Numbers, what we look at in our, say, budgeting AOP, annual operating plan standpoint, we look at about 2% to 3% should come from NPDs.

Priyank: And in this 2% to 3%, paneer bhujia that you would have developed would be contributing the

largest one.

Manoj Verma: Paneer bhujia would be one of the largest in recent times.

Priyank: Understood. On the impulse pack, sir, you did mention about the higher discounting coming up from the unorganized players in the last quarter. And then that's visible even in this quarter. So what would be the strategy? I mean, I do find you also starting a promo on the INR5, INR10 pack. Why would we think of even being aggressive or being present in impulse. In fact, the family packs are highly profitable for us. So, going ahead, why would we even be present in an impulse pack? Just a thought, help me build ing on this.

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Manoj Verma: So, unfortunately, one cannot choose to refrain now from the impulse pack because if you look at the category size, 70% of the business comes from INR5 a

nd INR10 pack. So, this is just, it's

not a choice to keep away. However, we always have upweighted our focus on the large pack, and that's what is one of the reasons why our family pack contribution is better off, much high and which also translates or reflect in our EBITDA margins vis-à-vis if you compare with the companies which are primarily operating in the small packs. But to get a numeric distribution to reach small pack is equally important.

Priyank: Got it. And one last thing on the distribution side, the indirect reach outlets, which is 12.5 Lakhs. When I have to map this ratio to the direct reach, certainly, the direct reach, of course, is growing. Should we consider that the indirect reach will also increase at the rate of direct reach, how it should be? I mean is the direct reach outlets part of the indirect or not?

Manoj Verma: Indirect is overall where Bikaji stocks are present. And this stock would be present through a store room that we are directly supplying. So, this will be a subset of that stuff, only direct reach.

Priyank: So the important part would be the indirect reach, which is inclusive of direct, right? The total indirect reach that you would target, right?

Manoj Verma: So, let me explain it in another way, that indirect reach or overall reach is what the company cannot control. It will move that if I sell to a big outlet or wholesaler, who in turn service or some small retailers come to him 100 small retailers come, buy from him. So, I will reach to 100 outlets, if my stocks are sold well from that one store.

So, I will say that my direct reach is 1, and 100 is my overall reach. That's the difference. So your direct reach will build your indirect reach. That's what the approach is or the way companies operate. Now, what happens is that there is a diminishing return.

So, let's say, if I keep adding outlets, so today, if you look at, say, assuming, say, 3 Lakh versus 12 Lakhs. So that is 4x kind of a ratio here. Now, it does not mean that if I do 6 Lakhs outlet directly, so my reach will become 24 Lakh outlets, because what will happen is that certain outlets that were buying from a wholesaler or say, Metro cash and carry, were earlier also selling Bikaji, but if I start going to him, so this will not add to my overall number. So, the number would, but my quality of service, my sales and throughput will start going up. This is how it works.

Priyank: Very clear. I understood now. And within the direct deals, how many of them, what percentage would be exclusive Bikaji?

Manoj Verma: So, there's nothing called it. So any retailer, wholesaler will be selling all products or different categories, different companies also. So, there's nothing called that only store for Bikaji kind of a thing.

Priyank: And just on the numbers, direct distributor, super stockist and depot, if you can just give out how many of that are direct distributors, super stockists and depots?

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Manoj Verma: So, we will separately come back to you on this number. So maybe I'll not have exact number handy.

Moderator: The next question is from the line of Ishant Lalwani from Ashika Institutional Equity.

Ishant Lalwani: Thankyou Sir. Sir, you mentioned that we have achieved around 52% capacity utilization. Can we expect to reach the earlier guided level of 70% utilization over the next 2 to 4 years?

Rishabh Jain: Yes, that's the target. And that's why we invested in the capacity that we want to achieve 70%, 75%. And we have, like, we grow our volume by 10%, 12% year-on-year, the se numbers will become 70%, 72% in the next 3, 4 years.

Ishant Lalwani: Okay. And on the realization part, what is the current trend evolving over the next couple of quarters on realization?

Rishabh Jain: Realization?

Ishant Lalwani: Realization.

Rishabh Jain: So, from the next 2

quarters lens, we see overall ethnic snack s, which is our core, we want to grow this at close to 15%, 16% and that's the target that we're taking on.

Moderator: The next question is from the line of Harpreet Kaur from Global Consilient Research.

Harpreet Kaur : Thank you for the opportunity. My question is regarding the impulse packs and western snacks categories. In the last quarter, you had hinted at an improvement in these categories Q2 onwards.

And we have seen the contribution of impulse categories falling from 40% to 33%. And you had also talked about upgrading the INR5 and INR10 value products. So , I would love to hear your standing in this category.

Manoj Verma: So, see, if you look at this quarter's share of business, so this , on the back of huge sweet gifting, gift boxes contribution, the contribution of family pack has gone high, which you will see that in the subsequent quarter, it will not be as much. It will come down. That's one. Second is that while the focus is on or we want to drive the small pack as well, but we continue to keep our eyes on or as much focus on the large pack as well .

Because they are highly salient in the modern trade in, say, q -com, e -com, the other platforms kind of a stuff. That's what it is. Yes, it got impacted much on this , the GST stuff change because there was a disruption of about 15 to 20 days in that stuff, which you will see that in this quarter 3, there will be a pleasant surprise , in terms of the numbers, what you'll see on the western snacks as well.

Harpreet Kaur : So, are you looking at the fact that , like you all are not currently eyeing upgrading of the INR10 and INR5 value products?

Manoj Verma: No, no. So that's , see, that's the evolution curve. Now what happens is that INR5, INR10 becomes a recruiter pack. And then if you like my product, if you want to use it at home, all that

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stuff, so it starts upgrading. So , it will be a never -ending kind of stuff. It's an ongoing stuff. We would want that an INR10 consumer should move to INR20 and so on. That's how and at the same time, would want to recruit new consumers or let's say, someone eating competition or a local unorganized stuff should try , which is the trial pack would be INR5 and INR10. So that's how this circle will keep moving.

Moderator: The next question is from the line of Rupali , an individual investor.

Rupali: Good afternoon, everyone. My question is about the Joint Venture with CG Group of Nepal.

Can you throw some light on what percentage of market share you are targeting for the next 3 to 5 years in Nepal?

Manoj Verma: See, let me take this question in 2 parts. One is that it's in a very nascent stage , we have just got approval to sign JV, and it will take almost close to a year or a little over a year to get that production from the JV, which is Bikaji CG stuff. What we are looking at it is that we certainly should be amongst top 3 players in that stuff and coming to a high single -digit m arket share in that in the next 3 years' time. That's what we are looking at.

Rupali: Okay. And which products are you targeting over there, like ethnic snacks or western snacks as well?

Manoj Verma: So this would be primarily ethnic snacks.

Rupali: Okay. So bhujia would be a major product?

Manoj Verma: Bhujia of course, because that kind of product is, flagship product. So that certainly would be on the high. But not just bhujia, we'll have a variety of products under Namkeen, which we'll be selling there. Even today, we do sell. But I think as we produce there, our ability to compete with the other pl ayers there will be by far high, and we'll invest behind our distribution model so it increased reach and the sweets would get us these numbers and shares.

Rupali: Okay. So , manufacturing has already started over there?

Manoj Verma: Ma'am, that'

s what I said , it will take 1 year. So, we have just got boards' nod to sign the JV recently, right? So now the factory commissioning would take years . That's when we'll start production . Till then, and for many, many years, we have been supplying from India itself.

Rupali: Right. Got it. And could you throw some light on the traction of the millet bhujia recently launched?

Manoj Verma: So, see, it's a very niche product. So , it will be too early to talk about what it is. But yes, the feedback from a few of the consumers and our research team, they keep taking feedback. So , it is coming positive, but certainly, it's not a mass product kind of thing that everyone will have it. So maybe after 3 months , we'll have the right number or right projections to make. But it's a good product liked by many. It will not be a very high-value contribution to the overall business.

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But yes, this is an offering for select consumers , who are more health -conscious . I mean, this product serves them.

Rupali: So are there more products in this line or...

Manoj Verma: So, there are series of products. So , we have, say, roasted products , which are less er unhealthy or normally it's been said as healthy products. So , we have a series of roasted range, which is there for now, I think, almost about 2 years now. And the contribution of these products to our overall busi ness is less than a percentage.

And rightfully so because we are a company which is highly distributed, I mean, so a product which is selling it over 12 Lakh outlets. Now this is INR5 and INR10 huge contribution within snackery, if you look at. And these products, when we say the healthy products or less unhealthy stuff, are not in INR5 and INR10, they are large packs only. And therefore, there's a limitation of making it available. So coming to your question, there are lots of products, many products. Millet is one of the new additions in that.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Manoj Verma: Thank you, everyone, for taking the time out. It was a pleasure talking to you all. And I think we could answer your questions. We'll be glad to take any further questions , clarification if you wish to seek, you can reach out to us. Until then, thank you. Thanks for your support.

Moderator: On behalf of Bikaji Foods International, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

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Ref: BFIL/SEC/202 5-26/106 Date: February 02 , 2026

To,

Dept of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers ,

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and nine months ended on December 31, 2025

Dear Sir/ Madam,

We hereby inform you that in continuation to our letter bearing Ref. BFIL/SEC/2025 -26/97 dated January 14, 2026 and pursuant to the requirements of the Regulation 30, read with the Part A of the Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), as amended, from time to time, an Earnings Conference Call with the Investors and Analysts to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended on December 31, 2025 was conducted on Wednesday, January 28, 2026 at 12:00 P.M. IST. Please find enclosed herewith the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call is also available on the website of the Company and the same can be accessed at www.bikaji.com .

You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head – Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As Above

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"Bikaji Foods International Limited

Q3 FY '26 Earnings Conference Call "

January 28, 2026

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER –

BIKAJI FOODS INTERNATIONAL LIMITED

MR. MANOJ VERMA – CHIEF OPERATING OFFICER –

BIKAJI FOODS INTERNATIONAL LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

Moderator: Ladies and gentlemen, good day, and welcome to Bikaji Foods International Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. I now hand the conference over to Mr. Ambesh Tiwari. Thank you, and over to you, sir.

Ambesh Tiwari : Thank you. Good afternoon, everyone, and thank you for joining the Bikaji Foods International Q3 FY '26 earnings conference call . From the management team, we have with us Mr. Rishabh Jain, CFO; and Mr. Manoj Verma, COO. I now request Mr. Rishabh Jain to take us through the key opening remarks, after which, we will have the floor open for question -and-answer session. Thank you, and over to you, sir.

Rishabh Jain: Thank you to all the investors and friends. So largely from this quarter perspective, this quarter is a story of 2 halves. So, in October, where we have seen some prepone of Diwali this year, so we've seen sweet business being in negative growth this year. But overall, when we see our core business, which is ethnic snacks and Western snacks, so ethnic snacks have grown at close to 13.5% versus Western snacks grow at 20% plus growth.

So, we've seen overall snack category growing at 14% plus in this year. And we've also seen some early sign of GST benefit, which government has passed on in September month. So, we are seeing good volume growth also in ethnic snacks and Western snacks overall. So, we're seeing good sign in our core business. That's what in this quarter. And also, January is going on, and we are seeing some good results also in this quarter also.

In this quarter, we have also done some 2 big campaigns, which is regarding with respect to Bhujia, so Bikaji, Bhujia Ho To h Bikaji campaign, which we started in September month and ran in this full quarter and has given a very good result in the Bhujia category in our traditional snacks category, which has grown at upward of 16%, 17%.

Also, we have started one UP specific UP campaign, which is Kya Baat Hai Ji, which has started in December month. And it's early to say, but yes, getting good results in UP. From bottom line perspective, we are seeing gross margin at a steady level at close to 35%, which is including PRI. But yes, overall, we have seen gross margin 35%.

Ad cost, of course, this October month is always big on ad quarter , ad cost. And so, our ad cost was close to 4% in this third quarter. So, our EBITDA is close to 12.5%. But overall, we are seeing good operational efficiency as well as GP has remained stable in the last 2, 3 quarters . From a raw material perspective, we're seeing stability in all key raw materials, except peanut, which we have seen some uptick.

But overall, peanut is not so big in our overall portfolio. But yes, all the other raw material has been stable, and we have started doing long -term parking of each key raw material because it's a peak season or peak crop season. So overall, next 3 to 6 quarters, what we see, we see some
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stable growth being we are at low category, low utilization as of now 50%, 52%. So, we're seeing early sign of good recovery due to GST and good demand uptick.

So, we see at least 14% to 16% growth in our core category. That's what overall. From investment perspective, we have committed close to INR131 crore of investment in Hazelnut Factory last year. Out of which INR60 crore has been invested, and we have taken 40% stake. We are putting additional INR40 crore as per agreement this year. And we have taken the approval from the Board also for this. And after this, our overall sta

ke will be close to 48%.

And also, we have done a JV with T. K. Khaleel. T. K. Khaleel is a big name in Middle East and having more than 4 decades of experience in bakery category. He has made some big business in bakery in Middle East, and we have tied up with him and formed a JV where he will be having 30% stake, and we will be having 70% stake in our company in Bikaji Bakes, a separate company under Bikaji.

And that's a futuristic investment. But yes, we see that it can become INR100 crore business because now all the children and all new TG normally see this business as a big business, and we also have done some investment in this.

Overall, from the 9 months numbers, our gross margins close to 34.9% with EBITDA at 14.2%. Our revenue from operation, if you see, that's without PLI, we've grown at close to 14% revenue from operation at consol level. From a distribution perspective, Manoj Ji, you can update.

Manoj Verma: Yes. So, in terms of distribution and which is what is identified growth lever, so we continue to grow. If you look at in terms of our overall reach as Bikaji, we are now close to 1.4 million outlets. And in terms of our direct reach, we are now at about 3.35 lakh outlets directly. The marketing campaign, which Rishabh just spoke about, so what we had identified was that we need to infuse something so as to accelerate the growth in Bhujia category.

With that in mind, we started a campaign Bhujia Ho To h Bikaji, which has given a good and excellent dividend in terms of increasing our reach and increasing the consumption both resulting into our overall Bhujia growth numbers, which was primarily focused in our core states. The other campaign, what we also did was we roped in Mr. Pankaj Tripathi as a celebrity, and this was more towards UP and nearby markets, Kya Baat Hai Ji, that's the campaign which we started. This was in the latter half of quarter 3. So, it's too early to comment, but yes, the initial reads and the responses what we are getting is very positive.

And we are very confident that this should help us build quarter 4 and thereafter business for us. So, we did went on to multiple communication vehicles and very aggressive on digital media on this stuff. Another big thing which has happened in this quarter is we have relaunched our logo, Bikaji.

So, the one which we have is more vibrant, it is more enticing and this is a refreshment of our old logo and effective this year, this calendar year, we have now moved on to this new logo, which is also there in the deck of ours.

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Growth, if we look at, so quarter 3 volume growth, so this is supported by the GST stuff. So, volume growth picked up for the quarter was 8.4%. And ethnic snacks, western snacks did extremely well, so was papad. So, if you see there's 2 contrast pictures that where it was up till H1 and now what was quarter 3. So, this quarter 3 performance has led YTD performance moving up. But to underline, ethnic sacks and Western snacks have done very well and things getting back on track.

On a YTD basis, if we look at, so now ethnic snacks stands close to 10% and Western Snacks is 6% above, which in H1, if you look at was a concern which had come up was pretty low, but in this quarter, it's made up for the first half. Sweets, of course, was low, and that we had explained in our earlier calls as well that it is always good to see quarter 2 and quarter 3 put together. So, this was early Diwali, hence quarter 2 numbers were high. And quarter 3 was a negative growth. But on a YTD basis, if we look at, so sweets, again, on a positive stuff and a growth of 8.1%, while quarter 3 was a negative stuff.

Now this sweets and gifting category has impacted the growth of focus states because the contribution of these 2 categories in focus and other states is very, very high. So just to put a number and this is in effect

in the core states, it is 7%, 8% in other states, it's about upwards of 30% and in focus states, upwards of 25%.

So, when these 2 categories because of Diwali got shifted, so therefore, the growth of focus states or other states looks muted or negative. But if you see net of sweets and gifting, the growth for these 2 state categories is also in line with the core state. Exports has done very well.

This is now the results what we are getting from the investments made in the yester quarters and years. That is about building our capacity wherein we invested behind Ariba Foods, scaling up our capability on production for the frozen items, which is most salient in these markets and also our people investment, what we did in the exports market.

We expect this exports growth to continue. And for the next 2, 3 years, we should be witnessing same kind of growth. Family pack and impulse pack is again, if we look at family pack, it looks weak in this quarter.

This is on the back of the gifting and sweet, which is primarily large pack only. There's nothing small pack in that. That is now impacting that mix this picture weak in terms of family pack growth. But if we look at traditional snacking growth, so we have grown higher in family pack than the small packs.

Rishabh Jain: So overall from retail business perspective, so our retail business has grown at 86% growth. We have in quarter 3, being it's the biggest because Diwali is big for THF as well as for Bikaji.

Diwali and sweet gifting is very big in retail stores. So, we delivered INR47 crore business from 23 stores as on date and the target is to open at least 10 stores next year in THF as well as in Bikaji.

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Overall, from a revenue perspective, our revenue has grown close to 11%, with EBITDA growth compared to last year in quarter 3 at 77%, being increase in EBITDA margin compared to quarter 3 last year . That's part from the presentation. We are happy to take all questions. Thank you.

Moderator: The first question is from the line of Abneesh Roy from Nuvama Institutional Equities.

Abneesh Roy: My first question is on dry fruits and nuts. So, consumer treats dry fruits and nuts also as a broader part of the snacks category. And clearly, consumer is focusing more on health. And we have seen many companies create big business. For example, Tata Consumer, already INR250 crores ARR in nuts they have created.

What will be your thoughts on this because this is a very low -hanging fruit because part of the same broader snacks category. Any thoughts on this? Have you tried this at any point of time? Any pilot projects you have done in this?

Manoj Verma: So, if we look at into the mass category, so this is not mass, this is niche and the top of pyramid. If we look at in terms of just the dry fruit, so that's a commodity. But yes, when you do process this stuff, that becomes the snacking part of it, which is a ctually 2% of the overall snacking category at this point in time.

So, we also do have some cashew nuts and these nut stuff, but that has not been our focus thus far. And in near future, this is not our priority because this is importantly on some few channels where the premium products could be sold. So, our focus has been more on the range of Namkeens and Bhujia.

Abneesh Roy: Sure. One follow -up on the core versus focus. My question is why is sweets and gifting higher in focus market? Is it easier to do that, especially in a new market? What is the reason?

Manoj Verma: No. So, 2 reasons, Abneesh. One is that the play of modern trade is very high because by virtue of our modern trade presence in all these states, Reliance and DMart. So, we are over -indexed in these states. And there, because modern trade does very well in all these stores, so therefore, our sweets and gifting goes very high. So, this is the reason that our contribution

of sweets and

gifting is very high in focus and even high in other states.

Abneesh Roy: Sir, my next question is on your overall advertising strategy. Generally, we don't see 2 brand ambassadors in the same category, in the same geography. So, Amitabh Bachchan, till when do you have him as the brand ambassador as per the agreement? And what is the specific reason for having in the same geography, Pankaj Tripathi as the brand ambassador for Namkeen. So how does it help? Is it a long -term transition from Amitabh to Pankaj Tripathi? Is that the reason?

Manoj Verma: No. So one is that not same geography. If you look at Amitabh Bachchan is our brand ambassador nationally and internationally as well and will continue to be our brand ambassador. We have extended his contract for another 2 years. So that's one. Pankaj Tripathi, we roped in for a campaign basically. So, these are the geography specific, which we would be doing.

So not that in UP, we are not using Amitabh Bachchan as our brand ambassador. That is it. But for specific Kya Baat Hai Ji is -- we also engaged with one of the known agency. So, this is

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Ogilvy we have worked with, and we have done this now as a campaign. So, this does not impact anything with what Amitabh Bachchan has been doing or would continue to do in that stuff.

Abneesh Roy: But I didn't understand what was the need?

Manoj Verma: So, no, point is that Amitabh Bachchan helps us do all category, right? Now getting one brand ambassador for specific stuff. So, he's a generic overall stuff. Pankaj Tripathi, we roped him because this connects more closer to this geography to the masses and the TG what we are looking at.

So based on the research, we figured it out the options were, one, we could have used Amitabh Bachchan, so one is the overall broad messaging and then focused for particular state. In state, the option what came brighter was that we have a different celebrity, but this is nothing to do with replacement of one over another.

Moderator: The next question is from the line of Rehan from Trinetra Asset Manager.

Rehan: So, I have a couple of questions. First of all, on the distribution strategy side. So direct distribution reach has increased to 13.9 lakh outlets as of December '25. So, from here, should growth be driven more by higher throughput per outlet or by entering new micro markets? And how should we think about the margin impact of it? This is my first question ?

Manoj Verma: Yes. So, growth has come both , so it's a two -pronged growth strategy. One is that continue to drive growth, which is more if you look at in terms of our core states because that's where our numeric distribution or our reach is already at a higher level. So there, the growth story is mo re about throughput of store.

In the focus and core or the other focus and other states, it is both that the stores where we are, they will grow and the inorganic growth in terms of new stores where we were not present earlier and as we reach in that stuff. Now talking about the margin impact. So yes, we make better

margins in our core states.

And there increasing or driving growth from throughput helps us mitigate for whatever when we expand more in our focus states. So overall, there's no margin impact in that stuff. This is a thought through thing what we do.

Rehan: Okay. And just continuing my first question and just more focusing on the margin side. Like right now in quarter 3, your family pack continue to contribute 62% of primary, with impulse pack at 38%. So, if impulse packs start growing faster in non -core markets, so could we expect any margin or working capital pressure from a mix perspective?

Rishabh Jain: No, no. So, it will not have a major impact because the gap between family and impulse pack in overall gross margin is not more than 2% in ethnic snacks category to do it.

So, what we see

there in next 2, 3 years is 55 -45 should become -- so family should become 55% and 45% should be impulse pack. So, it will have less than 10 to 20 basis point impact. And we are doing multiple things to improve build on efficiency and overall pricing strategy.

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So, this will offset this. So, we don't see any major impact if impulse pack goes up to and we want to improve our impulse pack contribution, being it's a trial to in a focus state.

Rehan: Okay. Fair enough. And I'd like to ask one more bookkeeping question. Like I want to understand regarding marketing intensity has increased with multiple regional campaigns and ATL and BTL spends. So, what -- as per management view, what internal metrics such as volume update repeat per case for outlet productivity, do you use to assess ROI? And in what timeframe do these campaigns typically break even?

Manoj Verma: So, these are multiple steps in it and multiple vectors if you look on this. So, one is -- the first and foremost is that we look at the efficacy or effectiveness of the campaign. So, there are these agencies, which gives that what was the viewership, how many viewed and how many did multiple times. So that's the part of campaign that how that gone below. But this is all , so this is nothing to do with numbers, just how the campaign has gone.

While this has a correlation with our numbers in terms of that your productivity, sales team productivity starts going up, which means that there is some demand creation or which could be a new entry and also in terms of repeat purchase or the throughput o f the store. So, both ways, this gets measured. So, one, to the marketing team, they have a KPI to deliver.

And similarly, in synergy, sales team is to deliver KPI in terms of that how many new stores, how many , what kind of productivity and throughput it has. So those are the measures what we track and then we call out that was it successful or not or should be repeated or not that.

Moderator: The next question is from the line of Harpreet from Global Consilient Research .

Harpreet: My question is regarding the stock runout, like this has been a serious issue for the company for some time now. Like for some retailers, they did not purchase on purpose and wait till the 24th of a month, which causes stock run out and as a result, loss i n your consumption. So, what has the company been doing to deal with this?

Manoj Verma: Can you be a little more specific on this question? I mean I'm so sorry, I couldn't understand well.

Harpreet: Like for some retailers, they do not purchase on purpose and being aware of the fact that discounted prices will be available from 24th of a month, which leads to stock runout and as a result, loss in your consumption, like customers are not able to buy due to unavailability of product. So, what has the company been doing to manage this?

Manoj Verma: Yes. So one is that it is not that 24th onwards, there are schemes. The scheme starts on the 1st of the month itself. That is one. Also, none of the retailer because if company loses something, that's a sales loss to the retailer as well, right? So that's not the case. But what happens is that whenever any schemes are anticipated, unless until you're talking in specific to the GST when announcement was to happen, right?

So, till 23rd, people were waiting that now the post -GST rates will come down and then they buy. So even at that point in time, it was not that sales was 0. What happened was that these

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retailers started destocking. So, let's say, giving an example, if a retailer keeps it 20 pieces or 15 pieces of one particular SKU.

So that point in time, he brought this inventory down to 5, 6, and he did not purchase in anticipation of that now the rates GST impact benef

it will come, and then I'll buy again 15, 20, whatever. So that was a momentary stuff. Otherwise, in FMCG space, this is how it works that around the month or all 4 weeks, there are purchases. But yes, always you look at week 4 becomes a little high and week 1 are high, 2 and 3 are the regular servicing of that stuff.

Harpreet: Got it. And like the Nepal JV is expected to start production in a year and in the ethnic snacks category, which is a core category. And we aim to become among the top 3 players there and gain high single-digit market share. So, what is the progress there?

Rishabh Jain: So largely, from Nepal perspective, our plant will come up in next close to next 8 months largely. And we've started and we will start working with CG Group in maybe by end of this year, end of this financial year. So, we are hopeful that they are a big group there and we're having good distribution. So, in next 2 to 3 years, we will be top 3 players in Nepal. That's why we've done a JV with them, and that's what our aspiration is with them.

Moderator: The next question is from the line of Nitin from Emkay Global.

Nitin: Can you please help us understand the monthly revenue trend? Like I want to assess how the GST rate cut is aiding demand? And also, I want to know your view on the GST benefit aiding demand ahead, like how you think the GST rate cut will help overall improvement in the growth trajectory? That's the first question.

Rishabh Jain: So largely, what we've seen that you see our core ethnic snacks in first half has grown at 5%, 6% versus this quarter, the third quarter has grown at around 13%, 13.3%. And we're seeing good uptick in family pack as well as impulse pack. And that's what we see the result of some GST input benefit what we've given. We have done some MRP reduction. So, it's more affordable to consumer and also some grammage increase in impulse packs.

So, we see there is possibility that there is smaller player who is largely doing not a business in a much more professional way. So, we get the opportunity to do like 5% GST, the chance of doing that type of business will be limited. So, we're seeing some benefit of this also. So overall, you will see a volume growth also in traditional snacks is close to 11%, 12%. So, we are seeing some good results after the GST rate cut. And this will be continued in coming quarters.

Nitin: Yes. This is really helpful. I just want to know like December would be the clean month with GST benefit. Any sense you can provide on like how would have been the growth in December month, if you can?

Manoj Verma: So, Nitin, if we were to look at in terms of ethnic snacks or the Western snacks, so immediately after GST, so complete even in October also, these categories did extremely well. So, it is only on account of sweets and gifting that October was a weak month in terms of overall company. But GST benefit started reflecting or coming in October onwards.

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So, it is not that it has only come in December, but the good thing is that the momentum continues. So, what it was like September end, there was a little confusion, chaos around that GST will bring the rates down.

And so, the purchases were on hold, which someone took up as a question as well. But these were picked up October onwards. So, all 3 months, our growth has been by far high than what we had delivered in the earlier yester quarters.

Nitin: This is helpful. And do you expect like further acceleration in growth possible?

Manoj Verma: So, I think, see, now it rests on overall category growth as well. But momentum is good. January almost is about to get over. We don't see any disruption or look back on this stuff.

Nitin: This is helpful. Second question pertains to your gross margin. So, like despite relatively weaker mix where packaged sweet salience down almost around 900 bps Q-o-Q.

I'm talking sequentially. Our gross margin correction has been limited to only 40 bps. So, can you help me understand like what other factors are helping to keep the gross margin stable on a sequential basis?

Rishabh Jain: So, we are seeing good growth in our core product, which is Bikaneri Bhujia, and that's highest in gross margin in our ethnic's snacks. And we're seeing good growth being we done 2 campaign s around this, majorly Bhujia Ho To h Bikaji campaign. So, we're seeing good growth in Bikaneri Bhujia, and that overall has been improving gross margin. Also, the product mix, what we're trying to improve and focus product, which are higher in gross margin, and we started this 2, 2.5 years back. So that has also worked well with this.

Nitin: Okay. So, which is largely to do with the Bhujia, that's basically has helped us. And lastly, in the core market growth at around 8%. So, like how should we see this growth shaping up ahead?

Manoj Verma: So, growth, if we look at in terms of our markets basically, so as we have said that the focus would be growing higher than what the core markets are. But for now, if we look at, in this particular quarter, focus looked weak because, as I explained in my earlier statement that there is a huge play of sweets and gifting, which got shifted in quarter 2.

Otherwise, other than sweets and gifting, if we look at, so the growth of focus and other states

is also, in fact, ahead of what core has delivered. So going forward, to your question, focus will be growing higher than what the core states would grow.

Moderator: The next question is from the line of Shirish from Motilal Oswal.

Shirish: Manoj, just one quick question. When we entered the quarter, September and every industry player was very excited with 5% GST and shift, which was expected. But when I look at 9 - month number, I think the focus market has grown only 10.2%. The reason why I'm asking is that I'm sure you are not happy with 8.4% volume growth. So, 2 things.

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One is that you said there is a GST benefit which you have passed in terms of higher grammage.

So, if you can split that 8.4% volume growth, what is the percentage or what is the contribution has added because of the grammage addition?

Manoj Verma: Sure.

Rishabh Jain: So Shirish Ji, so largely from increase in grammage in quarter 3, what we done due to GST. So, it has been improving volume growth of 1.5%, 2% in overall yes. But overall, you will see that our overall volume growth in ethnic snack category or all snacks category is close to upper 12%, 13%. So that's high in last 3 quarters, and that's what we targeted.

Manoj Verma: And any impact in our sweets business because that was same, so papad and sweet space, same it was only in the snacking space.

Shirish: Okay. The other thing, which is the observation that in quarter 2, most, not you, but most of the players said that there is a destocking because there was a confusion of what the GST will happen and other things. But did you really get any benefit of restocking in the trade in quarter 3? And again, is it settled or it is still ongoing?

Manoj Verma: Okay. So, Shirish, for the impulse category, no one would wait for this thing. So, the opportunity loss or the day loss is a loss. However, from a consumption standpoint. But yes, if you look at in terms of destocking, so yes, there was certain impact, but then that got over in a week's time itself.

Thereafter, it's an ongoing replenishment model, so weekly servicing, weekly buying in that stuff. But yes, whatever consumption loss happened during that time that the outlets who ran out of stock and all, you cannot replace that stuff.

Shirish: Okay. The other thing which I came -- I mean, I'm reading from Slide 20 from your presentation. When I compare 9 months growth in the focus state, which is just about 10%.

I mean I'm giving

the benefit Diwali has come here or there or festive season would have shifted.

But in 9 months, we are still 10% growth is it much lower than your expectation? And how much growth we can expect? I mean you did allude saying that the focus state will grow faster. But I think what are the issues?

Manoj Verma: Yes. So, Shirish rightly said that 10.2% growth is not a good growth in that stuff. It will not be less than 15%. 15%, 17% should be the bare minimum growth in that stuff. The disruptions when you talk about so that because of GST, because of the sweets could have done or the other categories could have done even better.

This is what and the Western snacks, which again is a higher contribution and focus and core states in focus and other states was weak in quarter 2. Those were the stuff. But if you look at how it has made up in rest of the category, so Namkeen, Western snacks and all, so it is again coming back to what in line for what we have said or in line with our plans, what we have.

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Shirish: I have a specific question, Manoj here. Out of 6 markets which we have identified in focus state, specifically, UP is a very large snacking market. So, could you strip off what is the growth you are seeing in particularly UP?

Manoj Verma: So UP is on a high growth in that stuff. So, 10% is the overall growth. So UP is close to about 14% growth in this stuff. So, it's on a high side. There's one market Delhi, which we call as our focus states, has not done very well in that stuff. And we also did not invest as much in Delhi. So, there's no specific campaign or something what we have done for that stuff. But to your question, yes, UP has done better than the overall focus states.

Shirish: So UP would be growing on an average about INR50 crores, INR60 crores now?

Manoj Verma: No, no. Shirish, what -- hello?

Shirish: Yes.

Manoj Verma: Yes. So UP, I said, if you look at, would have about 13%, 14% growth, whereas overall focus states is 10%.

Shirish: Okay. Got it. And in export, what are the reasons? I mean, I do understand Ariba is yet to contribute meaningfully. But what are the drivers for this growth? Are you opening more markets? Or is that core market since the export is showing you scalability?

Manoj Verma: Yes. So Ariba is an enabler, right? You have stocks to sell, right? But the latter -- the second question, which you said that in terms of the expansion. So, the driver is expansion, getting into new accounts, large accounts where we were not there earlier, we got listed, and there is a good response or demand coming in. So that's the driver. Ariba is the back -end stuff, I mean, so which is solving for this problem.

Shirish: So, which are the large market in your exports?

Manoj Verma: So large , U.S., of course, continues to be a large market, U.S., Canada, then Middle East, these are the markets which have done. So, U.S., in spite of odds like the tariff thing and all that stuff, we did still well in U.S. Costco is one of the largest account there where we were not there. And so, we got listed in this quarter and a very good performance in this store and very good response in terms of repeat.

Shirish: Okay. Just last question on BBPL. What is the rationale? I mean, I know Khaleel is a very big man, but is the company is going to diverge and getting into biscuits and croissants and other segments? And what is the scalability of this model? Are you going to get the Khaleel brand in India or you're going to spread more because you're giving the capital also?

Manoj Verma: Yes. So, Shirish, one, certainly not biscuits, right? So, this would have 3 parts of it. So very premium breads, grocery and then the third is cakes. These would be the 3 segments we'll be playing in. And the business would be under, again, 3s. One is frozen export and everything is

frozen. That's one. Second is that the business would come from we'll export from air.

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That's what Khaleel's presence will bring in because he is already into this model of that stuff. It is the facility or manufacturing capability we are building in air. So, one is exports. Second is B2B, right? And the third would be domestic, which will be the least of that stuff. Now this is a futuristic investment.

We have set up our plant in Bangalore. And as Rishabh said, that over 3 years, I mean, this has a potential to get us about INR100 crores in our top line number. That's where it is. So, this will not be , it will be a complete separate team, not that anything to do with Bikaji. This will be run by a professional team, which is no more into bakery and all this stuff.

Shirish: So, do you mean to say that the existing stores, which Khaleel is operating in UAE is not a part of this deal?

Rishabh Jain: No, no.

Manoj Verma: No, no. So, this is Bikaji Bakes . This is Indian stuff only.

Shirish: Okay. Okay. And this plant, when do you think will get operational , say, another year or so or will take a little longer?

Manoj Verma: No, no, no. By end of this quarter only it will happen.

Moderator: The next question is from the line of Abhishek from Systematix Group.

Abhishek: While you mentioned in your opening remarks on the raw materials being fairly stable, I just wanted to check specifically on potato, what is the procurement cost trend that you're seeing in potato? Because I understand that December, January is the period of crop flow and procurement. And you can correct me if that is not accurate. But just wanted to check what is the sort of procurement cost trends that you're seeing, specifically in potato right now?

Rishabh Jain: So, potato crop has been very stable and good this year. So, we don't see any major disruption in price or quality availability this year. And we started , it's early to say early to do, but yes, in the next 2 months, we'll do a long -term buying of all of at least for the next 6, 7 months. That's what we do normally in Feb or March. But yes, price has been very stable.

Moderator: The next question is from the line of Anchit from Goldman Sachs.

Anchit : I just wanted to understand on this Bikaji Bakes. What is the trajectory? Are you expecting revenues to start coming in from FY '27 itself? And in terms of the products, in terms of, say, premium breads, et cetera, is it just going to be export or is it going to be like in stores, et cetera, in different stores? Or will it be just in your retail stores, in Bikaji retail stores?

Manoj Verma: Yes. So, to your first question, yes, revenue will start coming in from year 1 itself. On the product side, so yes, the split of the business, if you look at, would be majorly exports, then B2B and then a few top -end stores as well, so domestic sales. So, this would be available in top -end stores because this would be all premium. And also, we'll leverage the q-com, e -com channel also on this stuff. So, it should be available there as well.

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Anchit : And what will it be under the same brand of Bikaji or how do you plan to brand this?

Rishabh Jain: The work is going on in this, but it will not be in the same brand Bikaji...

Manoj Verma: We'll announce it shortly before we commission the factory, but not Bikaji for sure.

Moderator: The next question is from the line of Soham from Motilal Oswal.

Soham : Just wanted to check one direct coverage. Right now, we have a 334,000 direct coverage. And last 1 year, we have added almost 46,000 addition. So, Manoj Ji, if you want to give a ballpark breakup of this 46,000 breakup of this core versus non -core addition in the last 1 year.

Manoj Verma: So, the most of the addition which has co

me in is in the focus states, right? So, as I speak, it's

about 1.65 lakh outlets is what we are covering in focus states and core states is about 1.15 lakh and the rest is other states, about 55,000 outlets.

Soham: Okay. So majorly, it is a non -core addition. Okay.

Manoj Verma: Yes. Sorry. Yes, yes.

Soham: On the impulse pack, right now, if you look at the snacking portfolio, so almost 50% of snacking portfolio comes from impulse pack. And in 9 months data, which grew only 6.8%. So, like for full year basically for next financial, how do you look this impulse pack growth for the FY '27?

Manoj Verma: So, what we plan to do is that, see, for us, family pack is equally important, and we get better margins also in that stuff, that also in our core states, this is what helps us store throughput also.

In the channels like, say, modern trade, e -com, it is the p lay of the large pack only. But as we drive distribution, as we drive focus states and which is where, as I said, that the faster growth would come from the focus states .

So that's where the role of the impulse pack. So, to your question, what we see that the growth of impulse and family pack will be in line, not that a very differential growth in that stuff you'll see. But yes, impulse would be on a slightly higher side.

Soham: Okay. And in this core versus focus market, like as you previously, you said that focus your target would be 15% to 17%. So, what could be the target for core, high single digit for next year?

Manoj Verma: No, no, double -digit target. So, you will see that about, say, 13% plus/minus would be the core state performance.

Soham: So, 13% plus/minus for core and focus would be more than 15%?

Manoj Verma: Yes, upwards of 15%, yes.

Soham: Upwards of 15%. Okay. Got it. And Rishabh Ji, for this margin, for 9 months gross margin ex PLI, we have done 33.5% and operating margin, we have done 12.5%. So how do you look for this year and next year for gross and operating ex PLI?

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Rishabh Jain: So largely, we see EBITDA margin should move up at least 50 basis points from this year.

Soham: And for operating? Okay, you're saying operating is 50 and gross will be stable. How is it?

Rishabh Jain: So, EBITDA should improve by 50 basis point, EBITDA.

Soham: Okay. EBITDA should be , and A&P would be in the range of 2% and 2.5%, right, for next year as well?

Rishabh Jain: Yes, yes.

Moderator: The next question is from the line of Parshv from Mehta Equities.

Parshv : I wanted to understand about the product range. When we are launching the new products, what are the strategies that we are used to see? Basically, I wanted to understand the strategy states that how because Bikaji company researching the products to distribution as per the geography.

Manoj Verma: So, this is 2 approaches what we take. One is the innovation team, the R&D team, which keeps working all that, keep picking up. We participate actively in all food exhibitions like Gulfood, Indus, AAHAR , so on and so forth, so which is a forward -looking stuff and ongoing process.

That's one. Second is that we also pick that what is doing well in the market, what -- how the category is behaving, which subcategory is doing well and how are we indexed to th e overall category stuff.

This is the principal 3x3, which arrives us on where to work on. And that's how we pick up the subcategories that what should be developed, and this is how we get these NPDs out in the market. Now talking about geography, there is diversity across states. So, that's how the consumption pallet is. So, then it becomes a region -specific kind of certain things. This is how we do, and this is what is our strategy on adding new products or for new product launch.

Moderator: The next question is from the line of Janardhan an Individual Investor .

Janardhan : I'm an individu

al investor in it. So, my only question is, if raw material costs normalize upwards, right, and demand softens, I understand that demand is going to go up, but just this is a hypothetical question. If raw material costs normalize upwards and demand softens, which lever, be it pricing, be it mix or be it cost will protect margins the most for Bikaji?

Manoj Verma: So, see, if raw material prices goes up, right, so one, we'll try to see that what further optimization can be done because that is one. Then if this would be true for competition as well. We'll closely watch that how competition is behaving on that stuff and we'll respond accordingly. That's what we do. Because there's a threshold that we would not go and would not wish to go below our threshold in terms of our margins part.

Janardhan: Yes. And one more question. Where do you see Bikaji's market share in the organized ethnic snack space over the next 3 to 5 years?

Manoj Verma: So, we see a double -digit market share in next 3 to 5 years, maybe around 11%, 11.5% kind.

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Moderator: As there are no further questions from the participant, I now hand over the conference to management for closing comments.

Manoj Verma: Thank you, everyone, for taking time out and being part of this call. Hopefully, we could answer the questions what came up. Still anything left out, we'll be happy to revert back. You can reach out to our corporate affairs person, Prateek or the agency, and we'll revert back to the questions anything left. Thank you very much.

Moderator: Thank you. On behalf of Bikaji Foods International, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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Ref: BFIL/SEC/202 6-27/24 Date: May 2 6, 202 6

To,

Dept of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers ,

Dalal Street, Fort,

Mumbai 400 001 (Maharashtra)

Scrip Code: 543653 The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai 400 051 (Maharashtra)

Trading Symbol: BIKAJI

Subject: Transcript of Earnings Conference Call for the quarter and financial year ended on March 31, 2026

Dear Sir/ Madam,

We hereby inform you that in continuation to our letter bearing Ref . BFIL/SEC/2026 -27/14 dated May 14, 2026 and pursuant to the requirements of Regulation 30, read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), as amended, from time to time, an Earnings Conference Call with the Investors and Analysts to discuss the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended on March 31, 2026 was conducted on Friday, May 22, 2026 at 12:00 P.M. IST . Please find enclosed herewith the transcript of the Earnings Conference Call.

In compliance with the Regulation 46 of the Listing Regulations, the transcript of the Earnings Conference Call will also be hosted on the website of the Company and same can be accessed at www.bikaji.com .

You are kindly requested to take the same on record.

Thanking you

Yours faithfully,

For Bikaji Foods International Limited

Rahul Joshi

Head – Legal and Company Secretary

Membership No.: ACS 33135

Enclosure: As Above

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"Bikaji Foods International Limited

Q4 & FY '2 6 Earnings Conference Call "

May 22, 202 6

MANAGEMENT : MR. RISHABH JAIN – CHIEF FINANCIAL OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MR. MANOJ VERMA – CHIEF OPERATING OFFICER –
BIKAJI FOODS INTERNATIONAL LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Bikaji Foods International Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Ambesh Tiwari from S -Ancial Technologies Private Limited for opening remarks. Thank you, and over to you.

Ambesh Tiwari : Thank you. Good afternoon, everyone, and thank you for joining the Bikaji Foods International Q4 FY '26 Earnings Conference Call. From the management team, we have with us Mr. Rishabh Jain, CFO; and Mr. Manoj Verma, COO. I now request Mr. Rishabh Jain to take us through the key opening remarks, after which we will have the floor open for question -and-answer session. Thank you, and over to you, sir.

Rishabh Jain: Hello. Thank you all for joining the investors call of Bikaji Foods International Limited. Before starting this, one thing which we have recently lost a Chairman on 23rd of April. This was a great loss for the company as it is for the family. He was great visionary and a board leader and was influential figure for the company as well as complete Bikaji. All thanks fraternity .

Now I can start. So largely, this quarter has been a great quarter from many perspective, be it top line where top line growth was close to 18% plus. And in top line also the core market hasn't grown at upward of 15%, which was from last many quarters. It was growing at 10% to 12%. But yes, in this quarter, it has grown at good growth.

Export has been doing very well from last 4, 5 quarters. Family pack, which is a key and for this, we also started 2 campaign, Bhujia ho toh Bikaji after September and Kya Baat Hai Ji. So , Family pack has grown up for 20%. E -com Q -com has now became 3% of overall business, which is significant and growth has grown over close to 100%. And that's the target what we're taking for this year also.

From campaign perspective, of course, these 2 campaigns, this year has been 2 halves where in first half, 6 months, our core Namkeen snacks growth was slow. But after this GST reduction from government and the 2 campaign what we started in last 6 months, o ur momentum in overall snacks category snacking has been very significant and good growth. And that's what we want to continue for this year.

From bottom line perspective, largely from consolidated consol financial, our gross margin is at 35.6%. This also includes PLI. But yes, overall, there's a 240 basis points year -on-year because PLI was included last year also.

From an EBITDA perspective, EBITDA is close to 12.2%. So lastly, in this quarter, we started 2 campaigns end of last quarter -- mid of last quarter largely. We continued the same campaign

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this year also. And our ad cost increased this quarter compared to last year to tune of 1.5%. And from EBITDA, overall we closed to INR88 crores of EBITDA with PAT margin of close to 8%. Overall, from a year perspective, so largely our overall yearly revenue from operation is close to INR 2,994 crores at 9.5% volume growth. In last quarter, volume growth was upward of 16%, which was highest in any quarter. Overall GM at a full year level is plus 35.1% and EBITDA margin is 13.7%, upward of 120 basis points compared to last year. From a capacity perspective, so largely, we have not added much capacity last year. But yes, this year, we have plan to increase the capacity in sweets , which is go ing on.

From a distribution perspective, I request Manoj sir to ...
Manoj Verma

: Yes. Thanks, Rishabh. So , one of the key growth drivers, what we had called out was the continuous increase of footprint, which is distribution. So , we delivered the target what we have taken for ourselves was to cross 3.5 lakh outlets, which is what team has done. And this increase has come across all our core focus in other geographies.

These campaigns, what Rishabh just spoke about, did extremely well, and that was one of the reasons for our higher growth in the large pack. So large packs has outperformed and these marketing campaigns have worked very well.

From core geography standpoint, Bhujia also Bikaji was a major and a great success. And the number speaks louder than what I would say. It is that if we -- if one is to look H1 versus H2, so there is a multiple growth in that stuff.

And in UP, we did the campaign, Kya Baat Hai Ji while looping in Pankaj Tripathi in that, this

campaign also did very well for us. And that's what is the reason that we look at quarter 4, so our Family pack has grown at 20%, while Impulse grew at 14%. So, there's certainly room of improvement on Impulse, but Family pack outperformed in this.

Rishabh Jain: From key initiative perspective, this year also has been very significant for us as we have won SAP go-live this year in December. We also won Darwinbox go-live. There is new logo launch in January this year. We completely changed our packaging, revamped our complete packaging, changed logo, our investment in the Hazelnut factory last year.

So, this year has been very good for the brand. They crossed INR100 crores revenue this year and target is to grow 50%, 60% year-on-year for next 2, 3 years. Our annual report has been ranked 42nd in American Communication Professionals. And from export perspective also, we have crossed INR100 crores first time this year.

From revenue from operation perspective, in quarter 4, we have crossed close to INR720 crores of revenue with EBITDA of INR88 crores and PAT of INR56 crores. From a working capital perspective, our working capital cycle is largely same compared to last year, largely same.

There's not much increase in working capital cycle.

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From raw material perspective, there is -- this war which was started in Feb and March. We have seen a significant increase in our packing material and edible oils -- largely edible oil has increased to the tune of close to 12% 13%, 14% in fact, and packaging material has increased to close to 25%, 30%. But overall, we have taken a price rise in April this year and which is suffice largely for the current price hike what we're seeing in raw material and packing material.

So, we'll see how this war goes and we need to take the price rise or not. But yes, as of now, we have taken a price rise, which will manage our overall gross margin and EBITDA. Thank you very much. We are happy to take all the questions.

Moderator: Thank you. We take the first question from the line of Avnish Roy from Nu vama. Please go ahead.

Avnish Roy: Yes, thanks and congrats on good performance. My question was now Q1 almost 50 days are gone. So, are you seeing good momentum continue in Q1 also based on the sales and volume trajectory in Q4? Any divergence you're seeing in Q1?

Manoj Verma: Hi, Avnish, so momentum, what we are seeing is it's a continued momentum. So, post November, the way of the trajectory we are on, this continues. This also is the outcome of the kind of investment in demand generation, what we have done thus far and is keeping us on the same trajectory. So, in spite of certain price being passed to the consumer, yet we haven't seen any slowdown in terms of the demand.

Rishabh Jain: Also, like we're seeing -- we've seen 2 turbulence in this last 50 days. One, largely Bengal election and the factory, most of the labours are Bengal i. So largely some of the labours have move

d to Bengal for elections and all. And we've seen some production loss, but the overall momentum seems very strong. And of course, our Chairman loss, so the factory was shut for 2.5, 3 days. That was also -- but overall momentum side, what we are seeing, we are seeing good momentum.

Avnish Roy: So just to get clarification on these 2 points, 2.5 days factory shut and Bengal, the workforce has gone. Did it lead to sales loss also or you had pre-planned. So, in terms of sales, there is no impact. Could you clarify on that?

Manoj Verma: Yes, so demand we were talking of, that's where you started off. So, there's no issue in demand, very well created and that's on. But yes, from supply end, yes, there were some disruptions because ours is not a phasing wherein that most of the billing happens in the last few days. It's a daily progression, a very seamless day on day what we do, right?

We have been talking in our earlier calls as well that we work on 2 days FG kind of custom or even less than 2. So, the production impact has certainly resulted in some sales the quarter could have been even better. But yes, overall, if you look at this quarter will be well in line with what you said.

Avnish Roy: And the Bengal workforce impact that will come in Q1, right?

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Manoj Verma: Q1. Yes, So this Bengal election first phase was on 23rd of April. So, these people and after SIR and all that stuff I mean so people were -- there was no choice to hold them or no way one could have hold them. And so majority of them went on leave. And so, from 20th of April till say, 10th of May, I mean these people started coming back, there was disruption of the manpower problem

in that stuff. But we managed it somehow .

Avnish Roy: So just to close this point, 2.5 days because of the loss, which had happened, unfortunate , plus the election related. So , can we say around 4 days of impact overall?

Rishabh Jain: Yes.

Avnish Roy: Okay. Second question is on the inflation. You said palm oil and edible oil inflation is around, say, 13%, 14%. I wanted to understand packaging inflation because it's linked to the crude oil and crude oil inflation is much more than the 24%, 25%, which you mentioned. So , if you could clarify on that. And have you taken a shrink inflation, so grammage cut or in the larger packs, it's more of a price hike. So , if you could clarify on those 2?

Rishabh Jain: Yes. So , from packaging material inflation, we have seen that the average like packing material cost was close to INR190, INR200. It has gone up to INR260, INR270. But it has again come down to INR 220, INR 225. So , it's not a high side as of now, it's manageable. but yes, overall, what we have done, we have increased price in Family pack and we have reduced gram mage Impulse. That's what we can do largely in Impulse .

Avnish Roy: Understood. Okay. That's all...

Rishabh Jain: Overall, the price rise was close to 3%, which will be manageable, which can manage this increased RM PM price.

Avnish Roy: Okay. Thank you. That's all from my side.

Moderator: Thank you. We take the next question from the line of Siddhesh Deshmukh from IIFL Capital. Please go ahead.

Percy Panthaki : Hi. This is Percy Panthaki here. Sir, what is the quantum of price hikes that you have taken?

Rishabh Jain: Yes. So , the price hike was close to 3%.

Percy Panthaki: And do you think you will have to take more given where the commodity costs are currently?

Rishabh Jain: Currently, as of now, this is manageable for us. We can manage the same DM largely at this current increase what we have taken. We actually, we had good amount of packing material orders, which we have blocked . And what we see that the PM prices came down from the price rise increase what we've seen in early days of war, but it has come down significantly. So , it's manageable.

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Percy Panthaki: Okay. Secondly, I wanted to ask, if I look at your EBITDA margins first half of the year versus second half, there is a sort of lower second half margin versus first half. So , is this something normal seasonality? Or is there some other reason behind that?

Rishabh Jain: So largely our major ad cost, which comes in during festivity . So normally in every year, our major ad cost comes from August to December. But this year, we have continued campaign in the fourth quarter also. So fourth quarter ad cost was significant ly higher compared to last year quarter. But overall, the ad cost was close to 2%, which was last year 1.6% on a yearly basis.

Percy Panthaki: Okay. Okay. But like 40 basis points Y -o-Y, I understand and Y -o-Y, the margins are not a problem. But I was looking at more versus the first half margins are close to like 13.5%, 14% and the second half margins are like close to 11%. So , I was trying to understand that because the movement is like 280 basis points between first half and second half. So , is the ad spend the explanation fully or is there some other reason?

Rishabh Jain: Majorly ad spend. And there was 50 basis points some provision for doubtful debt, which we have taken in last 2 quarters, last quarter, in fact, which was one time.

Percy Panthaki: Okay. Understood. And can you just tell me what is the ad spend as a percentage of sales in 3Q and 4Q?

Rishabh Jain: So 3Q and 4Q ad cost was close to average 3.2%, 3.3%.

Percy Panthaki: Okay. And in first half, it was like 1% or something, is it?

Rishabh Jain: Yes, 1%.

Percy Panthaki: Hello .

Rishabh Jain: Yes, 1%.

Percy Panthaki: Got it. Got it. Secondly, sir, just wanted to understand this difference between consol growth of 19% and standalone growth of 15%. So is there any organic -- sorry, inorganic remaining now? Or it's just that the subsidiaries are growing at like 70%, 80%, which is giving this kind of growth?

Rishabh Jain: So, from consol to standalone, largely we have Bikaji USA, which is a core Ethnic snacks business, which is doing good. We have Ariba Foods, which works for us for frozen segment. And of course, this THF. THF is going on very well. This year, they've grown at close to 130% to cross INR100 crores. So , retail business is going on very well. So , the difference between Ethnic snacks and overall is close to 2.2%, which is THF retail .

Percy Panthaki: Understood. Understood. So , there is no sort of inorganic portion this year on a Y -o-Y basis, right? Everything is annualized?

Rishabh Jain: Yes, yes, yes.
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Percy Panthaki: Got it. Got it, sir. That's all from me. Thanks and all the best.
Moderator: Thank you. We take the next question from the line of Darshit Vora from Asit C Mehta Institutional Equities.
Darshit Vora: Yes. Hi. Good afternoon. Am I audible?
Rishabh Jain: Yes, you are.
Darshit Vora: Thanks and congrats on a good set of numbers. Just wanted to firstly understand if you could quantify the capex amount that you alluded in your opening remarks.
Rishabh Jain: What amount?
Darshit Vora: Capex amount?
Rishabh Jain: So, capex largely what we'll be doing, there's 2 capex, the sweet factory, which is coming in Bikaner. And so, this year, we'll be doing close to INR100 crores of capex. That's the plan, less than or close to INR100 crores capex.
Darshit Vora: Overall per annum ...
Rishabh Jain: That is big warehouse, which is came in. The capex has been done. It will come in install in, I think, in the next 15, 20 days. So that will suffice -- that will solve sort of supply chain problems.
Darshit Vora: All right. And secondly, just wanted to get a sense on the Western snacks portfolio. So, this quarter, we saw about an 8% kind of increase year-on-year. So I mean if we look at the entire year also, we've seen 7% kind of a Y-o-Y increase. So how do we see this moving forward in terms of growth.

Manoj Verma: Yes. So, generally if you look at -- I mean, so just Western snack holistically, if we look at quarter 4 has been a 16% volume growth, wherein the Ethnic snacks is in line with overall volume growth, which is 16.1% value growth. Packaged sweets did well. Western snacks, one, of course, the INR5 pack, as I spoke in my earlier statement as well, that the trajectory what moved was more on the family pack and the family pack is more on the Ethnic side. So perhaps that's what could have been better.
And to your question that going forward, if we look at the quarter 3, there it was 25% growth in Western snacks itself. So, we will get back to that stuff and Western snacks will grow 20% plus if you look at them. At an annualised level as well if we look at -- so the annualized level first half and second half was a key -- a major contrast in terms of growth across category. And even here, if we look at Ethnic snacks is at 11% in that stuff. And while Western snacks was better, but then because of this quarter 4, this has come down in this. But going forward, this will fall in place.
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Darshit Vora: Okay. Okay. And are we taking into consideration the grammage cut impact despite that, we'll be seeing that 20% kind of a growth?
Manoj Verma: See, I think that's now a new normal in terms of as the inflation comes in, grammage starts coming down. And as you know, there's deflation or there's cooling of commodity prices, companies do pass it back to the consumers which is what we saw that during this GST changes. So, most of the companies and so did we pass back these extra grammages to the consumer, which now, again, with post-war after effects, maybe we'll cut down. But this will keep going and coming. We don't see much of a difference in that stuff.
One thing I want to bring it to the table that overall, if you look at the Western snacks growth in the last quarter for the category has also not been very bright in that stuff. So relatively, if you look at 8.5% growth, while certainly we could have done better, and we know that what is that now we have to press on. But overall, Western snacks was also on a little slowdown.
Darshit Vora: All right. That will be all. Thanks so much and all the best.
Manoj Verma: Thank you.
Moderator: Thank you. We take the next question from the line of Ronak Shah from Equirus Securities. Please go ahead.
Ronak Shah: Yes. Hi, sir. Thanks for the opportunity. Sir, my first question is -- am I audible?
Moderator: Yes, Ronak. Please go ahead.
Ronak Shah: So, my first question is regarding the core versus focus market. So ideally, the long-term aspiration of the business is to grow the focus market at least by 1.3 to 1.5 times. However, if you see the fourth quarter or FY '26 as a whole, the growth rates are not that different. So what is holding us back from getting those sort of growth rates into the focus market?

Manoj Verma: So, if you look at in terms of the growth of focus markets vis-a-vis category is over-indexed in that sense, which means Bikaji's performance of whatever we are doing now is doing -- is ahead of category. However, to your question and so what we intend to do is of our 1.5x growth system. So, there have been certain challenges that have been -- which keeps coming and we keep addressing.

So, like I just spoke about that UP, one of the large focus market, we made those investments and results started coming in. So going forward, what we see and what we have been saying would continue that the focus states has to grow faster.

This 4 states did extremely well in quarter 4 is on the back of like the mega campaign, what we did Bhujia and the biggest consumption happens in these 4 states as well and Bhujia out

performed, and that's what helps these 4 states over-deliver.

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In fact, going forward, if one was to give some guidance for next year. So 15% growth would not be sustainable. What we look at it is that's about 13 plus/minus kind of growth we'll look at from core states and from focus states would be, of course, up 20%.

Ronak Shah: Understood. Understood. And when we see the EBITDA margin profile ex of the PLI benefit, in FY '27, considering the price hikes plus the inflationary trajectory, which we are sensing, how we are expecting the margins to flow in? On top of that, we are having a higher focus on E&P as well. So overall, how you are sensing your FY '27 EBITDA margin?

Rishabh Jain: So, from ad perspective, ad budget this year will be close to 2%, which is same from last year. So, we're not increasing our ad budget, number one. Number two, from EBITDA lens, we have taken on a price rise in April, what we see in the price increase of raw material packing material. So that will suffice the overall cost pressure what we got largely.

So, from that perspective, gross margin, the target of gross margin at consol should be same for us. We need to maintain the gross margin this year. That's important. That's challenging also because that's a very fluctuating year as of now started with a very fluctuating year where we're seeing the fluctuation in edible oil as well as raw material depending on how war react.

But yes, overall, our target is to be -- to maintain the same gross margin and that's -- and EBITDA lens largely -- so if we maintain the same gross margin, EBITDA will improve because there is a lot of fixed costs, which will be fixed and there is production from outside Bikaner, which is CMU will also increase -- so there a lot of operational efficiency which will come in this year.

Ronak Shah: Understood. Understood. And lastly, on the retail business front. So, we are seeing very good traction over there. So, over a period, how we are sensing to open the newer stores on top of that, how the overall opex and all are looking like?

Rishabh Jain: So, from retail lens largely, our major focus investment was on THF last year and THF is doing extremely well. So, they have close to 19, 20 stores. Intent is to open 8, 10 stores every year for next 3 years and to grow our business at 50%, 55% top line growth. That's the target.

And the best part is that they are profitable. So that's not EBITDA dilutive. That's important for us at the same speed what they want to grow for next 2, 3 years. So from Bikaji lens also, we opened out let -- 2 outlets will open in the next 6 months, and we will see how we grow our own retail business.

Ronak Shah: Understood, understood. That's it from my side. Thank you.

Rishabh Jain: Thank you.

Moderator: Thank you. We take the next question from the line of Abhishek Mathur from Systematix. Please go ahead.

Abhishek Mathur: Yes. Hi, team. Thank you for the opportunity. Just wanted to check out of our direct reach of about 3.5 lakh outlets, what would be the split in terms of how much is in focus markets, how

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much is in core, et cetera? And also, if you can -- so we have a target of about 5 lakh in 3 years, about 50,000 per annum. Of that 5 lakh, what is our target split in terms of how much would be in focus and core and the others?

Manoj Verma: Yes. So currently, if you look at out of 3.5 lakh outlets, so about 120,000 outlets is in core states. So here, the distribution is more led to the wholesaler. So whereas if you look at indirect reach is about 8.2 lakh.

Coming on to focus states. So we cover about 1.7 lakh outlets in the focus state. And here, our indirect reach, I mean, so the wholesale channel and the other stuff. Our overall reach here is 3.5 lakh outlets. An

d in the other states, we cover about 60,000 outlets. This all adds up to 3.5 lakh outlets.

Going forward, the increase is to come from the core as well because that's where now we are going down for set up, increasing instead of keeping our dependence on wholesalers, we are trying and we are getting in directly there so as to sell grain so as to establish NPD and the stock rate in the store. So that's what will help us drive same -store growth in core states, whereas the key driver would be distribution reach in the focus states. So that's where the majority of the new stores was coming.

Abhishek Mathur: Right, sir. So, if I hear you correctly, the delta of 150,000 in the next 3 years, most of it will come from the focus -- will be in the focus states. Is that right?

Manoj Verma: Right. So, this would be from core and focus states. Other states would be incidental because that's where we do not have as much priority in general trade. So there, we do need -based kind of a stuff. So, the other state sales is driven by the growth, what we take pride on is on the basis of the other channels such as modern trade, e-com, institutions, so on and so forth. So doing extremely well in all that stuff and which is what is getting the brand recall. So there also, if you look at the indirect reach in the other states is also about 1.8 lakh outlets there.

Abhishek Mathur: Right, sir. And secondly, on the raw material inflation front, you have talked about the packaging material and the edible oils. But in terms of our pulses and flour, that part of our basket, what is the trend that you're seeing on inflation? Or is it benign as of now?

Rishabh Jain: We have not seen any major price rise in all pulses and flours.

Abhishek Mathur: All right. Great, sir. Thanks and all the best. Thanks.

Rishabh Jain: Thank you.

Moderator: Thank you. We take the next question from the line of Soham Samanta from Motilal Oswal Financial Services Limited. Please go ahead.

Soham Samanta: Yes. Thanks for the opportunity. Sir, just wanted to check on focused market. Last time you called out that Delhi market was not performing well, while UP has been doing good. So, on a full year basis, how the 2 major market have been doing in the focus market, UP and Delhi?

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Manoj Verma: Sorry, Delhi and which one?

Soham Samanta: UP.

Manoj Verma: So UP, if you look at in terms of TAM, so out of 6 markets, UP is equal to rest of the 5 -- on the focused states. So that's the size of price for UP. Delhi is not as big in terms of -- I mean, however, it is -- it has a weight, but not as big the TAM there.

In terms of our performance, UP has outperformed, so has brought in the overall numbers, whereas Delhi, as we said last time, that has not done well. And we have not invested also behind Delhi as much in this stuff. So, Delhi has brought these -- the growth numbers down only.

Soham Samanta: In UP, what kind of growth we're expecting 20%, 25% kind of growth or it's higher than that?

Manoj Verma: Yes, upwards of 20% growth, yes.

Soham Samanta: Okay. And if we want to maintain that 15% kind of top line growth, in that case, on product-wise, how we are looking like Ethnic versus packaged sweets, as you mentioned, that Western snacks to be the higher growth category, I mean 30% to 50%. But Ethnic and packaged sweets is how we're looking for next couple of years?

Manoj Verma: So, if you look at the critical -- to your question that if one is to deliver 15% year-on-year growth. So, one category you cannot choose to ignore is the traditional snacks, which is about 70% of our business. So that has to take lead, followed by the second largest category is sweet, which is about 12.5% to our business, right?

And this is where when we see -- when we are on our strat plans. So, this is one category where the shift from unorganized to organized is going to happen. So, for the category, this growth is

going to be large, and we cannot miss the opportunity. So therefore, -- this would be second one. Third is, Western snacks, our base is very small. So even 20%, 25% will not add as much value to our overall consol growth of that sub. But yes, Western snacks will continue to grow in double digit, 20% plus kind of a growth year-on-year, Western should do. And this is what we are

talking of also that in next 3 years, currently, what it is 8.5% Western contribution should move to about 11% in the next 3 years.

Soham Samanta: And sir, last question from my side in core markets like Bihar, Assam and Rajasthan, within 3 markets, what is the most growth driver as of now? Or how do you look at each market?

Manoj Verma: No, say again, what is the?

Soham Samanta: So basically, what is the fastest growth driver within this 3 markets.

Manoj Verma: So, Rajasthan, in fact, is our homeland in terms of closest to Bikaner and all that stuff and is very large. So put together, Bihar and Assam is equal or less than what the Rajasthan market is.

So, the delta what comes, the growth what comes, Rajasthan is the largest.

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This year, if you look at when we say when we report numbers 4 delivered 15%. So it's not just one state. It's a whole state performance wherein all these states have done extremely well. And I think all are inputting the team what they spread behind this growth, I think this has paid us dividend.

The campaigns, what we did. So when we say Bhujia also Bikaji, that was a very straight campaign because we witnessed in the first half that there was a slowdown in Bhujia category per se. So I'm not talking Bikaji. I'm talking of overall Bhujia as a subcategory.

And we being market leader, it was our responsibility to spike up this growth, build this category further and hence, these campaigns were done rolled out and worked very well for all 4 states .

Soham Samanta: Okay. Thank you, sir.

Moderator: Thank you. We take the next question from the line of Shirish Pardeshi from Motilal Oswal Financial Services Limited. Please go ahead.

Shirish Pardeshi: Yes, hi, Manoj, Rishabh, thank you for the opportunity. Just 2, 3 questions. About 3, 4 months before, there was a lot of noise around GST rationalization, unorganized player will exit. There is a lot of momentum, which you said that the unorganized player will be able -- will not be able to compete at INR5, IN R10 or maybe compliance burden will happen.

So, in your experience, given this framework, which is now implemented, which are the states you have seen this has been beneficiary to us? Or is there realistically anything has happened because parallelly, we might have got the benefit of 5%, but inflation is also inching up?

Manoj Verma: So, I think very nice question, Shirish. And if you look at what we did, so the Family pack there, this is no impacted more in that stuff. So -- and as our numbers are, I'm sure other companies also would have done better.

In this INR5 and INR10 play, the regional and local nuances are also very, very high. So , it is like a few new players get in and few get weed off kind of a stuff. So that's what is the phenomenon and the trends what we see.

But going forward, if you look at -- so it will not -- and this is what we always have been calling it out on our calls , that the results of the impact would be seen over 2 to 4 quarters, you will see the impact in this stuff. But certainly, this GST regime change would benefit the organized player or the larger players also.

Shirish Pardeshi: But really, is there any trend you are picking up that the national branded players are getting the sales and unorganized are tapering down? Or it's too early to judge because parallelly, again, I'm using the word inflation is inching up.

Manoj

Verma: See, unorganized when you say unorganized, you don't track because you don't get data. It is like it's -- when you do market visits, you get some sense in price. But yes, if you talk about the local and regional players. So yes, I mean, so this is where certain players we have seen that the Bikaji Foods International Limited

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kind of traction what they had has slowed down is not as much. The kind of trade investments they were doing, it's a little muted stuff. But for their survival, they will certainly do for 2 quarters at least. So I think the right time, maybe next quarter onwards, as the year will pass by, you will see those impacts coming in.

Shirish Pardeshi: Okay. Sorry, I'm stretching. Let's pick up, UP as an example. So what happens to Avon, Apricot, Evita . These brands are still existing, but if I check on the ground, they're still growing.

Manoj Verma: So, see, Evita and Apricot is not a small brand for that reason. I mean, if you look at the kind of player, so in UP itself, there are 200 listed brands there, right? Top 10 brands that you look at after that, any brand is less than 1% market share. So that's the fragmentation in this UP though which actually is not a state, it's a country in itself . So that's what it is.

Morano another brand, if you look at on account of its UP sales , it's among top 10 players in the country for that stuff. I'm talking of the players which were regional and local like, Jain, Popat , Mahesh Namkeen, which is only the geography of 100 or 150 kilo like PK Namkeen in west UP, those are the ones I'm talking about.

Shirish Pardeshi: So the likes of Rajshree and all what you're saying?

Manoj Verma: Exactly, you got it.

Shirish Pardeshi: Okay. Got it. Second, on slide 10, given promotions which we ran, consumer offer, Bikaji campaign, UP campaign with Mr. Tripathi and the other packaging what -- so on a broader terms, if I split what are -- I mean, tangibly, you may not be able to quantify, but in the current era of packaging or maybe packaged food industry itself is so complex. Such kind of measures has brought any benefit to the company in terms of quantitatively, you can say that we got

distribution expansion or volume growth or maybe some per centage of sales would have happened. I mean just a ballpark number?

Manoj Verma: So, Shirish, you come from a FMCG background and so when so ever company plans any consumer offer. So, this is not just to subsidize sales. It's always now the objective of that will this give you 20% extra, 30%. This, again, is kind of investment you're doing. So, for example, Paytm, if we look at it, this comes at negligible cost to us.

So hence, if one was -- my sales team is to plan, so I cannot -- I have very bullish number on this stuff. But yes, certainly, delta will come in. And the investment what we do, the kind of focus what we bring in, are the larger or the big ingredients to get a good result out of it, which is in terms of that the motivation, so the team, the posters, digital activation around that, buzz what you create. So there is more power of execution on ground and which is what gives us delta for sure.

And the number speaks more louder than what I can speak on this stuff that you look at what was quarter 1 or quarter 2 and then what is post so when these campaigns were up on air or was on ground. So, this has certainly given this stuff.

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Any company, when they do these kind of offers, there could be 2 objectives. One is that if they are seeing decline, they say that I want to hold it. And holding on those numbers in itself is an achievement because they knew the relative is and at what rate they were falling down. And the other is that what growth are they wanting to or next trajectory you want to go on. So those are the measures what we see, what we track.

And this is this, we'll call out for our next promotion in the campaigns.

Shirish Pardeshi: No, I understand. No. We both are from the same background. So, my worry is that these are all routine activities. We need to do promotion. We need to excite the consumer, but then we are creating a benchmark. So, it becomes more challenging that the next promotion has to be better than the previous one. So that's why I was worrying because we are building a base.

Manoj Verma: Yes. So, you will see the next campaign will be Phase 2 of it. So certainly, we'll not repeat the exact stuff. You will see build a little, let's say, last year in UP, what we did was that not trying to establish Bikaji. Now the part 2 would be a different communication the challenge statement, identified challenge statement or opportunity, we will try and address with the campaign. So not -- it will not be airing of the same film what we did last year. So that's what is -- certainly, I think you have a very good point, and we are -- we work in the same way itself, not to repeat, to build on that.

Shirish Pardeshi: All right. My last question, Rishabh, on Ariba, THF, can you give us how the momentum is picking up? I mean we have also given some press release last time saying that we are looking for JV in Nepal. So, in terms of scale up, in terms of our 100% acquisition path to profitability, something if you can tell?

Rishabh Jain: Yes. So, from THF lens, THF revenue while the last three top line was close to INR50 crores. This year, they double top line. And what we see that THF grew at 50% to 60% year-on-year for next 3 years at least. They have a strong plan. And largely, they are focusing on the northern part of India, UP, Haryana, Punjab and they can go towards Bihar and that part. Largely, that part still target on for the next 3 years. So, from THF lens the reduced retail investment is going on very well.

Ariba is just a manufacturing capability, and they are just solving our export problem, which we had -- which was there before Ariba when they were dependent on other vendors. And during their peak time, they're not able to supply, there was always supply chain issue. And you will see that after Ariba, our export growth is growing at 50-60%.

And this year also, this will be the same momentum what we see this year. So Ariba is largely manufacturing facility of course, concluding the focus because they cannot be a net EBITDA dilutive to us, and that's what we are working on. Currently, they are at low utilization. This will be close to 55%, 60% utilization and that will solve this EBITDA issue also.

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Shirish Pardeshi: Okay. Just last question. On the warehouse, what we were trying to build into the adjacent location, would fully covered the operational -- I mean, is there any benefit you have started exactly.

Rishabh Jain: Trials has started 2 weeks back early. And it will start completely in -- by 15th of June. So, by end of this quarter, so by next quarter, we'll see a benefit in this. And of course, we'll see benefit

because currently, we have space of keeping finished good less than 2 days. And this warehouse has capacity to keep storage of around 6 to 8 days. So of course, we'll see a momentum, we'll see production running seamless and all. So, we'll see momentum in the second quarter.

Shirish Pardeshi: All right. Thank you and all the best.

Rishabh Jain: Thank you.

Manoj Verma: Thank you.

Moderator: Thank you. We take the next question from the line of Nitin Gupta from HDFC Securities. Please go ahead.

Nitin Gupta: Yes. Thanks for taking my question. My first question pertains to the very first question around like people movement from our factory. So, when you have highlighted for West Bengal labourers have moved from 20th April to 10th May. So I just wanted to reconfirm like how

many

days of sales got impacted. So that time answering to that, you had confirmed 4 days. I just wanted to double check on that.

Rishabh Jain: So largely, there are 2 things. One is overall few labour movement from Bikaner to Bengal, and there was a loss of a Chairman where our factory got close for 2.5 days. So overall, close to 4 to 5 days, 4, 4.5 days loss of production was there in -- and now like it's close around 16 -- from 16, 17 from this Month, all the labours have come back and our production is in full swing. So -- so we'll try to cover this. But yes, until now the loss is 4 to 4.5 days.

Nitin Gupta: Okay. So 4 to 5 days, like it's more of a scattered impact, not a continuous impact. Okay. Its fine. And second, just wanted to understand like how at a consol level, how do you see the growth for FY '27? And also wanted to sort of understand like how we are placed with sweets.

So, was there a capacity constraint that's where the growth in last 3 years was around 6% CAGR or like any other reasons you wanted to cite for the sweets business slowdown?

Rishabh Jain: So, from sweet lens largely, of course, that's more of manual. So capacity was constrained. And sweet has different challenge. Like during festivity, we have capacity constraint during non - festivity, we have very surplus capacity because during festivity, we work in 100% dilation and so we are building one sweet factory in Bikaner, which will solve this sweets production issue. And also, we are trying to build all -season sweets, small pack, INR5, INR10 pack in sweets and soan papdi everything. So that can be all season that can improve overall growth of sweet category. And from sweet snacks largely our this year growth was close to 9% and our target is

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to be at 11% to 12%. That's the target what we are taking on. And not so on sweet, 11%, 12% growth, our major focus will be on our Ethnic snacks and Western snacks.

Nitin Gupta: Thanks for the answer. But the way Manoj ji has highlighted like big part of formalization is spending on sweet side. So, don't you think we should target a higher growth? Or is there a genuine sort of constraint in terms of driving this formalization on the growth?

Manoj Verma: So Nitin, talking on sweets business, if you look at, so these 4 months, the festive from, say, Rakhi till Diwali, 80% of our sweets business comes in these 4 months. And then balance 20%, 25% comes in 8 months. So, in these 4 months, we are over utilized our output is -- it exceeds 100% over time and all that stuff starts happening, whereas in rest of the time, it is very poor utilization.

Now that's the dichotomy we are in if we increase capacity, so which means that in off -season time, we will be further under utilizing our capacity for this stuff. So that's the stuff and which is what we are trying though how do we make sweets around the year kind of a category leveraging on our e -com modern trade stuff, and that's the work which is on.

So, what Rishabh spoke about is that when we build budgets in our annual operating plan and all that stuff, we have kept sweet about 12.5 % growth. However, the working is on that how that we can exceed these numbers because that's where the opportunity is. Now how soon and how much we explore on that stuff, would be on our capability and speed to act.

Nitin Gupta: Thanks for the detailed answer. Now this is very clear. Last question pertains to like how we are placed with e -com and particularly quick -com. And any thoughts around like Q-com seeing a faster growth convenience channel. So, in terms of the portfolio expansion, maybe leveraging the third -party, we wanted to do something for the quick commerce to ride on the faster growth rate? Thank you.

Manoj Verma: So yes. So, e-commerce certainly as a channel is doing well for the entire FMCG or even other categories as

well. And so, it's true for Bikaji. If you look at last year, our e -com contribution to overall business was 2%, which now has moved to 3%. So that's the kind of business shift the importance this channel is gaining.

This channel has delivered about upwards of 75% of growth, whereas against company's growth

of far less 11%, 12%, that's the kind of over index growth. We are present across all players and have a strong JVP, so the joint business planning for the year, quarterly and so forth. So, the growth drivers are, of course, one is that inorganic growth, which is that as these accounts are getting into from, say, Tier 1, Tier 1 to Tier 2 and further below. So that's the inorganic growth, how we look at it is. And also, what we're doing is that in the increase of number of SKUs ranged on these platforms. Now when we speak to e-com platforms or q-com platform, what they're saying is that the growth in the metro towns is getting stagnated because now they've exploded what they could. Bikaji Foods International Limited
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So even they are looking at the out of the box thinking that how do we grow metro and therefore, new categories, premium stuff, so let's say, introduction of new sweets range and all that stuff, which is what will certainly benefit us and these channels is there. This is what it is. So we see a huge growth -- continued growth in this channel for us next year as well. Nitin Gupta: Thanks a lot. And all the very best. Manoj Verma: Thank you so much. Moderator: Thank you. We take the next question from the line of Mahima, an Individual Investor. Please go ahead. Mahima: Yes, hello. Am I audible? Manoj Verma: Yes, you are. Mahima: Okay. Thank you for this opportunity and congratulations for your results. I was asking that as lifestyle changes, are you planning to enter into a healthy snack segment? Manoj Verma: See, frankly speaking, there's nothing called healthy snack. There could be less unhealthy snacking, right? And in our portfolio also, there's a long list of SKUs which fall in that space. So, in terms of future ready, we are, right? And there's a range. But today, if you look at the contribution of these categories is by far low. Today, the companies which are surviving is purely on the q-com platform, you will still see these -- the clean label products kind of a stuff. But when you speak on the masses, this is not true for now. We perhaps are 5, 6 years behind time and in the next as many years, you will see that these things will start picking up even faster. From our readiness standpoint, yes, we have the entire range with us. Mahima: All right. All right. Thank you so much. And all the best. Manoj Verma: Thank you. Moderator: Thank you. We take the next question from the line of Utpal Saikia, an Individual Investor. Please go ahead. Utpal Saikia: Yes. Hello. Thank you for taking my questions. First of all, I'd like to pay my heartfelt tribute to the Founder Chairman Shiv Ratan Agarwal ji. So, I have actually 2 short questions. The first one is as a company is trying to build consumption habit of Bhujia and other Indian snacks in the Western countries, so how are the consumers' behavior evolving? Are we seeing a good momentum and the consumer primary in the western market, primarily is consumer of the Indian origin? Or are we also attracting mainstream Western consumers? Manoj Verma: So is this you're talking from the export standpoint, right? Bikaji Foods International Limited
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Utpal Saikia: Hello? Manoj Verma: Hello, this question is more from exports lens or from domestic, I mean so if you can clarify. I'll answer accordingly. Utpal Saikia: No, it is for export oriented. Manoj Verma: Yes. Thank you. So one is that there's a huge Indian diaspora, right? So that is our primary TG, which is what we focus on. And there, if you look at the two approach of growing business, one is the new growth category. So, for the category leaders, or if we were 50% market share. Then our task would be that how do I grow consumption grow users, right, throughputs or occasions of consumption, right? That was if I was a major player. When I'm not a major player, then my job is not to build categories there I'm not looking at that how many more people have started eating Bhujia there. I will look at that how do I eat share that I mean, today they're eating of competition or some other players other category, how do I get them to my hold. So, this is what we are working on for overall namkeen, what is called the frozen item because there we are gaining share from the competition. We are not building category.

For our Bhujia ,which is our hero product and if you look at across players, Bikaji, Bhujia is number one in the Bhujia segment. That's where we build consumption and our consumers, to your question, is not just Indians, what we see when we travel to these places when we interact to our consumers there.

So, there are lots of foreign origin guys as well that who like this snacking. Something is very famous about India is , one is , tourism and second is food and India's food is appreciated across. We are taking this food, this snacking stock to their country. This is gradually shifting. It's not a major shift, but it is not just stuck to Indian diaspora. It is the foreign -- foreigners as well who consume our products.

Utpal Saikia : Thank you. Thank you so much.

Moderator: Thank you . We take the next question from the line of Darshit Vora from Asit C Mehta Institutional Equities. Please go ahead.

Darshit Vora: Yes, hi. Thanks for the follow -up. Am I audible now?

Manoj Verma: Yes, you are audible.

Darshit Vora: So just wanted to pick your brain on this Western snacks portfolio again . Just wanted to understand why do you think th e industry growth is coming low for the Western snack front?

And the other part to this question is that if the industry growth is kind of moderated I mean lower than Ethic snacks, how do we plan to grow higher? Is it distribution expansion or like innovation in products what else?

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Manoj Verma: So, I'll take your latter question first. See, one is that we have very small share. If you look at all India level at Western snacks is 1.1% market. So , it's a drop in the ocean. That leaves us with the opportunity of disproportionately high growth . So now theoretically, this is one.

Now to your first question, when we say relatively -- so these growth trends keep changing. So if it is down does not mean -- that it is the right takeaway would be when you see the declining trend that over the last 4 quarters, this is coming down. Then you can extrapolate and come to some conclusions or correlation of that stuff. One quarter in particular, leads us with no, it is just a reference point. So please now consider that if Western Snacks has not done well is a reference point only.

Darshit Vora: Okay. Okay. Got it. And secondly, just wanted to clarify on the gross margin front, you said that you're going to maintain margins on the gross margin side. So is it like margins or absolute gross profit you're talking about....

Rishabh Jain: Sorry can you repeat...

Darshit Vora: Because you earlier -- you earlier alluded that we will be maintaining gross margins. So you mean gross margins or absolute gross profit. I just wanted to clarify that.

Rishabh Jain: The gross margin in terms of percentage.

Darshit Vora: All right. That'd be all. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we take that as the last questio n and conclude the question - and-answer session. I now hand the conference over to the management for their closing comments.

Manoj Verma: Thank you so much for taking t

ime out for the call. It was a good interaction and we tried and answered most of the questions. Still anyone felt left out, happy to get connected separately or through our relation manager. With this, thank you so much and look forward to connect again.

Moderator: Thank you. On behalf of Bikaji Foods International Limited, that concludes this conference call.

Thank you for joining us, and you may now disconnect your lines.